



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

February/March 2020

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- You may use a calculator.

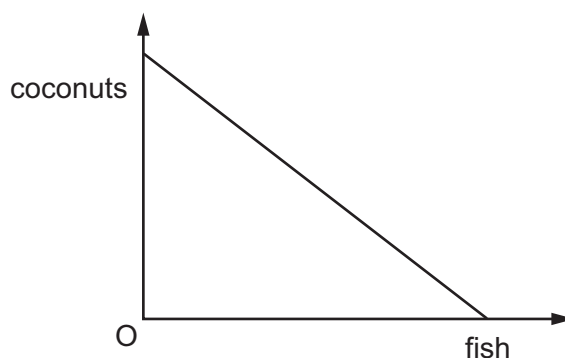
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.

This document has **12** pages. Blank pages are indicated.



- 1 The diagram shows the production possibility curve of a desert island economy where the inhabitants produce just two commodities, coconuts and fish.



What explains the shape of the production possibility curve?

- A** Coconuts and fish are perfect complements.
B Coconuts and fish are perfect substitutes.
C The inhabitants consume more fish than coconuts.
D The opportunity cost of increasing fish production is constant.
- 2 A worker earns \$40 per hour. Rather than work, she decides to visit a museum for three hours. The visit costs a total of \$40.

What is the opportunity cost of visiting the museum?

- A** \$40 **B** \$80 **C** \$120 **D** \$160
- 3 A newspaper article contains the following comments.

- 1 The burden of tax should be shifted more to the highest earners.
 2 It is in the public interest that key services are nationalised.

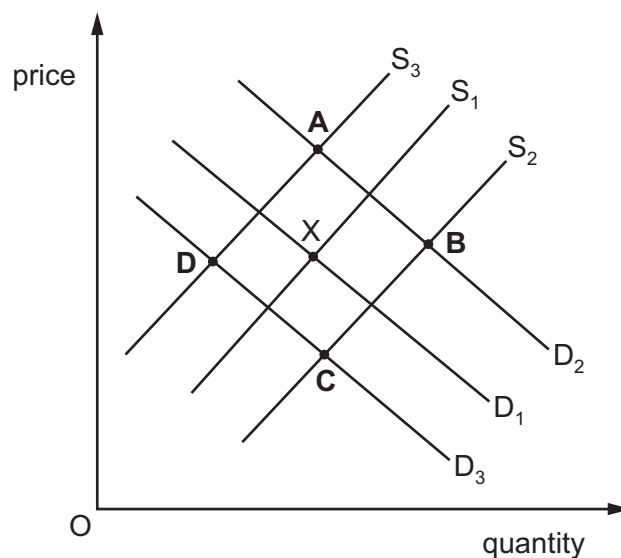
Which type of economic statement is illustrated by each comment?

	1	2
A	normative	normative
B	normative	positive
C	positive	normative
D	positive	positive

- 4 Which change in the way resources are allocated in an economy is consistent with moving from a planned economy to a market economy?
- A A minimum price guarantee for apple producers is removed.
 - B A new government authority is established to monitor inefficiencies in apple production.
 - C The production of apples is subsidised to increase output.
 - D The sale of apples has a maximum price imposed.
- 5 In which circumstance will the total expenditure by consumers on a good increase when its price increases?
- A Demand for the good is income elastic.
 - B Demand for the good is price inelastic.
 - C The price of a complementary good also increases.
 - D The price of substitute goods also increases.
- 6 When will a manufacturer's ability to increase the quantity supplied in the short run be greater?
- A when labour is immobile
 - B when spare capacity exists
 - C when the product is perishable
 - D when unemployment is low

- 7 The diagram shows the market for strawberries. The original equilibrium position is X.

What will be the new position following the failure of strawberries to ripen and a fall in the price of cream (a complement to strawberries)?



- 8 Good X is related to good Y. Incomes increase and the price of good Y falls.

Which combination would give the greatest increase in demand for good X?

	nature of good X	relationship between good X and good Y
A	inferior good	complements
B	inferior good	substitutes
C	normal good	complements
D	normal good	substitutes

- 9 What must be correct when the free market for a good is in disequilibrium?

- A** Consumers can buy all of the good that they demand at the market price.
- B** Producers can sell all of the good that they supply at the market price.
- C** The market price of the good will not change.
- D** The quantity of the good demanded differs from the quantity supplied.

- 10 A power station burns waste to produce electricity. This also produces a by-product of fertiliser for farmers.

What is the effect in the fertiliser market of an increase in the demand for electricity?

- A** The price of fertiliser falls and the quantity demanded rises.
- B** The price of fertiliser falls and the quantity supplied falls.
- C** The price of fertiliser rises and the quantity demanded falls.
- D** The price of fertiliser rises and the quantity supplied rises.

- 11 The table shows the supply and demand for avocados in Mexico City.

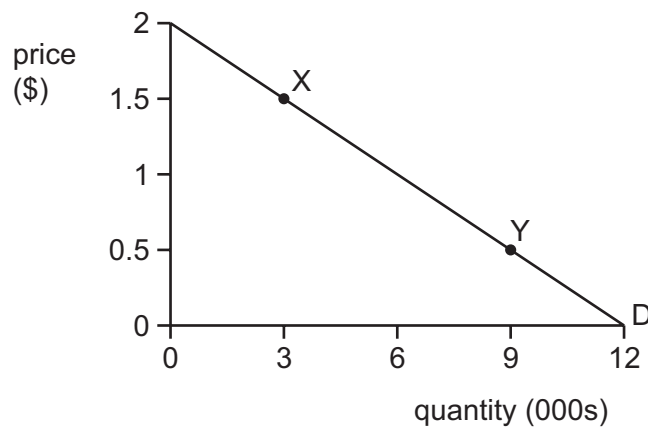
price per kilogram (\$)	quantity demanded per day (kg)	quantity supplied per day (kg)
45	170	230
40	190	190
35	210	150
30	230	110

As a result of lower transport costs, supply rises by 60 kg at all prices.

What is the new equilibrium price?

- A** \$45
- B** \$40
- C** \$35
- D** \$30

12 The diagram shows a demand curve for pineapples.



What happens to the value of price elasticity of demand (PED) when there is a movement from point X to point Y and what describes the value at point Y?

	effect on value of PED	value of PED at Y
A	fall	elastic
B	fall	inelastic
C	rise	elastic
D	unchanged	unitary

13 Four firms produce furniture. The table shows the price elasticity of supply (PES) for each firm.

If the price of furniture rises by 5% which firm would experience an increase in quantity supplied of 2.5%?

firm	PES for furniture
A	2.5
B	2.0
C	0.6
D	0.5

14 Which argument has often been used to justify the privatisation of state enterprises?

- A** Private firms can produce the same outputs using fewer inputs.
- B** Private firms try to earn large profits.
- C** State enterprises are always monopolies which exploit consumers.
- D** State enterprises cannot operate without government subsidies.

- 15** A government imposes a maximum rent in order to make rented housing more affordable.

What is likely to be a long-run consequence if the maximum is set below the current free market level?

- A** a shortage of applicants for rented housing
 - B** a shortage of rented housing
 - C** an increase in supply to satisfy the increased demand for rented housing
 - D** an increase in the number of houses being rented
- 16** What would be categorised as direct government provision of goods and services?
- A** a government grant to a firm to provide healthcare services
 - B** a government regulation on the amount of sugar in soft drinks
 - C** a government subsidy to a firm that operates a regional train service
 - D** a government takeover of a local bus service
- 17** Which type of tax is the 15% sales tax levied in South Africa?
- A** ad valorem direct
 - B** ad valorem indirect
 - C** specific direct
 - D** specific indirect
- 18** What is an example of a transfer payment?
- A** a household moving savings from one bank account to another
 - B** a monthly repayment on a loan used to buy a new cooker
 - C** the amount paid to transport goods from one city to another
 - D** the payment of student grants by the government
- 19** What will lead to an immediate improvement in the balance of payments deficit on current account?
- A** a fall in interest rates
 - B** a reduction in dividend payments to foreign investors
 - C** a reduction in the standard rate of income tax
 - D** an increase in the level of government current expenditure

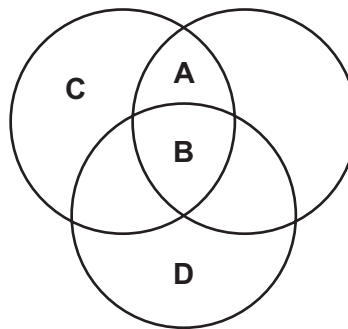
20 An appreciation of the South African rand in the foreign exchange markets is **most** likely to assist the South African government achieve which policy objective?

- A a redistribution of income
- B a reduction in the rate of inflation
- C a reduction in the volume of imports
- D an increase in the level of employment

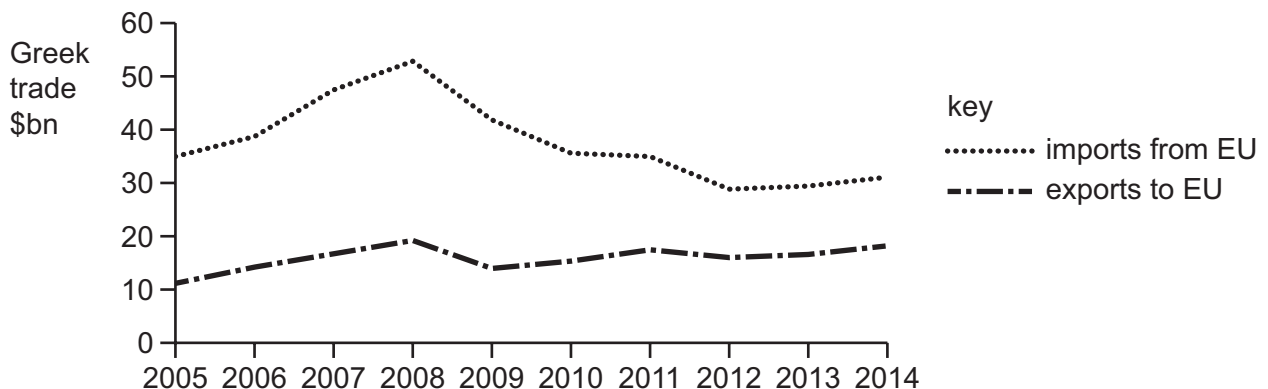
21 Four countries, **A**, **B**, **C** and **D**, trade internationally.

Each circle in the diagram represents a free trade area between the countries within the circle. A country can belong to more than one free trade area. Countries outside of a circle face trade barriers.

Which country has the greatest opportunity to benefit from free international trade?



22 The diagram shows Greece's trade position with the EU between 2005 and 2014.



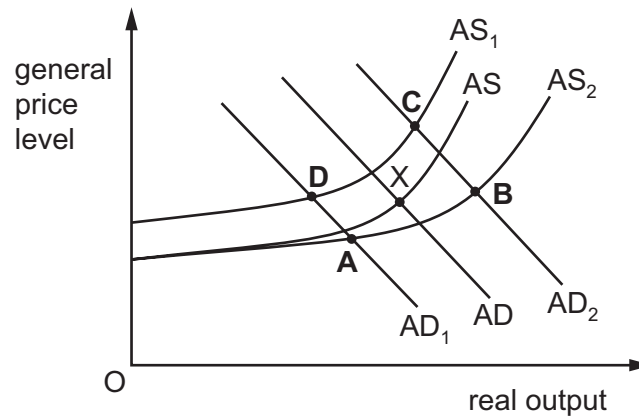
How does the Greek trade balance with the EU differ in 2014 compared to 2005?

- A an increased deficit
- B an increased surplus
- C a reduced deficit
- D a reduced surplus

- 23** A central bank forecasts a rise in raw material costs. The government plans to increase spending on health and education.

The initial equilibrium point is shown by X on the aggregate demand, AD, and aggregate supply, AS, diagram.

What would be the new equilibrium point in the short run if the forecasts prove to be accurate and the government plans are implemented?



- 24** A country with a floating exchange rate experiences a large surplus on the current account of its balance of payments.

What is likely to decrease as a consequence?

- A** exports of capital from the country
 - B** the level of employment in the country
 - C** the prices of imports into the country
 - D** the value of the country's currency
- 25** In 2018 an investor in the United States (US) purchased shares in a German bank. In December 2018 the US investor was paid a dividend on these shares.

How were these activities recorded in the US balance of payments for 2018?

	share purchase	dividend payment
A	capital account credit	current account credit
B	capital account credit	current account debit
C	capital account debit	current account credit
D	capital account debit	current account debit

26 Which statement describes disinflation?

- A** a fall in the price level
- B** a fall in the rate of inflation
- C** a rise in the value of money
- D** inflation below zero

27 In a closed economy a rise in aggregate demand is needed to increase output in the country.

What is necessary to achieve this increase in output in the economy?

- A** enough capacity to produce the extra goods and services demanded
- B** free trade to allow imports to make up any shortages in supply
- C** government spending to be less than tax revenue
- D** reduced credit to lower inflation

28 A country with a fixed exchange rate and a deficit in the current account of its balance of payments enters a recession. It devalues its currency in an effort to correct its balance of payments.

Under which conditions is the deficit most likely to improve?

	price elasticity of demand for imports	price elasticity of demand for exports	income elasticity of demand for imports
A	0.3	0.5	0.8
B	0.4	0.8	0.8
C	0.3	0.5	1.2
D	0.4	0.8	1.2

29 What is an example of fiscal policy aimed at increasing aggregate demand in an economy?

- A** increasing expenditure by firms on skills training programmes for unskilled workers
- B** increasing the commercial banks' lending ability
- C** reducing the rate of income tax for all income earners
- D** reducing the rate of interest on loans to manufacturing companies

30 A country with a fixed exchange rate experiences a balance of payments surplus.

Which policy measure will enable it to maintain its exchange rate?

- A** decreasing government borrowing
- B** decreasing government spending
- C** decreasing the interest rate
- D** decreasing the money supply

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March 2020

MARK SCHEME

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Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the March 2020 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	C	1
3	A	1
4	A	1
5	B	1
6	B	1
7	A	1
8	C	1
9	D	1
10	A	1
11	C	1
12	B	1
13	D	1
14	A	1
15	B	1
16	D	1
17	B	1
18	D	1
19	B	1
20	B	1
21	B	1
22	C	1
23	C	1
24	C	1
25	C	1
26	B	1
27	A	1
28	D	1

Question	Answer	Marks
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- 1 The transition of centrally planned economies to market economies was accompanied by a significant change in the composition of output.

What was an immediate consequence of this transition?

- A a build-up of unsold stocks of goods
- B an increase in exports of goods
- C an increase in unemployment
- D decreasing prices of goods and services

- 2 Which statement is correct?

- A Normative economics concerns the description of economic models.
- B Normative economics is objective and factual.
- C Positive economics can be tested by data and evidence.
- D Positive economics is subjective and offers a value judgement.

- 3 Consumers do not use enough of a product to maximise their private benefit because they have imperfect information about the product.

How would an economist classify this product?

- A demerit good
- B free good
- C merit good
- D public good

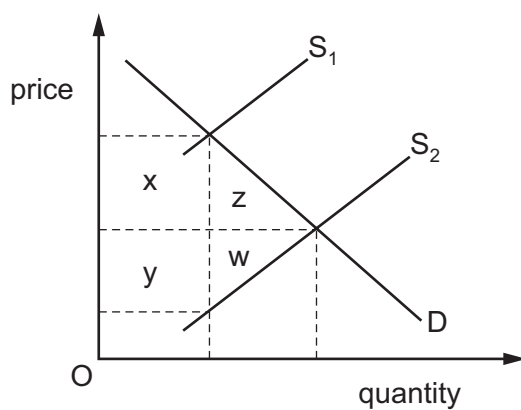
- 4 What is meant by the division of labour?

- A Each worker specialises in a different task in production.
- B Some workers work part-time and others work full-time.
- C The same amount of output per hour is produced by each worker.
- D Workers divide their time between different jobs.

- 5 What describes a market supply curve?

- A It is downward sloping.
- B It is the same as the aggregate supply curve.
- C It is the sum of all firms' supply curves for a product.
- D It is the supply of all products within an economy.

- 6 In the diagram, D is the demand curve for Indian tea exports and S_1 is the supply curve when there is a tax on tea exports.

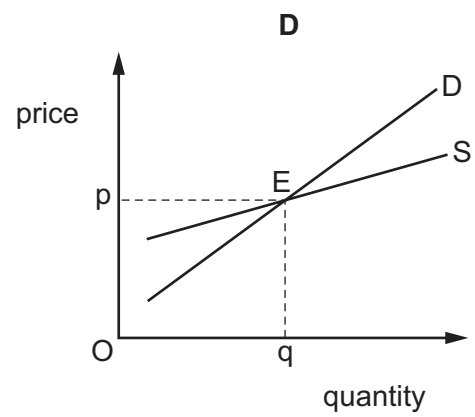
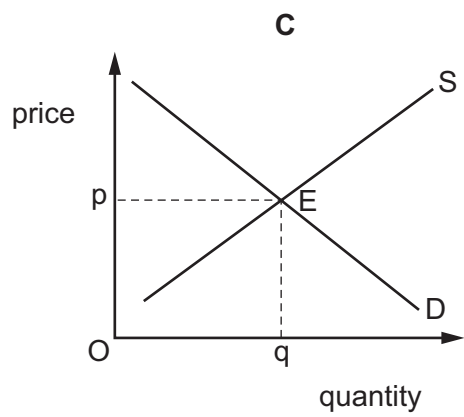
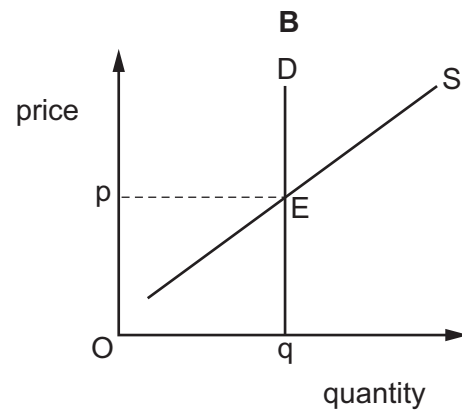
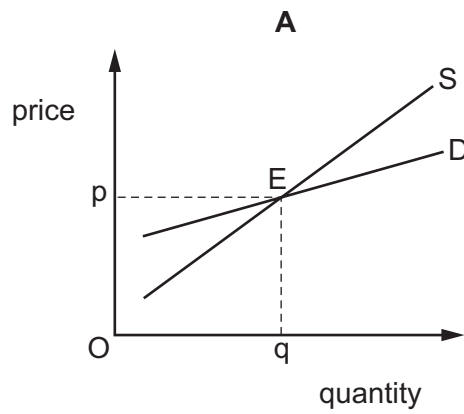


The Indian government removes the tax, which causes the supply curve to shift to S_2 .

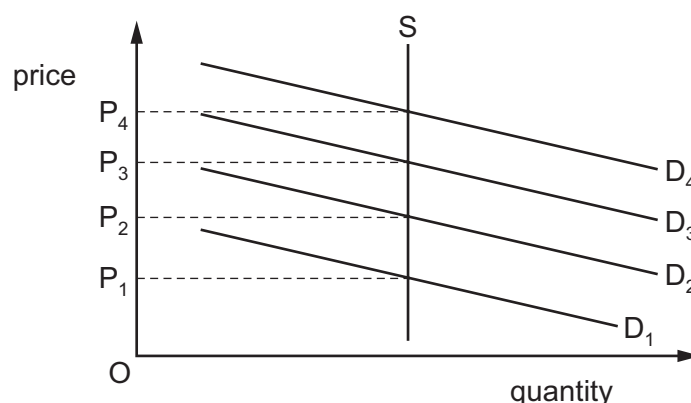
Which areas in the diagram measure the resulting loss in tax revenue to the Indian government and the resulting gain in consumer surplus?

	loss in tax revenue	gain in consumer surplus
A	x	w + y
B	x	x + z
C	x + y	z
D	x + y	x + z

7 In which market would equilibrium **not** be achieved at point E if price were above O_p ?



- 8 In the diagram, the supply curve shows the number of spaces in a car park and the demand curves show the demand for spaces on four different days (D_1 , D_2 , D_3 and D_4).



The owner wishes to charge a parking fee on each of these days to allocate the spaces according to the market mechanism.

Which pricing policy should the owner use?

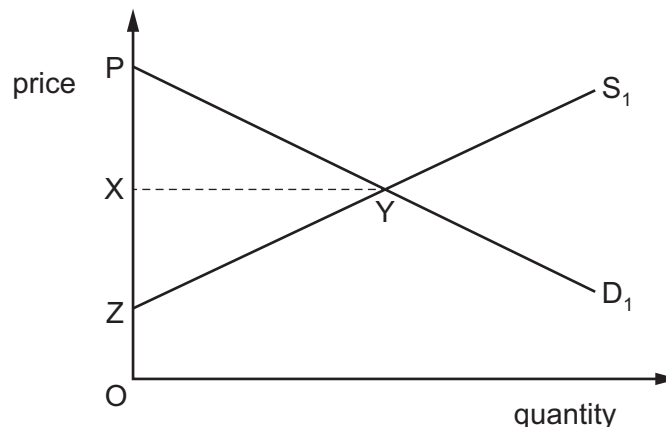
- A set a fixed price at P_1
 - B set a fixed price at P_4
 - C vary prices between P_2 and P_3
 - D vary prices between P_1 and P_4
- 9 An indirect tax is imposed on a product in a competitive market.
- Under which circumstances would the value of the consumer surplus be most likely to remain unchanged?
- A New substitutes are developed for the product and production costs rise.
 - B Some producers merge so there is less competition in the market.
 - C The product is an inferior good, consumer incomes increase and production costs rise.
 - D The product is a normal good, consumer incomes increase and production costs fall.
- 10 How might a firm raise the value of the price elasticity of supply for its product?
- A decrease the amount of labour that it employs
 - B employ new technology to increase its productive capacity
 - C increase advertising expenditure to generate more revenue
 - D reduce the level of stocks in order to cut costs

- 11** Shoe manufacturers often use leather to make their most expensive shoes. Due to a world shortage of leather, the price of leather has risen.

What will be the effect of this price change?

- A** The demand curve for leather shoes will shift to the left.
- B** The demand curve for a substitute for leather shoes will shift to the right.
- C** The supply curve for leather shoes will shift to the right.
- D** The supply curve for a substitute for leather to make expensive shoes will shift to the right.

- 12** The diagram represents the market for a good.



Which statement is correct?

- A** OX represents the price above which no producer wishes to stay in the market.
 - B** OZ represents the minimum price consumers are prepared to pay.
 - C** PYZ represents the total consumer surplus.
 - D** XYZ represents the total producer surplus.
- 13** The economics department of a university calculates that the price elasticity of demand for the products of a local firm is between -1.1 and -1.3 .

Which decision could be justified by the research?

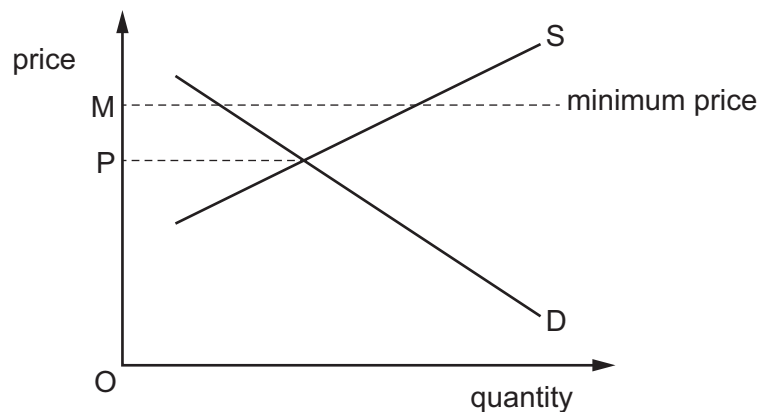
- A** Increase prices to increase profit.
- B** Invest in more capital to increase output.
- C** Reduce advertising to reduce costs.
- D** Reduce prices to increase revenue.

- 14** A specific tax is imposed on a product for which the elasticity of supply is zero.

Which statement is correct?

- A** The burden of this tax will fall entirely on consumers.
- B** The burden of this tax will fall entirely on suppliers.
- C** The burden of this tax will fall mainly on consumers.
- D** The burden of this tax will fall mainly on suppliers.

- 15** The diagram shows a market where a government has set a minimum price of OM.



What can be concluded from the diagram?

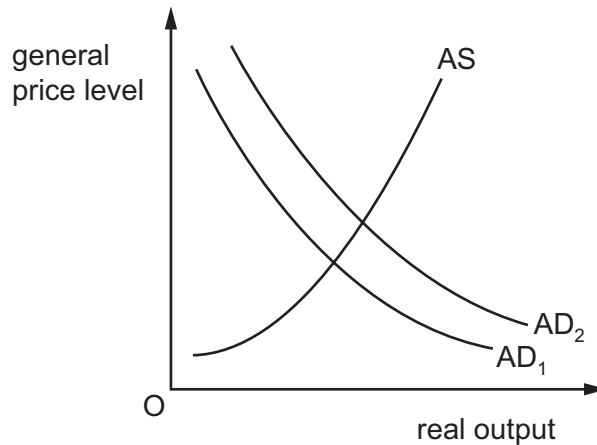
- A** At prices above OM, there would be a surplus of the good.
 - B** At the minimum price OM, there would be a shortage of the good.
 - C** Price will fall automatically from OM to OP.
 - D** The minimum price will be ineffective.
- 16** What would supporters of a nationalised public transport service expect to be the most likely outcome from the privatisation of train and bus services?
- A** fewer destinations served by trains and buses
 - B** lower fares
 - C** more frequent services to all destinations
 - D** more people employed in public transport services

- 17 A teenager received a cheque for \$50 as a birthday gift from her parents. The teenager paid the cheque into her savings account at the bank.

Why is this gift a transfer payment?

- A It did not involve a cash payment.
 - B It transfers money between bank accounts.
 - C The parents did not spend their money.
 - D The teenager did not produce any output.
- 18 What is a necessary characteristic of a public good?
- A It has a fixed maximum price.
 - B It has an opportunity cost of production of zero.
 - C It is non-excludable.
 - D It is an essential good.
- 19 What is **least** likely to change an advanced industrialised economy's terms of trade?
- A its level of labour productivity
 - B its rate of inflation
 - C the maintenance of a stable foreign exchange rate
 - D the occurrence of random supply shocks

- 20 The diagram shows the aggregate demand (AD) and aggregate supply (AS) curves for an economy.



Which situation would **not** cause a shift from AD_1 to AD_2 ?

- A a fall in the general price level as government spending is reduced
 - B an easing of credit by commercial banks for household purchases of consumer goods
 - C an increase in earnings from exports of high-tech products
 - D an increase in investment by firms in computer systems
- 21 Which combination of changes is **most** likely to lead to an increase in the aggregate price level and the level of real output?

	income tax rate	net exports
A	fall	decrease
B	fall	increase
C	rise	decrease
D	rise	increase

- 22 Country W conducts 50% of its trade with country X, 30% of its trade with country Y and 20% of its trade with country Z. The initial value of the trade-weighted exchange rate of country W is 100.

Country W's currency appreciates 10% against the currency of country X, depreciates 10% against the currency of country Y and is unchanged against the currency of country Z.

What will be the new trade-weighted exchange rate?

- A 100 B 102 C 102.5 D 200

23 The table shows the goods balance and services balance for a country in selected years.

year	goods balance (\$ billion)	services balance (\$ billion)
2015	+120	−30
2016	+110	−30
2017	+50	−10
2018	+130	−60
2019	+140	−50

Between which years did the overall goods and services balance change the most?

- A** 2015 to 2016
- B** 2016 to 2017
- C** 2017 to 2018
- D** 2018 to 2019

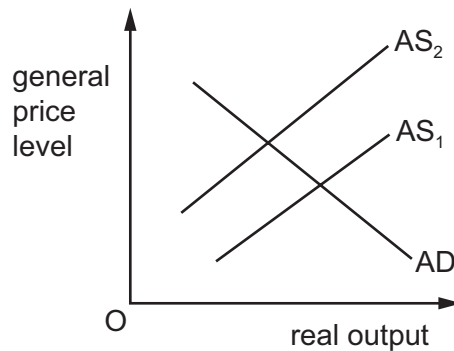
24 What is **not** an example of protectionism?

- A** export subsidies
- B** import subsidies
- C** quotas
- D** tariffs

25 What is an expenditure-switching policy to reduce a country's balance of payments deficit?

- A** an increase in budget surplus
- B** an increase in direct taxes
- C** an increase in import tariffs
- D** an increase in interest rates

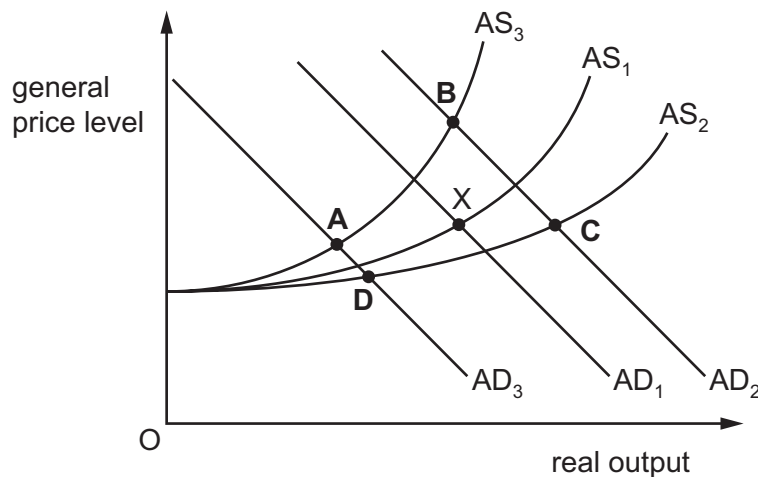
- 26 The diagram shows the aggregate demand (AD) and aggregate supply (AS) for an economy.



Which changes in subsidies and indirect taxes would have caused the change in AS shown?

- A higher subsidies and higher indirect taxes
 - B higher subsidies and lower indirect taxes
 - C lower subsidies and higher indirect taxes
 - D lower subsidies and lower indirect taxes
- 27 In its recent budget a government increased defence expenditure and also the amount spent on training that increased the productivity of the workforce. The initial equilibrium point is shown by X on the aggregate demand (AD) and aggregate supply (AS) diagram.

What would be the equilibrium point after these changes?



- 28** An increase or decrease in exchange rates can take place in both a floating and a fixed exchange rate system but different terminology is used for each system.

What is the correct terminology?

	decrease in floating	increase in fixed
A	depreciation	appreciation
B	depreciation	revaluation
C	devaluation	appreciation
D	devaluation	revaluation

- 29** In 2018 the United States (US) government reduced direct taxes on consumers and businesses.

What are likely to be the effects of these changes on consumption, investment and national output?

	consumption	investment	national output
A	decrease	decrease	decrease
B	decrease	increase	increase
C	increase	decrease	decrease
D	increase	increase	increase

- 30** A country experienced a significant fall in unemployment but its inflation rate remained low.

What could explain this?

- A** Global competition prevented firms passing on higher costs.
- B** Increased spending on imports had lowered the exchange rate.
- C** There was a low level of spare capacity in the economy.
- D** Wage rates had increased by more than labour productivity.

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1	C	1
2	C	1
3	C	1
4	A	1
5	C	1
6	D	1
7	A	1
8	D	1
9	D	1
10	B	1
11	B	1
12	D	1
13	D	1
14	B	1
15	A	1
16	A	1
17	D	1
18	C	1
19	C	1
20	A	1
21	B	1
22	B	1
23	B	1
24	B	1
25	C	1
26	C	1
27	C	1
28	B	1

Question	Answer	Marks
29	D	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2020

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
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- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

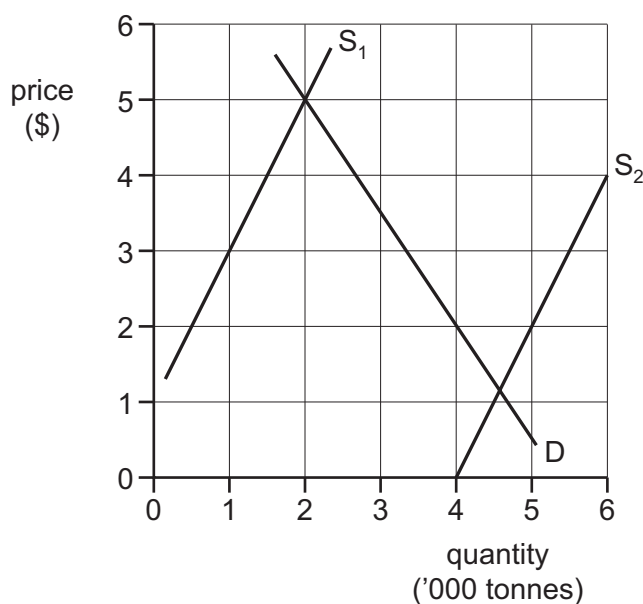
- The total mark for this paper is 30.
- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.

This document has **12** pages. Blank pages are indicated.



- 1 Which statement is the most valid reason for government intervention in a free market economy?
- A Consumers are well informed, making it difficult for producers to make profits.
 - B Health and education are not available in sufficient quantities.
 - C Producers are motivated only by profit.
 - D There are many competitive firms and not enough sole suppliers.
- 2 What would **not** be considered a barter transaction?
- A a car repairer undertaking the annual service on a plumber's van in return for the plumber fitting a new sink in the car repairer's kitchen
 - B a consumer negotiating with a shopkeeper and buying a pair of trousers at US\$10 rather than the asking price of US\$30
 - C a graduate student exchanging a set of textbooks for a radio with a student about to start the course
 - D a train company allowing a phone company to advertise on its trains in return for the right to advertise on the phone company's website
- 3 A factory introduces an automated production line to take advantage of division of labour.
- What is most likely to increase?
- A average cost of production
 - B job satisfaction of workers
 - C range of skills of each worker
 - D worker productivity
- 4 Which statement is normative?
- A A minimum wage is the correct government policy to increase the incomes of the lowest paid workers.
 - B A minimum wage is the lowest amount that employers can legally pay their workers.
 - C In Pakistan, a minimum wage of 15000 Pakistani Rupees per month was set on 1 June 2016.
 - D Setting the minimum wage rate above the equilibrium will result in an excess supply of workers.

- 5 In the diagram, D is the demand curve for an agricultural commodity and S_1 is the initial supply curve. A good harvest causes the supply curve to shift to S_2 .



By how much will the demand curve have to shift to leave farm incomes unchanged?

- A 500 tonnes at all prices
 - B 1000 tonnes at all prices
 - C 2000 tonnes at all prices
 - D 4000 tonnes at all prices
- 6 A manufacturer progressively reduces the price of his product.

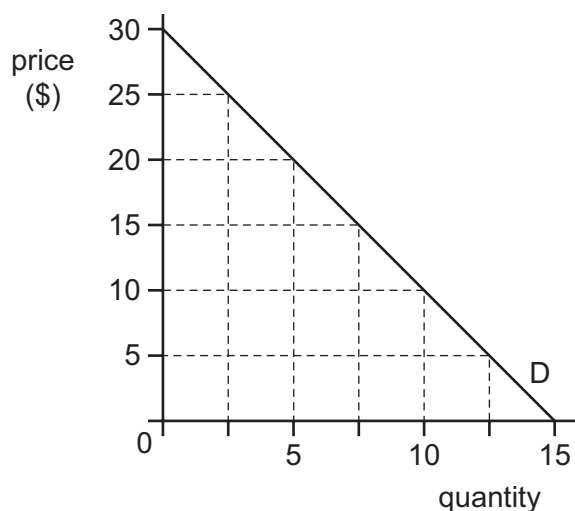
The table shows the outcome of this policy.

price (\$)	total revenue 000s (\$)
10	750
9	750
8	750

What is the price elasticity of demand for the product?

- A perfectly inelastic
- B relatively inelastic
- C perfectly elastic
- D unitary

- 7 The diagram shows a consumer's demand curve for a product.



How does consumer surplus change as the price of the product rises?

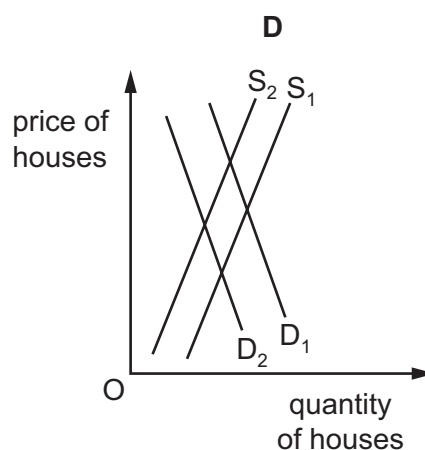
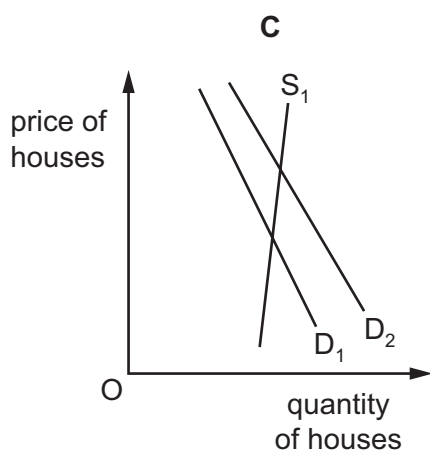
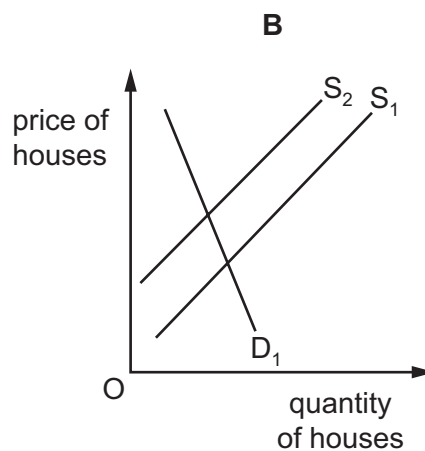
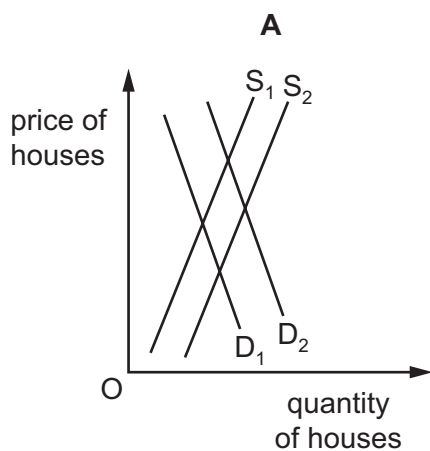
- A** It falls at a constant rate (%) with each \$5 rise.
 - B** It falls by a constant amount with each \$5 rise.
 - C** It falls by a decreasing amount with each \$5 rise.
 - D** It falls by an increasing amount with each \$5 rise.
- 8 Following the introduction of a 10% increase in charges for car parking in a city centre, the demand for bus journeys per day into the city rose from 800 to 1000.

What was the cross elasticity of demand for bus journeys with respect to car parking charges?

- A** -0.4
- B** +0.4
- C** +2.0
- D** +2.5

- 9 An economy is suffering from a housing shortage. The demand for housing continues to rise as real incomes increase and more construction firms enter the market to build more houses.

Which diagram represents this situation?

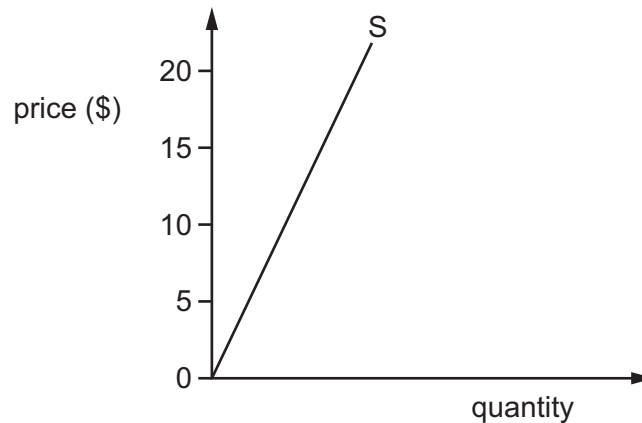


- 10 A good has a price elasticity of supply of 2.0. The current quantity supplied is 300 units per week at a market price of \$20 per unit. The firm raises the price to \$25 per unit.

What will the new quantity supplied be per week?

- A 150 units
 B 375 units
 C 400 units
 D 450 units
- 11 What is a major function of the price mechanism?
- A providing incentive for government intervention to reduce income inequality
 B removing shortages by creating incentives for market prices to fall
 C removing surpluses by creating incentives for market prices to rise
 D signalling changes in market conditions to producers and consumers

12 The diagram shows the supply curve of a product.



The government imposes a specific indirect tax of \$5 on the product.

How will the price elasticity of supply of the product change?

- A from elastic (>1) to inelastic (<1)
- B from inelastic (<1) to elastic (>1)
- C from inelastic (<1) to unitary ($=1$)
- D from unitary ($=1$) to elastic (>1)

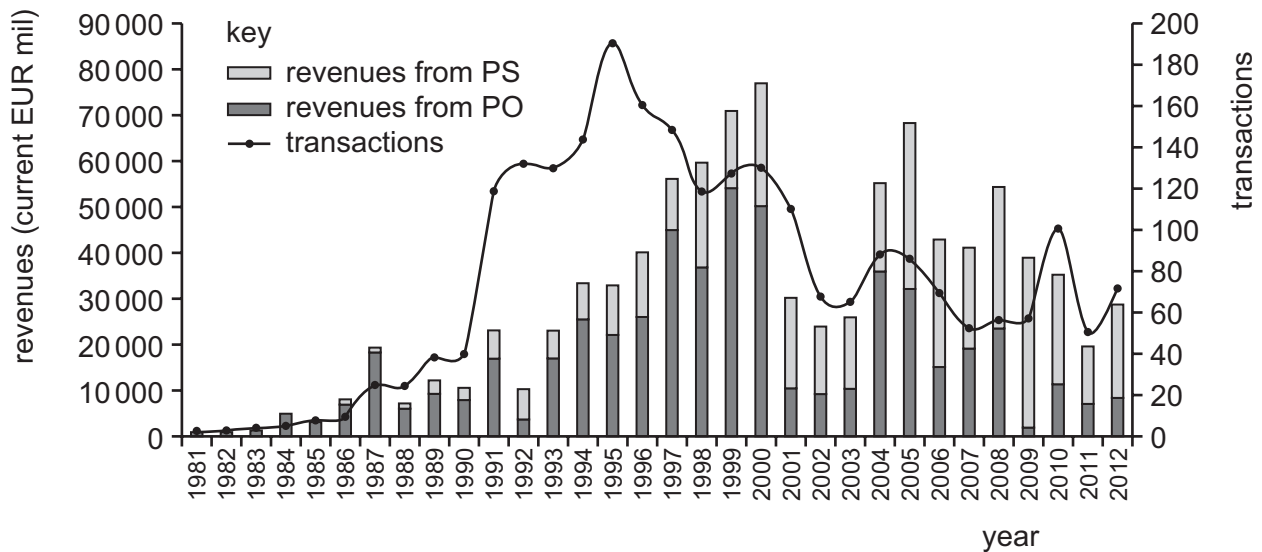
13 In the market for a good the quantity supplied (Q_S) and the quantity demanded (Q_D) are given by $Q_S = P - 30$ and $Q_D = 240 - 2P$ where P = price in dollars.

A change in the tax on the good makes $Q_S = P - 36$.

How will the change affect equilibrium price?

- A It will fall by \$2.
- B It will fall by \$6.
- C It will rise by \$2.
- D It will rise by \$6.

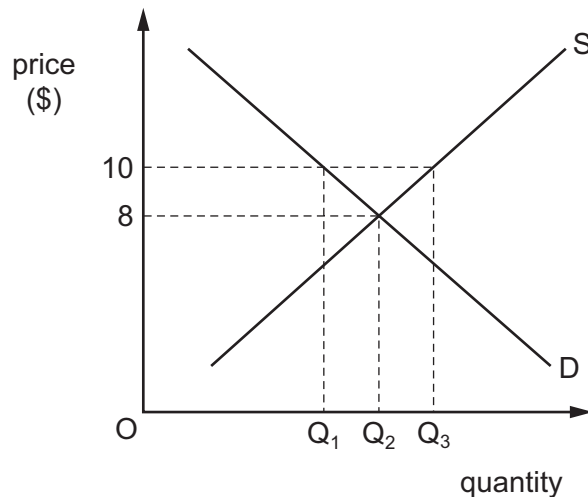
- 14** Privatisation can be achieved by the sale of shares to the general public (public offers, PO) or by the direct sale to a private company (private sales, PS). The diagram shows privatisation transactions and revenue for the European Union between 1981 and 2012.



What can be concluded from the diagram?

- A** Any increase in the number of privatisations resulted in an increase in privatisation revenue.
- B** The average revenue per privatisation was highest in 2000.
- C** The main revenue from privatisation changed from public offers to private sales.
- D** The number of privatisations and revenue raised peaked in the same year.

- 15 The diagram shows the market demand and supply curves for rice.



What would happen if a government imposed a maximum price of \$10?

- A The government would need to supply Q_1 to Q_3 .
 - B The quantity sold would be Q_1 .
 - C The quantity sold would be Q_2 .
 - D The quantity sold would increase from Q_2 to Q_3 .
- 16 A government decides to replace a private company with its own company to collect household waste.
- Why could such action be justified?
- A Because waste collection is a public good.
 - B Costs of waste collection are bound to be lower if paid out of local taxes.
 - C Private companies are always less efficient than government companies.
 - D Private companies might put profits before customer needs.
- 17 Which measure would **not** be part of a government subsidy to protect domestic producers from competition?
- A import quotas
 - B interest-free loans provided by the government
 - C reductions in profits (business) taxes
 - D transfer payments

- 18** A country's railways are currently run by private firms. It has been suggested that the government should nationalise the railways.

What might be a reason for this?

- A** to control prices of railway services
- B** to encourage competition in railway services
- C** to increase the profit incentive
- D** to provide jobs for local people

- 19** What is likely to cause a decrease in aggregate demand?

- A** an appreciation in the exchange rate
- B** an improvement in consumer confidence
- C** an increase in government expenditure
- D** an increase in the money supply

- 20** A country maintains its foreign exchange rate against the United States dollar, within a narrow but changing band.

What is this type of exchange rate?

- A** fixed
- B** floating
- C** managed float
- D** trade-weighted

- 21** Which components are included in the financial account of the balance of payments?

	the balancing item	foreign direct investment	interest, profits and dividends
A	✓	✓	x
B	✓	x	x
C	x	✓	✓
D	x	x	✓

key

✓ = included

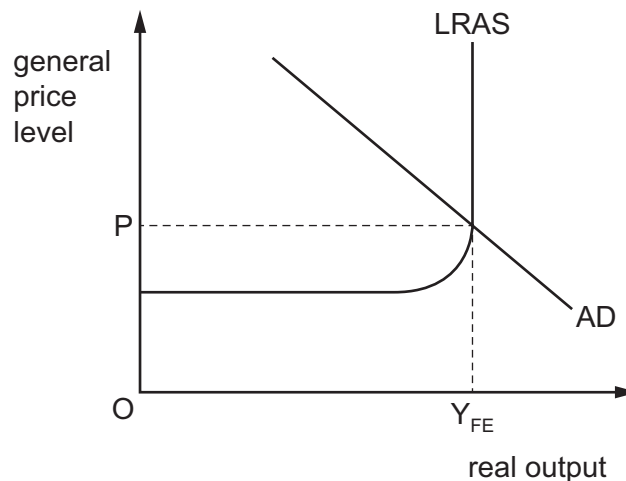
x = not included

- 22 Which argument is an importer **most** likely to use to gain the support of consumers for free trade?
- A More imports allow the government to raise revenue from tariffs.
 - B More imports improve the country's terms of trade.
 - C More imports increase competition in the domestic economy.
 - D More imports raise total employment in the domestic economy.

- 23 According to US Consumer Prices Index (CPI) statistics, an identical good that cost \$100 in 1913 would cost \$2359.60 in 2013.

What was the approximate cumulative rate of inflation over the period?

- A 23%
 - B 230%
 - C 2300%
 - D 23 000%
- 24 The diagram shows an economy at full employment equilibrium.



Which short-run measures should the government take to maintain the economy's current equilibrium if there is an unexpected balance of trade surplus?

- A higher government spending on education financed by an equal rise in direct taxation
 - B higher direct taxation with government spending unchanged to create a budget surplus
 - C higher spending on infrastructure financed by a budget deficit
 - D lower interest rates to promote investment spending in the private sector
- 25 Why does the value of a country's terms of trade have no monetary units?
- A It cannot be calculated accurately enough.
 - B It includes more than one currency.
 - C It is a ratio of two index numbers.
 - D It measures change over time.

26 The statements that follow relate to possible gains from an increase in free trade.

Which gain is **least** certain to result in the short run?

- A** a reduction in costs of production
- B** a rise in the number of jobs
- C** a wider choice of goods available to consumers
- D** an increase in the level of competition

27 In an economy with an interest rate of 4% per annum, the rate of inflation falls from 5% to 3% per annum.

What will be a benefit of this fall?

- A** Menu costs will fall to zero.
- B** People on fixed incomes will be better off in real terms.
- C** Savers will gain in real terms.
- D** The purchasing power of the currency will rise.

28 Which combination correctly classifies an expansionary fiscal measure and its impact on a budget deficit?

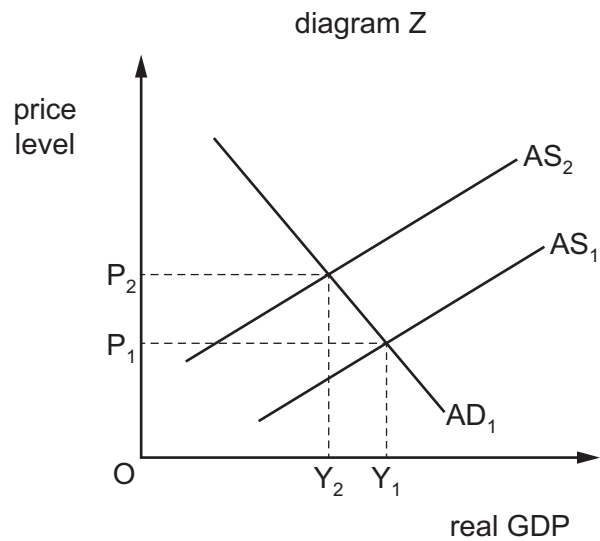
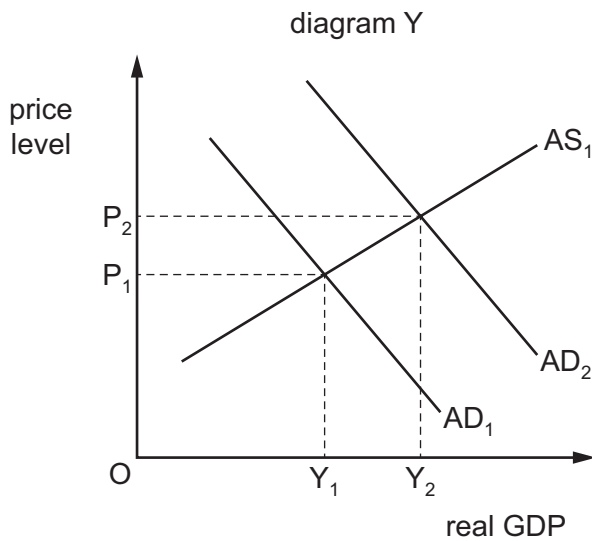
	fiscal policy	budget deficit
A	increased quantitative easing	unchanged
B	increased welfare spending	increased
C	lower income tax	reduced
D	lower interest rates	unchanged

29 In 2018 the United States (US) government introduced tariffs on a wide range of imports from China.

Which type of policy was the US government adopting?

- A** expenditure-reducing
- B** expenditure-switching
- C** monetary
- D** supply-side

- 30 During the Great Depression the US government believed that deflation was caused by a collapse in the prices of stock and other assets, reducing the levels of wealth and confidence. The diagrams show two approaches to counter deflation.



Given this belief, which policy should the US government have used, in an attempt to remove the deflation and which diagram represents the intended outcome of the policy?

	policy	intended outcome
A	decrease interest rates	diagram Y
B	reduce corporation tax	diagram Z
C	increase interest rates	diagram Z
D	reduce corporation tax	diagram Y

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2020

MARK SCHEME

Maximum Mark: 30

Published

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Cambridge International is publishing the mark schemes for the June 2020 series for most Cambridge IGCSE™ and Cambridge International A & AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	B	1
2	B	1
3	D	1
4	A	1
5	B	1
6	D	1
7	C	1
8	D	1
9	A	1
10	D	1
11	D	1
12	D	1
13	C	1
14	C	1
15	C	1
16	D	1
17	A	1
18	A	1
19	A	1
20	C	1
21	A	1
22	C	1
23	C	1
24	B	1
25	C	1
26	B	1
27	C	1
28	B	1

Question	Answer	Marks
29	B	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/13

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May/June 2020

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- 1 An economist knows the current point at which an economy is operating within its production possibility curve.

What can the economist judge from this knowledge about the economy?

- A its degree of self-sufficiency
- B its international competitiveness
- C its level of output of two goods
- D its rate of economic growth

- 2 Abdul earns \$50 000 a year working as a teacher. He owns a house valued at \$250 000 and has shares worth \$20 000. He has a current bank account with a balance of \$1500 and \$200 in his wallet. In his house there is a jar containing \$100, which he has saved to spend on his forthcoming holiday.

What is the value of Abdul's liquid assets?

- A \$200 B \$300 C \$1800 D \$21 500

- 3 Which type of good is healthcare?

- A demerit
- B free
- C merit
- D public

- 4 Which is a normative statement?

- A If interest rates fall consumption is likely to increase.
- B If interest rates fall consumption will definitely increase.
- C Interest rates and consumption are usually inversely related.
- D The rate of interest should be reduced.

- 5 In a free market there is a surplus of a good.

Which change would cause the market to come to an equilibrium?

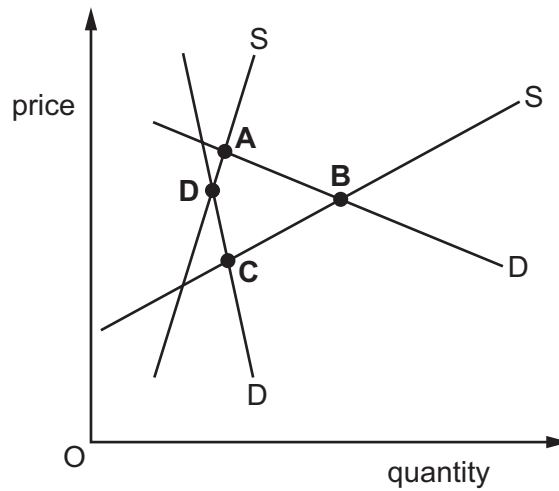
- A a decrease in demand
- B a fall in price
- C a government minimum price
- D an increase in supply

6 What is **most** likely to increase the quantity of houses supplied?

- A a policy to help house buyers on modest incomes
- B a restriction on the level of rent that can be charged
- C a rise in the tax on materials used for building houses
- D the removal of a subsidy to house builders

7 The diagram shows two demand curves and two supply curves for a product.

Which equilibrium point is most likely to represent the long-run equilibrium in the market?



8 The equilibrium price of a product is \$10. The government introduces an effective minimum price of \$12 for the product.

Under which condition will the value of the producer surplus increase the most?

	price elasticity of demand
A	0
B	between 0 and 1
C	1
D	greater than 1

- 9 Diesel engines are a major cause of air pollution in cities. A city authority placed a charge on diesel taxis entering the city.

What would be the **most** likely effects on the demand and supply of taxi journeys into the city?

	demand for taxi journeys	supply of taxi journeys
A	fall	fall
B	fall	remain unchanged
C	remain unchanged	fall
D	rise	fall

- 10 Which combination of the classification of a good and market change will cause the demand curve for the good to shift right?

	classification of good	market change
A	inferior good	income decrease
B	inferior good	price decrease
C	normal good	income decrease
D	normal good	price decrease

- 11 The supply (S) of a product is determined by the equation $S = 10 + 10P$ when P is the price of the product in \$.

What is the product's price elasticity of supply when its price rises from \$1 to \$2?

- A** 0.5 **B** 1.0 **C** 2.0 **D** 5.0

- 12 The table gives estimates of the price elasticities and cross elasticities of demand for bus and rail travel.

service	elasticity with respect to the price of	
	bus travel	rail travel
bus travel	-0.37	+0.13
rail travel	+0.16	-0.43

What would be the change in the volume of rail travel resulting from a 1% increase in bus fares?

- A** a decrease of 0.13%
B a decrease of 0.37%
C an increase of 0.16%
D an increase of 0.43%

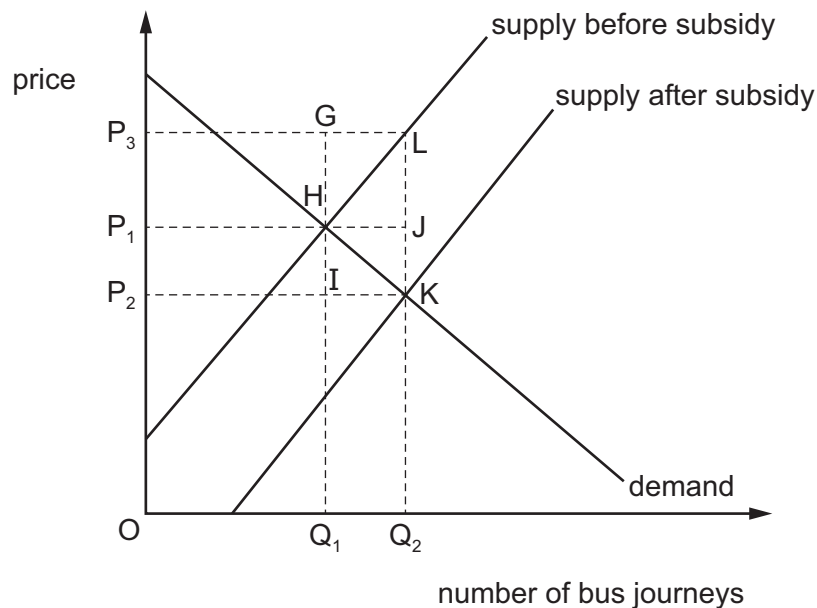
13 Which combination is most likely to result in the demand for a product being highly price-elastic?

	number of close substitutes	% of income spent on product
A	large	large
B	large	small
C	small	large
D	small	small

14 What is **most** likely to occur when the government privatises public sector organisations?

- A** Consumer choice will increase.
- B** Employment will increase in the short run.
- C** Innovation will be discouraged.
- D** The production of public goods will increase.

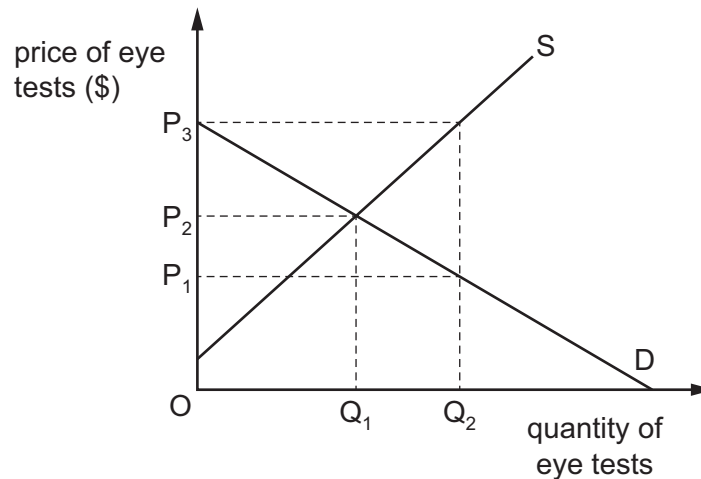
15 The diagram shows the market for bus services before and after a government subsidy.



Which area on the diagram shows the incidence of the subsidy for the consumer?

- A** P_1HIP_2
- B** P_1JKP_2
- C** P_2IGP_3
- D** P_2KLP_3

16 The diagram shows the market for eye tests.



Which policy would enable the government to increase the number of eye tests from OQ_1 to OQ_2 ?

- A a maximum price of OP_3 per test
- B a minimum price of OP_2 per test
- C a subsidy paid to opticians of $P_3 - P_2$ per test
- D a subsidy paid to opticians of $P_3 - P_1$ per test

17 In November 2017, the Scottish government introduced a minimum price for alcohol because of the detrimental health effects of alcohol consumption.

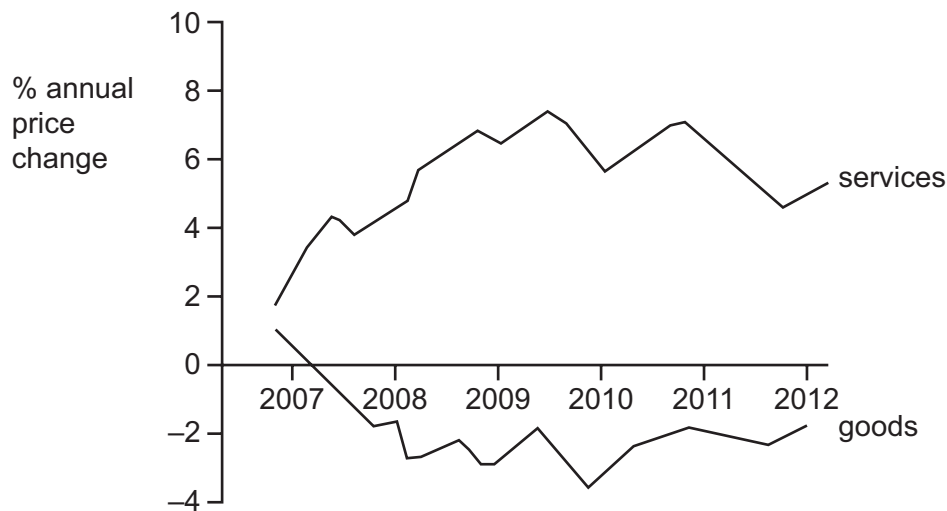
Which combination of actions is most likely to lead to a failure with respect to reducing the detrimental effects of the consumption of alcohol?

	action 1	action 2
A	minimum price is set too high	effective information provision regarding the health effects of consuming alcohol
B	minimum price is set too high	effective subsidisation of non-alcoholic beverages
C	minimum price is set too low	health benefits of reduced alcohol consumption have been overestimated
D	minimum price is set too low	stricter enforcement of the regulations relating to the sale of alcohol

18 What is an example of direct provision by a government?

- A The government introduces a subsidy on renewable fuels to help the environment.
- B The government introduces a unit tax on cigarettes to discourage consumption.
- C The government sets a maximum rent on housing to protect tenants.
- D The government takes over a private library to improve local services.

- 19 The graph shows the annual percentage change in the prices of services and in the prices of goods between 2007 and 2012.



What can be deduced from the graph?

- A On average the price of services was higher than the price of goods throughout the period.
 - B The average price of goods was higher in 2012 than in 2010.
 - C The average price of services was higher in 2012 than in 2010.
 - D There was a fall in the general price level between 2008 and 2010.
- 20 A government decides to devalue the country's currency to remove the deficit on its current account of the balance of payments.

What is the most likely reason why this would **not** work?

- A The country gains a competitive advantage from the devaluation.
 - B The country has a surplus on its capital and financial accounts.
 - C The price elasticities of demand for the country's exports and imports are greater than one.
 - D There are high trade barriers with the country's main trading partners.
- 21 What will increase if aggregate demand rises when aggregate supply is perfectly elastic?

- A labour shortages
- B real output
- C the price level
- D wage rates

22 A country operates a floating exchange rate.

What will cause the demand curve for the country's currency to shift left in the foreign exchange market?

- A** a decrease in the country's interest rate
- B** a decrease in the country's money supply
- C** an increase in the country's export sales
- D** an increase in the country's import purchases

23 The table shows the relative price of exports compared with imports expressed as an index number for an economy (2013 = 100).

date	index
2013	100
2014	97
2015	95

Which statement about the period 2013–2015 is correct?

- A** Export prices have increased each year.
- B** The general level of prices has fallen.
- C** The terms of trade have deteriorated.
- D** The volume of imports increasingly exceeds the volume of exports.

24 The table shows an extract from a country's balance of payments.

	exports \$ billion	imports \$ billion
trade in goods	150	200
trade in services	70	50
primary (investment) income	120	100
secondary (transfer) income	15	20

What is the current account balance?

- A** -\$10 bn
- B** -\$15 bn
- C** -\$30 bn
- D** -\$50 bn

- 25** The real national income of a country fell by 3%.

What could have caused this?

- A** Money national income fell by 3% when the rate of inflation was 6%.
 - B** Money national income fell by 6% when the rate of inflation was 3%.
 - C** Money national income rose by 3% when the rate of inflation was 6%.
 - D** Money national income rose by 6% when the rate of inflation was 3%.
- 26** An economy with a long history of extensive barriers to trade decides to switch to totally free trade.
- What is most likely to increase in the short term?
- A** consumer surplus
 - B** government revenue
 - C** inflationary pressure
 - D** profits of all domestic companies
- 27** Why is a balance of payments deficit a potential problem for an economy with a fixed exchange rate?
- A** Domestic money supply will increase.
 - B** Rival economies may react with trade protection measures.
 - C** The economy's foreign exchange reserves may decrease.
 - D** The economy's short-run standard of living will be reduced.
- 28** What would be a positive effect on the growth of an economy in the short run, if the government reduced a direct tax on individual earnings?
- A** food prices would increase due to shortages
 - B** imports of luxury cars would increase to satisfy a change in demand
 - C** savings would increase due to additional disposable income
 - D** the consumption of domestically produced goods would increase

- 29** Which combination of fiscal and monetary policies is most likely to be effective in the short run for tackling deflation in a closed economy?

	fiscal policy	monetary policy
A	decreasing the budget deficit	decreasing the interest rate
B	decreasing the budget deficit	decreasing the money supply
C	increasing the budget deficit	decreasing the interest rate
D	increasing the budget deficit	decreasing the money supply

- 30** Which policy measure is an expenditure-switching measure designed to reduce a current account surplus?

- A** a cut in income tax rates
- B** a depreciation of the exchange rate
- C** the removal of limits on bank lending
- D** the removal of subsidies to exporters

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Cambridge International is publishing the mark schemes for the June 2020 series for most Cambridge IGCSE™ and Cambridge International A & AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	C	1
2	C	1
3	C	1
4	D	1
5	B	1
6	A	1
7	B	1
8	A	1
9	A	1
10	A	1
11	A	1
12	C	1
13	A	1
14	A	1
15	B	1
16	D	1
17	C	1
18	D	1
19	C	1
20	D	1
21	B	1
22	A	1
23	C	1
24	B	1
25	C	1
26	A	1
27	C	1
28	D	1

Question	Answer	Marks
29	C	1
30	D	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2020

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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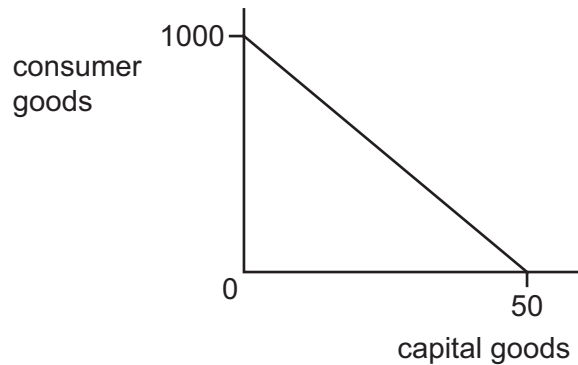
INFORMATION

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- Any rough working should be done on this question paper.

This document has **12** pages. Blank pages are indicated.



- 1 The diagram shows an economy's production possibility curve.



It has been employing its resources in the ratio of 80% consumer goods production and 20% capital goods production.

What will be the result if it decides to double its output of capital goods?

- A a gain of 20 capital goods
 - B a gain of 40 capital goods
 - C a loss of 200 consumer goods
 - D a loss of 600 consumer goods
- 2 Which comment relating to the introduction of charges for previously free medical treatment is normative?
- A Fewer people will be able to afford treatment.
 - B It will be unfair on lower income groups.
 - C Richer citizens will pay the higher charges.
 - D Workers' health and productivity will fall.
- 3 Which characteristic of money is the **most** important if it is to function as a medium of exchange?
- A acceptable
 - B divisible
 - C durable
 - D portable
- 4 What is **not** a characteristic of a planned economy?
- A Consumers have limited influence on what is produced.
 - B Profit is the motive for increasing output.
 - C Resources are owned by the government.
 - D There is limited competition in the market.

- 5 Good X is a substitute for good Y and a complement to good Z.

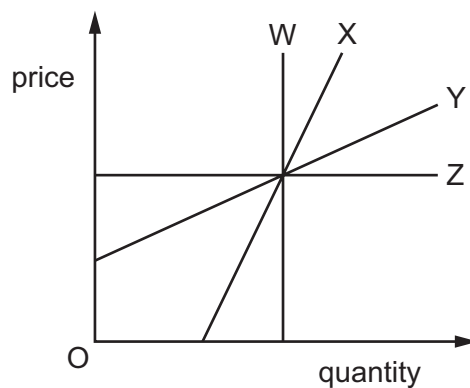
What would happen after a fall in the price of good X?

- A Only the demand for X will rise.
 B Demand for X, Y and Z will rise.
 C Demand for Y will fall and for Z will rise.
 D Demand for Y will rise and for Z will fall.
- 6 The table shows how an individual's weekly consumption of biscuits and coffee varies with income.

income (\$)	biscuits (packs)	coffee (cups)
100	0	5
150	5	10

Which statement about the income elasticity of demand over the range of income shown is true?

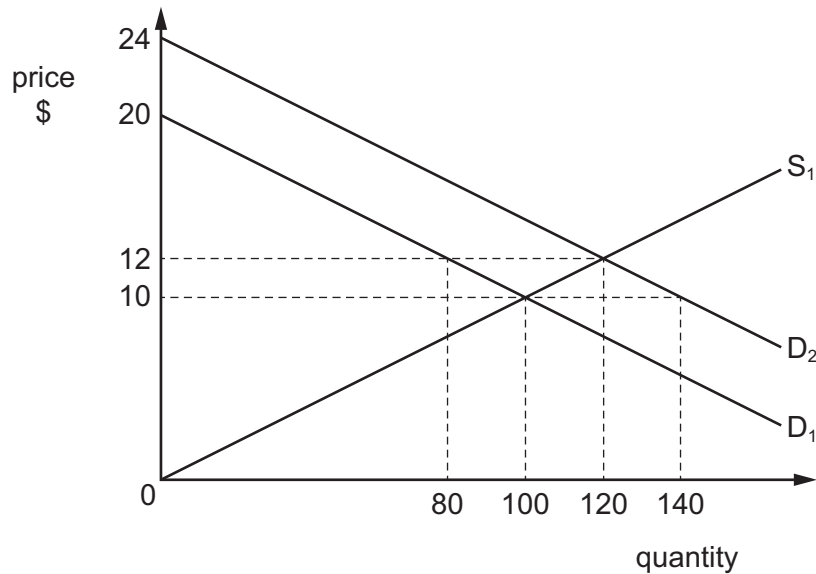
- A For biscuits it is greater than 1.
 B For biscuits it is zero.
 C For coffee it is less than 1.
 D For coffee it is unitary.
- 7 The diagram shows four supply curves.



Which statement about the price elasticity of these supply curves is correct?

- A W has elasticity of 0 that will rise as price rises.
 B X has elasticity greater than 1 that will be constant as price rises.
 C Y has elasticity greater than 1 that will fall as price rises.
 D Z has elasticity of 0 that is constant as quantity rises.

- 8 The diagram shows the market for a good with an initial equilibrium price of \$10. The demand for the good increases by 40 units at every price causing the equilibrium price to rise to \$12.



What is the value of the producer surplus after the price increase?

- A** \$500 **B** \$720 **C** \$1000 **D** \$1440

- 9 The equation for the quantity demanded (Q_D) for a product is $Q_D = 400 - 20P$ where P = price in dollars. The quantity supplied (Q_S) is given by $Q_S = 100 + 40P$.

What change will occur if the price rises from \$5 to \$6?

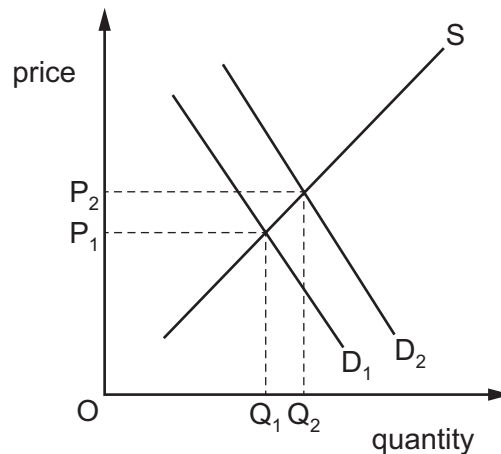
- A** the market will move from equilibrium to shortage
B the market will move from equilibrium to surplus
C the market will move from shortage to surplus
D the market will move from surplus to shortage

- 10 A farmer divides his land between growing two crops – wheat and oats. To increase production of one he must reduce production of the other.

What would cause the farmer to increase his supply of wheat?

- A** A subsidy is given for the production of oats.
B A unit tax is imposed on the production of wheat.
C There is an increase in wages for all farm workers.
D There is improved efficiency in the harvesting of wheat.

11 What would cause the demand curve for vegetables to shift from D_1 to D_2 as shown?



- A a change in supply from Q_1 to Q_2
- B a poor harvest due to unfavourable weather
- C a price change from P_1 to P_2
- D an increase in real incomes

12 The demand curve for new cars in a country shifted to the left.

Which change could have caused such a shift?

- A an increase in real disposable income
- B an increase in the cost of borrowing
- C an increase in the price of new cars
- D an increase in the price of train travel

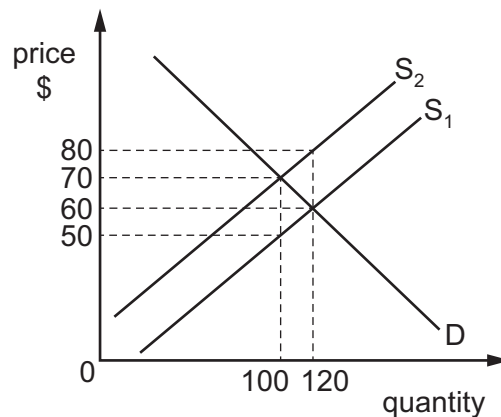
13 What is correct about market supply?

- A Market supply can increase only when all individual firms increase their output.
- B Market supply is effective when consumers have sufficient income to buy the good.
- C Market supply is the result of aggregating the supply of all individual firms.
- D Market supply of an inferior good falls as price increases.

14 Which statement best describes a transfer payment?

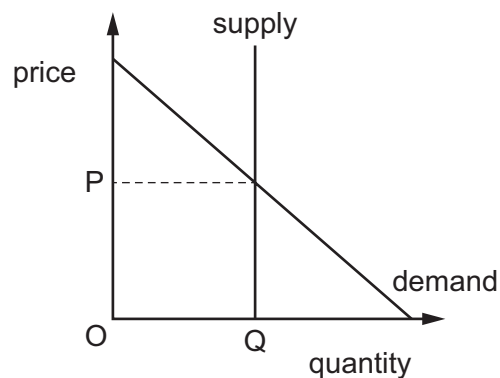
- A It is a loan from the government to help firms.
- B It is a payment to individuals not linked to economic activity.
- C It is the redistribution of income from government to individuals for work done.
- D It is the redistribution of income from households to firms for goods purchased.

- 15 The diagram shows the impact of a unit tax imposed by a government on a good. The original supply curve is S_1 and the supply curve after the unit tax is S_2 .



What would be the amount of tax paid by the consumer?

- A** \$500 **B** \$1000 **C** \$1500 **D** \$2400
- 16 The diagram shows the demand and supply curves for healthcare in a private market.



What would happen if the government provides the same amount of healthcare free of charge?

- A** Healthcare will become a public good.
B Healthcare will no longer have external benefits.
C There will be over-consumption of healthcare.
D There will need to be rationing.
- 17 A good is provided by the government. Consumption by one person does not affect the amount of the good available for others.

Which type of good must this be?

- A** complementary good
B merit good
C private good
D public good

- 18 A government imposes an income tax on individuals. The first \$100 000 of earned income is taxed at a rate of 20%, and all further earned income above \$100 000 is taxed at a marginal rate of 50%.

Which statement is **not** valid?

- A The average income tax rate is 20% at an income of \$80 000 and 35% at an income of \$200 000.
 - B The tax is a direct tax for incomes above \$100 000.
 - C The tax is a proportional tax for incomes between \$20 000 and \$40 000.
 - D The tax is regressive when incomes change from below to above \$100 000.
- 19 Agricultural economies have faced a deterioration in their terms of trade.

What might have contributed to this?

- A falling exchange rates of agricultural economies
 - B falling productivity in agricultural production
 - C increasing productivity in manufacturing economies
 - D the high income elasticity of demand for foodstuffs
- 20 The table shows the output of rice and cotton for countries X and Y.

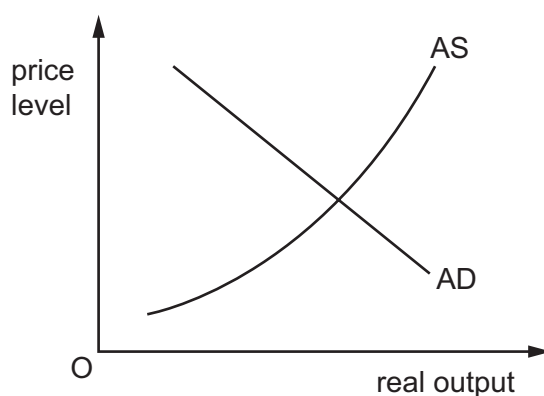
	units of output of rice per year	units of output of cotton per year
country X	5000	5000
country Y	4000	2000

Each country divides its resources equally between the production of rice and cotton.

Based upon the law of comparative advantage, which statement is correct?

- A Country X has the higher opportunity cost in producing cotton.
- B Country Y has the lower opportunity cost in producing rice.
- C Country X should produce both goods as the opportunity cost is the same.
- D Country Y should produce both goods as it has an absolute advantage in both.

- 21 An economy is represented by the AD/AS diagram, which is initially in macroeconomic equilibrium.



Which change will definitely result in a rise in real output?

- A a fall in personal taxation and a fall in government expenditure
 - B a rise in consumption and a rise in the cost of raw materials
 - C a rise in export revenues and a fall in import expenditure
 - D a rise in government expenditure and a fall in investment
- 22 The data shows the consumer prices index (CPI) and an index of money wages in an economy during four years.

year	1	2	3	4
CPI	100	102	105	110
index of money wages	100	102	107	110

Which statement is **not** correct?

- A Inflation was at its greatest between years 3 and 4.
- B Real wages remained constant between years 1 and 2.
- C Real wages rose between years 3 and 4.
- D The rate of inflation increased over the whole period.

- 23** A country has a deficit of \$300 million on the current account of its balance of payments. It devalues its currency in an attempt to reduce the deficit.

Which row is consistent with the idea that the J-curve operates in the short run but the Marshall-Lerner condition is satisfied in the long run?

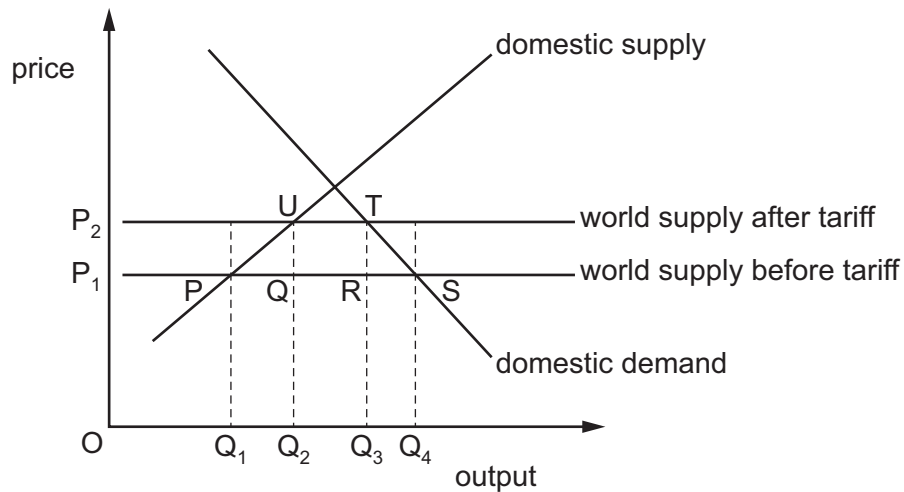
	short-run deficit (\$ million)	long-run deficit (\$ million)
A	200	100
B	200	400
C	600	100
D	600	400

- 24** A family takes a holiday abroad. Four students are asked to show where the cost of the accommodation would be recorded in the current account of the balance of payments of the country visited.

Which student is correct?

	trade in goods	trade in services	export / credit	import / debit
A	✓	x	✓	x
B	✓	x	x	✓
C	x	✓	✓	x
D	x	✓	x	✓

25 The diagram shows the imposition of a tariff on imports.



Which set of values is correct?

	imports before tariff	imports after tariff	tax revenue
A	OQ ₄	OQ ₃	PUTS
B	OQ ₄	OQ ₃	QUTR
C	Q ₁ Q ₄	Q ₂ Q ₃	PUTS
D	Q ₁ Q ₄	Q ₂ Q ₃	QUTR

26 When is a deficit on the current account of the balance of payments likely to worsen?

- A** when a government adopts a deflationary macroeconomic policy
- B** when a government subsidises exports
- C** when prices of essential imported raw materials increase significantly
- D** when tariffs are placed on imported products with a wide range of domestic substitutes

27 A government with a floating exchange rate wishes to encourage a rise in the international value of its currency.

What should it do?

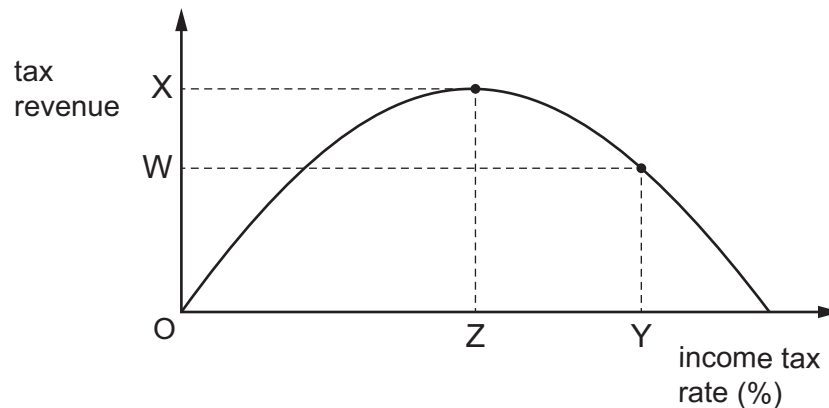
- A** lower the level of domestic interest rates
- B** reduce the amount of foreign currency available to its citizens
- C** reduce subsidies to its exporters
- D** remove trade barriers on imports

28 Greece had an unemployment rate of over 20% in 2016.

Which combination of policies would be best for the Greek government to try to reduce unemployment?

	monetary policy	government expenditure	profit tax
A	decrease interest rates	increase	decrease
B	decrease interest rates	decrease	increase
C	increase interest rates	increase	increase
D	increase interest rates	decrease	decrease

29 The diagram shows the relationship between the income tax rate and tax revenue.



Which statement is correct?

- A** A tax rate cut from Y to Z will cause tax revenue to decrease.
- B** At tax rates below Z a tax rate cut will cause tax revenue to increase.
- C** The greater the rate of tax increases beyond Z, the smaller will be the tax revenue generated.
- D** Tax revenue will always increase as the rate of income tax increases.

30 What would be classified as a supply-side policy measure?

- A** a law to reduce the power of trade unions
- B** a reduction in the government's fiscal deficit
- C** an open market sale of securities
- D** the imposition of a tariff on imported goods

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Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2020

MARK SCHEME

Maximum Mark: 30

Published

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1	C	1
2	B	1
3	A	1
4	B	1
5	C	1
6	A	1
7	C	1
8	B	1
9	B	1
10	D	1
11	D	1
12	B	1
13	C	1
14	B	1
15	B	1
16	D	1
17	D	1
18	D	1
19	A	1
20	B	1
21	C	1
22	C	1
23	C	1
24	C	1
25	D	1
26	C	1
27	B	1
28	A	1

Question	Answer	Marks
29	C	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

October/November 2020

1 hour

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INSTRUCTIONS

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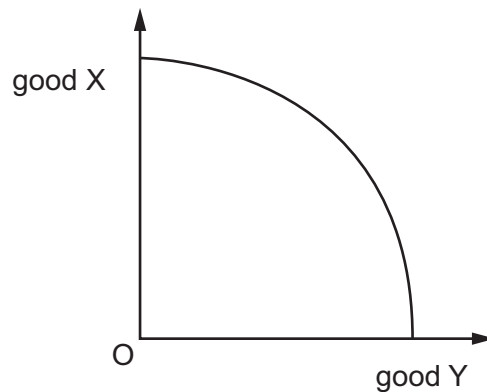
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- 1 The diagram shows a production possibility curve.



What can be deduced from the shape of this curve?

- A** decreasing marginal returns to consumption
 - B** decreasing opportunity costs of consumption
 - C** increasing opportunity costs of production
 - D** increasing returns to scale
- 2 Which statement is correct?
- A** Private goods are both non-rival and non-excludable.
 - B** Private goods are only provided by the private sector.
 - C** Public goods are both non-rival and non-excludable.
 - D** Public goods do not incur opportunity costs.
- 3 Below are two statements.
- 1 A rise in the price of rice is the best way to give farmers in South-East Asia higher living standards.
 - 2 A rise in the price of rice will lead to a fall in demand.

Which row correctly describes these two statements?

	1	2
A	normative	normative
B	normative	positive
C	positive	normative
D	positive	positive

4 What is a characteristic of money but **not** a function of money?

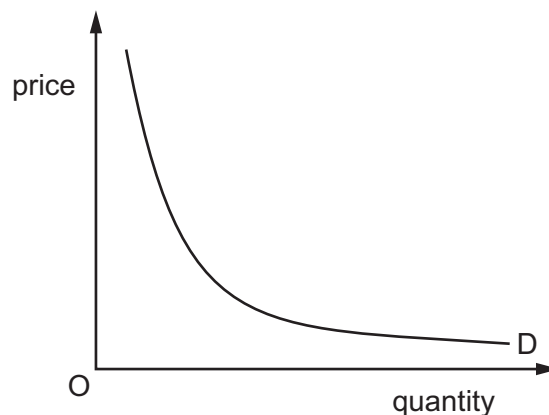
- A medium of exchange
- B portability
- C standard of deferred payment
- D store of value

5 In the UK, attempts to encourage people to change from road to rail travel by the introduction of a system of road pricing were forecast to have little effect because 'people like using their cars too much'.

How would this forecast be explained?

- A The price elasticity of demand for cars is high.
- B The price elasticity of demand for petrol is high.
- C The price elasticity of demand for rail travel is low.
- D The price elasticity of demand for car travel is low.

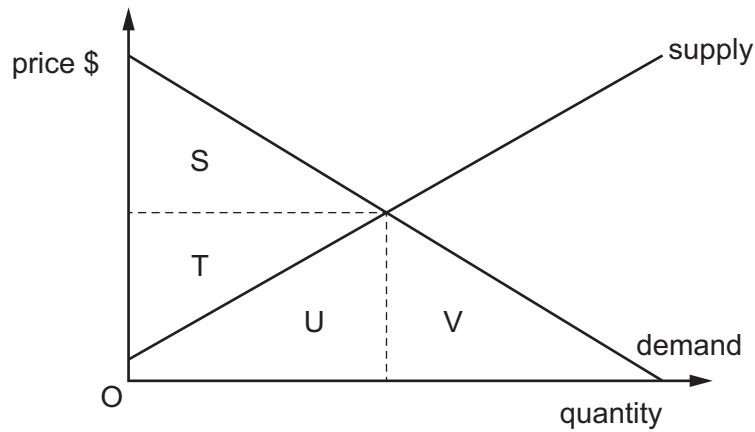
6 The diagram shows the demand curve for a product with unitary price elasticity.



What will happen with such a curve?

- A A fall in price will bring about an increase in total expenditure on the product.
- B A fall in price will bring about an increase in sales but a fall in total expenditure on the product.
- C As the price rises, total expenditure on the product will stay the same.
- D As the price rises, total expenditure on the product will rise and then fall.

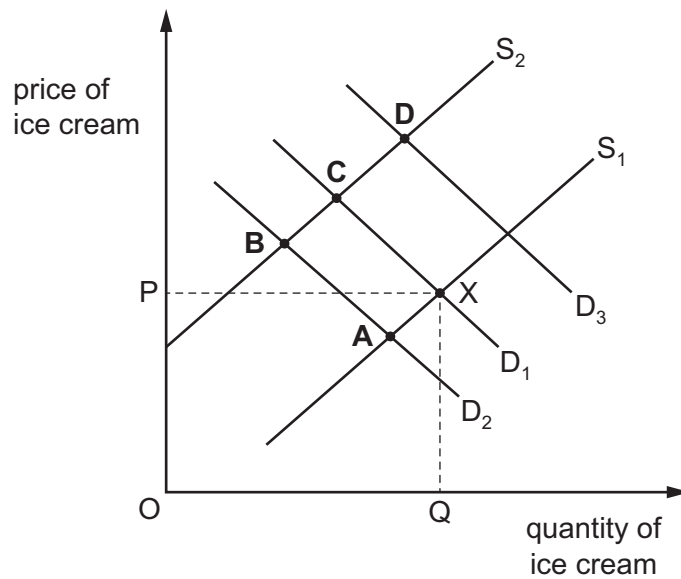
- 7 The diagram shows the market supply and demand for a good.



Which area represents producer surplus?

- A** $S + T$ **B** T **C** U **D** $U + V$
- 8 Vanilla is an important ingredient in the production of ice cream. Between 2011 and 2018 the price of vanilla increased from about US\$100 per kg to nearly US\$600 per kg. The diagram shows the market demand for and supply of ice cream. The original equilibrium is X.

Which point illustrates the effect of this price rise on the market for ice cream?



- 9 A government reduces income tax but at the same time raises the rate of sales tax (VAT).

What are the likely effects on the demand and supply of a normal good?

	demand	supply
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

- 10 An increase in the popularity of air conditioning units has resulted in their price increasing by 20%. In response to this the quantity supplied increased by 30%.

What can be concluded from this?

- A** price elasticity of supply = 0
 - B** price elasticity of supply < 1
 - C** price elasticity of supply = 1
 - D** price elasticity of supply > 1
- 11 Which change does **not** have an immediate effect on the position of the demand curve for a product?
- A** a fall in the price of a complementary product
 - B** a range of new products entering the market
 - C** a rise in the labour costs of its production
 - D** an increase in the price of a substitute product
- 12 When demand for a good falls, its price falls.

What is the function of the price fall?

- A** to eliminate shortages
- B** to reduce consumer surplus
- C** to send a signal to producers
- D** to stimulate a further fall in demand

- 13** A firm estimates that the price elasticity of supply of its product is 0.4.

Should the firm be concerned by this figure?

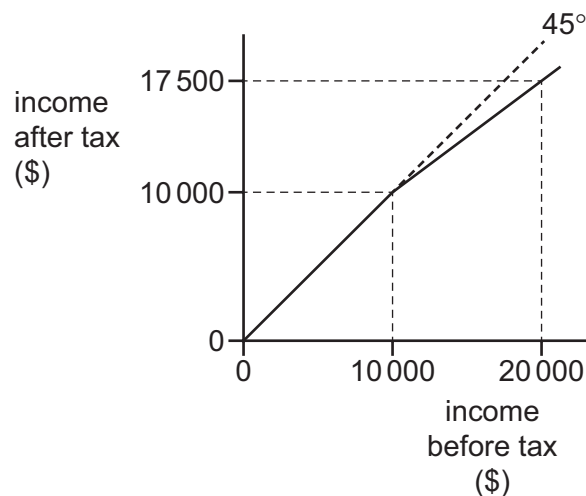
- A** No, as it implies that the firm will be able to raise revenue by raising price.
- B** No, as it suggests there are few substitutes for the product.
- C** Yes, as it means that demand for its product is increasing at a slow rate.
- D** Yes, as it shows that the firm is not able to adjust supply easily when demand changes.

- 14** A government decides to privatise a state-owned company.

What should the government do to try to ensure that this will result in an improvement in efficiency?

- A** allocate vouchers to all citizens entitling them to a share in the ownership of the company
- B** encourage competition
- C** impose a maximum profit margin
- D** increase business tax rates

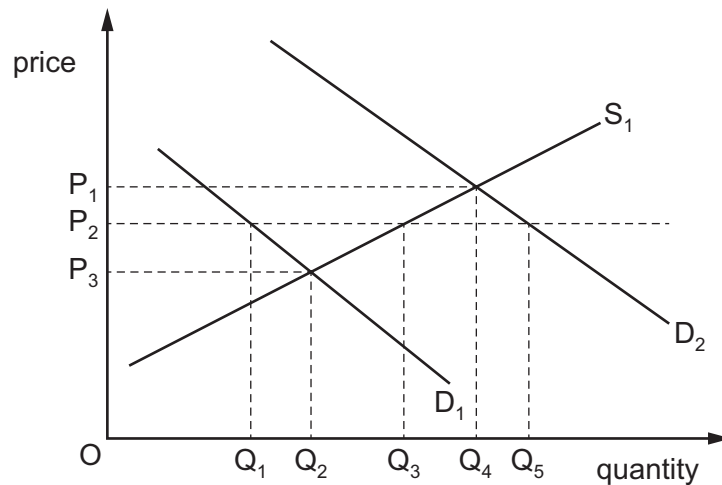
- 15** The graph shows an individual's income before and after the deduction of income tax.



What is the marginal percentage rate of tax between \$0 and \$10 000, and between \$10 000 and \$20 000?

	\$0–\$10 000	\$10 000–\$20 000
A	0%	12.5%
B	0%	25.0%
C	1%	12.5%
D	1%	25.0%

- 16 In year 1, in the market for a good represented in the diagram, the initial demand and supply conditions are shown by D_1 and S_1 , and the government has set a maximum price of OP_2 .



In year 2, demand increases to D_2 , but there are no other changes to the conditions of supply or to the maximum price.

Which row accurately shows the price and quantity in the market in each year?

	year 1		year 2	
	price	quantity	price	quantity
A	OP_2	OQ_1	OP_1	OQ_4
B	OP_2	OQ_3	OP_2	OQ_5
C	OP_3	OQ_2	OP_1	OQ_4
D	OP_3	OQ_2	OP_2	OQ_3

- 17 What is necessary for an action to be classed as a transfer payment?

- A** It must include a cash payment.
- B** It must involve a banking transaction.
- C** It must originate from government activity.
- D** It must relate to a non-productive activity.

- 18 The market for good X is in equilibrium. The government introduces a subsidy to the producers of good X.

Under which conditions will the total expenditure by the government on the subsidy be the greatest?

	price elasticity of demand for good X	price elasticity of supply for good X
A	<1	<1
B	<1	>1
C	>1	<1
D	>1	>1

- 19 Under which combination of circumstances will a policy of increasing the money supply be **most** effective at moving an economy out of recession?

	circumstance one	circumstance two
A	depreciating exchange rate	global financial crisis
B	high nominal interest rates	appreciating exchange rate
C	low aggregate demand	inflation rate above the target level
D	low nominal interest rates	no spare capacity available

- 20 In which economic context is the term 'protectionism' usually applied?

- A** the protection of consumers against excessive prices
- B** the protection of employees against exploitation by multinational companies
- C** the protection of local producers against foreign competitors
- D** the protection of the foreign exchange rate against currency speculators

- 21 What is most likely to cause a rise in a country's exchange rate?

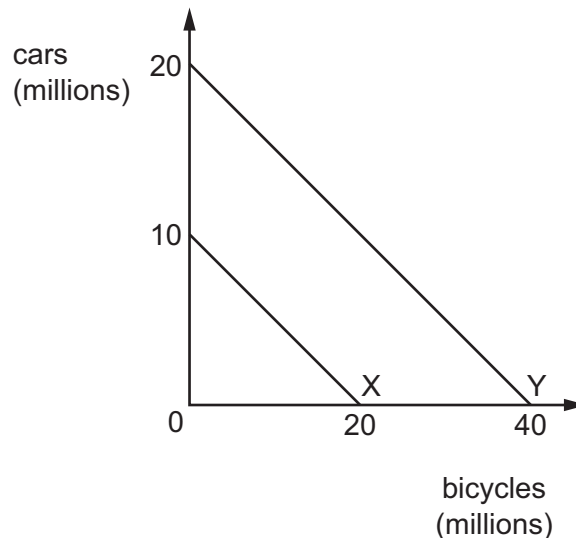
- A** a fall in its direct taxes
- B** a fall in its export orders
- C** a rise in its interest rates
- D** a rise in its imports

- 22** The table shows an approximate summary of the current account of the balance of payments for Thailand.

Bank of Thailand current account (millions of US dollars)		
		April 2018
1	exports	18 990
2	imports	18 715
3	trade balance	275
4	net services, primary income and secondary income	1130

What is the current account balance, in millions of US dollars?

- A** -855 **B** 1405 **C** 1680 **D** 39 110
- 23** The diagram shows the production possibility curves for two economies using all resources. Country X can produce 10 million cars or 20 million bicycles and country Y can produce 20 million cars or 40 million bicycles.



Which statement is correct about country X and country Y according to the theory of comparative advantage?

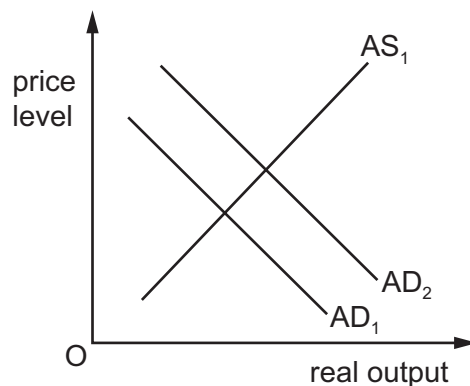
- A** Country X and country Y would not gain from free trade.
B Country X has a lower opportunity cost ratio in producing cars and bicycles than country Y.
C Country X has an absolute advantage over country Y in the production of both goods.
D Country Y will have a faster rate of economic growth than country X.

- 24 A country has a balance of payments deficit. It devalues its currency.

Which combination leads to a reduction in its balance of payments deficit in the long run?

	price elasticity of demand for exports	price elasticity of demand for imports
A	less than 0.5	less than 0.5
B	less than 1	zero (0)
C	more than 0.5	more than 0.5
D	zero (0)	less than 1

- 25 The diagram shows aggregate demand curves AD_1 and AD_2 and an aggregate supply curve AS_1 .



What could cause the shift in the aggregate demand curve from AD_1 to AD_2 ?

- A** a rise in the interest rates
 - B** a rise in output per worker
 - C** a rise in the budget deficit
 - D** a rise in the value of the exchange rate
- 26 The government of an open economy with an overvalued currency decides to abandon its fixed exchange rate in favour of a floating exchange rate.

Which macroeconomic policy aim is **least** likely to be met because of this change?

- A** a low inflation rate
- B** a low level of unemployment
- C** a reduced balance of payments deficit
- D** a sustainable rate of economic growth

27 Devaluation always has the effect of

- A decreasing the price of imports.
- B decreasing the value of imports.
- C worsening the balance of payments.
- D worsening the terms of trade.

28 A government uses monetary policy and fiscal policy to solve a problem of deflation.

Which policy combination is likely to be the **most** successful?

	monetary policy	fiscal policy
A	increasing interest rates	contractionary
B	increasing interest rates	expansionary
C	reducing interest rates	contractionary
D	reducing interest rates	expansionary

29 A government reduces its expenditure on workplace training, increases the level of indirect taxes, and reduces the rate of interest it pays on government debt.

How would these government macroeconomic policies be categorised?

	supply-side	fiscal	monetary
A	con	con	exp
B	exp	con	con
C	con	exp	exp
D	exp	exp	con

key

con = contractionary

exp = expansionary

30 What represents the total of aggregate demand in a closed economy?

- A $C + I + G$
- B $C + I + G + X$
- C $C + I + G + (X - M)$
- D $C - (S + T)$

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

October/November 2020

MARK SCHEME

Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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Cambridge International is publishing the mark schemes for the October/November 2020 series for most Cambridge IGCSE™, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	C	1
2	C	1
3	B	1
4	B	1
5	D	1
6	C	1
7	B	1
8	C	1
9	C	1
10	D	1
11	C	1
12	C	1
13	D	1
14	B	1
15	B	1
16	D	1
17	D	1
18	D	1
19	B	1
20	C	1
21	C	1
22	B	1
23	A	1
24	C	1
25	B	1
26	A	1
27	D	1
28	D	1

Question	Answer	Marks
29	A	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

October/November 2020

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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INFORMATION

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- Any rough working should be done on this question paper.

This document has **12** pages. Blank pages are indicated.



- 1 An economy is operating at a point inside its production possibility curve.

Why is this described as inefficient?

- A Individuals are enjoying too much leisure.
- B More of one good can be produced without decreasing production of another.
- C The combination of labour and capital is wrong.
- D There are shortages of some goods and an excess supply of others.

- 2 What is characterised as a free good?

- A one that has zero opportunity cost
- B one that is non-excludable and non-rivalrous
- C one that is supplied by the government with no charge
- D one that receives a 100% government subsidy

- 3 A country is moving from a planned economy to a market economy. The government previously provided transport services but has now sold these to private firms.

What is a consequence of this?

- A Government ownership of resources has increased.
- B Services provided by the public sector have increased.
- C There has been an increase in central planning.
- D There has been an increase in consumer sovereignty.

- 4 A government wants to prevent the spread of an infectious disease by vaccinating all children.

Why might vaccination be classified as a merit good?

- A The benefit to society is equal to the benefit received by the individual.
- B The good is excludable.
- C The good is not vital.
- D The good would otherwise be under-consumed.

- 5 A product has a downward-sloping demand curve and an upward-sloping supply curve.

What would explain a rise in the price of the product and a fall in the quantity of the product sold?

- A The decrease in demand is double the decrease in supply.
- B The decrease in supply is double the decrease in demand.
- C The increase in demand is double the increase in supply.
- D The increase in supply is double the increase in demand.

- 6 Public transport in an economy has an income elasticity of demand of -0.36 .

What does this mean about public transport?

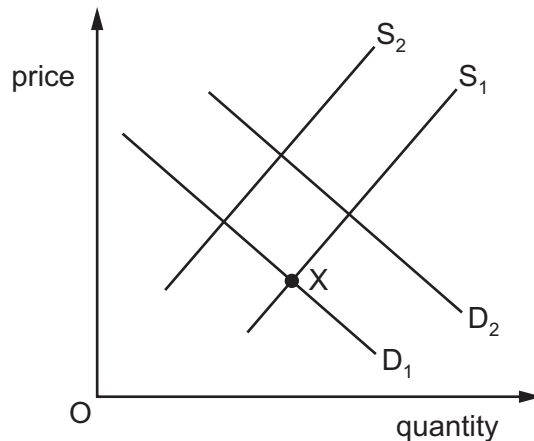
- A It has close substitutes.
- B It is a necessity.
- C It is a normal good.
- D It is an inferior good.

- 7 The quantity demanded of a product is given by $Q_D = 400 - 10P$, when P is the price in dollars. Supply of the product is fixed at 100 units.

If the price is \$20, what will be the position in the market?

- A It will be in disequilibrium with excess demand of 100 units.
- B It will be in disequilibrium with excess supply of 100 units.
- C It will be in equilibrium with 100 units traded.
- D It will be in equilibrium with 200 units traded.

- 8 D_1 and S_1 are the initial demand and supply curves in the market for new cars with an equilibrium at X.



What will cause the demand curve to shift to D_2 and the supply curve to shift to S_2 ?

- A** a decrease in real incomes and a rise in the costs of new car production
B a decrease in the price of petrol and a subsidy on new car production
C an increase in the availability of loans for new car purchases and a specific tax on new cars
D an increase in the price of train travel and an increase in the number of car producers
- 9 A good has a unitary price elasticity of demand and at a price of \$20 a firm sells 40 000 units.
- How many units will the firm sell if it charges a price of \$5?
- A** 10 000 **B** 100 000 **C** 160 000 **D** 200 000
- 10 A bus journey is considered an inferior good in a relatively rich country such as Singapore but a normal good in a relatively poor country such as Tanzania.

In which direction would an increase in incomes in both countries cause the demand curve for bus journeys in Singapore and Tanzania to shift?

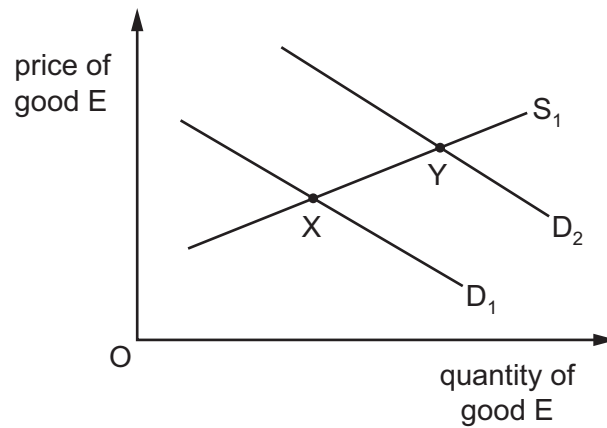
	Singapore	Tanzania
A	left	left
B	left	right
C	right	left
D	right	right

- 11 The quantity of a good supplied by a firm is Q . Each of these goods sells for a price of P . The area under the supply curve for Q goods is equal to C .

What is the producer surplus of the firm?

- A** $P - C$ **B** $P \times Q$ **C** $(P \times Q) - C$ **D** $(P - C) \times Q$

12 The diagram shows the market demand for and supply of good E.

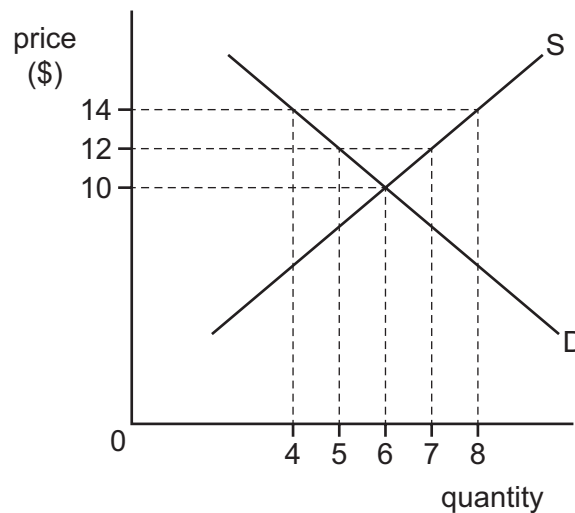


The equilibrium has changed from X to Y.

Which statement is **not** correct?

- A Incomes of consumers may have increased and good E is a normal good.
- B The quantity supplied has risen because price has increased.
- C The quantity supplied has risen because the production of good E has been subsidised.
- D The price of good F, which is a substitute for good E, may have risen.

13 The diagram shows the market for CDs.



A government raises the minimum price of CDs from \$12 to \$14.

What will be the outcome?

- A Excess demand increases by 2 units.
- B Excess demand increases by 4 units.
- C Excess supply decreases by 2 units.
- D Excess supply increases by 2 units.

- 14** A government regards alcoholic drinks as a demerit good and introduces a minimum price above the equilibrium in an attempt to protect consumers. Demand for alcoholic drinks is price inelastic.

What is the most likely outcome?

- A** a fall in the revenue of alcoholic drink producers
- B** a fall in the quantity of alcoholic drink sales
- C** a long-run shortage of alcoholic drinks
- D** an increase in specific tax revenue from the sale of alcoholic drinks

- 15** A government subsidy of \$50 per unit is paid to manufacturers of solar panels.

What will be the impact of this?

- A** It will guarantee equilibrium in the solar panel market.
- B** It will maintain high market prices.
- C** It will reduce total production costs.
- D** It will stabilise levels of output.

- 16** Why might a government privatise the railway industry in a country?

- A** Economists classify railway journeys as a public good.
- B** Privatisation would provide funds for investment from a wider range of sources.
- C** Privatised railways would be run to maximise producer surplus.
- D** Railway fares can be taxed to raise money for the government only if railways are privatised.

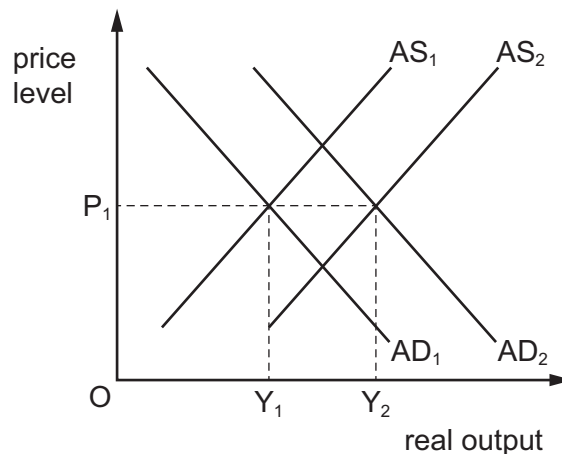
- 17** Which tax is levied on a stock of wealth rather than a flow of income?

- A** company profits tax
- B** goods and services (expenditure) tax
- C** individual direct tax
- D** personal asset tax

- 18** What is classified as a transfer payment?

- A** money paid as a gift to a charity
- B** money paid as a tip to a waiter
- C** money paid as commission to a salesperson
- D** money paid for an imported good

- 19 Under which circumstance would the rate of inflation be **most** likely to fall?
- A Government spending increases and society's marginal propensity to save falls.
 - B Reduced interest rates result in consumers increasing their spending.
 - C The government increases direct taxes and the level of investment falls.
 - D The prices of imported raw materials rise, whilst demand for exports falls.
- 20 In which circumstances will country X have a comparative advantage in the production of rice over country Y?
- A when X has lower opportunity costs in producing rice than Y
 - B when X is in a customs union and Y is outside that union
 - C when X uses dollars for trading and Y uses a different currency
 - D when X uses more units of labour than Y to produce rice
- 21 The diagram shows an economy with an initial equilibrium real output of Y_1 at a price level of P_1 .



Which combination of events is likely to cause the equilibrium real output to rise to Y_2 ?

- A an increased budget deficit and a fall in energy costs
- B an increased budget surplus and a rise in energy costs
- C an increased trade deficit and a fall in indirect tax
- D an increased trade surplus and a rise in indirect tax

- 22** The table gives figures from the current account of the balance of payments for New Zealand in 2018.

There are two blank spaces, X and Y, in the account.

	NZ\$(millions)
exports of goods	54 700
imports of goods	57 400
balance of trade in goods	X
balance of trade in services	Y
primary income balance	−10 600
secondary income balance	−400
current account balance	−8 500

Four students were asked to fill in the spaces.

Which student was correct?

	X	Y
A	+2700	+5200
B	+2700	−5200
C	−2700	+5200
D	−2700	−5200

- 23** What is indicated by an economy's terms of trade?

- A** the degree of its dependence on imports
- B** the international competitiveness of its exports
- C** the purchasing power of its exports relative to its imports
- D** the relative strength of its currency in the foreign exchange market

- 24** A country operates a floating exchange rate.

Why might a government change to a fixed exchange rate?

- A** to increase the stock of foreign currency reserves
- B** to make the terms of trade more favourable
- C** to raise the level of certainty for businesses
- D** to use the exchange rate to reduce domestic prices

25 What term relates to a fall in the domestic real value of a currency?

- A** deflation
- B** depreciation
- C** devaluation
- D** inflation

26 A country has a persistent balance of payments deficit.

What is most likely to improve the situation in the long run?

- A** a lowering of the level of import duties
- B** a reduction in the level of income tax
- C** the introduction of expansionary monetary policy
- D** the use of grants to encourage new investment by firms

27 To counter deflation a central bank uses expansionary monetary policy.

What is likely to result?

- A** a higher cost of borrowing
- B** a higher rate of inflation
- C** an appreciation of the exchange rate
- D** an increase in government debt

28 A government reduces the benefits that it pays to unemployed workers to increase the incentive to work.

Which types of macroeconomic policies are being used?

	fiscal policy	monetary policy	supply-side policy
A	✓	x	x
B	✓	✓	x
C	✓	x	✓
D	x	x	✓

- 29** Suppose a country has a rate of inflation well below its target rate, high unemployment and a large balance of payments deficit.

What would an economic advisor to the government be most likely to recommend?

- A** a long-run supply-side policy, aimed at improving the country's efficiency, so improving both the unemployment and the balance of payments positions
- B** a revaluation of its currency, because that would lead to reduced unemployment and an improved balance of payments
- C** a rise in interest rates, because it would lead to an improved balance of payments and help achieve the inflation target
- D** a rise in levels of direct taxation, because that would improve unemployment and move inflation in the direction of a target level

- 30** Country X is an open economy with a fixed exchange rate.

Which combination of fiscal and monetary policies would be most effective in solving deflation?

	fiscal policy	monetary policy
A	lower direct taxes	devaluation
B	lower direct taxes	revaluation
C	lower indirect taxes	devaluation
D	lower indirect taxes	revaluation

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Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

October/November 2020

MARK SCHEME

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1	B	1
2	A	1
3	D	1
4	D	1
5	B	1
6	D	1
7	A	1
8	C	1
9	C	1
10	B	1
11	C	1
12	C	1
13	D	1
14	B	1
15	C	1
16	B	1
17	D	1
18	A	1
19	C	1
20	A	1
21	A	1
22	C	1
23	C	1
24	C	1
25	D	1
26	D	1
27	B	1
28	C	1

Question	Answer	Marks
29	A	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

February/March 2021

1 hour

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You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

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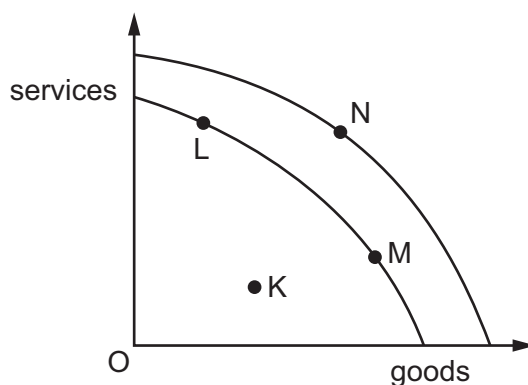


- 1 An American family is choosing between four holiday destinations in Europe, each at the same price. The table shows the family's order of preference for these holiday destinations.

holiday destination	order of preference
Barcelona	1st
London	= 3rd
Paris	2nd
Venice	= 3rd

If the family goes to Barcelona, what is the opportunity cost of this choice?

- A** Barcelona
B London and Venice
C Paris
D London, Paris and Venice
- 2 The diagram shows two production possibility curves for an economy.

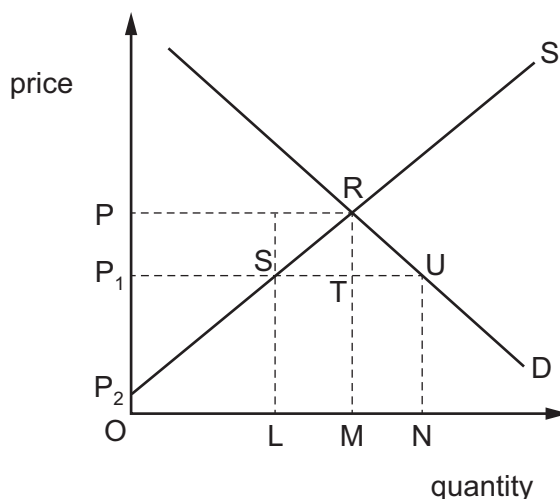


Which combination of movements correctly illustrates these changes in production?

	short-run economic growth	long-run economic growth	no economic growth
A	K to L	L to M	M to N
B	K to L	M to N	L to M
C	M to N	K to L	L to M
D	M to N	L to M	K to L

- 3 What distinguishes the very long run from the long run?
- A the ability to change resource allocation
 - B the ability to change the state of technology
 - C the absence of government market intervention
 - D the existence of variable factors of production
- 4 Which statement is a positive statement?
- A The distribution of income and wealth in most western European countries is unequal.
 - B The government ought to increase income tax on high earners.
 - C There should be more legal rights given to workers to protect their status in the workplace.
 - D Wages of those on low incomes should be increased.
- 5 What could **not** cause a shift in an individual's demand curve for good Z?
- A a change in advertising expenditure on Z
 - B a change in the individual's income
 - C a change in the individual's tastes
 - D a change in the price of Z

- 6 The diagram shows the market for sugar which is initially in equilibrium at a price of OP .



A government then fixes a maximum price of OP_1 .

What will happen as a result?

- A a reduction in farmers' revenue equal to $PRSP_1$
 - B expenditure on sugar will be equal to $PRMO$
 - C farmers' revenue would be P_1UNO
 - D producer surplus will be P_1SP_2
- 7 The table shows a competitive market in equilibrium in two periods.

period	market price (cents)	quantity traded
1	50	10 000
2	60	12 000

What could explain the change from period 1 to period 2?

- A an increase in the price of a complement
- B an increase in the price of a substitute
- C the imposition of a minimum price of 60 cents by a government
- D the imposition of an indirect tax on suppliers

8 Which example of consumer behaviour would create consumer surplus?

- A when a consumer does not spend all of her income each month
- B when a consumer pays less than they are willing to pay for a good
- C when a consumer throws away vegetables because they bought too much
- D when a good is purchased in order to resell it at a higher price

9 A manufacturer reduces the price of its goods after developing a more efficient manufacturing process. It makes leather belts that compete against belts made of artificial material.

What are the likely outcomes of the change in the manufacturing process?

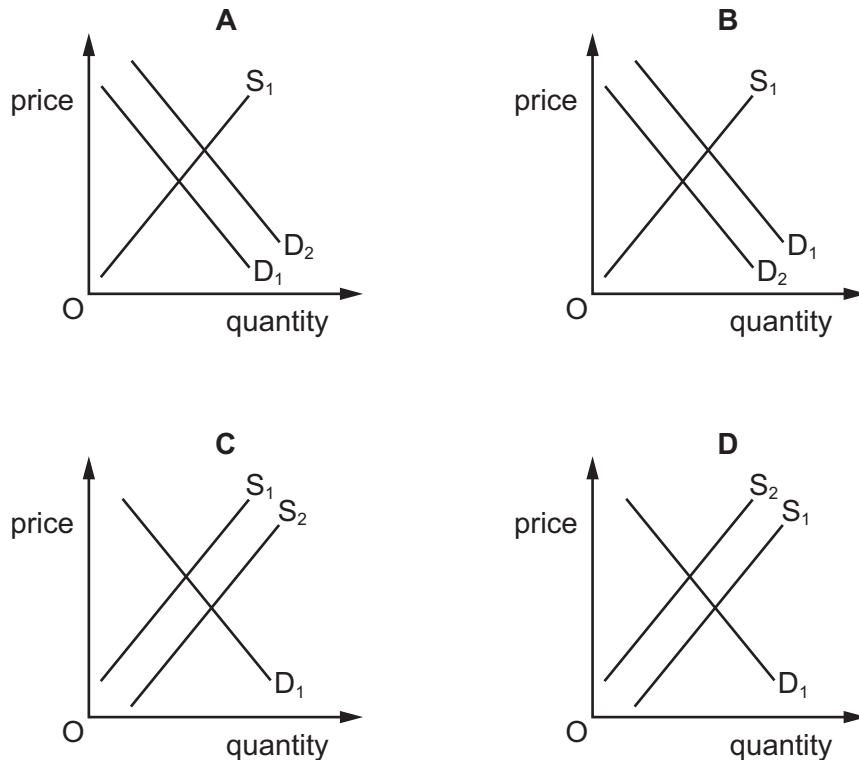
	supply of leather belts	price of artificial belts
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

10 What is the likely price elasticity of supply of highly perishable goods and goods that have low stocks?

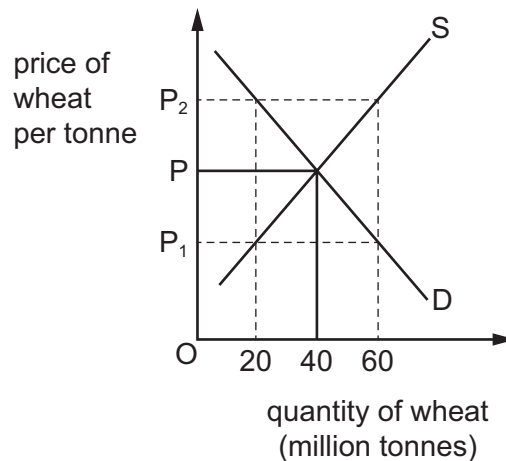
	highly perishable goods	goods that have low stocks
A	elastic	elastic
B	elastic	inelastic
C	inelastic	elastic
D	inelastic	inelastic

- 11 The diagrams show the initial demand curve D_1 and supply curve S_1 for steel in the European Union (EU). In 2018 European steel firms experienced rising energy prices.

Which diagram shows the likely impact of this?



- 12 The market for wheat is in equilibrium at price P with supply at 40 million tonnes. Due to a drought in the growing season, supply falls to 20 million tonnes.



Which immediate action should be taken to maintain the equilibrium price of P ?

- A grant a subsidy to farmers equivalent to PP_1
- B impose an indirect tax equivalent to PP_2
- C plant more wheat to increase supplies to 40 million tonnes
- D use existing stocks of wheat to increase supplies by 20 million tonnes

13 What is used to calculate the price elasticity of demand?

- A $\frac{\text{change in price}}{\text{change in quantity demanded}}$
- B $\frac{\text{change in quantity demanded}}{\text{change in price}}$
- C $\frac{\text{percentage change in price}}{\text{percentage change in quantity demanded}}$
- D $\frac{\text{percentage change in quantity demanded}}{\text{percentage change in price}}$

14 After a series of poor harvests, a government imposes an effective maximum price on cereals.

What would be a consequence of this policy?

- A Both rich and poor people would satisfy their demands equally.
- B Illegal buying and selling through a black market would be prevented.
- C Rationing would be necessary to ensure a fair distribution of cereals.
- D The market would fail to clear leaving a surplus of cereals.

15 What would be a transfer payment?

- A the payment made by a company to its shareholders out of its profits
- B the payment made for a legal document to transfer ownership of a house
- C the payment made to a retired person in the form of a pension
- D the payment made to a professional sports team for the transfer of a player

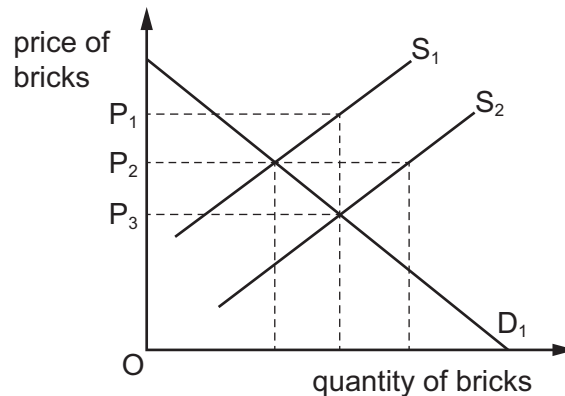
16 The government redistributes income by raising the top rate of income tax and using the money raised to finance additional benefits to students and the unemployed.

Under which conditions will total spending in the economy increase the most?

	income elasticity of demand of top rate income taxpayers	income elasticity of demand of students and the unemployed
A	> 1	> 1
B	> 1	< 1
C	< 1	> 1
D	< 1	< 1

- 17 A government wishes to increase the supply of houses. It pays a subsidy to brick manufacturers to increase supplies of bricks to S_2 .

The diagram shows the supply of and demand for bricks.



Which size of subsidy per unit is required to increase supply to S_2 ?

- A OP_3 B P_1P_2 C P_1P_3 D P_2P_3
- 18 Why is national defence provided by the government?
- A In a free market it is excludable and rival in consumption.
 B In a free market it is non-excludable and non-rival in consumption.
 C The government has perfect information, so it can set the correct quantity required.
 D The private sector firm would charge a high price for its use as it is a necessity.
- 19 Which statement about a rise in the general price level in a country is correct?
- A It is likely to create economic winners and losers in the country.
 B It is never acceptable to modern governments.
 C It means that no goods have fallen in price.
 D It must make the average citizen poorer.
- 20 A country's terms of trade changed from 100 to 95.
- What is **most** likely to have caused this change?
- A a depreciation of the country's currency
 B a reduction in import tariffs
 C a rise in the price of exported goods
 D an improvement in the balance of trade

- 21 A country replaces a floating exchange rate system with a managed floating exchange rate system.

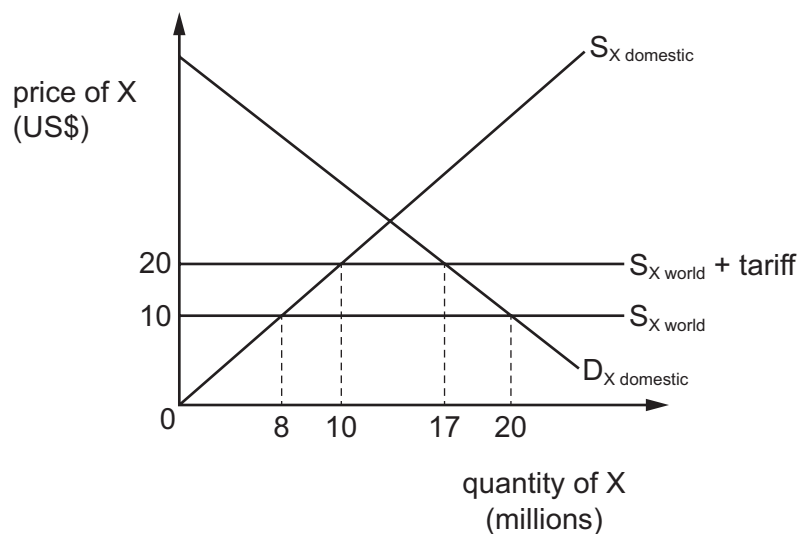
Which statement is correct?

- A Its central bank would have to intervene more frequently in the foreign exchange market.
 - B Its central bank would need to hold fewer foreign currency reserves.
 - C The value of its currency would be determined by its major trading partners.
 - D The value of its currency would be determined by the value of the US dollar.
- 22 What will be the immediate effect of a devaluation of an economy's foreign exchange rate?
- A The price of imported goods in the domestic currency will fall.
 - B The price of imported goods in the domestic currency will rise.
 - C The price of imported goods in the foreign currency will fall.
 - D The price of imported goods in the foreign currency will rise.

- 23 A country has a deficit on the current account of its balance of payments.

What might help the country to reduce its deficit?

- A a decrease in its rate of income tax
 - B a decrease in its tariffs
 - C an increase in its level of employment
 - D an increase in its subsidies to exporters
- 24 The diagram shows the effect of removing a tariff on imports of good X into country Y.



What is the volume, in million units, of the **extra** international trade created by removing the tariff?

- A 3
- B 5
- C 10
- D 12

25 Which item should be recorded in the financial account of a country's balance of payments?

- A** foreign aid by China to assist in infrastructure projects in African countries
- B** investments by Middle Eastern oil producing countries through the purchase of land and property assets in Europe
- C** payments by the USA to other countries which house American military bases
- D** profits and dividends paid by multinational companies based in Indonesia to shareholders in Asia

26 The table shows a country's consumer prices index (CPI) for March and April 2018.

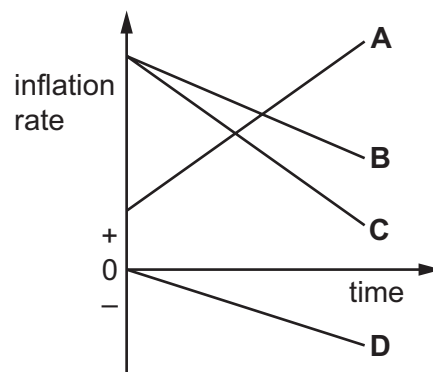
	CPI
March 2018	151.3
April 2018	148.6

Which statement correctly describes what happened between these two months?

- A** There was a decrease in the annual rate of inflation.
- B** There was a decrease in real interest rates.
- C** There was an increase in the purchasing power of money.
- D** There was an increase in the standard of living.

27 The diagram shows the rate of inflation over time in four countries.

Which country has a rising real value of money over time?



- 28** The table shows the consumer prices index (CPI) for an economy expressed as an index number.

year	CPI
2016	100
2017	103
2018	101
2019	97

Which action is the government most likely to take to achieve price stability?

- A** appreciate the exchange rate
 - B** decrease the budget deficit
 - C** increase the money supply
 - D** increase the rate of interest
- 29** Other things being equal, what is most likely to be reduced by falling labour productivity?
- A** the balance of trade deficit
 - B** the internal value of money
 - C** the level of unemployment
 - D** the rate of domestic inflation
- 30** A government spends money building more schools.

How might this be classified?

	fiscal policy	supply-side policy	monetary policy
A	✓	✓	x
B	✓	✓	✓
C	✓	x	x
D	x	✓	x

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

March 2021

MARK SCHEME

Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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6	D	1
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17	C	1
18	B	1
19	A	1
20	A	1
21	A	1
22	B	1
23	D	1
24	B	1
25	B	1
26	C	1
27	D	1
28	C	1

Question	Answer	Marks
29	B	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2021

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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INFORMATION

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- Any rough working should be done on this question paper.

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- 1 A tourist visits the coast for a holiday.

On her first day, she visits the local tourist office for information, goes for a swim in the sea, spends the evening enjoying the view of the coastline and rents a campsite for an overnight stay.

Which activities involve economic goods and which involve free goods?

	economic goods	free goods
A	camping and information	swimming and sightseeing
B	information and swimming	sightseeing and camping
C	sightseeing and camping	information and swimming
D	swimming and sightseeing	camping and information

- 2 Which aspect of a planned economy might be viewed unfavourably by a consumer but favourably by a producer?
- A** a bureaucratic system of decision-making
 - B** a long response time to changing economic events
 - C** an absence of incentives to work and to produce
 - D** an emphasis on the production of capital goods
- 3 If the rate of inflation rises from 2% to 20%, which function of money is likely to be most affected?
- A** medium of exchange
 - B** standard for deferred payment
 - C** store of value
 - D** unit of account
- 4 Which statement would be classified by an economist as a positive statement?
- A** Balancing the budget cannot be more important than reducing inflation.
 - B** Maintaining the real income of pensioners needs to be a priority.
 - C** The government should increase indirect taxation.
 - D** The government will not increase direct taxation.
- 5 Which statement about price elasticity of supply is correct?
- A** It cannot change in the short run.
 - B** It increases as the time period lengthens.
 - C** It is infinite in the momentary time period.
 - D** It is zero in the long run.

- 6 The price elasticity of demand for a firm's product is equal to one for all price changes.

What would be the result of this?

- A A percentage increase in price will cause demand to fall by a larger percentage.
 - B A percentage increase in price will cause demand to increase by the same percentage.
 - C Quantity demanded will always be the same whatever the price.
 - D The firm's revenue will always be the same whatever the price.
- 7 What leads to a downward shift of a normal supply curve?
- A a rise in the cost of transporting goods
 - B a rise in the productivity of the labour force
 - C a rise in the rate of sales tax on the good
 - D a rise in the wage rate paid to workers
- 8 A market is in equilibrium with 100 units of the product sold at a price of US\$10 each. The price elasticity of supply for the product is +2.0 and the price elasticity of demand is -1.0.

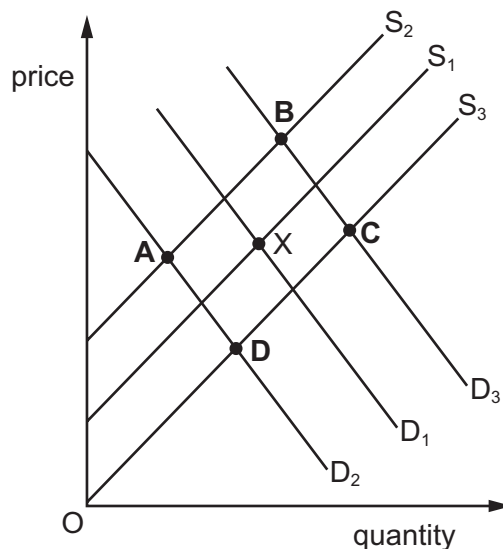
What will be the state of the market if a minimum price of US\$11 is imposed?

- A an excess demand of 10 units
- B an excess demand of 30 units
- C an excess supply of 20 units
- D an excess supply of 30 units

- 9 The diagram shows the market for meat in equilibrium at X.

The cost of producing meat rises and there is a trend for consumers to change from meat to a vegan (non-animal) diet.

What is the new market equilibrium?



- 10 Goods X and Y are complements.

What will be the effect on the equilibrium price and quantity of good X of an increase in the supply of good Y?

	equilibrium price of X	equilibrium quantity of X
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 11 A private company achieves a producer surplus at the market equilibrium price.

What might reduce the size of the private company's producer surplus?

- A** Private companies choose to prioritise profits over customer needs.
- B** Private companies start to pay dividends out of profits.
- C** The government fixes the price of electricity below the market price.
- D** The private company supply curve becomes more elastic.

12 How would an economist establish the market demand curve for a private good?

- A** by adding consumer surplus to total expenditure
- B** by combining individual demand curves horizontally
- C** by combining the price elasticity of individual demands
- D** by multiplying price by quantity demanded

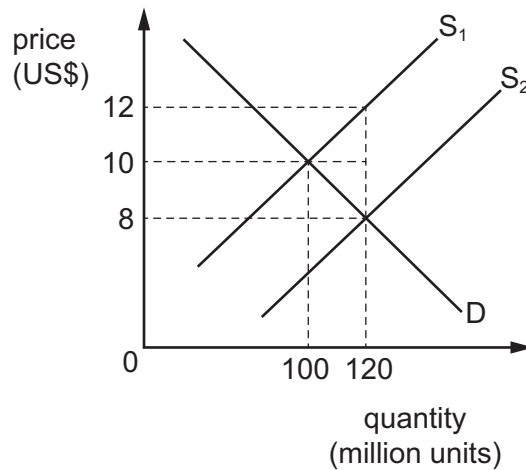
13 Knowledge of which combination of demand elasticities would be relevant to a firm trying to increase its revenue?

	price elasticity of demand	cross elasticity of demand	income elasticity of demand
A	✓	✓	✓
B	✓	✓	✗
C	✓	✗	✓
D	✗	✓	✓

14 What will definitely stop, following the nationalisation of an industry?

- A** dividend payments to the industry's shareholders
- B** job losses among the industry's workforce
- C** price increases for the industry's product
- D** the closure of unprofitable factories in the industry

15 The diagram shows the effect of the government introducing a subsidy on a product.

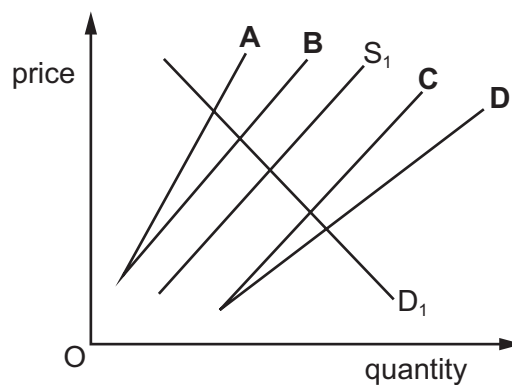


What are the effects of the subsidy on government spending and consumer spending?

	government spending	consumer spending
A	increases by US\$240 million	decreases by US\$40 million
B	increases by US\$240 million	decreases by US\$200 million
C	increases by US\$480 million	decreases by US\$40 million
D	increases by US\$480 million	decreases by US\$200 million

16 In the diagram, S_1 and D_1 are the initial supply and demand curves of a product.

What would be the new supply curve following the removal of an ad valorem tax on the product?



- 17 The table shows sources of government revenue in a fiscal year for an economy.

source of revenue	\$ billions
sale of government assets	100
tax on self employed	1000
carbon tax on goods produced	100
corporate taxes	500
capital gains tax	100
goods and services tax	1000
air passenger tax	100

What is the total amount, in \$ billions, of tax revenue raised by indirect taxes?

- A** 1200 **B** 1300 **C** 1400 **D** 1600

- 18 Education from 4 to 16 years of age in most developed economies is provided at zero price, financed from taxation.

Why should the government do this?

- A** In a free market, consumers have imperfect information so do not realise the full personal benefit of education.
- B** In a free market, education is not considered to be a private good.
- C** In a free market, consumers will be unwilling to pay for education.
- D** In a free market, education is non-rival and non-excludable in consumption so zero output would be produced.

- 19 What will cause a movement along an aggregate supply curve?

- A** a rise in the demand for exports
- B** a rise in the price of raw materials
- C** a rise in the productivity of labour
- D** a rise in the rate of sales tax

- 20 A government devalues its fixed exchange rate.

What is most likely to be its aim?

- A** to improve the terms of trade
- B** to increase the level of aggregate demand
- C** to reduce a current account surplus
- D** to reduce demand-pull inflation

- 21** As part of its trade policy, a government subsidises the cost of machinery used to manufacture goods for export.

How will this affect the balance of payments?

- A** decrease the deficit on the capital account
 - B** decrease the deficit on the current account
 - C** increase the deficit on the capital account
 - D** increase the deficit on the current account
- 22** What is correct about the causes of inflation?
- A** Cost-push inflation can be caused by a rising exchange rate.
 - B** Cost-push inflation can be caused by lower indirect taxes.
 - C** Demand-pull inflation can be caused by a rising exchange rate.
 - D** Demand-pull inflation can be caused by lower direct taxes.
- 23** The figures shown are from New Zealand's balance of payments for 2017 according to data published by Stats NZ in September 2018.

	NZ\$m
capital account balance	1300
current account balance	−7000
financial account balance	7600
goods balance	−3000
services balance	5000

What was the value of the balancing item (net errors and omissions) in NZ\$m?

- A** −3900 **B** −2000 **C** −1900 **D** 5700

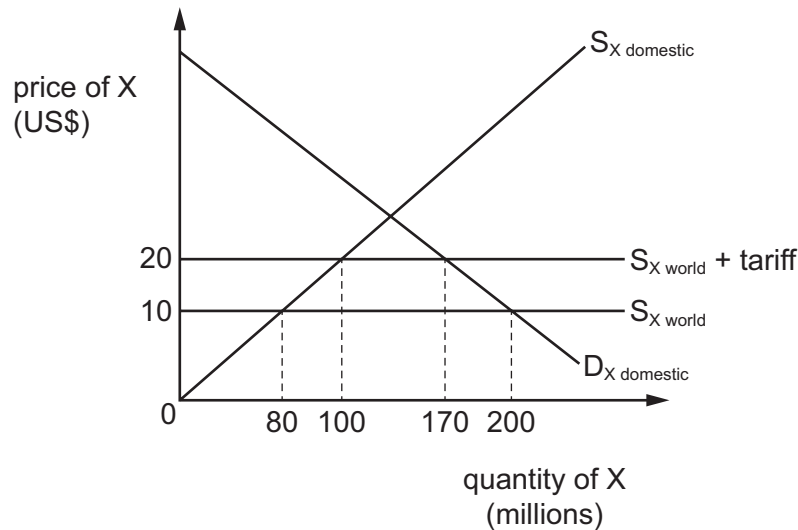
24 Two statements are shown.

- 1 A country can produce a good at a lower opportunity cost than another country.
- 2 A country can produce a greater quantity of a good for the same quantity of inputs than another country.

What do these two statements describe?

	1	2
A	absolute advantage	comparative advantage
B	absolute advantage	the terms of trade
C	comparative advantage	absolute advantage
D	the terms of trade	comparative advantage

25 The diagram shows the effect of the introduction of a tariff on good X by country Y.



What is the revenue, in US\$ million, received by producers of good X in country Y after the tariff is introduced?

- A** 400 **B** 800 **C** 1000 **D** 2000

26 Between 2011 and 2013, retailers reported that expenditure on domestically-produced and imported goods had reduced. This was because consumers did not take out loans as the economy was in a recession.

What is the likely result of this?

- A** a decline in the deficit in the trade account
B a decline in the level of savings
C a decline in the terms of trade
D a decline in unemployment

27 Increased international competition leads to a worsening in a country's current account balance.

In the absence of any offsetting factors, how is this likely to affect the exchange rate and domestic cost-push inflation?

	exchange rate	cost-push inflation
A	appreciate	decrease
B	appreciate	increase
C	depreciate	decrease
D	depreciate	increase

28 Why are higher interest rates together with increased taxation on expenditure likely to cause domestic deflation?

- A** because the contractionary monetary policy will over-ride the expansionary fiscal policy
- B** because the monetary and fiscal policies involved will reinforce each other
- C** because the expansionary monetary policy will over-ride the contractionary fiscal policy
- D** because the monetary and fiscal policies involved will cancel each other out

29 Which policy aimed at correcting a balance of trade deficit is an expenditure-reducing policy?

- A** depreciation of the currency
- B** increased direct taxation
- C** tax incentives for exporters
- D** the imposition of protectionist tariffs

30 Which policy will **not** cause a reduction in the rate of inflation?

- A** increasing income tax
- B** reducing government spending
- C** reducing interest rates
- D** removing subsidies

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2021

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12	B	1
13	A	1
14	A	1
15	C	1
16	D	1
17	A	1
18	A	1
19	A	1
20	B	1
21	B	1
22	D	1
23	C	1
24	C	1
25	D	1
26	A	1
27	D	1
28	B	1

Question	Answer	Marks
29	B	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/13

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May/June 2021

1 hour

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- 1 A government department provides milk at no charge to very low income families.

Which term best describes the milk?

- A free good
- B inferior good
- C private good
- D public good

- 2 Which statement is a normative statement?

- A China has never had a balance of payments surplus.
- B Higher interest rates might reduce investment.
- C Perfect competition is allocatively efficient.
- D Welfare payments should be increased.

- 3 What do economists regard as the reward for taking risks and organising production?

- A enterprise
- B interest
- C wages
- D profit

- 4 The British pound is the national currency of the UK. In Brixton in south London it is possible to get a distinctively marked currency called the Brixton pound from special cash machines. This can be spent with 150 local shopkeepers. Similar schemes are found in towns in the US, Italy and France.

Should Brixton pounds be considered money?

- A no, because it is not possible to have two currencies in a country
- B no, because they are not generally acceptable outside of Brixton
- C yes, because some shopkeepers are willing to accept them
- D yes, because they fulfil all the functions of money

- 5 When stating the law of demand for a good, economists use the phrase 'all other things being equal'.

What is **not** one of these 'all other things'?

- A the income of the consumer
- B the price of other goods
- C the price of the good
- D the tastes of the consumer

- 6 What will **not** cause a shift in the market supply curve of a commodity?

- A a change in technology
- B a rise in the price of a factor input
- C a rise in the price of the commodity
- D the introduction of a specific tax on the commodity

- 7 A product has a low price elasticity of supply.

What might explain this?

- A The product has a low opportunity cost.
- B The product is highly perishable.
- C The product is classed as an inferior good.
- D The product is considered to be a necessity.

- 8 A car manufacturer estimates that the price elasticity of supply of its cars is +2.5.

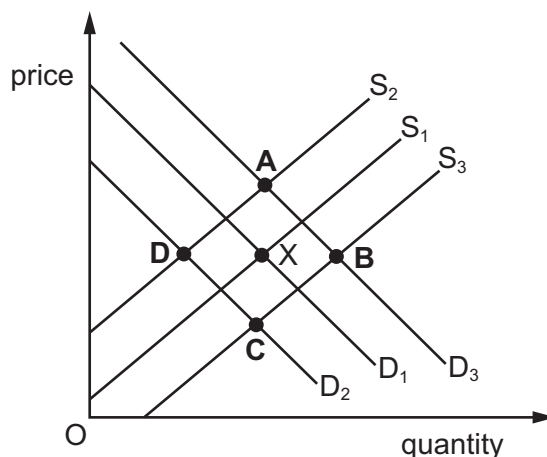
What will be the impact of a 10% increase in price?

- A a 2.5% fall in total revenue
- B a 25% rise in total revenue
- C a 2.5% fall in quantity supplied
- D a 25% rise in quantity supplied

- 9 The diagram shows the original demand curve D_1 and supply curve S_1 for diesel cars in Europe. Point X is the initial equilibrium.

There is a successful advertising campaign by electric car producers and a new unit tax on diesel cars.

What will be the new equilibrium?



- 10 A UK based food company wishes to diversify its product range. To finance this, it has obtained a \$10m loan from a bank to buy land, build and equip a bakery.

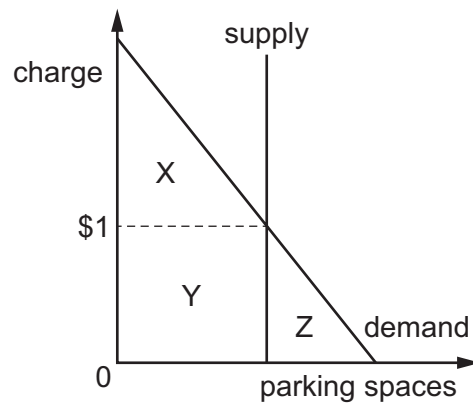
What would **not** be classified by an economist as a factor of production?

- A** the \$10m loan used to finance the project
B the land on which the bakery will be built
C the ovens required to bake the bread
D the soya used in the making of the bread
- 11 A country's central bank has commissioned a report on the demand for and price of houses.

What might be the **most** likely combination of reasons for an increase in the price and quantity demanded of houses?

	incomes	interest rates	wages of bricklayers
A	down	unchanged	up
B	down	up	unchanged
C	unchanged	up	down
D	up	down	unchanged

- 12 The diagram shows the outcome when a landowner, who had allowed motorists to park on his field at no cost, introduces a parking charge of \$1.



What happens as a result of the change?

- A The landowner gains a surplus of $Y + Z$.
 - B The motorist gains a surplus of $X + Y$.
 - C The ownership of surplus Y changes.
 - D There is a total surplus of $X + Y + Z$.
- 13 The table gives information about the market for two models of car.

model	number of cars sold per week	cross elasticity of demand with respect to the price of petrol
1200 cc	10 000	-0.25
2000 cc	5 000	-0.50

If the prices of the cars remain unchanged, but the price of petrol increases by 100%, what will be the effect on the number of cars sold per week?

- A increase by 5000
 - B no change
 - C decrease by 5000
 - D decrease by 15 000
- 14 In many countries there are goods that must be provided directly by the government.

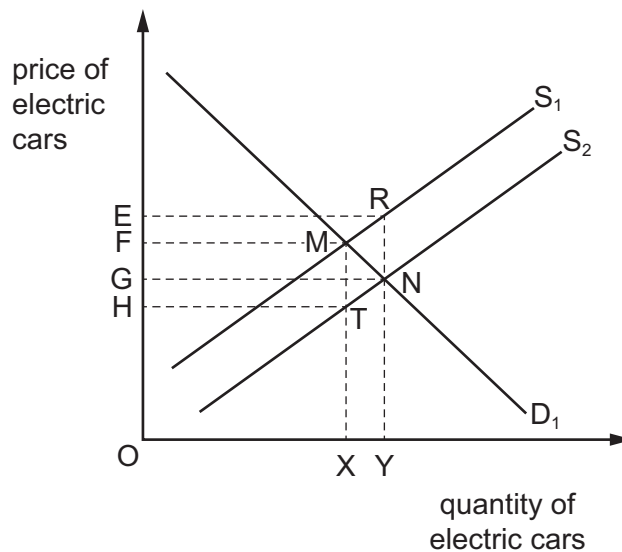
What would be the most convincing argument for such provision?

- A The consumption of these products may be beneficial.
- B The production of these products may be harmful.
- C The production of these products have high opportunity costs.
- D These products are non-rival in consumption and non-excludable.

- 15 The provision of rail services is switched from the private sector to the public sector.

What is necessarily correct?

- A The average fare charged for the service will fall.
 - B The profitability of the service will fall.
 - C The rail service's management will be responsible to different owners.
 - D There will be an increase in the number of workers employed.
- 16 The diagram represents the original demand curve D_1 and the original supply curve S_1 for electric cars. The government decides to provide a subsidy to electric car manufacturers.



Which area represents the total revenue of the car manufacturer after receiving the subsidy from the government?

- A OERY
 - B OFMX
 - C OGNY
 - D OHTX
- 17 A government decides to build additional public sector housing to be rented to people receiving low incomes.

What is most likely to fall as a result of this increase in public sector housing?

- A employment in the construction industry
- B land prices in towns and cities
- C rents of houses in the private sector
- D total government spending

18 Government spending for a year includes these items.

	\$m
pensions for elderly people	200
welfare payments to sick people	200
spending on hospitals	150
payment to unemployed workers	100
defence spending	100
teachers' salaries	50

What is the total of transfer payments by this government in \$m?

- A** 50 **B** 500 **C** 750 **D** 800

19 What would be certain to cause a fall in a country's cost of living?

- A** a fall in real incomes
B a fall in the inflation rate
C a negative inflation rate
D a reduction in direct tax rates

20 What is **not** an aim of protectionism?

- A** to improve balance of trade
B to increase price of exports
C to protect infant industries
D to reduce the volume of imports

21 A country with a fixed exchange rate experiences a higher rate of inflation than its trading partners.

What is the likely effect on the country's volume of exports and imports?

	exports	imports
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 22** A sudden rise in the price of imported oil caused the annual rate of inflation in a given period to be higher than expected.

What might be a likely result of this?

- A** Borrowers would gain.
 - B** Real wages would rise.
 - C** The balance of trade would improve.
 - D** Unemployment would fall.
- 23** What may increase the benefits a country gains from international trade?
- A** a reduction in transportation costs because of a fall in world oil prices
 - B** domestic wage rates increase at a faster rate than output per worker
 - C** the domestic labour force becomes more occupationally immobile
 - D** trading partners increase tariffs on imported goods
- 24** The world trade price of cars in country Y is US\$10 000. At this price domestic car producers supply 100 000 cars to the market and domestic consumers purchase 200 000 cars. The government of country Y imposes a 10% tariff on imported cars.

Under which conditions will this tariff raise the most revenue for the government?

	price elasticity of supply of car producers in country Y	price elasticity of demand for cars in country Y
A	+0.5	−0.5
B	+0.5	−1.5
C	+1.5	−0.5
D	+1.5	−1.5

- 25** A country has a balance of trade deficit.

When will this be **least** likely to be improved as a result of a depreciation of its currency?

- A** if it is currently operating with a significant amount of unused resources
- B** if the sum of the price elasticities of demand for exports and imports is less than 1
- C** if in the long term, the price elasticity of demand for exports should increase
- D** if the country uses a relatively small proportion of imports in their production process

26 Which statement about trade protection is correct?

- A** A tariff results in a greater decrease in demand for an import the lower is its price elasticity of demand.
- B** Embargoes are only an effective trade barrier when the demand for imports is price-elastic.
- C** Export subsidies to domestic firms will prevent the dumping of foreign products in the domestic market.
- D** Quotas are less effective than tariffs for raising government revenue.

27 Which type of policy would have the most immediate effect in dealing with a deflationary economic downturn?

- A** increasing the government's budget surplus
- B** increasing borrowing by assisting banks to lend more
- C** investing in long-term projects to improve transport networks
- D** switching the burden of taxation from earning to spending

28 Which combination identifies a main aim of supply-side policy and a measure used to achieve this target?

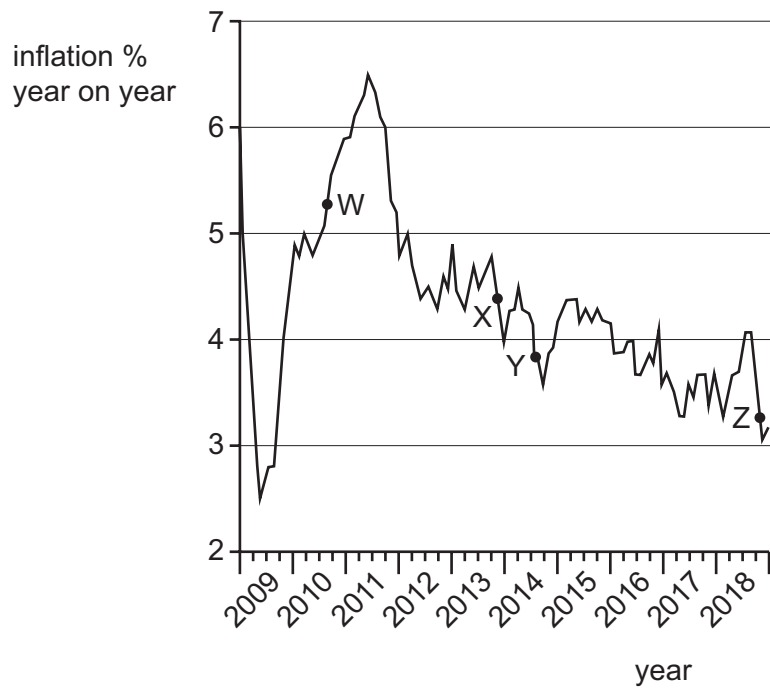
	main aim	policy measure
A	economic growth	deregulation
B	full employment	increasing the money supply
C	income equality	more progressive taxation
D	stable prices	decreasing interest rates

29 Deflation is associated with persistent falling price levels.

Which government policy would be most effective to prevent deflation?

- A** imposing maximum price levels on basic foodstuffs
- B** improving consumer confidence by reducing sales taxes
- C** increasing income tax rates and increasing government borrowing
- D** removing economic uncertainty and encouraging business investment

30 The graph shows inflation rates over 10 years for selected emerging economies.



Government central banks set target minimum inflation rates before readjusting interest rates to stabilise the economy.

If the minimum inflation rate target set by central banks was 4% per year, at which points would they allow interest rates to fall?

- A** W and X **B** X and Y **C** Y and Z **D** Z and W

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9708/13

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13	C	1
14	D	1
15	C	1
16	A	1
17	C	1
18	B	1
19	C	1
20	B	1
21	B	1
22	A	1
23	A	1
24	A	1
25	B	1
26	D	1
27	B	1
28	A	1

Question	Answer	Marks
29	D	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2021

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.



- 1 A European airline opens a new route to Dubai. It purchases additional aeroplanes, rents additional landing slots, hires pilots and buys back some of its shares to raise the value of the firm on the stock market.

What is an example of the factor of production capital?

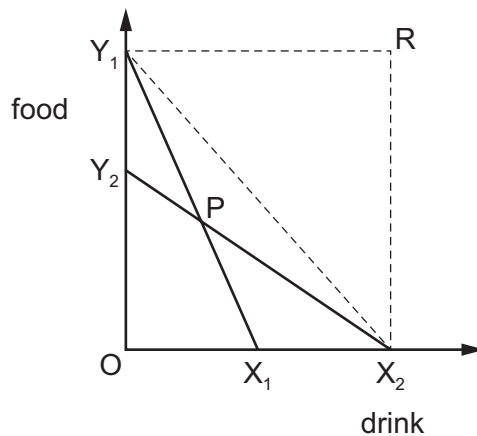
- A aeroplanes
 - B landing slots
 - C pilots
 - D shares
- 2 Which statement about the behaviour of firms in a planned economy is correct?
- A Firms are sent signals to produce through the price mechanism.
 - B Firms will operate in competitive markets.
 - C Firms will attempt to make profits for the benefit of shareholders.
 - D Firms are more likely to consider the private and external costs of production.
- 3 The table provides information on entrepreneurship among males in three countries in 2013.

	percentage of males with access to training on how to start a business (%)	percentage of males with access to finance to start a business (%)
Italy	19.1	10.3
Japan	31.3	34.0
Sweden	61.6	49.7

What can be concluded from the table?

- A In Sweden, it is easier for male entrepreneurs to get training than finance.
- B It is always more difficult for male entrepreneurs to get finance than training.
- C Italy provides less money for male entrepreneurs than Japan or Sweden.
- D Sweden has more male entrepreneurs than Italy or Japan.

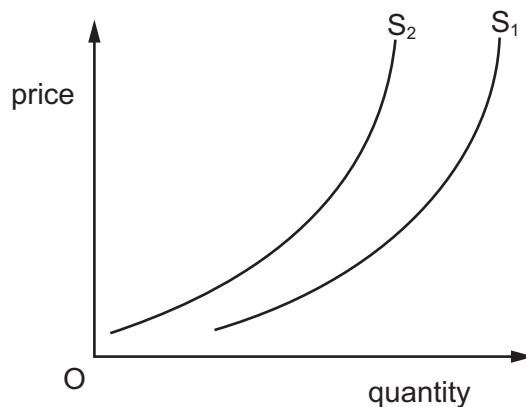
- 4 The diagram shows the production possibility curves of two economies, Northland (Y_1-X_1) and Southland (Y_2-X_2).



Both economies specialise based on the theory of comparative advantage and trade with one another.

What can be concluded from the diagram?

- A** Both economies face increasing opportunity costs.
 - B** Point P represents the final equilibrium outcome.
 - C** Point R shows the total possible combined production of food and drink.
 - D** All points on Y_1-X_2 are only attainable through trade.
- 5 The supply curve for fresh fish shifts from S_1 to S_2 as shown.



What is a possible reason for this change in the supply of fresh fish?

- A** Demand for fresh fish increases due to promotion of the health benefits.
- B** Favourable weather increases the quantity of fish being caught.
- C** Price of fresh fish falls due to a new substitute product becoming popular.
- D** Regulations limit the number of fish being caught to prevent over-fishing.

- 6 When the supply of a good decreases, equilibrium price stays the same.

What is the price elasticity of demand of the good?

- A -1
- B zero
- C +1
- D infinite
- 7 What can be measured by cross-elasticity of demand?
- A a change in real income as a result of a change in the price of consumer goods
- B a change in the demand for a good in response to a change in the price of a complement
- C a change in the price of a good in response to a change in the demand for a substitute
- D a change in the price of a good when the demand for it changes
- 8 The table shows the maximum price a consumer would be willing to pay for successive cans of fruit juice.

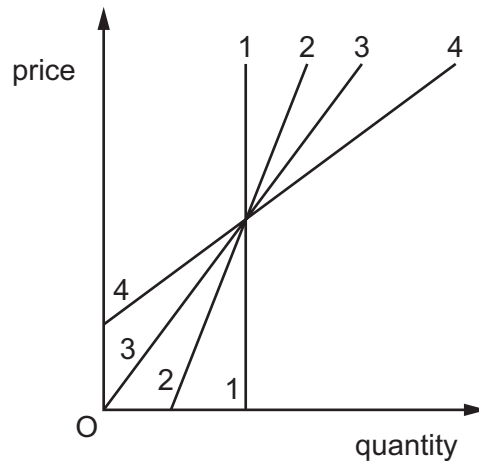
cans	first	second	third	fourth	fifth
price (\$)	14	10	6	4	3

The price of a can of fruit juice is \$4 and, having bought three cans, the consumer decides to buy a fourth.

How does buying the fourth can affect his consumer surplus?

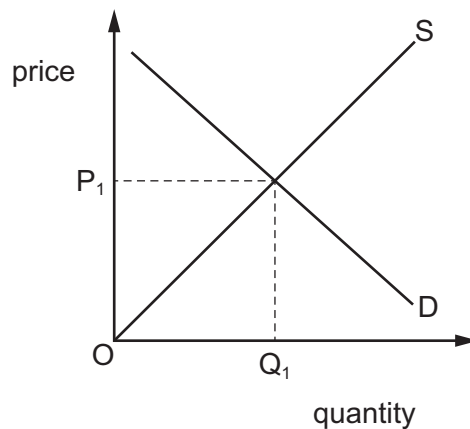
- A It leaves it unchanged.
- B It lowers it by \$2.
- C It raises it by \$4.
- D It raises it by \$34.

- 9 The diagram shows four supply curves.



Which statement about the price elasticities of the curves is correct?

- A Curve 1 has constant infinite elasticity.
 - B Curve 2 has elasticity greater than curve 4 over its whole length.
 - C Curve 3 has increasing elasticity as price rises.
 - D Curve 4 has decreasing elasticity as price rises.
- 10 The diagram shows the demand and supply curves for a good in a free market.



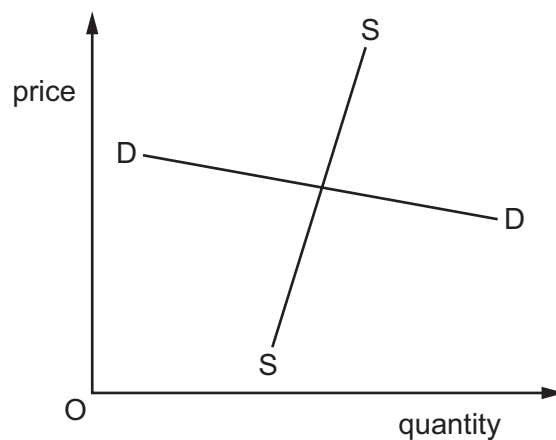
What can definitely be deduced from the diagram?

- A All the costs and benefits of consumption are reflected in OP_1 .
- B At OP_1 consumer expenditure is greater than the firm's revenue.
- C At OP_1 the price elasticity of supply is equal to one.
- D The market will not clear at a price of OP_1 .

- 11** The demand for a good increases.

Under which circumstances will the quantity supplied of the good rise the most?

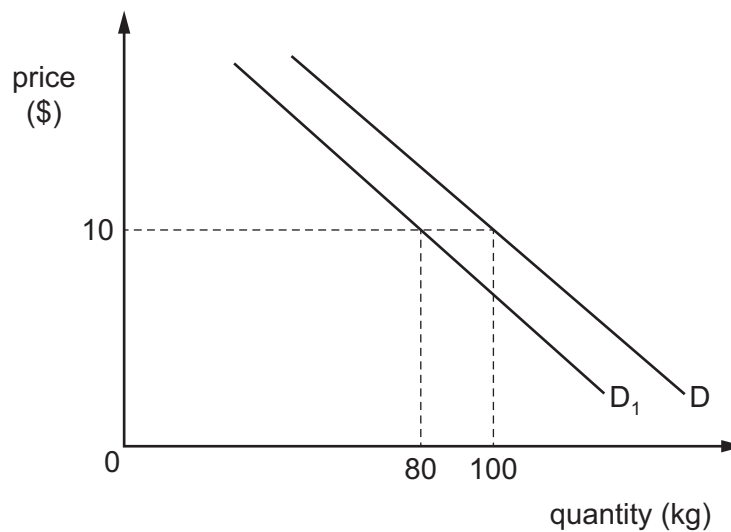
- A** It is an agricultural good that has an annual growing cycle and requires a cool climate.
 - B** It is an agricultural good that is perishable and very expensive to store.
 - C** It is a manufactured good that uses unskilled labour and there is unemployment in the economy.
 - D** It is a manufactured good that uses capital-intensive production and it is currently at full capacity.
- 12** The diagram shows the demand curve and supply curve for a good on which the government imposes a specific tax.



What will be the result of this tax?

- A** Most of the incidence of the tax will fall on the producer.
- B** There will be a new demand curve parallel to DD.
- C** The price will rise by the full amount of the tax.
- D** The quantity bought will fall proportionately to the tax rate.

- 13 The diagram shows how a 10% increase in consumer incomes shifts the demand for good X from D to D_1 .



Which statement about good X is correct?

- A It is a normal good with income elastic demand.
 - B It is a normal good with income inelastic demand.
 - C It is an inferior good with income elastic demand.
 - D It is an inferior good with income inelastic demand.
- 14 What is an example of privatisation?
- A the sale on the market of a French state-owned power-generation company
 - B the sale of a privately-owned water company to a German firm
 - C the takeover of a French car manufacturer by the French government
 - D the purchase of a Swedish pharmaceutical producer by a larger American pharmaceutical producer
- 15 What did Adam Smith mean by 'economy' when describing his canons of taxation?
- A The cost of collecting the tax should be low.
 - B The tax should be easy to pay.
 - C The tax should have a neutral effect on the use of resources.
 - D The tax should have a positive effect on aggregate supply.

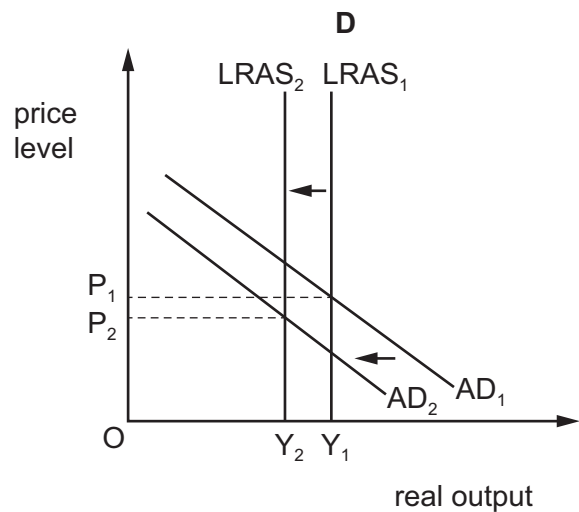
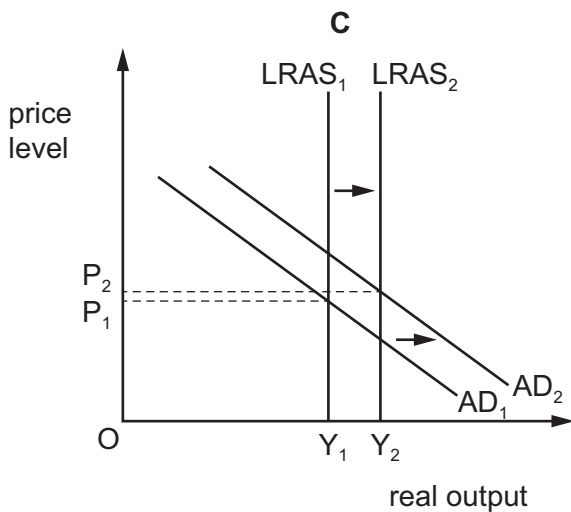
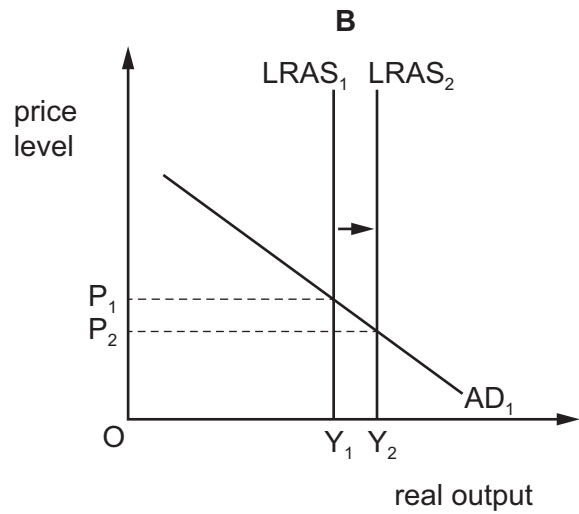
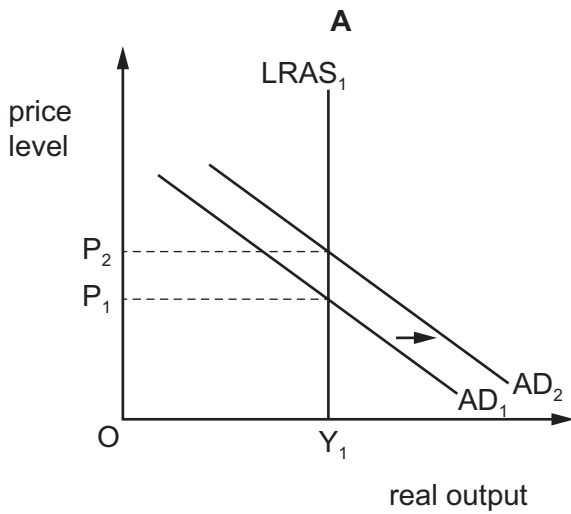
- 16 A government decides to remove fees for higher education provided by the public sector and the private sector.

What is the consequence of this policy?

- A Higher education is less likely to be provided by the private sector.
 - B Resources in higher education will be allocated through the price mechanism.
 - C The demand for higher education will be perfectly elastic when the price is zero.
 - D The opportunity cost of higher education to students will be zero.
- 17 What would be the main effect of imposing an effective maximum price on foodstuffs?
- A Inflation would rise.
 - B The price of foodstuffs would rise.
 - C There would be a decrease in the import of foodstuffs.
 - D There would be a shortage of foodstuffs.
- 18 An effective minimum price is applied to alcohol in an attempt to reduce consumption.
- Why would a government **not** buy up any surplus created?
- A Buying the surplus would be costly to the government.
 - B Buying the surplus would decrease the incomes of producers.
 - C Buying the surplus would lead to a shortage.
 - D Buying the surplus would lead to unemployment.

19 A government plans to increase spending on education and training every year.

Which diagram shows the likely effect of this increase on the economy's long-run output and price level?



20 What is disinflation?

- A** a fall in output
- B** a fall in the price level
- C** a fall in the rate of increase of the price level
- D** a fall in the value of national income

21 What best describes a country's terms of trade?

- A** the difference between the volume of its exports and its imports
- B** the average price of its exports divided by the average price of its imports
- C** the total value of its exports divided by the total value of its imports
- D** the volume of its exports divided by the volume of its imports

22 A developed country has a price-inelastic demand for oil, all of which it imports. The oil-producing countries increase the supply of oil.

What is likely to happen to the developed country's rate of inflation and its balance of trade?

	rate of inflation	balance of trade
A	decreases	improves
B	decreases	worsens
C	increases	improves
D	increases	worsens

23 Country X and country Y both produce rice and tables. Half of their resources are used to produce rice and the other half to produce tables. The resulting output of each product is given in the table shown.

country	rice	tables
X	150	100
Y	100	50

What can be concluded from the table?

- A** Country X has a comparative advantage in the production of both goods.
- B** Country X has a comparative advantage in the production of rice.
- C** Country Y has a comparative advantage in the production of both goods.
- D** Country Y has a comparative advantage in the production of rice.

24 An economy experiences a deficit on the current account of its balance of payments.

What could the economy do to finance this deficit?

- A** adopt a fixed exchange rate
- B** attract more foreign direct investment
- C** decrease income tax rates
- D** lower the rate of interest

- 25** A resident of country X buys shares in a firm in country Y. The shares then pay the resident a dividend.

Where are these two flows recorded in country X's balance of payments?

	purchase	dividend
A	capital account	primary income (income)
B	capital account	secondary income (current transfers)
C	financial account	primary income (income)
D	financial account	secondary income (current transfers)

- 26** What is the most likely cause of cost-push inflation in an economy?

- A** an increase in the exchange rate
- B** an increase in the money supply
- C** an increase in the prices of imports
- D** an increase in the rate of income tax

- 27** Which changes are most likely to reduce the accuracy of the consumer prices index (CPI) as a measurement of inflation?

- A** A larger sample is used in the household spending survey.
- B** Technology makes it easier for retailers to submit accurate monthly price data.
- C** Households change their spending habits.
- D** The weightings attached to the basket of goods are reviewed more often.

- 28** A government reduces the rate of direct income tax and devalues its currency.

Which row describes the policy effects of these decisions?

	fiscal policy	monetary policy	supply-side policy
A	contractionary	expansionary	contractionary
B	expansionary	contractionary	expansionary
C	expansionary	expansionary	contractionary
D	expansionary	expansionary	expansionary

- 29** The balance of payments on the current account for Guatemala in 2011 was –US\$1.6 bn and in 2016 was +US\$1.0 bn.

What is most likely to have been a contributory factor to this change in the balance of payments on the current account over this five-year period?

- A** an appreciation of Guatemala's currency
- B** a growth of household incomes in Guatemala
- C** a lowering of tariffs on goods imported into Guatemala
- D** productivity improvements in Guatemala's export sector

- 30** The government wishes to increase aggregate demand.

Which actions would be most likely to succeed?

- A** a reduction in income tax and an increase in interest rates
- B** a reduction in income tax and an increase in production subsidies
- C** an increase in corporate tax and an increase in government spending
- D** an increase in value added tax (sales tax) and a reduction in government spending

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Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2021

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2021 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	D	1
3	A	1
4	C	1
5	D	1
6	D	1
7	B	1
8	A	1
9	D	1
10	C	1
11	C	1
12	A	1
13	C	1
14	A	1
15	A	1
16	A	1
17	D	1
18	A	1
19	C	1
20	C	1
21	B	1
22	A	1
23	D	1
24	B	1
25	C	1
26	C	1
27	C	1
28	D	1

Question	Answer	Marks
29	D	1
30	B	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

October/November 2021

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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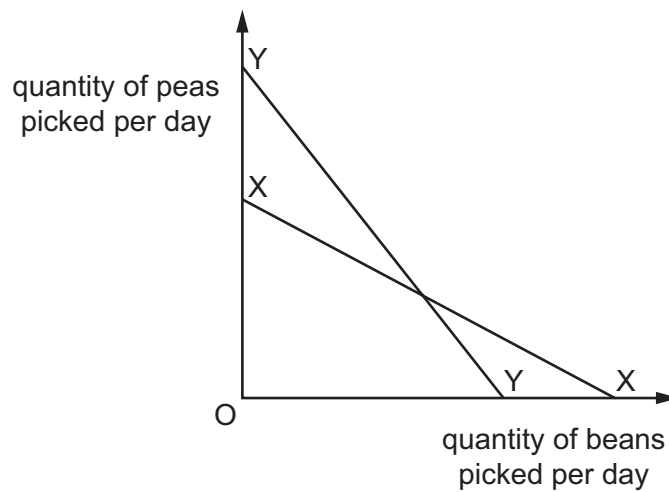
INFORMATION

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This document has **16** pages. Any blank pages are indicated.



- 1 Line XX is the production possibility curve (PPC) of a worker picking peas and beans in a 10 hour working day.



What could cause the worker's PPC to shift to the line YY?

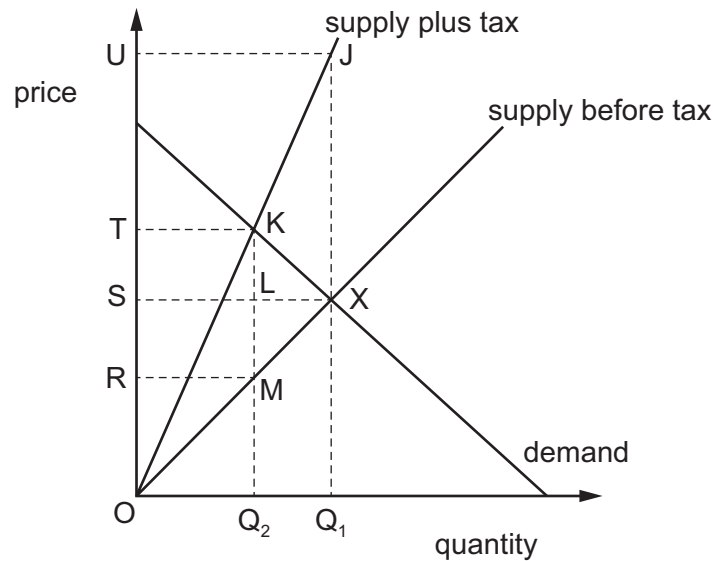
- A** a decrease in working hours to 8 per day and a machine that increases the worker's pea picking productivity
 - B** a machine that increases the worker's pea picking productivity only
 - C** a new work schedule where the worker spends 6 hours per day picking peas and only 4 hours picking beans
 - D** a reduction in working hours to 8 per day only
- 2 What is a function of money?
- A** divisibility
 - B** durability
 - C** portability
 - D** medium of exchange
- 3 What is classified as a public good by economists?
- A** flood defences
 - B** government-funded hospitals
 - C** government-run national parks
 - D** the internet

- 4 Which statement about the factors of production is correct?
- A** The factor capital includes shares and deposit accounts at banks.
- B** The factor labour includes human-made resources.
- C** The factor land includes forests and undiscovered copper.
- D** The factor enterprise takes risks and is rewarded with interest.
- 5 Which supply curve shows that the price elasticity of supply of the good is always equal to 1?
- A** a straight line that intersects the horizontal axis
- B** a straight line that intersects the vertical axis
- C** a straight line that passes through the origin
- D** a straight line that is vertical to the horizontal axis
- 6 What could cause a shift in the supply curve of good X and a movement along its supply curve?

	shift in the supply curve	movement along the supply curve
A	a change in demand for good X	an increase in the price of a substitute good
B	a decrease in factor productivity	the imposition of a tax on good X
C	an increase in the price of a complementary good	an increase in factor productivity
D	an increase in the wage rates in the industry	a change in demand for good X

- 7 The market for mobile phones is initially in equilibrium at X. The government then imposes a sales tax.

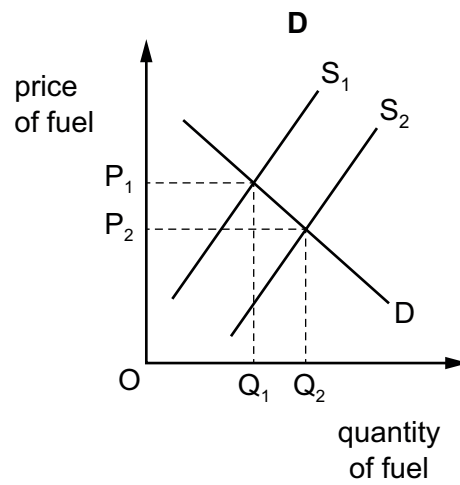
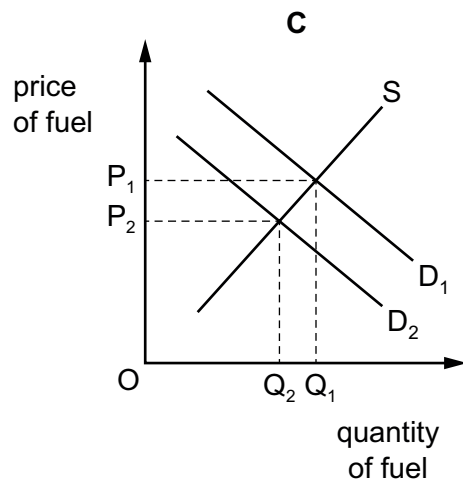
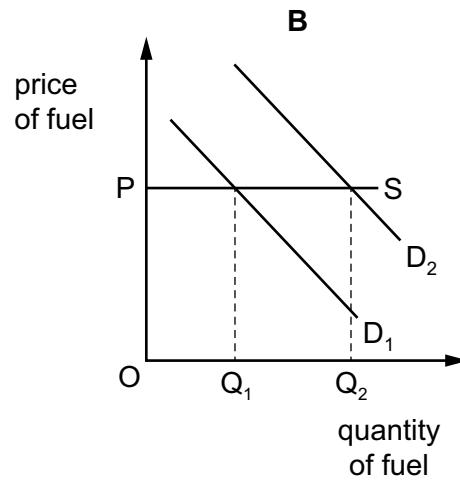
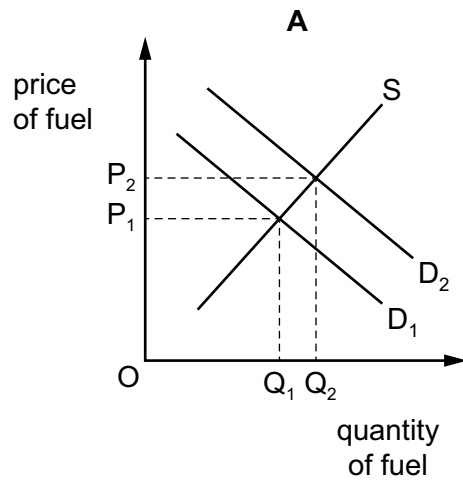
What is the government's total tax revenue from this tax?



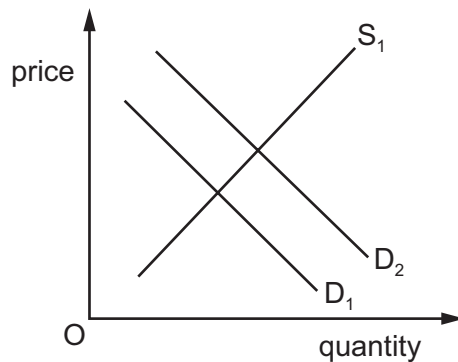
- A** JKX **B** TKLS **C** TKMR **D** UJXS
- 8 What is an example of the rationing function of the price mechanism?
- A** When the price of a product is falling, firms will allocate less resources to its production.
- B** When the price of a product is falling, the government can set an effective minimum price.
- C** When the price of a product is rising, firms will expand production of the product to make profits.
- D** When the price of a product is rising, some consumers will no longer be able to buy it.

- 9 In 2016 car drivers bought more fuel because the price of oil from which it was made had fallen.

Which diagram represents this change in the market for fuel?



- 10 The diagram shows the demand and supply curves for bread in a developed economy. Bread is a substitute for pasta and rice.



What would cause the demand curve for bread to shift from D_1 to D_2 in a developed economy?

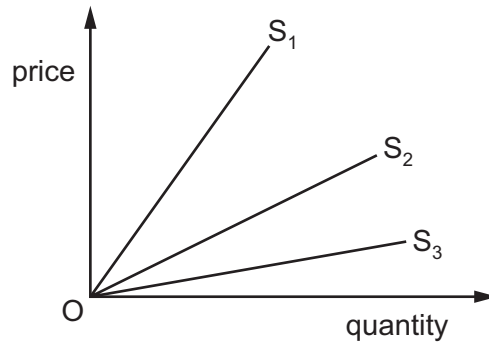
- A** a rise in the price of pasta and rice
 - B** a decrease in the real income of consumers
 - C** a recession and rising unemployment
 - D** a subsidy given to producers of pasta and rice
- 11 The table shows the quantity demanded of three goods when the price of good X changes.

price of X (\$)	quantity of X demanded	quantity of Y demanded	quantity of Z demanded
5	100	60	20
4	110	50	22
3	140	30	28
2	200	15	40
1	300	4	60

Which relationships between X, Y and Z can be deduced from the table?

	Y is	Z is
A	a complement for X	a complement for X
B	a complement for X	a substitute for X
C	a substitute for X	a complement for X
D	a substitute for X	a substitute for X

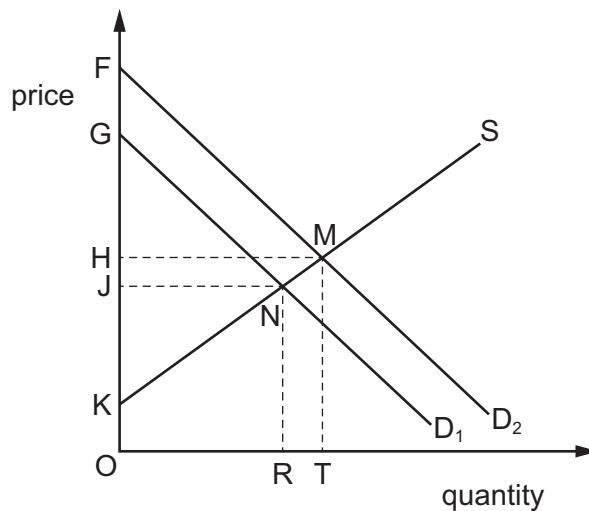
12 The diagram shows three supply curves.



What can be concluded about the price elasticity of supply of the curves?

- A** As price rises, the price elasticity of supply of S_2 will increase.
- B** At any price, the price elasticity of supply of S_1 will be less than that of S_3 .
- C** At any price, the price elasticity of supply of S_2 will be higher than that of S_3 .
- D** The price elasticity of supply of each curve is constant.

13 The diagram shows the market for smartphones in India.



Rising incomes in India have seen a demand for this normal good shift from D_1 to D_2 .

Which area now represents consumer surplus and which area now represents producer surplus?

	consumer surplus	producer surplus
A	FMH	HMK
B	FMH	OKMT
C	GNJ	HMNJ
D	GNJ	JNK

14 A nationalised industry is privatised.

Assuming there is no change in the output of the industry in the short run, what are the direct effects of the change?

	size of public sector	proportion of industry output entering the market
A	decreases	increases
B	decreases	no change
C	no change	increases
D	no change	no change

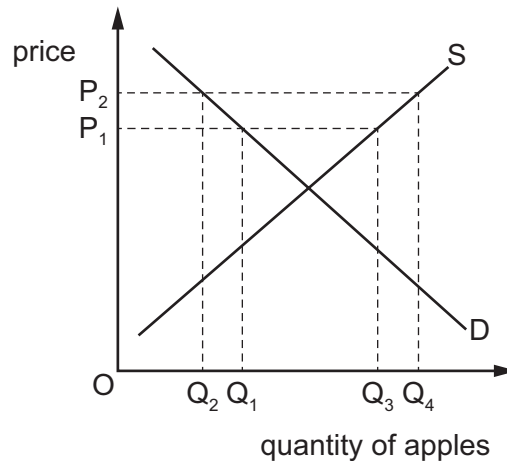
15 What is a distinguishing feature of a progressive income tax?

- A** High earners pay a higher proportion of their income in tax than low earners.
- B** High earners pay a lower proportion of their income in tax than low earners.
- C** High earners pay the same proportion of their income in tax as low earners.
- D** Low earners pay more tax than high earners.

16 Why might a government nationalise a private firm?

- A** to gain greater efficiency due to more competition
- B** to increase merit good provision
- C** to increase choice for the consumer
- D** to raise more tax revenue

- 17 The diagram shows a firm's supply of and demand for apples.



If a minimum price is increased from P_1 to P_2 what will happen to the amount of apples sold?

- A It will decrease from Q_1 to Q_2 .
 - B It will decrease from Q_4Q_1 to Q_2Q_3 .
 - C It will increase from Q_3 to Q_4 .
 - D It will increase from Q_3Q_2 to Q_4Q_1 .
- 18 In an attempt to reduce crime, a government introduces a subsidy on the production of burglar alarms, but sales rise very little.

Which possible characteristics of the good would lead to this outcome?

	price elasticity of demand	price elasticity of supply
A	high	high
B	high	low
C	low	high
D	low	low

- 19 Compared with Pakistan, Germany has a higher output of pharmaceuticals per unit of resources used.

What could explain this?

- A the existence of floating exchange rates
- B the law of absolute advantage
- C the Marshall–Lerner condition
- D the terms of trade

- 20** Which statement about inflation is correct?
- A** Inflation will lead to a rise in exports.
 - B** Inflation will lead to a rise in real incomes.
 - C** Inflation will lead to a rise in the cost of living.
 - D** Inflation will lead to a rise in the purchasing power of money.
- 21** Why is it that a country's balance of payments must always balance?
- A** Exchange rate changes will correct any deficit or surplus.
 - B** One country's deficit is balanced by another country's surplus.
 - C** The current account is balanced by the capital and financial accounts.
 - D** The government must act to correct any disequilibrium.
- 22** Which argument for protection would be most relevant if the government of country X decided to exercise voluntary export restraint in its trade with country Y?
- A** Voluntary export restraint would achieve an immediate correction for X's balance of trade deficit.
 - B** Voluntary export restraint would cause the level of GDP to increase in country X.
 - C** Voluntary export restraint would help to negotiate improved trading conditions between X and Y.
 - D** Voluntary export restraint would help to reduce the level of unemployment in country X.
- 23** The average price of a country's exports increased by 5% and the average price of its imports increased by 10%.
- What can definitely be concluded from this information?
- A** Its balance of trade will improve.
 - B** Its balance of trade will worsen.
 - C** Its terms of trade have improved.
 - D** Its terms of trade have worsened.

- 24** There is an increase in indirect taxes.

What will be the impact on demand-pull inflation and on cost-push inflation?

	demand-pull inflation	cost-push inflation
A	fall	fall
B	fall	rise
C	rise	fall
D	rise	rise

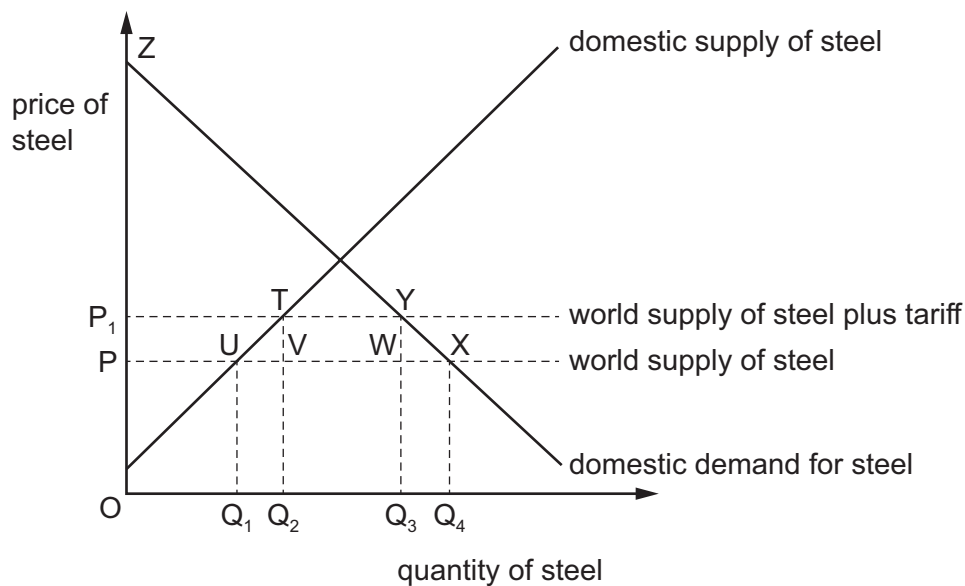
- 25** The table shows the number of biscuits and cakes that can be produced by four workers in an hour.

	Laura	Mo	Nathan	Omar
biscuits	6	10	13	8
cakes	3	10	12	16

Who has the greatest comparative advantage in producing biscuits?

- A** Laura
 - B** Mo
 - C** Nathan
 - D** Omar
- 26** Which condition is necessary for a country's balance of payments on its current account to improve if it reduced its exchange rate?
- A** Both the price elasticities of supply for its imports and its exports must be elastic.
 - B** The importing country will buy all the excess supplies of its trading partner to clear the market.
 - C** The sum of the price elasticities of domestic demand for imports and the foreign demand for exports must be greater than one.
 - D** The trading partners need to agree on the maximum prices to be charged for imports and exports.

- 27 The diagram shows the effect of the United States (US) imposing a tariff on the import of steel in 2018.



Which statement about the impact of the tariff is correct?

- A Consumer surplus falls from P_1TO to PUO .
 - B Domestic output increases from OQ_1 to OQ_3 .
 - C Imports fall from Q_1Q_4 to Q_2Q_3 .
 - D The tax revenue raised on imports is P_1YWP .
- 28 In 2012, the Indian Government stated that it aimed to reduce its budget deficit to 5.1% of GDP.
- Which policy is most likely to help this aim in the short run?
- A a decrease in import tariffs
 - B a decrease in the rate of interest
 - C an increase in the sale of state-owned assets
 - D an increase in government pension payments
- 29 What would make a policy of raising interest rates **less** likely to be effective in reducing inflation?
- A Aggregate supply is increasing faster than aggregate demand.
 - B Consumers expect prices to rise even faster in the future.
 - C Consumers' spending is largely paid for on credit.
 - D Interest rates are still higher abroad.

30 Country X is an open economy with a floating exchange rate. It changes to a fixed exchange rate.

Which combination of policy changes would be most effective in reducing inflation?

	fiscal policy	new fixed exchange rate
A	higher direct taxes	above purchasing power parity
B	higher direct taxes	below purchasing power parity
C	higher indirect taxes	above purchasing power parity
D	higher indirect taxes	below purchasing power parity

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

October/November 2021

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	D	1
3	A	1
4	C	1
5	C	1
6	D	1
7	C	1
8	D	1
9	D	1
10	A	1
11	C	1
12	D	1
13	A	1
14	B	1
15	A	1
16	B	1
17	A	1
18	D	1
19	B	1
20	C	1
21	C	1
22	C	1
23	D	1
24	B	1
25	A	1
26	C	1
27	C	1
28	C	1

Question	Answer	Marks
29	B	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

October/November 2021

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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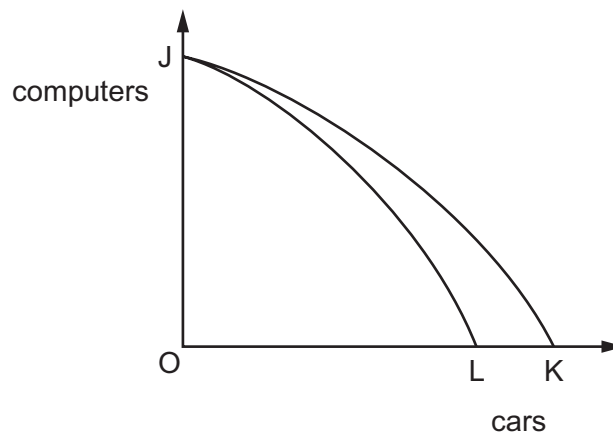
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 In the diagram JK is the initial production possibility curve for an economy producing computers and cars.



What could cause the curve to shift to JL?

- A a fall in output per worker in the car industry
 - B a fall in the level of competition in the car industry
 - C a rise in the potential workforce of the economy
 - D a rise in the price of cars
- 2 Consumers in country X buy some goods and services from private sector firms. Other goods and services are provided by the state.

What is this type of economy?

- A free market economy
 - B joint economy
 - C mixed economy
 - D planned economy
- 3 In 2017 the Bank of England introduced a new version of the £1 coin as there were concerns that large quantities of illegal £1 coins had been put into circulation.

Which characteristic of money did the illegal £1 coins threaten?

- A acceptability
- B divisibility
- C durability
- D portability

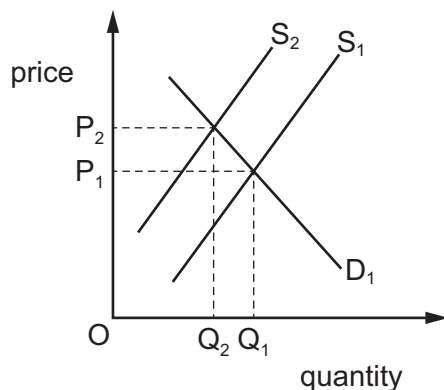
4 Which statement is a positive statement?

- A Low inflation is preferable to low unemployment as a government aim.
- B Low inflation will provide a more stable macro economy.
- C The government must intervene in all markets to improve resource allocation.
- D The government should cut income tax so living standards can improve.

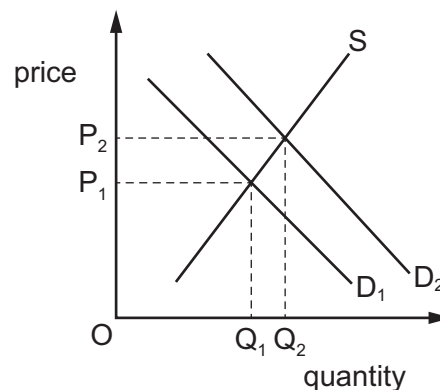
5 What could cause an increase in consumer surplus in the market for a good?

	an increase in demand for the good	an increase in supply of the good
A	no	no
B	no	yes
C	yes	no
D	yes	yes

6 The diagrams show the effect of a change in the market for good X on the market for good Y.



change in the market
for good X

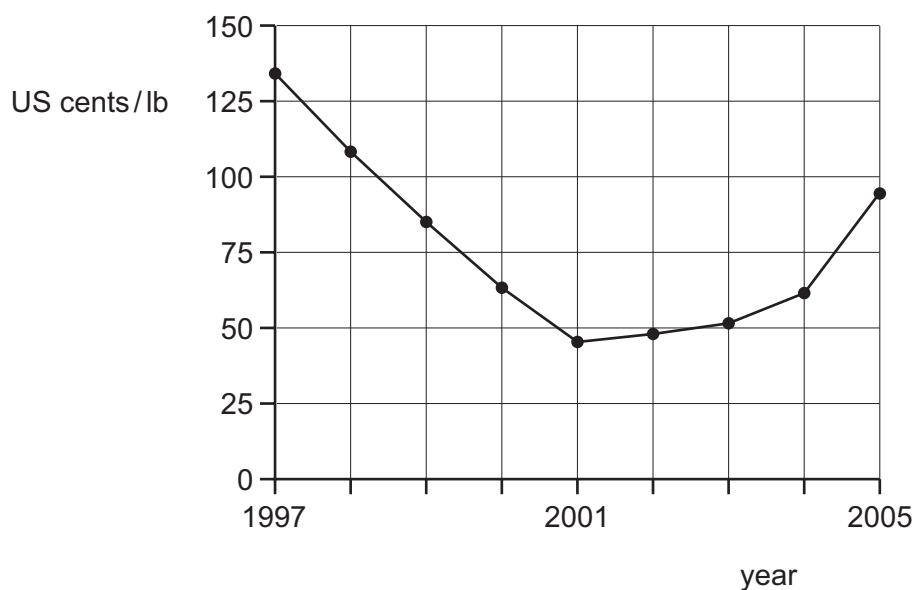


effect on the market
for good Y

What can be concluded from the diagrams?

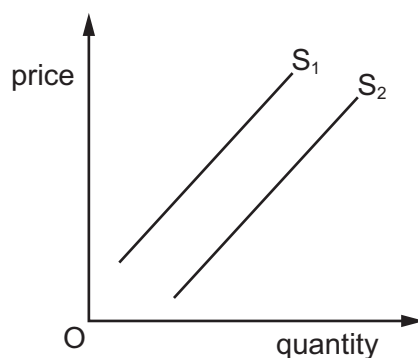
- A X and Y are complements.
- B X and Y are in joint supply.
- C X and Y are substitutes.
- D Y is a derived demand from X.

- 7 The diagram shows the average world price of coffee in US cents per pound weight (lb) between 1997 and 2005.



Which event is consistent with the price behaviour shown in the specified time period?

- A** a continuous rise in the price of tea between 1997 and 2001
 - B** the entry to the market of new producers of coffee between 1997 and 2001
 - C** a series of good coffee harvests between 2001 and 2005
 - D** increasing health worries about drinking coffee between 2001 and 2005
- 8 The diagram shows a shift in the supply curve for a product from S_1 to S_2 .

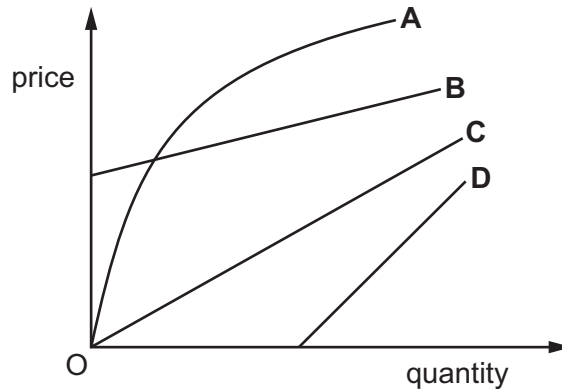


What could cause this shift in the supply curve?

- A** an increase in the cost of producing the product
- B** an increase in the income of consumers of the product
- C** an increase in the demand for a product that is jointly supplied
- D** an increase in the price of the product

- 9 The diagram shows four supply curves.

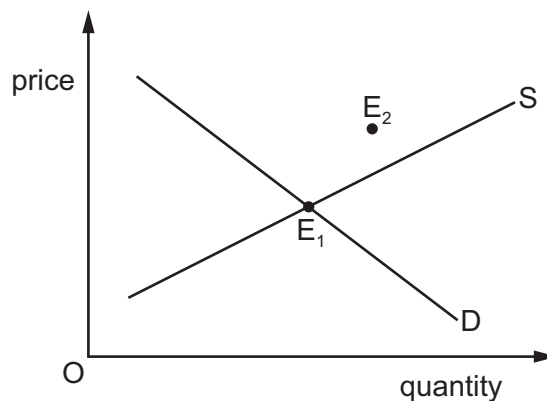
For which curve is the price elasticity of supply constant?



- 10 What would be the price elasticity of demand for smartphones if their price fell from US\$100 to US\$90 and the quantity demanded rose from 200 to 250?

A 0.2 B 0.4 C 2.5 D 5.0

- 11 The diagram shows the demand for and supply of a normal good. E_1 is the initial equilibrium position.



Which changes could result in a new equilibrium E_2 ?

- A a decrease in both the demand for and the supply of the good
 B an increase in both the demand for and the supply of the good
 C an increase in consumer incomes, and a decrease in the supply of the good
 D an increase in the price of a complement to the good, and an increase in the supply of the good

- 12** The table shows the market demand and market supply for kiwifruit over a year.

At a market price of \$3 per kg there is disequilibrium in the market.

price of kiwifruit (\$ per kg)	total market demand (thousand tonnes)	total market supply (thousand tonnes)
1	220	120
2	190	130
3	160	140
4	130	150
5	100	160

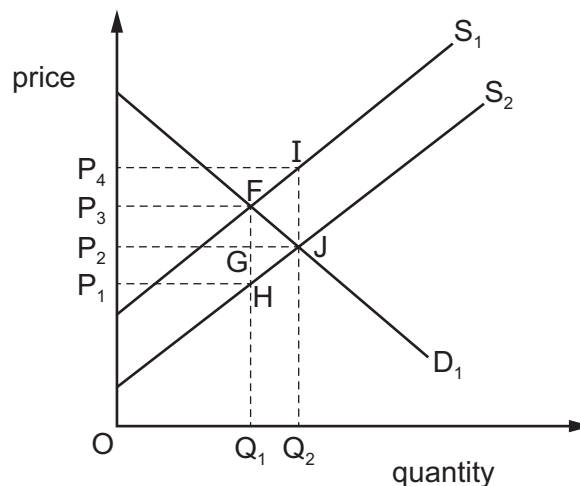
Which action would the government have to take to achieve market equilibrium at a price of \$3 per kg?

- A** impose an indirect tax of \$2 per kg on kiwifruit
 - B** purchase the entire supply at \$3 per kg and sell at \$2 per kg
 - C** set a maximum price of \$3 per kg
 - D** subsidise kiwifruit production by \$2 per kg
- 13** The cross-elasticity of demand of good S with respect to the price of good P is +1.5.
The cross-elasticity of demand of good S with respect to the price of good R is -1.5.
The cross-elasticity of demand of good P with respect to the price of good R is -1.5.
- What can be concluded about goods P, R and S?
- A** S and P are complements; P and R are substitutes.
 - B** S and P are complements; R is an inferior good.
 - C** S and P are substitutes; P and R are complements.
 - D** S and P are substitutes; R is an inferior good.
- 14** A government wishes to impose a tax on a good so that the consumer pays most of the tax increase.

Which type of elasticity would best achieve this aim?

- A** high price elasticity of supply
- B** low price elasticity of supply
- C** unitary price elasticity of supply
- D** perfectly inelastic price elasticity of supply

- 15 Why does the production of public goods have to be financed by the government?
- A One person's consumption of a public good means it is not available for anyone else.
 - B People are able to consume public goods without paying for them.
 - C Private sector firms will charge a price significantly above cost for public goods.
 - D The cost of producing public goods is higher in the private sector.
- 16 Which payment is a transfer payment?
- A households' payments of indirect taxes
 - B government pension payments
 - C payments between firms for the supply of raw materials
 - D payment of salaries
- 17 The diagram shows the effects of a subsidy in the market for wheat.



Which area shows the total government spending on the subsidy?

- A OP_2JQ_2
 - B OP_3FQ_1
 - C P_3FJP_2
 - D P_2P_4IJ
- 18 A government wishes to reduce the consumption of alcohol.
- Which policy will it use to achieve this aim by fixing the price of alcohol?
- A fix maximum price above market price
 - B fix maximum price below market price
 - C fix minimum price above market price
 - D fix minimum price below market price

19 According to the theory of comparative advantage, what makes trade beneficial between two countries?

- A** Each country has different goods to sell and different tastes.
- B** Each country has different opportunity costs of production.
- C** One country has the absolute advantage in producing both goods.
- D** The prices of goods are different between each country.

20 The demand for a country's exports is price-elastic. Its government introduces export subsidies.

What will be the effect on its balance of trade and on its terms of trade?

	balance of trade	terms of trade
A	increase	increase
B	increase	decrease
C	decrease	increase
D	decrease	decrease

21 The table shows the average changes in the prices and volumes of exports and imports.

Which combination of changes would result in an increase in the terms of trade?

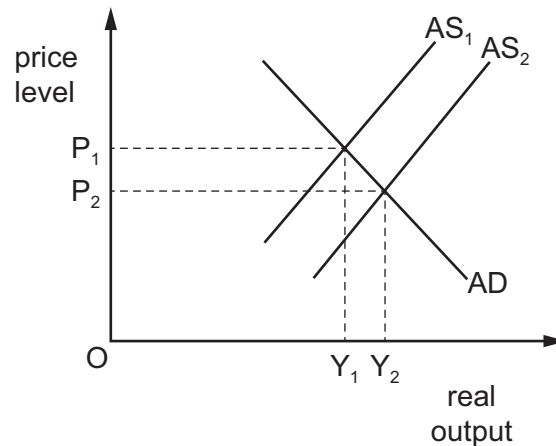
	export prices	export volumes	import prices	import volumes
A	−10%	+15%	−15%	+10%
B	−3%	+6%	−2%	+1%
C	+5%	−5%	+6%	−1%
D	+10%	−5%	+12%	−6%

22 A government decides to increase a quota on an imported good.

What is likely to happen?

- A** The demand for the good will fall.
- B** The good will become more expensive.
- C** The government's revenue will decline.
- D** There will be more of the good imported.

- 23** The diagram shows aggregate demand (AD) and aggregate supply (AS) for an economy.



What is most likely to cause the shift from AS_1 to AS_2 ?

- A** a decrease in the exchange rate
 - B** a decrease in the price level
 - C** a fall in immigration
 - D** a fall in the average level of wages
- 24** Country X places a tariff of 20% on steel products imported from country Y. Country Y retaliates with a 20% tariff on computers imported from country X.

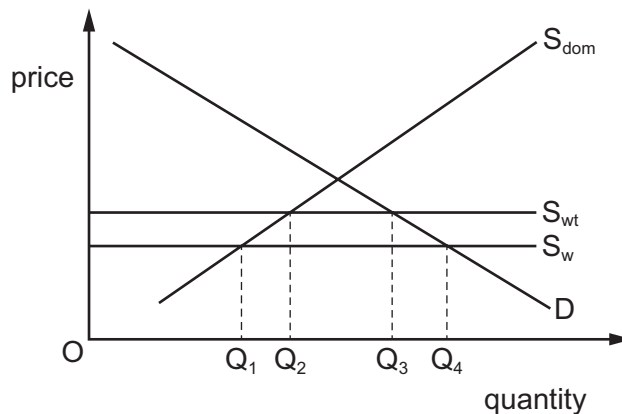
What is a certain economic consequence of these actions?

- A** The balance of payments of country X and country Y will remain unchanged.
 - B** The exchange rate value on which trade between the two countries is based will be maintained.
 - C** The profits and employment of domestic firms in both countries will be preserved.
 - D** The volume of bilateral trade between country X and country Y will be reduced.
- 25** A country has a floating exchange rate.

An increase in which variable within that country can cause its exchange rate to appreciate?

- A** employment levels
- B** income levels
- C** interest rates
- D** price levels

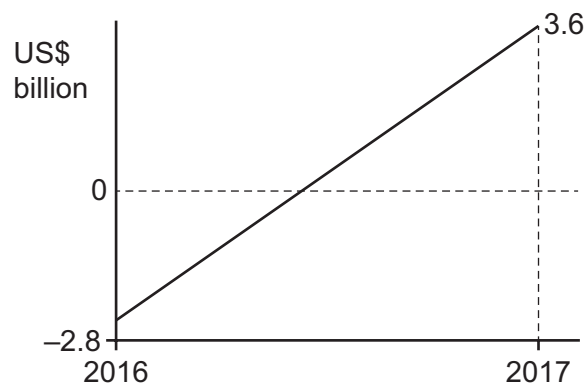
- 26 The diagram shows the effects of the imposition of a tariff on an internationally-traded good. S_{dom} is the supply and D the demand in country R. S_w is the world supply curve of the product and S_{wt} is the world supply curve after the imposition of a tariff by country R.



Which combination describes the effect on domestic supply of and demand for the good in country R after the imposition of the tariff?

	demand	domestic supply
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

- 27 The graph shows the change in the current account of Belgium's balance of payments from 2016 to 2017.



What will be the **most** likely impact of the change shown by the graph on Belgium's domestic economy?

- A** a fall in the rate of economic growth
- B** a fall in the foreign currency reserves
- C** a fall in the number of unemployed
- D** a fall in the rate of inflation

- 28** What is an example of the use of monetary policy?
- A** a cut in the rate of corporation tax
 - B** a reduction in interest rates
 - C** a switch from direct to indirect taxation
 - D** the introduction of maximum price controls to reduce inflation
- 29** Which policy would be likely to increase inflation?
- A** an increase in income tax
 - B** an increase in interest rates
 - C** limiting the amount banks can lend
 - D** raising the level of import tariffs
- 30** What are the components of aggregate demand?
- A** consumption + investment + government spending + (exports – imports)
 - B** consumption + investment + taxation – (exports – imports)
 - C** consumption + saving + taxation – (exports – imports)
 - D** consumption + saving + taxation + (exports – imports)

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Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

October/November 2021

MARK SCHEME

Maximum Mark: 30

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9	C	1
10	C	1
11	C	1
12	D	1
13	C	1
14	A	1
15	B	1
16	B	1
17	D	1
18	C	1
19	B	1
20	B	1
21	A	1
22	D	1
23	D	1
24	D	1
25	C	1
26	B	1
27	C	1
28	B	1

Question	Answer	Marks
29	D	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

February/March 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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INFORMATION

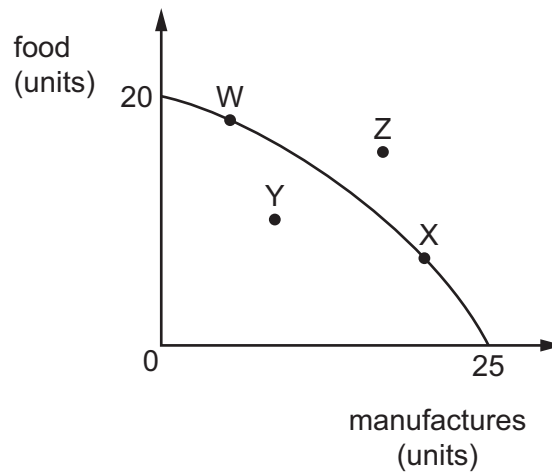
- The total mark for this paper is 30.
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This document has **12** pages.



- 1 A production possibility curve shows the combinations of outputs an economy can produce using all available resources.

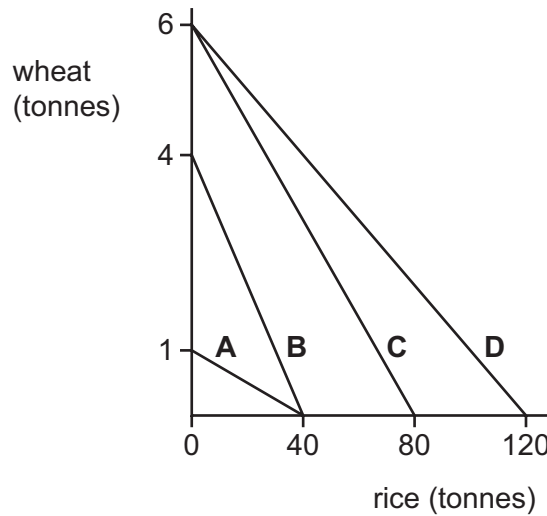
At which points on the diagram are all available resources used?



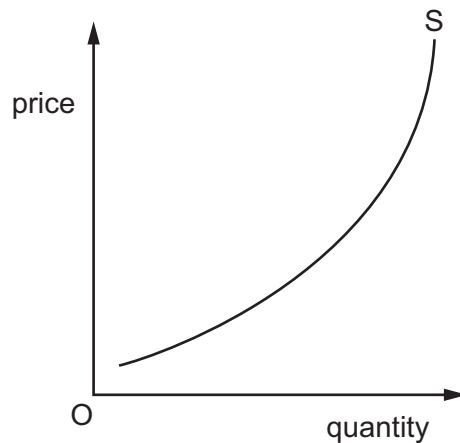
- A W and X only
 - B W, X and Z only
 - C W, X, Y and Z
 - D Z and Y only
- 2 What is a normative economic action based on?
- A fact
 - B market forces
 - C opinion
 - D price changes
- 3 Which function of money overcomes the double coincidence of wants problem that exists in a barter system?
- A medium of exchange
 - B standard of deferred payment
 - C store of value
 - D unit of account

- 4 The production possibility curves (PPCs) show the abilities of four economies to produce wheat and rice.

Which PPC has the lowest opportunity cost for producing wheat?



- 5 The diagram shows a supply curve for chicken.

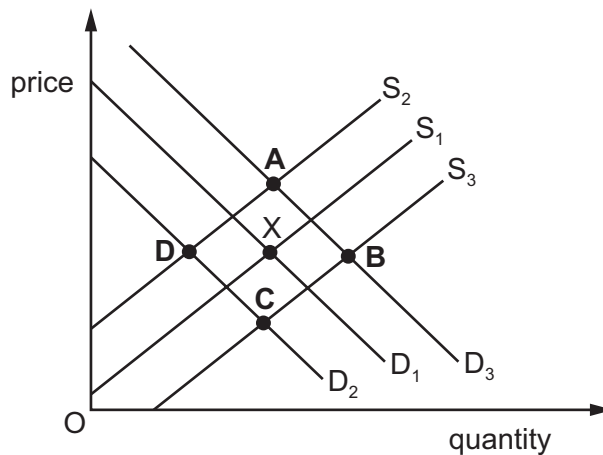


What explains why the supply curve for chicken slopes upwards?

- A An increase in the demand for chicken will bring about a rise in supply.
- B Farmers' productivity rises as the price rises.
- C Increased production leads to a reduction in costs.
- D The cost of additional chicken production rises as output increases.

- 6 The diagram shows the demand and supply curves for cars in India. The initial equilibrium is at X.

What will be the new equilibrium if there is a subsidy given to Indian car manufacturers and there is also an increase in the price of train and bus journeys in India?



- 7 Demand curves are drawn *ceteris paribus*.

Which 'other things' are **not** required to remain the same when an individual's demand curve for ice cream is constructed?

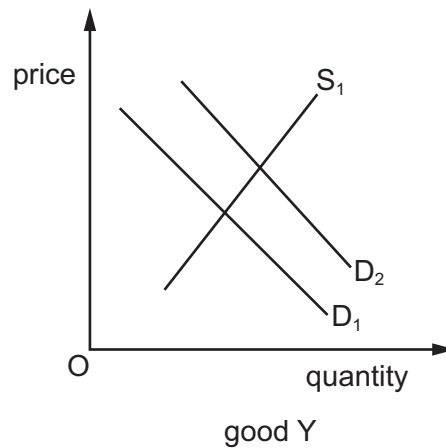
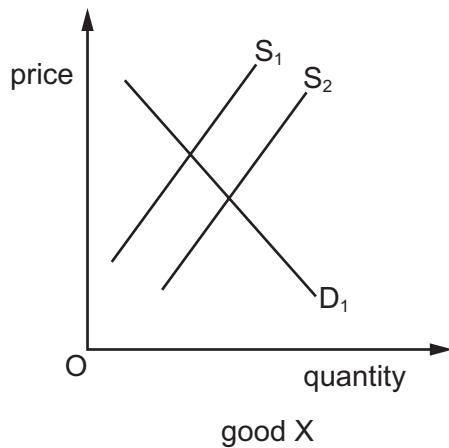
- A the consumer's income
 - B the consumer's tastes and preferences
 - C the price of fresh fruit
 - D the price of ice cream
- 8 What is the measure of cross-elasticity of demand for good X in terms of good Y?
- A the change in the demand for X divided by the change in the price of Y
 - B the change in the price of X divided by the change in the demand for Y
 - C the percentage change in the demand for X divided by the percentage change in the price of Y
 - D the percentage change in the demand for Y divided by the percentage change in the price of X
- 9 When will the price mechanism be **least** likely to reallocate resources to meet a change in consumer preferences?
- A when the government removes all price controls
 - B when the new preferences are for more public goods
 - C when the supply of factors of production is limited
 - D when there is a redistribution of income

- 10** A firm estimates that the price elasticity of supply of its product is +1.5.

What does this indicate?

- A** The firm has available stock.
 - B** The firm has no excess capacity.
 - C** The firm operates in a competitive market.
 - D** The firm raises its price by 10% and its total revenue increases by 15%.
- 11** A rise in the price of a good is accompanied by an increase in the quantity demanded.
- What could explain this?
- A** Consumers spend a high proportion of disposable income on the good.
 - B** The price of a complementary good has also increased.
 - C** The price of the good is taken to be an indication of the level of quality.
 - D** The substitute goods are all very much more expensive.
- 12** What causes the demand curve for an inferior good to shift to the right?
- A** a decrease in consumer incomes
 - B** a decrease in income tax
 - C** a decrease in the price of a substitute good
 - D** a decrease in the price of the good

- 13 The diagrams show the effect of a change in the market for good X on the market for good Y.



What is the **most** likely relationship between the two goods?

- A X and Y are complements.
 - B X and Y are demerit goods.
 - C X and Y are in joint supply.
 - D X and Y are substitutes.
- 14 To improve its financial position, a government decided to reduce expenditure on investment in the public sector. There was not a fall in economic growth.

What was the **most** likely effect of the government's action?

- A An original budget deficit was reduced.
 - B An original budget surplus was reduced.
 - C Consumer expenditure decreased.
 - D Public sector productivity decreased.
- 15 What are the effects of a government imposing a maximum price below the equilibrium price?

	demand	supply
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

- 16** The National Library Board of Singapore is a public sector organisation that finances and manages the state libraries.

What is the **most** likely reason for this?

- A** Libraries are public goods.
- B** Libraries are merit goods.
- C** The cost of providing library services would be greater in the private sector.
- D** The opportunity cost to the public sector of providing library services is zero.

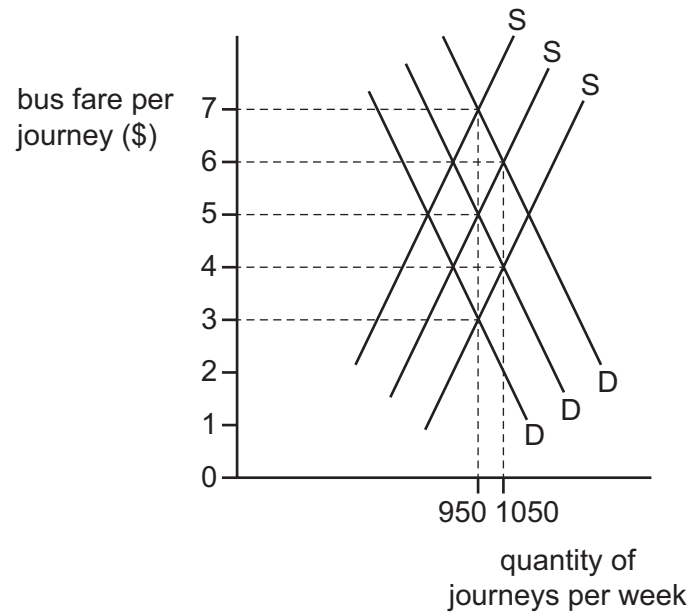
- 17** Three types of tax are listed.

- a sales tax (VAT) on fuel
- a specific tax of 10% on cigarettes
- the percentage of income tax on individual earnings increases as taxable income increases

Which combination describes the effect of each of these types of tax?

	VAT	specific tax	income tax
A	progressive	progressive	regressive
B	progressive	regressive	progressive
C	regressive	progressive	regressive
D	regressive	regressive	progressive

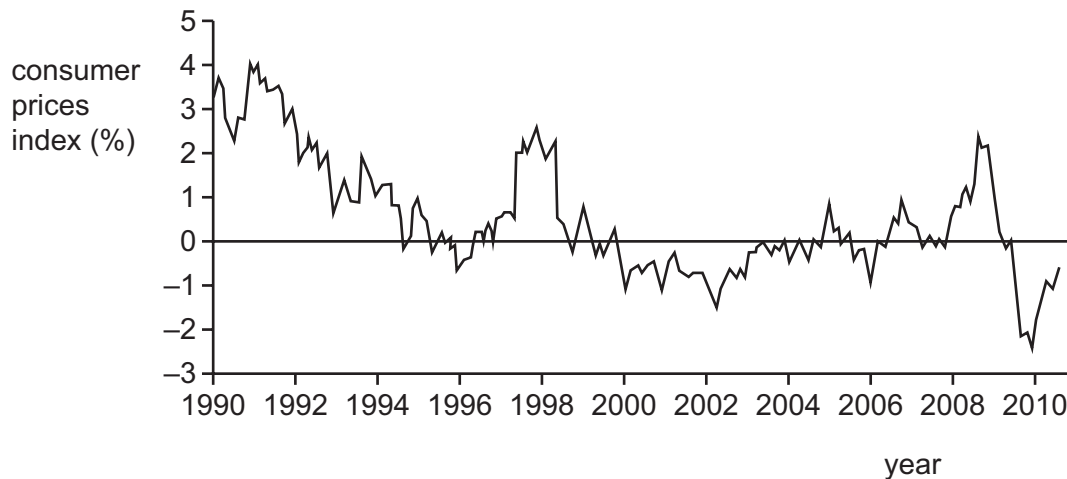
- 18 The bus fare in a rural area is \$5 per journey. The government decides to improve local transport by giving bus firms a subsidy of \$2 per journey. The diagram shows the possible changes in demand and supply.



What is the new quantity of journeys and the bus fare for a journey?

	quantity of journeys	bus fare (\$)
A	950	3
B	950	7
C	1050	4
D	1050	6

- 19 The diagram shows the annual consumer prices index for Japan over the years 1990–2010 inclusive.



In which period did Japan experience both inflation at a rate of approximately 2% and deflation at a rate of approximately 2.5%?

- A** 1992–1994 **B** 1996–1998 **C** 2006–2008 **D** 2008–2010

- 20 A government removes its quota on imported laptops.

Assuming a normal demand curve and upward-sloping supply curve for laptops, what are the likely effects on domestic laptop manufacturers?

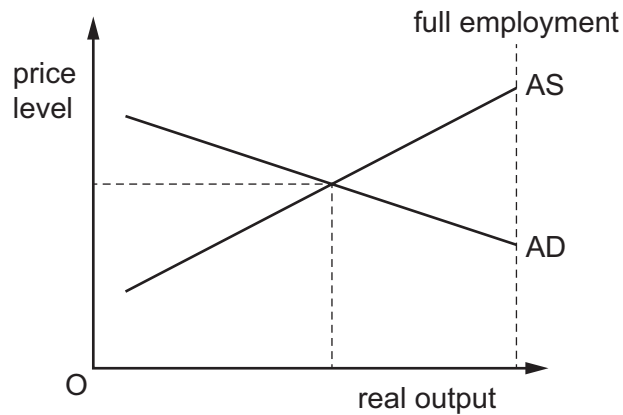
	change in price received by domestic manufacturers	change in income received by domestic manufacturers
A	decrease	decrease
B	increase	increase
C	decrease	uncertain
D	increase	uncertain

- 21 The terms of trade index for Mauritius fell from 111.2 in the first quarter of 2018 to 106.1 in the second quarter.

Which combination could have produced this outcome?

	export prices	import prices
A	rose	fell
B	rose	rose
C	rose	unchanged
D	unchanged	fell

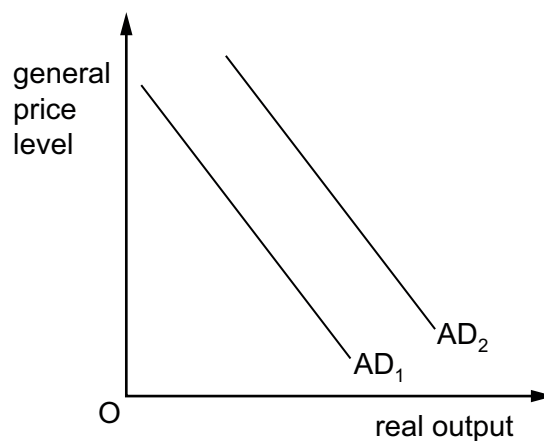
- 22 From the initial position of equilibrium shown, there is an increase in government expenditure on goods and services and simultaneously an increase in the costs of production of goods and services.



What best describes the likely impact on the economy?

	equilibrium level of national income	equilibrium level of prices
A	falls	uncertain
B	no change	no change
C	rises	rises
D	uncertain	rises

- 23 The diagram shows a shift in an economy's aggregate demand curve from AD_1 to AD_2 .



What could **not** be a cause of the shift?

- A** a decrease in income tax
- B** a decrease in the price of goods
- C** an increase in money wage rates
- D** an increase in the money supply

24 Which item is **not** included in the current account on the balance of payments statement?

- A the balancing item
- B the export of services
- C the import of goods
- D the interest received from investment overseas

25 The prices of a country's exports rise by 5% while the prices of its imports fall by 5%.

What will definitely improve in the country as a result of these changes?

- A balance of trade
- B current account balance
- C exchange rate
- D terms of trade

26 What is **not** a form of protectionism?

- A embargoes
- B increase in sales tax (VAT)
- C subsidies on goods for export
- D voluntary export restraints

27 Two countries, X and Y, produce food and drink. The table shows how many hours it takes them to produce one unit of each.

	food	drink
X	10	2
Y	20	12

What will be the result if country Y doubles its productivity in the output of drink and both countries produce only one good according to comparative advantage?

- A X will continue to produce drink.
- B Y will produce drink instead of food.
- C World drink production will rise.
- D World food production will fall.

- 28** 'Reducing the exchange rate helps to decrease a country's balance of payments deficit because it makes imports more expensive and exports cheaper.'

What does this statement describe?

- A** a deflationary policy
 - B** a policy of direct controls
 - C** an expenditure-reducing policy
 - D** an expenditure-switching policy
- 29** An increase in which variable is a contractionary monetary policy?
- A** the budget deficit
 - B** the budget surplus
 - C** the interest rate
 - D** the money supply
- 30** What are government monetary policies that would be the most effective in a global recession?
- A** allowing the rate of interest to fluctuate and increasing business taxation
 - B** increasing the budget surplus and raising tariffs on imports
 - C** keeping the rate of interest very low and increasing the money supply
 - D** raising the rate of interest and restricting the money supply

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

February/March 2022

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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Cambridge International is publishing the mark schemes for the February/March 2022 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	C	1
3	A	1
4	B	1
5	D	1
6	B	1
7	D	1
8	C	1
9	B	1
10	A	1
11	C	1
12	A	1
13	A	1
14	A	1
15	C	1
16	B	1
17	D	1
18	C	1
19	D	1
20	A	1
21	B	1
22	D	1
23	B	1
24	A	1
25	D	1
26	B	1
27	A	1
28	D	1

Question	Answer	Marks
29	C	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

May/June 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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- You may use a calculator.

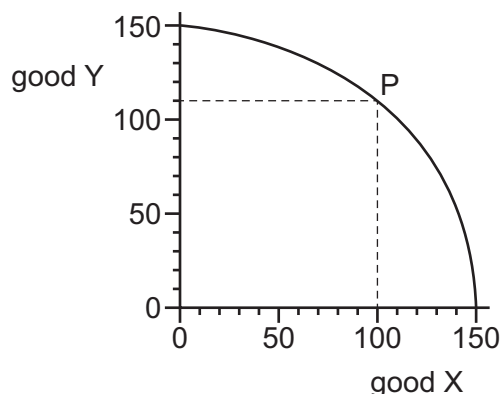
INFORMATION

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- 1 The diagram shows a production possibility curve for an economy that is producing at point P.



Which quantity of X is given up to produce the quantity of Y shown?

- A** 40 **B** 50 **C** 100 **D** 110
- 2 The Indian government operates a pension scheme.
- Which statement about this scheme would be classed as normative?
- A** To be eligible, individuals must be above the age of 60 and live below the poverty line.
- B** In January 2020, eligible individuals aged over 70 received 500 rupees per month.
- C** In 2018, the Supreme Court said the government must review pension payments because they are unrealistic.
- D** In January 2020, the Indian government announced that it might increase the payment to 1000 rupees per month.
- 3 Economics students have to fill in the gaps in the following passage.

'The three basic questions arising from the economic problem of scarcity are1..... to produce,2..... to produce, and3..... to produce.'

Which combination is correct?

	1	2	3
A	how	when	where
B	how	where	for whom
C	what	how	for whom
D	what	when	where

4 What is **not** a function of money?

- A It is a medium of exchange.
- B It is a store of value.
- C It is a unit of account.
- D It is a measure of satisfaction.

5 The producer of a good with a price-elastic demand observes that a rise in its price is accompanied by a rise in total revenue.

What might explain this?

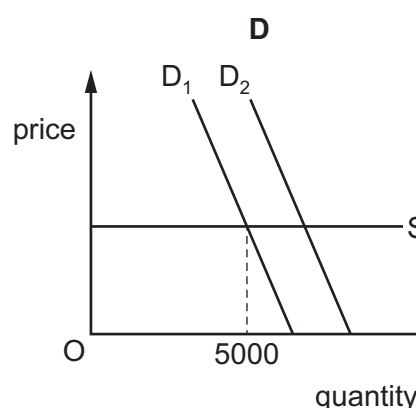
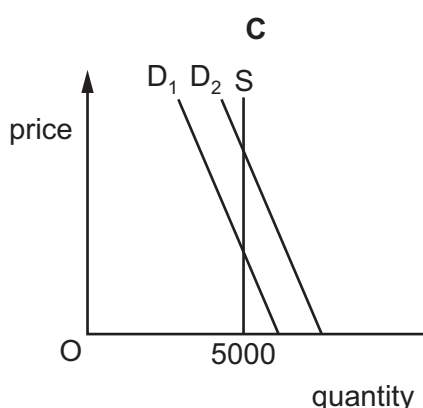
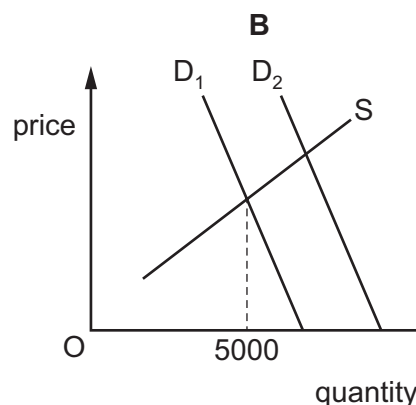
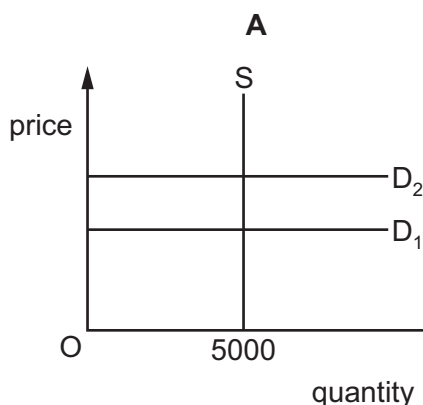
- A The good is an inferior good.
- B The rise in price was due to an increase in demand for the good.
- C The supply of the good was inadequate to meet the demand.
- D The supply of the good was price-inelastic.

6 What will increase the producer surplus of farmers that grow carrots?

- A a decrease in the demand for carrots
- B a decrease in the price of carrot seed
- C a decrease in the price of cabbage
- D a decrease in the subsidy on carrots

- 7 A popular band is due to perform at a music concert in a venue that has a 5000-seat capacity. Recent appearances and the release of a new album have made the band even more popular. D_1 and S represent the original demand and supply curves for concert tickets and D_2 the new demand curve.

Which diagram best represents the likely outcome on the market for concert tickets?



- 8 Why does an individual's demand curve generally slope downwards to the right?
- A** The additional satisfaction an individual gets from consuming most goods decreases as consumption increases.
 - B** The additional satisfaction an individual gets from consumption decreases as income rises.
 - C** The individual has finite income which is used to attempt to satisfy many wants.
 - D** For most goods the price charged by producers falls as the quantity purchased increases.
- 9 What is price elasticity of supply?
- A** the change in the quantity supplied when a price changes
 - B** the change in the quantity supplied when demand changes
 - C** the comparison of the proportionate change in supply to the proportionate change in demand
 - D** the comparison of the proportionate change in supply to the proportionate change in price

10 What is necessary for consumer surplus to be zero?

- A Demand is perfectly elastic.
- B Demand is perfectly inelastic.
- C Supply is perfectly elastic.
- D Supply is perfectly inelastic.

11 When will the price mechanism **not** function as a system for allocating goods?

- A when the government bans advertising
- B when the government maintains an effective maximum price
- C when there is a limited supply of the good
- D when there is a powerful company able to set the market price

12 The price of a product is above the market equilibrium price.

Which combination of changes is certain to result as the market adjusts towards equilibrium?

	quantity demanded	quantity supplied
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

13 What can be concluded about a good with a positive cross-price elasticity of demand?

- A Its price will be sensitive to changes in prices of close substitutes.
- B Its price will be sensitive to changes in quantity demanded of close substitutes.
- C The quantity demanded for this good will be sensitive to changes in prices of close substitutes.
- D The quantity demanded for this good will be sensitive to changes in quantity demanded of close substitutes.

- 14 Which row shows the effect of the maximum and minimum prices described in the headings of the table?

	maximum price above equilibrium price	maximum price below equilibrium price	minimum price above equilibrium price
A	excess demand	no effect	no effect
B	excess supply	no effect	no effect
C	no effect	excess demand	excess supply
D	no effect	excess supply	excess demand

- 15 A government decides to introduce tolls (charges) to drive on all major roads.

What is **most** likely to happen to the number of journeys made on major roads and on minor roads?

	journeys on major roads	journeys on minor roads
A	reduce	increase
B	reduce	no change
C	no change	increase
D	no change	no change

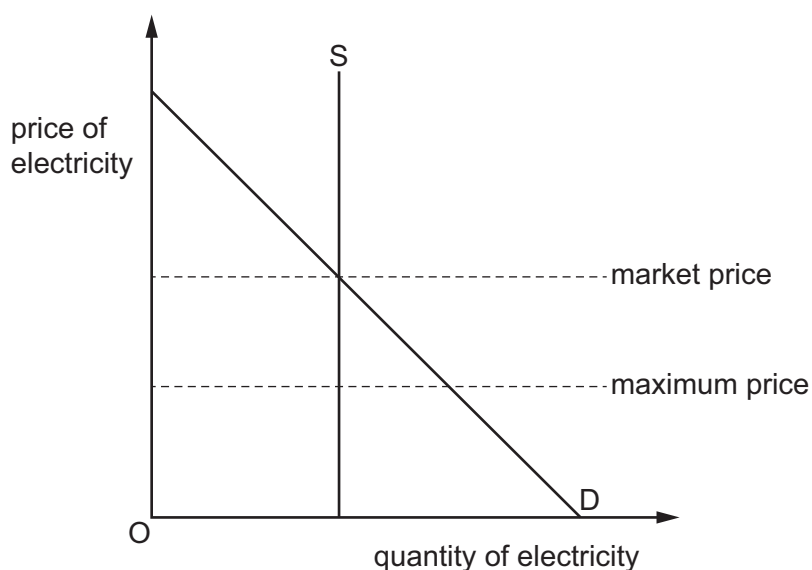
- 16 The table shows data from a bus company that was privatised in 2013.

year	revenue \$000	passenger journeys percentage change from previous year (%)
2012	470	+5
2013	495	+2
2014	430	−2
2015	440	−1

What is the most likely conclusion that can be made from the data?

- A** Average prices were higher in 2012 than 2015.
- B** Average prices were higher in 2015 than 2014.
- C** The number of passenger journeys remained the same since privatisation.
- D** Profits have increased since privatisation.

- 17 The diagram shows the market for electricity in a country that has a fixed supply of electricity and introduces a maximum price to make it affordable for poorer households.



What will be the effect of this?

- A** It will encourage producers to build more power stations in the future.
- B** It will encourage the development of renewable sources of electricity.
- C** It will increase producer surplus.
- D** It will increase the probability of power cuts.
- 18 What is an example of a transfer payment?
- A** government spending on hospitals
- B** government spending on motorways
- C** minimum wage
- D** welfare benefits
- 19 Turkey can produce a good but also imports some of the good from Egypt. The Turkish currency depreciates against the Egyptian currency.

How is this most likely to affect production of this good in Egypt and in Turkey?

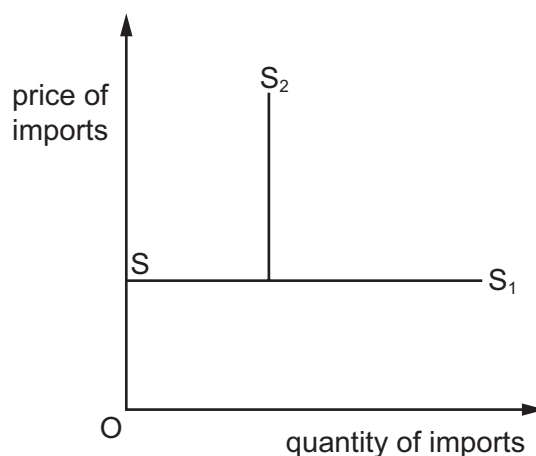
	production in Egypt	production in Turkey
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 20 The table shows a country's total output and its average price in each of three years.

year	output (millions)	price (\$)
1	10	20
2	12	24
3	13	26

What can be concluded about output?

- A** Nominal output and real output increased at the same rate.
B Nominal output rose at a faster rate than real output.
C Nominal output rose at an increasing rate.
D Real output rose at a constant rate.
- 21 The diagram shows the change in the supply curve of imports, $S-S_1$ to curve $S-S_2$, after the introduction by the government of a trade protection measure.



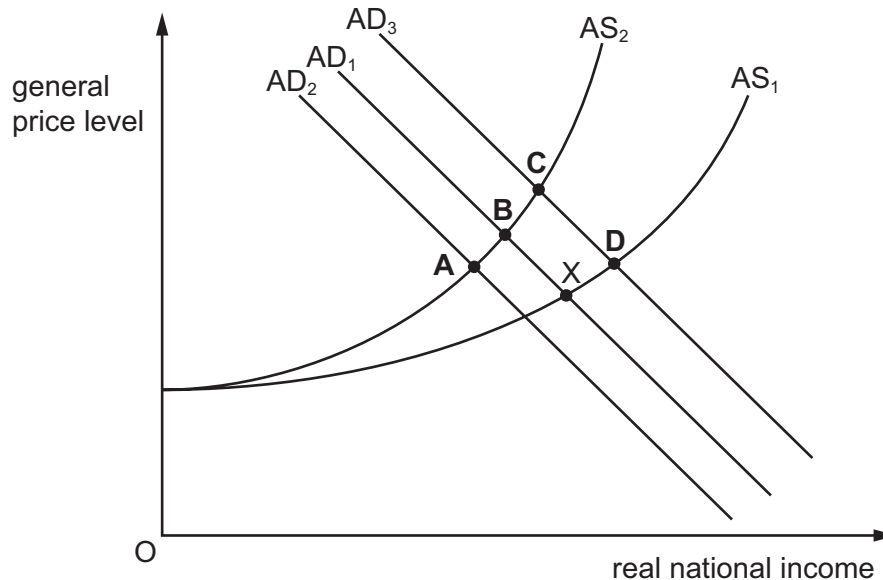
What is the form of protection?

- A** an *ad valorem* tariff
B an embargo
C a quota
D a specific tariff

- 22** The aggregate demand (AD) and aggregate supply (AS) diagram shows an economy in equilibrium at X.

In this economy, a severe shortage of raw materials causes a large rise in their price.

The effect of this change is shown by a move to which point?



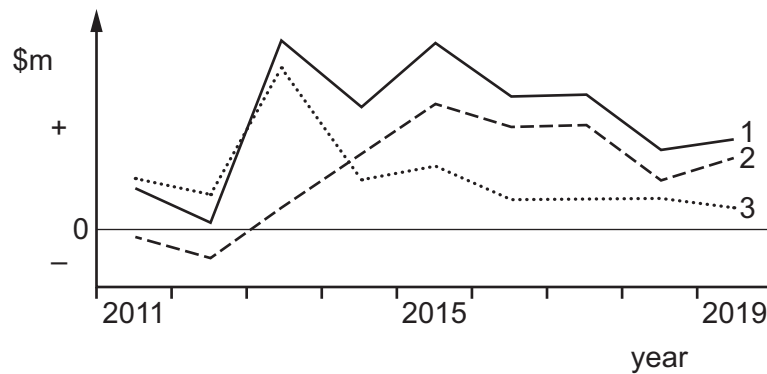
- 23** Why might a country's government impose a tax on fuel exports?

- A** to encourage domestic refineries to increase production
- B** to improve the country's trade balance
- C** to reduce fuel prices for domestic consumers
- D** to reduce the government's budget surplus

- 24** What leads to a fall in a country's terms of trade?

- A** a fall in the price of exports relative to the price of imports
- B** a fall in the price of imports relative to the price of exports
- C** a fall in the quantity of exports relative to the quantity of imports
- D** a fall in the quantity of imports relative to the quantity of exports

- 25 The diagram has three lines that show the values of an economy's exports, imports and trade balance between 2011 and 2019.



How should the lines be labelled?

	line 1	line 2	line 3
A	exports	imports	trade balance
B	exports	trade balance	imports
C	imports	exports	trade balance
D	imports	trade balance	exports

- 26 What would be the best policy to increase the value of a currency?
- A** Impose tariffs on imported goods with price-inelastic demand.
 - B** Increase interest rates.
 - C** Reduce income tax.
 - D** Sell the currency on the foreign exchange markets.
- 27 The central bank of an economy decides to raise interest rates in order to attract capital inflows and improve the financial account of the balance of payments.

When is the central bank's decision **least** likely to be effective?

- A** when the currency of the economy is expected to lose its value
- B** when the economy is politically and economically stable
- C** when the interest rate of the economy is higher than that of other countries
- D** when the reserves of foreign currencies held by the central bank are high and rising

- 28 What could be described as an expansionary fiscal policy?
- A a decrease in the budget deficit
 - B a decrease in the budget surplus
 - C a decrease in the exchange rate
 - D a decrease in the money supply
- 29 Why will a contractionary monetary policy reduce inflation?
- A Banks will lend more.
 - B Consumers will have higher disposable income.
 - C Consumers will pay more tax.
 - D Consumers will save more.
- 30 The government of a country is worried about a large deficit on the current account of its balance of payments and an increasing rate of inflation. The country has a fixed exchange rate for its currency.
- Which policy measure is **most** likely to help the government to reduce the current account deficit and lower the rate of inflation?
- A devaluation of the currency
 - B increasing government spending
 - C decreasing the direct taxes
 - D increasing the interest rate

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Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

May/June 2022

MARK SCHEME

Maximum Mark: 30

Published

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Question	Answer	Marks
1	B	1
2	C	1
3	C	1
4	D	1
5	B	1
6	B	1
7	C	1
8	A	1
9	D	1
10	A	1
11	B	1
12	C	1
13	C	1
14	C	1
15	A	1
16	B	1
17	D	1
18	D	1
19	B	1
20	B	1
21	C	1
22	B	1
23	C	1
24	A	1
25	B	1
26	B	1
27	A	1
28	B	1

Question	Answer	Marks
29	D	1
30	D	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2022

1 hour

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You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

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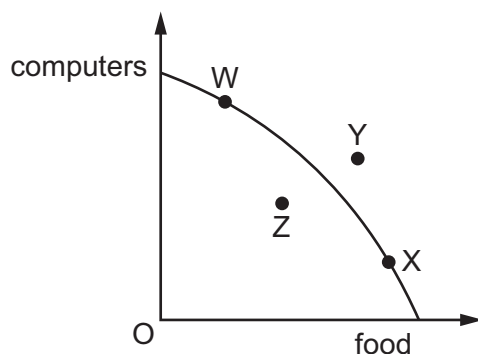
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- 1 Which list has the most words that are more likely to relate to a positive statement than to a normative statement?
- A** describe, better, should, value, emotion
B bias, objective, ought, opinion, tastes
C contestable, is, motive, subjective, moral
D actual, ethics, fact, was, testable
- 2 What is the main characteristic of a planned economy?
- A** All goods and services are produced by privately-owned firms.
B All goods and services are produced by state-owned firms.
C Privately-owned firms produce private goods and state-owned firms produce public goods.
D The price mechanism allocates scarce resources through the actions of buyers and sellers.
- 3 An economy produces combinations of computers and food as shown on the diagram of a production possibility curve (PPC).



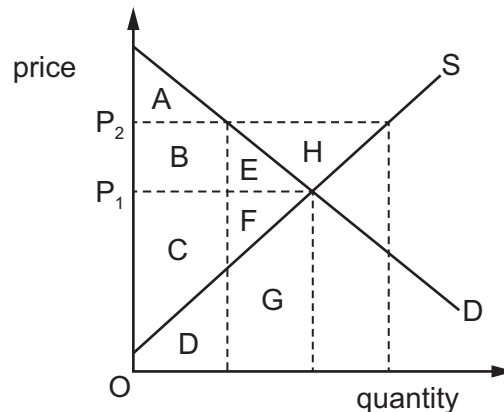
If all available resources were used, which two points on the PPC diagram show the maximum combinations of computers and food that the economy can produce?

- A** W and X **B** X and Y **C** Y and Z **D** Z and W
- 4 Four students have to complete a table showing the functions of money.

Which student is correct?

	medium of exchange	store of value	unit of account
A	✓	✓	✓
B	✓	✓	✗
C	✗	✓	✓
D	✓	✗	✓

- 5 In which situation is the price elasticity of supply for a product most likely to be relatively low?
- A Demand for the product comes from a wide range of customers.
 - B Producers in closely related industries can easily switch to making the product.
 - C Manufacture of the product requires highly skilled labour.
 - D The main raw material used in the production of the product is in abundant supply.
- 6 The diagram shows supply and demand for a good.



If price increases from P_1 to P_2 , what will happen to consumer surplus?

- A It falls from ABE to A.
 - B It falls from CDFG to BCD.
 - C It increases from CF to BCEF.
 - D It increases from CF to BCEFH.
- 7 What can be concluded about the roles of demand and supply in a free market?
- A They allocate resources to the greatest needs.
 - B They ensure that goods and services are distributed equally.
 - C They are both significant in setting the market price.
 - D They ensure that everyone can benefit from the good or service provided.

- 8 A firm has a successful advertising campaign for a good.

Which combination shows the impact on demand or supply and the associated reason?

- A a leftward shift in the good's demand curve, as increased advertising cost raises the price of the product and reduces its demand
 - B a rightward shift in the good's supply curve, as the advertising cost of the firm increases
 - C a rightward shift in the good's demand curve, as successful advertising increases demand
 - D a leftward shift in the good's supply curve, as successful advertising enables firms to sell more
- 9 What would be the most likely reason for a firm's decision to calculate the price elasticity of demand for its product?
- A to provide retail statistics for the government
 - B to predict the change in its total revenue after it raises prices
 - C to calculate the firm's competitive position
 - D to enable the firm to complete consumer satisfaction surveys
- 10 The cross-elasticity of demand of good S with respect to the price of good P is +1.5. The cross-elasticity of demand of good S with respect to the price of good R is -1.5. The cross-elasticity of demand of good P with respect to the price of good R is -1.5.

What can be concluded about goods P, R and S?

- A S and P are complements; P and R are substitutes.
 - B S and P are complements; R is an inferior good.
 - C S and P are substitutes; P and R are complements.
 - D S and P are substitutes; R is an inferior good.
- 11 Which combination of events is **most** likely to leave the demand curve for a normal good in the same position?
- A a decrease in consumer incomes and an increase in the price of a substitute good
 - B a decrease in consumer incomes and an increase in the price of the good
 - C an increase in consumer incomes and an increase in the price of a substitute good
 - D an increase in consumer incomes and an increase in the price of the good

- 12 What does **not** happen when price acts as a means to allocate resources?
- A Price determines the supply of public goods.
 - B Price operates in the markets for both goods and factors of production.
 - C Price recognises consumers' ability to pay rather than consumers' needs.
 - D Price signals to producers which goods are most profitable.
- 13 Which statement about market disequilibrium is correct?
- A Price is likely to change.
 - B Supply is equal to demand.
 - C The government must intervene.
 - D There must be shortages.
- 14 Which combination of tax changes is **most** likely to be regressive in a developed economy?
- A increasing the rate of wealth tax and raising the rate of sales tax (VAT) on luxury products
 - B introducing a tax on owning property based on its sales value and increasing the rate of income tax
 - C reducing the basic rate of income tax and increasing the duty on fuel
 - D removing the tax-free allowance for income tax and extending sales tax (VAT) to include all food
- 15 The demand and supply functions for a product are quantity demanded = $1500 + 50P$ and quantity supplied = $300P - 2000$ where P = price. With government regulation, the current price in the market is \$15.

What can be concluded about the form of price regulation and the balance of demand and supply in the market?

	form of price regulation	balance of demand and supply
A	effective maximum price	excess demand
B	effective maximum price	excess supply
C	effective minimum price	excess demand
D	effective minimum price	excess supply

- 16** To improve the air quality for its citizens, a government introduces a subsidy for the producers of cars powered by batteries charged from the electricity supply.

What are the likely effects of this subsidy on the price and sales of electricity?

	price of electricity	sales of electricity
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

- 17** What is definitely **not** involved when a transfer payment is made?

- A** bank deposits
- B** cash
- C** government
- D** production

- 18** What is **unlikely** to occur with an increase in the provision of public goods?

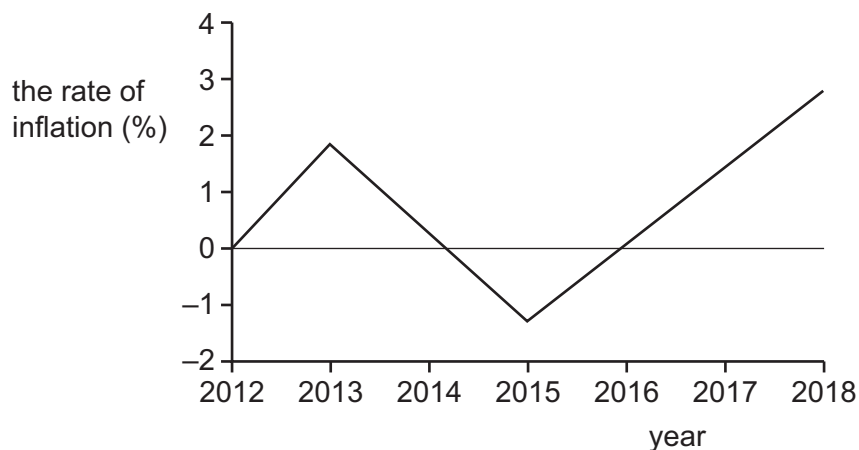
- A** consumer non-excludability
- B** improved use of resources
- C** opportunity cost
- D** reduction in tax

- 19** In 2020, shops reported a fall in sales as domestic demand in an economy fell. However, the impact on the overall economy was not as unfavourable as was first feared.

What might have lessened the impact on the economy?

- A** Exports increased.
- B** Imports increased.
- C** Savings increased.
- D** Taxes increased.

- 20** What does a trade-weighted exchange rate attempt to take account of?
- A** a country's terms of trade
 - B** international trade as a proportion of a country's national income
 - C** the relative value of international trade done with a country's trading partners
 - D** the size of a country's current account surplus or deficit
- 21** What will lead to an improvement in the terms of trade?
- A** Export prices fall by 10% and import prices fall by 5%.
 - B** Export prices fall by 10% and import prices rise by 5%.
 - C** Export prices rise by 5% and import prices rise by 10%.
 - D** Export prices rise by 10% and import prices rise by 5%.
- 22** The diagram shows the annual inflation rate in an economy.



What can be deduced from the graph?

- A** The price of goods and services fell between 2013 and 2014.
- B** Disinflation took place between 2014 and 2015.
- C** The purchasing power of money increased between 2014 and 2015.
- D** The cost of living fell from 2016 onwards.

- 23** A country operates a fixed exchange rate system.

What will put pressure on the country to devalue its currency?

- A** a decrease in the country's inflation rate relative to the inflation rates of other countries
- B** a decrease in the tariffs on its products imposed by other countries
- C** an increase in its current account balance of payments deficit with other countries
- D** an increase in the country's interest rate relative to the interest rates of other countries

- 24** The table gives different combinations of possible values for a country's price elasticity of demand for exports and price elasticity of demand for its imports.

Following the devaluation of the country's currency, under which combination of elasticities would the country's balance of payments on the current account worsen?

	price elasticity of demand for exports	price elasticity of demand for imports
A	0.3	0.3
B	0.2	0.9
C	0.6	0.5
D	1.2	1.2

- 25** A small country imposes no tariffs and has a perfectly elastic supply of smartphones from the rest of the world.

Which statement is correct after the imposition of a tariff?

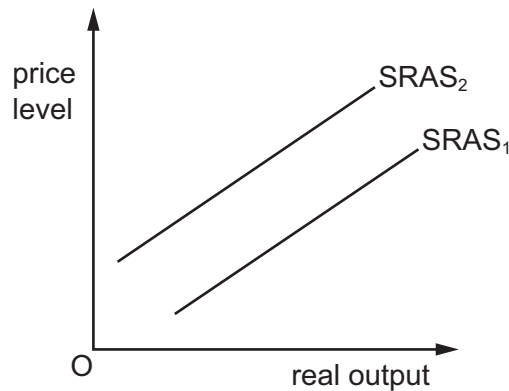
- A** The domestic demand for smartphones will rise.
- B** The domestic price of smartphones will rise.
- C** The government will lose tax revenue.
- D** The supply of imports will increase.

- 26** In a recent year, Japanese car manufacturers agreed to limit exports of cars to the USA.

Which form of protectionism is this?

- A** an embargo
- B** an export subsidy
- C** a quota
- D** voluntary export restraint

- 27 The diagram shows a shift in a country's short-run aggregate supply curve from $SRAS_1$ to $SRAS_2$. The country imports oil.



Why might an increase in the world price of oil have caused this shift?

- A A rise in inflation is expected.
 - B Consumers face a fall in their disposable income.
 - C Domestic firms' costs have increased.
 - D The government reduces tax on oil and petroleum products.
- 28 What, if decreased, will help to reduce the rate of inflation?
- A budget deficit
 - B direct taxes
 - C exchange rate
 - D interest rate
- 29 What is an example of contractionary fiscal policy?
- A an increase in the budget deficit
 - B an increase in the budget surplus
 - C an increase in the interest rate
 - D an increase in the money supply
- 30 A country with low unemployment and a managed floating exchange rate has a persistent current account deficit on its balance of payments.
- Which policy to reduce this deficit is **most** likely to keep unemployment low, but cause inflation?
- A depreciating its currency
 - B higher direct taxation
 - C higher import tariffs
 - D higher interest rates

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2022

MARK SCHEME

Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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Question	Answer	Marks
1	D	1
2	B	1
3	A	1
4	A	1
5	C	1
6	A	1
7	C	1
8	C	1
9	B	1
10	C	1
11	A	1
12	A	1
13	A	1
14	D	1
15	D	1
16	D	1
17	D	1
18	D	1
19	A	1
20	C	1
21	D	1
22	C	1
23	C	1
24	A	1
25	B	1
26	D	1
27	C	1
28	A	1

Question	Answer	Marks
29	B	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

May/June 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

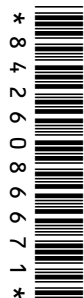
INSTRUCTIONS

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INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

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1 Which statement about money is correct?

- A Deflation reduces the internal purchasing power of money.
- B Most financial assets are more liquid than physical assets.
- C When money acts as a medium of exchange, it requires a double coincidence of wants.
- D When money acts as a store of value, it must be unlimited in supply.

2 The table shows the amount of direct taxes that different households in the UK paid in 2017–2018.

	bottom 20% of households	second 20% of households	middle 20% of households	fourth 20% of households	top 20% of households
average income (£)	15 300	25 000	34 600	47 600	90 600
direct tax paid (£)	2 000	3 500	6 000	9 500	21 200

Which positive economic statement can be made from the table?

- A Direct tax is unfair on the richer households in the UK.
- B Direct tax in the UK is a proportional tax.
- C Poorer households do not pay enough direct tax in the UK.
- D Rich households pay more direct tax than poor households in the UK.

3 What does opportunity cost measure?

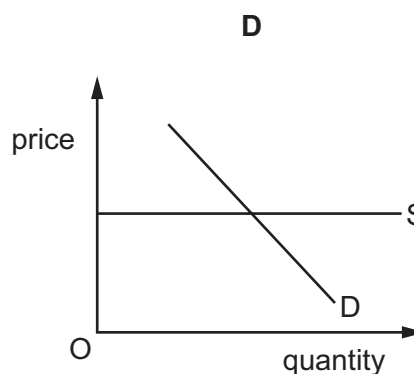
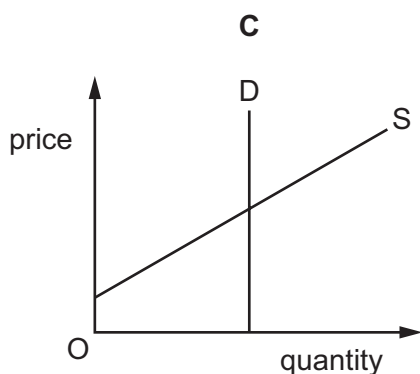
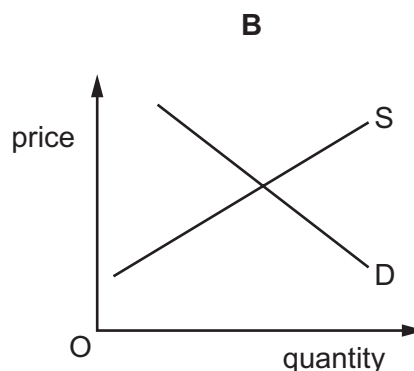
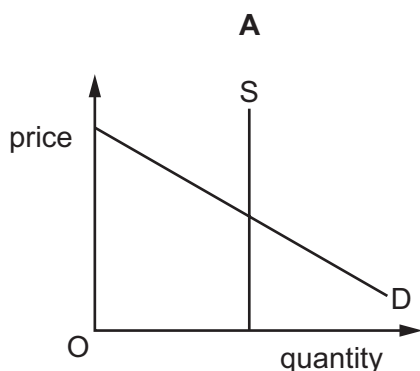
- A the benefits of a good compared with the next choice
- B the benefits given up by not consuming the next best alternative
- C the costs of any good not chosen
- D the financial costs of consuming a good

4 Which term assumes the existence of 'qualities, knowledge and skills' that allow an individual to be more productive?

- A enterprise investment
- B human capital
- C mechanisation
- D specialisation

- 5 The diagrams relate to the markets for four different products.

In which market would a 10% decrease in demand and simultaneously a 10% increase in supply definitely result in both a fall in equilibrium price and a rise in equilibrium quantity?



- 6 The supply of a new drug to relieve muscle pain is very inelastic over a short period of time. The supply of printed newspapers is much more elastic over the same time period.

What could explain the difference in elasticity of supply of the drug and printed newspapers in this time period?

	new drug	printed newspapers
A	cost per unit is low	cost per unit is high
B	discovery is by chance	takes longer to produce
C	research and development essential	excess capacity in printing
D	similar products available	similar products unavailable

- 7 Which change would cause the supply curve of sugar-sweetened drinks to shift to the right?

- A** a fall in the price of sugar
- B** a removal of a subsidy on sugar
- C** an increase in consumer income
- D** an increase of a specific tax on sugar

- 8 The demand for tablets increases, while the cost of producing them decreases.

What will be the effect on the price of tablets and on the quantity supplied?

	price	quantity
A	fall	uncertain
B	rise	increase
C	uncertain	increase
D	uncertain	uncertain

- 9 What is necessary to achieve the best allocation of resources using the price mechanism?

- A** Producers can maximise their collective interest.
B Consumers and producers must have perfect knowledge.
C The government must be able to apply maximum and minimum prices.
D The value of the price elasticity of supply must be greater than one.

- 10 Goods X, Y and Z all have downward-sloping demand curves and upward-sloping supply curves. Good X is in joint supply with good Y and in joint demand with good Z.

There is an increase in the demand for good X.

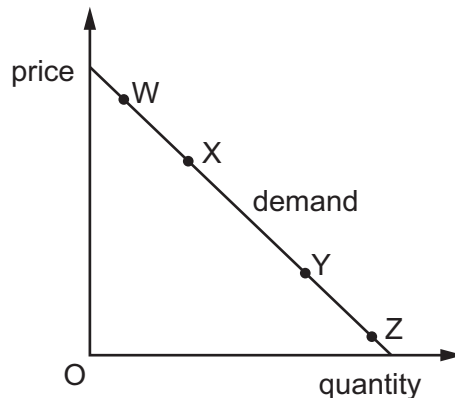
What will happen to the prices and sales of goods Y and Z?

	good Y		good Z	
	price	sales	price	sales
A	fall	fall	rise	rise
B	fall	rise	rise	rise
C	rise	fall	fall	rise
D	rise	rise	fall	fall

- 11 What is meant by *consumer surplus*?

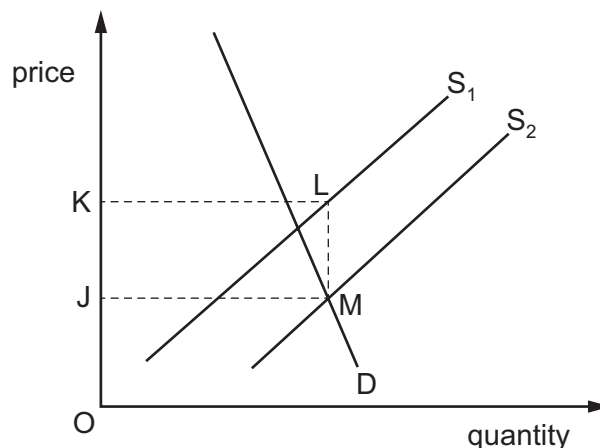
- A** It is the amount by which the price consumers are willing to pay exceeds the market price.
B It is the difference between the price consumers are willing to pay and the price producers are willing to supply.
C It is the discount firms offer to the consumers for buying goods in bulk.
D It is the excess of quantity demanded of a product over its quantity supplied at a given price.

- 12 What does the assumption '*ceteris paribus*' mean when economists analyse the way in which the quantity demanded of a good changes?
- A** Changes in quantity demanded can cause changes in any of the other variables.
- B** Consumer preferences are always assumed to remain unchanged.
- C** Only one variable is assumed to change while the others remain the same.
- D** Several variables change simultaneously.
- 13 The diagram shows the demand curve for a normal product.



Which two points indicate a move from a price inelastic point to a less price inelastic point?

- A** W to X **B** X to W **C** Y to Z **D** Z to Y
- 14 The diagram shows the effect on the market for rice of a change in government policy that causes a shift in the supply curve from S_1 to S_2 .



What does the area JKLM represent?

- A** the cost to the government of a subsidy to rice growers
- B** the extra saving to importers of the removal of a tariff on rice
- C** the increase in consumer surplus from the introduction of a maximum price for rice
- D** the loss in government revenue from the reduction in a lump sum tax on rice

- 15 The table shows four categories of government expenditure over two time periods.

category	period 1 (\$000)	period 2 (\$000)
building of new roads	200	350
welfare benefits	600	450
pay of armed forces	500	550
state pensions	1100	1350

By how much had transfer payments changed between periods 1 and 2?

- A 0 B +100 C +150 D +300

- 16 Which type of tax used in different countries is a direct tax?

- A corporation tax in India that is imposed on the profits of companies
 B import duties in Brazil that are imposed on imported goods
 C specific tax in South Africa imposed on the purchase of cigarettes
 D stamp duty in Malaysia that is the tax on the purchase of a residential property

- 17 A government imposes a maximum price on medical face masks, below the market equilibrium.

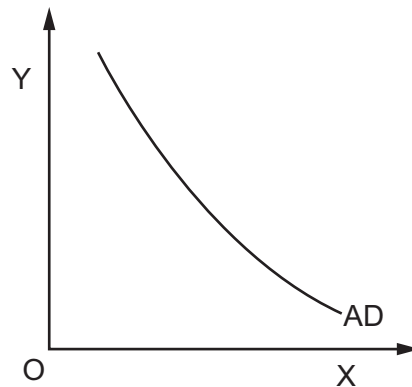
What is the most likely effect of this?

- A Some consumers will be unable to buy face masks at the maximum price.
 B Firms will produce more masks to meet the excess demand at the maximum price.
 C Poorer consumers will be able to obtain all the masks they need at the maximum price.
 D The market will clear at the maximum price.

- 18 What is **not** a producer subsidy?

- A a grant given to cover losses in an essential industry, such as the rail industry
 B a guaranteed minimum price paid to farmers to ensure the long run supply of food
 C financial assistance given to a pharmaceutical company to develop a new vaccine
 D a payment made to the unemployed to allow them to buy essential goods and services

19 The diagram shows an aggregate demand (AD) curve.



What is measured on the horizontal (X) axis and the vertical (Y) axis?

	horizontal axis X	vertical axis Y
A	money national output	real disposable income
B	price level	real GDP
C	real GDP	price level
D	real disposable income	money national output

20 What could explain an improvement in the terms of trade for a country?

- A** an increase in tariffs on imports
- B** a decrease in the volume of imports sold
- C** an increase in the prices of exports
- D** a decrease in the volume of exports sold

21 What is a correct description of an aggregate demand (AD) curve?

- A** It is a curve obtained by adding the market demand curves of all consumer goods traded in an economy.
- B** It is a curve determined by the horizontal summation of all individual consumer demand curves for a product.
- C** It is a curve that shows the total amount of goods and services firms are willing to buy at a given price in an economy.
- D** It is a curve that shows the total demand of all goods and services produced at all price levels in an economy.

22 The data in the table is extracted from the Singapore Balance of Payments for 2019.

	\$m
goods balance	+134 000
services balance	+8 000
capital and financial account (net)	+95 000
balancing item	−3 000

What was the value (\$m) of the trade balance on the current account in 2019?

- A** 126 000 **B** 142 000 **C** 234 000 **D** 237 000

23 A household's income increased by 3%. Over the same period, the rate of inflation was also 3%.

Which statement is correct?

- A** Both the nominal income of the household and the real income of the household increased by 3%.
- B** The nominal income of the household remained unchanged while the real income of the household increased by 3%.
- C** The nominal income of the household increased by 3% while the real income of the household remained unchanged.
- D** The nominal income of the household increased by 3% while the real income of the household increased by 6%.

24 A country operates a fixed exchange rate.

There is a major fall of international confidence in its government's economic policies.

What is likely to be the result?

- A** a fall in its foreign exchange rate
- B** a fall in its foreign exchange reserves
- C** a rise in its capital inflows
- D** a rise in its terms of trade

25 In 2018, the inflation rate in Argentina was over 100%.

Which combination correctly identifies the winners and losers during this period?

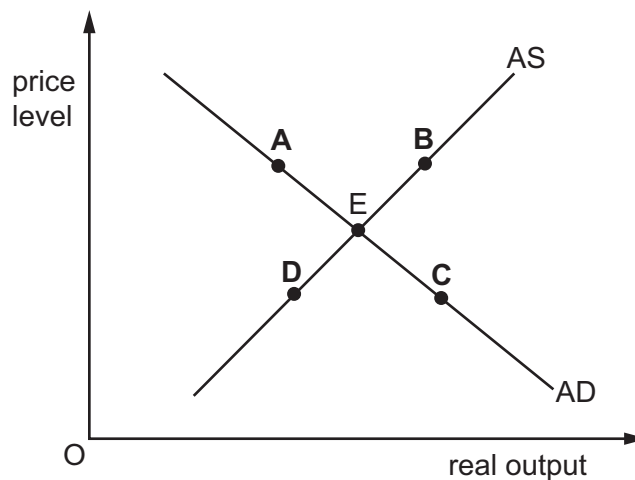
	winners	losers
A	firms selling goods abroad	households paying back loans
B	firms unable to decrease real wages	firms paying back loans on fixed monthly repayments
C	individuals with a high amount of debt at a fixed rate of interest	households that hold most of their assets in cash
D	workers on fixed wage contracts	the retired on fixed incomes

26 The diagram shows the aggregate demand (AD) and aggregate supply (AS) for a country. The initial equilibrium is at point E.

The sum of the price elasticities of demand for imports and exports for this country exceeds one.

A devaluation of the country's exchange rate will cause aggregate demand to change.

What will be the new equilibrium?



27 In 2000, Japan was Asia's largest exporter of electrical components, but by 2018 it was ranked 8th.

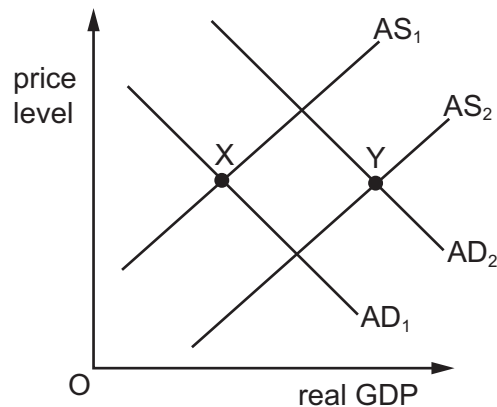
What might explain this change?

- A** Japan has a lower opportunity cost in electrical component production than its Asian competitors.
- B** Japan has experienced greater deflation than its Asian competitors.
- C** Japan has imposed tariffs on the import of electrical components from its Asian competitors.
- D** The Japanese Yen has appreciated against the currencies of its Asian competitors.

28 Which measure to correct a balance of payments current account deficit would be classified as an expenditure-reducing policy?

- A** a reduction in interest rates
- B** a revaluation of the currency
- C** an increase in direct taxes
- D** an introduction of foreign exchange controls

29 The diagram shows the AD / AS curves for an economy.



Which government action is most likely to cause the equilibrium position to move from X to Y?

- A** an increase in the exchange rate that makes locally produced goods less price-competitive, both at home and abroad
- B** an increase in government spending on infrastructure that increases the production potential of the economy
- C** an increase in interest rates that increases the cost of borrowing
- D** an increase in real wages of labour

30 A country is suffering from severe deflation.

What is most likely to prevent the deflation from worsening?

- A** increasing income tax to help reduce the government's budget deficit
- B** increasing interest rates to encourage more saving
- C** increasing transfer payments to reduce inequality of income
- D** revaluing the currency to bring in more revenue from exports

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Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

May/June 2022

MARK SCHEME

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8	C	1
9	B	1
10	B	1
11	A	1
12	C	1
13	D	1
14	A	1
15	B	1
16	A	1
17	A	1
18	D	1
19	C	1
20	C	1
21	D	1
22	B	1
23	C	1
24	B	1
25	C	1
26	B	1
27	D	1
28	C	1

Question	Answer	Marks
29	B	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/14

Paper 1 Multiple Choice

May/June 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
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INFORMATION

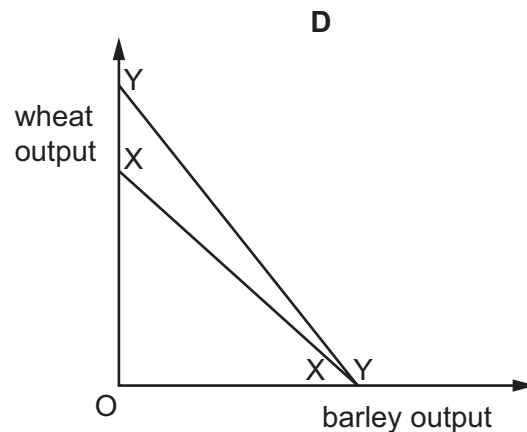
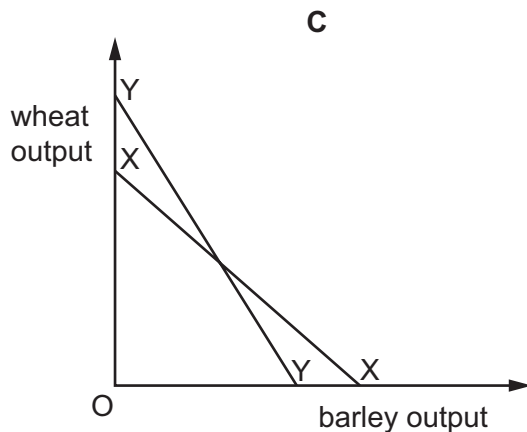
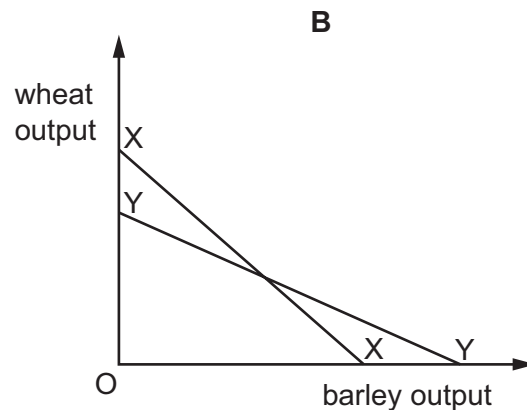
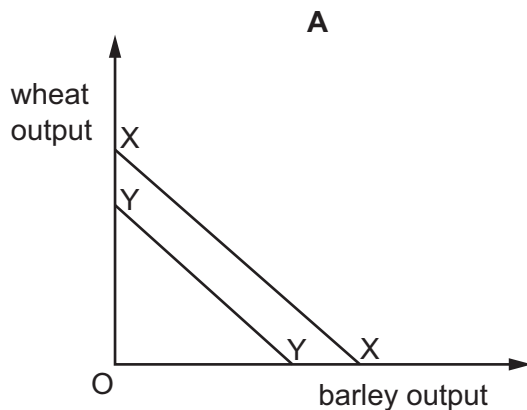
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- 1 What will result from a government's decision to allow health care to be provided entirely by market forces?
- A There will be a reduction in the provision of a public good.
 - B All consumers will receive better health care.
 - C Market failure will be eliminated in the health care market.
 - D The health care market will reach an equilibrium.
- 2 A farmer with a fixed area of land grows two crops, wheat and barley. Some land used for barley is flooded and cannot be used. The farmer then starts to plant genetically modified (GM) wheat that produces wheat more efficiently on the land that is not flooded.

Which diagram shows the **most** likely effect of these changes on the farmer's production possibility curve (PPC) as it moves from XX to YY?



- 3 What would make online payment methods less acceptable as a medium of exchange?
- A a fee charged for use of the online payment service
 - B both high and low priced goods can be paid for using the online service
 - C payments can be made at any time of day and night
 - D the online payment service can be accessed through a smartphone

- 4 Professional gardeners now use power tools instead of hand tools to maintain their customers' gardens.

What can be concluded from this information?

- A Capital has replaced all labour for maintaining gardens.
- B Gardening has become more labour-intensive.
- C Land has become more productive.
- D New technology has been introduced.

- 5 Goods X and Y are complements and have upward-sloping supply curves.

What will be the effect on the equilibrium price and quantity of good X of an increase in the supply of good Y?

	price of X	quantity of X
A	decrease	decrease
B	increase	decrease
C	decrease	increase
D	increase	increase

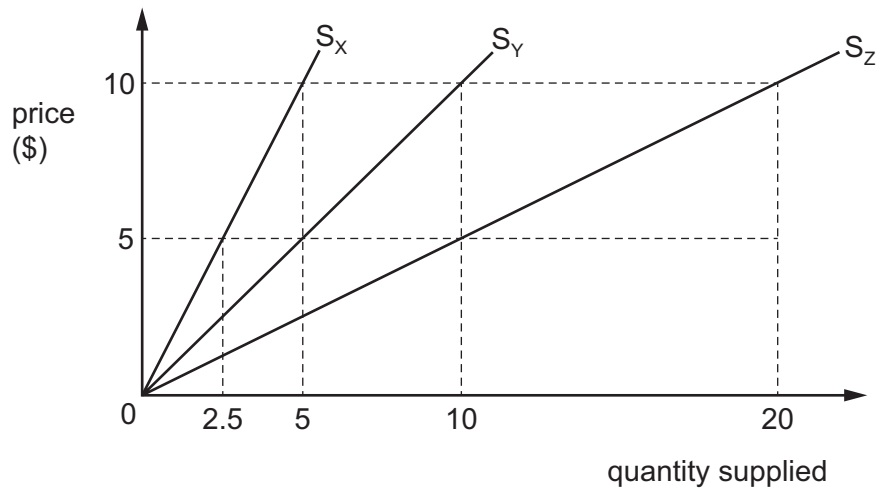
- 6 A change in which factor will be **least** likely to alter a consumer's ability to pay for a product?

- A a consumer's income
- B a consumer's tastes
- C a change in the price of the product
- D a fall in the tax on goods and services

- 7 What is likely to decrease the price elasticity of supply (PES) of a product?

- A an increase in advertising the product
- B an increase in the firm's ability to substitute capital for labour
- C an increase in the time during which the product can be stored
- D an increase in the time required to produce the product

- 8 S_X , S_Y and S_Z are the supply curves of goods X, Y and Z.



If the price of all three goods rises from \$5 to \$10, what are their price elasticity of supply values?

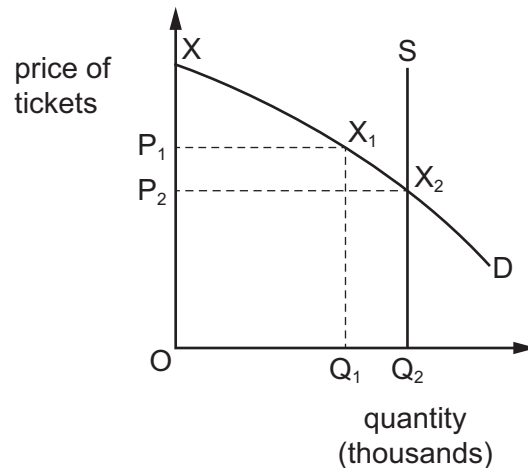
	good X	good Y	good Z
A	equal to 1	equal to 1	equal to 1
B	equal to 1	greater than 1	greater than 1
C	less than 1	equal to 1	greater than 1
D	less than 1	greater than 1	greater than 1

- 9 Each day there are hundreds of airline flights.

Which combination would make the demand for flights most price-inelastic?

	distance of flight	purpose of flight	income of traveller
A	long	business	high
B	long	leisure	low
C	short	business	low
D	short	leisure	high

- 10 The diagram shows the demand for and supply of tickets for a music festival.



If tickets are priced at P_1 , it is anticipated that demand will be Q_1 . There is a discount for those that buy tickets in the first hour, who will pay P_2 . All tickets are sold in the first hour.

Which area on the diagram shows how much consumer surplus was increased by buying the tickets in the first hour?

- A** $P_2X_2Q_2O$ **B** $P_1X_1Q_1O$ **C** $P_1X_1X_2P_2$ **D** XX_1Q_1O

- 11 The price elasticity of demand for a high-quality smartphone is elastic. The price of the smartphone decreases.

Which combination describes the impact of a fall in the smartphone's price on the quantity demanded and total revenue?

	quantity demanded	total revenue
A	rises by a greater percentage than the price fall	falls
B	rises by a greater percentage than the price fall	rises
C	rises by a smaller percentage than the price fall	falls
D	rises by a smaller percentage than the price fall	rises

- 12 When the price of good X rises, total spending on good X rises, but the demand for good Y falls.

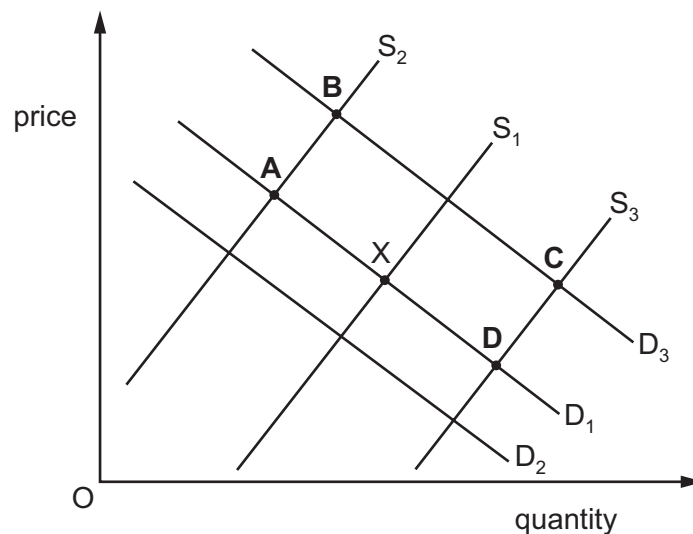
What can be concluded about good X and good Y?

	price elasticity of demand for good X	cross-elasticity of demand for good Y with respect to the price of good X
A	> 1	> 0
B	> 1	< 0
C	< 1	> 0
D	< 1	< 0

- 13 In the diagram, D_1 and S_1 represent the demand for and supply of luxury watches. Equilibrium is initially at point X.

The cost of raw materials for manufacturing watches rises. At the same time, the incomes of the rich increase.

Which point on the diagram is **most** likely to represent the new equilibrium?



- 14 Money is paid by the government to an unemployed worker in the form of a benefit.

Why is this called a transfer payment?

- A** The payment comes from taxes paid by employed workers.
- B** The payment comes from government savings, not current income.
- C** The payment is made without the production of goods and services taking place.
- D** The payment must be spent as directed by the government.

- 15** What would be a valid objection to the government provision of goods and services?
- A** There will be an increase in consumer sovereignty.
 - B** Only the private sector can provide merit goods.
 - C** Tax rates and tax income are likely to fall.
 - D** Investment in the private sector might be reduced.
- 16** What will be the result of a subsidy that is given to the producers of a good with an inelastic demand curve?
- A** The equilibrium price of the good will fall by a larger percentage than the fall in equilibrium quantity.
 - B** The equilibrium price of the good will fall by a larger percentage than the rise in equilibrium quantity.
 - C** The equilibrium price of the good will fall by a smaller percentage than the fall in equilibrium quantity.
 - D** The equilibrium price of the good will fall by a smaller percentage than the rise in equilibrium quantity.
- 17** The market for good X is in equilibrium. A government then introduces an effective minimum price on good X.
- What will decrease as a result of this minimum price?
- A** the excess supply of the product
 - B** the market price of the product
 - C** the quantity of the product supplied
 - D** the size of the consumer surplus
- 18** A government introduces taxes on company profits. A 5% tax rate is levied on all profits up to the first \$10 000 and a 10% rate is levied on all profits above \$10 000.

How would these taxes be described?

	up to \$10 000	above \$10 000
A	progressive	progressive
B	progressive	proportional
C	proportional	progressive
D	proportional	proportional

19 Which change will **not** affect the balance of payments current account?

- A a rise in export and import prices
- B a rise in foreign aid flows
- C a rise in international exchange rates
- D a rise in foreign direct investment

20 Which statement correctly describes how an import quota works?

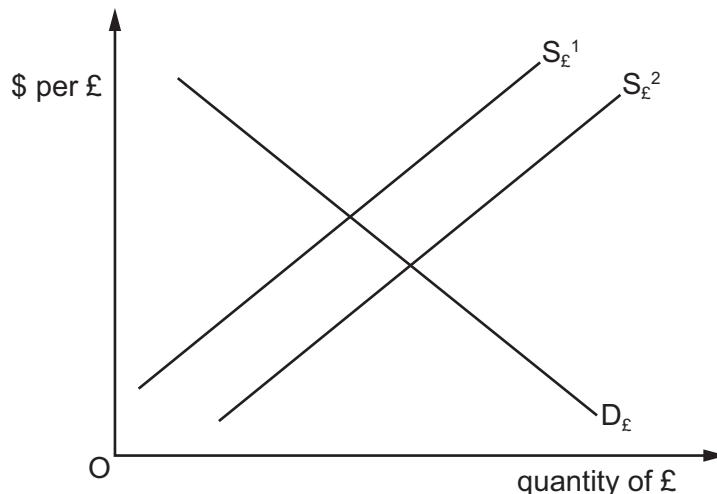
- A It is a ban on the import of demerit goods.
- B It imposes strict product regulations on imports.
- C It is a unit tax that raises the price of imported goods.
- D It limits the quantity of certain imported goods.

21 Country X conducts 60% of its trade with country Y and 40% of its trade with country Z. The initial value of the trade-weighted exchange rate index of country X is 100.

What will be its new trade-weighted exchange rate index value if its currency falls in value by 20% against the currency of country Y and rises by 10% against the currency of country Z?

- A 84
- B 90
- C 92
- D 116

22 The diagram shows a freely floating foreign exchange market in the United Kingdom (UK) for the demand and supply of pounds sterling (£) in exchange for United States (US) dollars (\$).



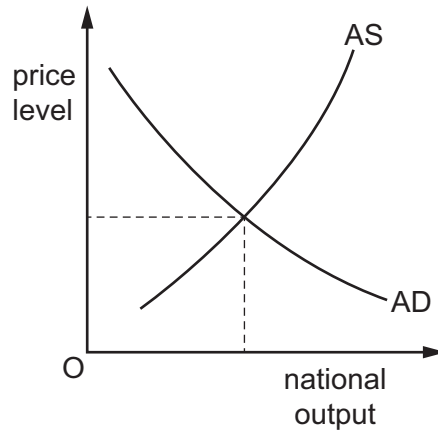
What could cause the downward shift shown?

- A UK interest rate falls below US interest rate.
- B The demand for UK exports is price-elastic and prices increase.
- C The demand for US exports is price-elastic and prices decrease.
- D People believe that sterling will appreciate.

23 What is a likely consequence of inflation?

- A** Fixed-income earners gain more than those whose income is gained from the ownership of property.
- B** Real wages rise more than money wages.
- C** The assets of creditors decrease in value at the expense of those of debtors.
- D** The domestic purchasing power of money increases.

24 The diagram shows an aggregate demand (AD) and an aggregate supply (AS) curve.



There is a sustained rise in the prices of imported raw materials on which the economy depends.

Assuming AD remains independent of AS, what are the most likely effects on the economy?

	AS	price level
A	decreases	falls
B	increases	falls
C	decreases	rises
D	increases	rises

25 The currency of country X has a floating exchange rate against other currencies.

Under which circumstances will the value of country X's currency fluctuate the most against other currencies on the foreign exchange market?

	price elasticity of demand for the currency of country X	price elasticity of supply for the currency of country X
A	elastic	elastic
B	inelastic	elastic
C	elastic	inelastic
D	inelastic	inelastic

26 A country has a floating exchange rate.

An increase in which variable in the country will cause its currency to appreciate?

- A the budget deficit
- B the general price level
- C the interest rate
- D the trade deficit

27 What is an accurate statement about possible causes and/or consequences of a worsening in a country's terms of trade?

- A It will result from a fall in the demand for its exports.
- B It will result from an increase in consumers' incomes in its major trading partners.
- C It will result in a decrease in interest rates by its major trading partners.
- D It will result in an improvement in its balance of trade.

28 An economy has a balance of payments surplus, which it wishes to eliminate.

In order to achieve this objective, which combination of policies would be **most** appropriate?

- A a depreciation of the currency and an increase in government spending
- B an appreciation of the currency and a cut in interest rates
- C an increase in the money supply and a pay freeze
- D increases in both direct and indirect taxation

29 What would be increased by an expansionary fiscal policy?

- A budget deficit
- B exchange rate
- C money supply
- D rate of direct taxation

- 30** A government decides to borrow from the general public in order to finance its extra spending on apprenticeship training schemes.

Which types of macroeconomic policy are being used?

	fiscal	monetary	supply side
A	✓	x	✓
B	✓	x	x
C	x	✓	✓
D	x	✓	x

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Cambridge International AS & A Level

ECONOMICS

9708/14

Paper 1 Multiple Choice

May/June 2022

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2022 series for most Cambridge IGCSE, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	C	1
3	A	1
4	D	1
5	D	1
6	B	1
7	D	1
8	A	1
9	A	1
10	C	1
11	B	1
12	D	1
13	B	1
14	C	1
15	D	1
16	B	1
17	D	1
18	D	1
19	D	1
20	D	1
21	C	1
22	C	1
23	C	1
24	C	1
25	D	1
26	C	1
27	A	1
28	B	1

Question	Answer	Marks
29	A	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **16** pages. Any blank pages are indicated.



- 1** An economy is changing from a planned economy to a market economy.

Which action would be expected during this change?

- A** the replacement of fiscal policy by monetary policy
- B** the replacement of multinational companies by national companies
- C** the replacement of nationalisation by privatisation
- D** the replacement of private property rights by common ownership

- 2** A local council provides a tap for drinking water in a town.

Would this make drinking water a free good?

- A** No, because it is possible to exclude some people from using the tap.
- B** No, because it requires the use of scarce resources.
- C** Yes, because it is available to all passers-by.
- D** Yes, because it is impossible to charge for it.

- 3** Food prices in a country increased by 20% in three months due to an infectious virus.

Which statement about the cause of this rise in food prices is normative?

- A** Consumers were scared of running out of food.
- B** Farm workers demanded higher wages to cover extra hours worked.
- C** Supply of foreign food was reduced because of closed borders.
- D** Transport costs increased by 10%.

- 4** A doctor has very long working hours and a high level of stress. She can become a teacher instead of continuing as a doctor.

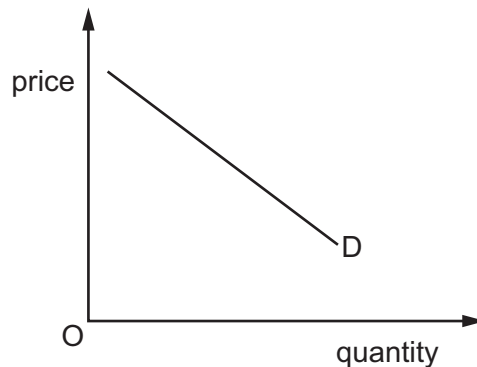
What is the opportunity cost of choosing to continue as a doctor?

- A** the risk of mistakes caused by tiredness
- B** the possible costs of illness caused by high stress levels
- C** the potential salary as a teacher
- D** the retraining costs of becoming a teacher

5 When will the demand curve for motorcycles shift to the left?

- A when the price of cars falls
- B when the price of motorcycles falls
- C when the tax on motorcycles rises
- D when the price of public transport rises

6 The diagram shows the demand curve for housing.



What is **not** assumed to remain constant when drawing this curve?

- A consumer incomes
- B expectations about future house prices
- C the price of houses
- D the rate of interest charged on loans for house purchase

7 Which statement defines the price elasticity of supply?

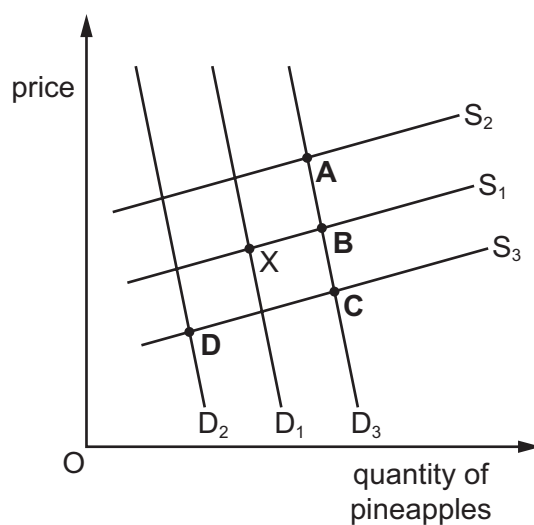
- A It is a measure of how the price of a good responds to a change in the quantity supplied.
- B It is a measure of how the quantity supplied of a good responds to a change in its price.
- C It is a measure of how the supply of a good responds to a change in its cost of production.
- D It is a measure of how the supply of good X responds to a change in the price of good Y.

8 Which products are likely to have a positive cross-elasticity of demand with tea?

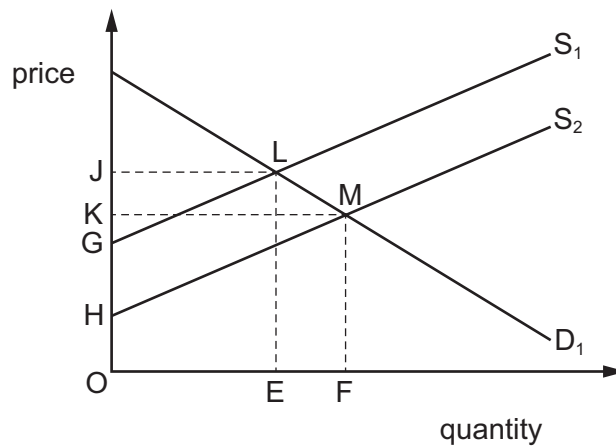
- A biscuits and cakes
- B coffee and hot chocolate
- C cups and saucers
- D sugar and milk

- 9 What does **not** cause a shift in the supply curve of cars?
- A a change in the car producers' costs of production
 - B a change in the price of fuel used by car owners
 - C a change in the rate of sales tax on cars
 - D a change in the wage rate of workers in the car industry
- 10 The diagram shows the market for pineapples. X is the original equilibrium point. Pineapple producers benefit from improved technology. At the same time, a new diet book suggests that eating pineapples helps weight loss.

Which point is the new equilibrium?



- 11 The diagram shows the impact of a fall in the price of oil that will lead to a fall in energy costs for many manufacturers.



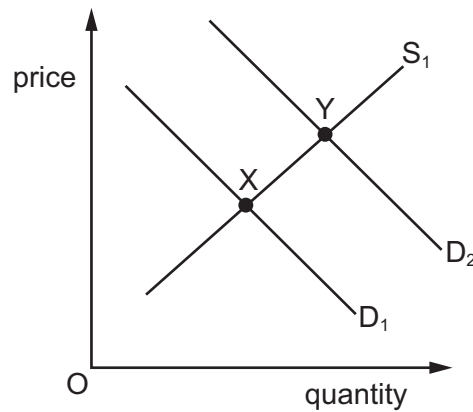
What will be the impact of this change on consumer and producer surplus?

	consumer surplus	producer surplus
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

- 12 When is the supply curve for a car manufacturing firm **most** likely to be price elastic?

- A** when the firm finds it difficult to recruit new labour
- B** when the firm has a large quantity of stock
- C** when the firm is operating in the short run
- D** when the firm is operating near to full capacity

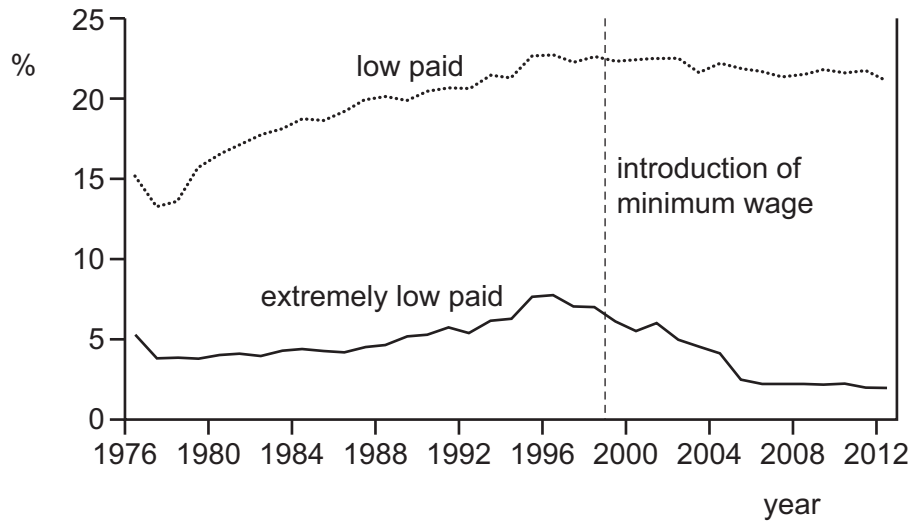
13 The diagram shows the market for electric steel-plated switches used in new houses.



What could **not** have caused the market equilibrium position to have changed from X to Y?

- A increasing the availability of loans for buying houses
 - B granting a subsidy for producers of bricks
 - C removing sales tax on electric switches
 - D removing tariffs on imports of wood
- 14 In mixed economies, what explains why the provision of certain goods and services will remain under government control?
- A The market system fails to provide public goods.
 - B Management ideas are hampered by excessive bureaucracy.
 - C Ownership of companies depends on the ease of buying shares.
 - D The profit motive tends to improve efficiency in organisations.

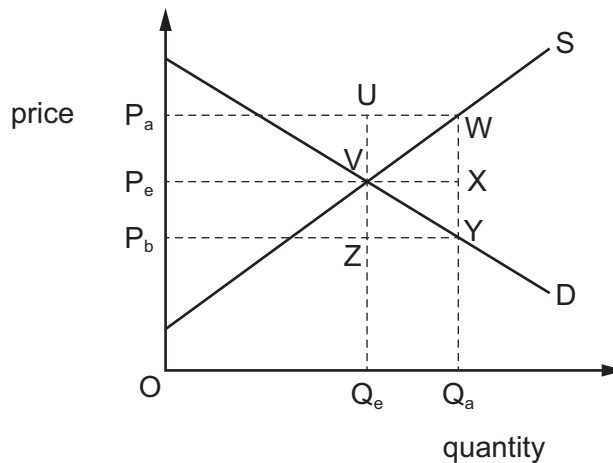
- 15 The diagram shows the percentages of those on low pay and those on extremely low pay in a country from 1976 to 2012. A national minimum wage was introduced in 1999.



Which conclusion is consistent with the diagram?

- A** The minimum wage helped the low paid more than the extremely low paid.
- B** The minimum wage reduced the numbers of both low paid and extremely low paid.
- C** The minimum wage reversed the trend in low pay of the previous 20 years.
- D** The minimum wage was responsible for the largest reduction of low pay in the period.
- 16 The government has decided to guarantee manufacturers a price OP_a for a product and to provide a subsidy to ensure that the market clears.

In the diagram, Q_eP_e was the original equilibrium before the policy changes.



Which area represents the total cost to the government of this subsidy?

- A** P_aUZP_b **B** P_aWYP_b **C** P_eXYP_b **D** $VWYZ$

- 17** A concert arena has a fixed capacity that allows it to sell 10 000 tickets for a concert. The current equilibrium price for a ticket is \$10. The owners of the arena decide to set a minimum price for a ticket.

Under which conditions will there be the most unsold tickets?

	minimum ticket price (\$)	price elasticity of demand for tickets
A	11	inelastic
B	11	elastic
C	12	inelastic
D	12	elastic

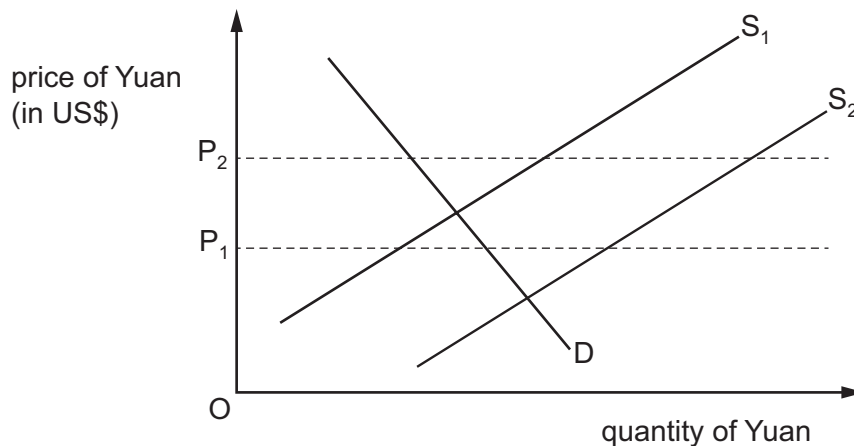
- 18** A government announces its intention to reduce the level of transfer payments in the economy.

Which statement made by the government is consistent with this intention?

- A** There need to be more incentives for unemployed workers to seek jobs.
- B** State pensions need to be increased.
- C** The level of income tax needs to be raised.
- D** The level of government expenditure needs to be increased.
- 19** Assuming the demand for oil is price-inelastic, what will be the effect on demand-pull inflation and on cost-push inflation in an oil-importing country of an increase in the world price of oil?

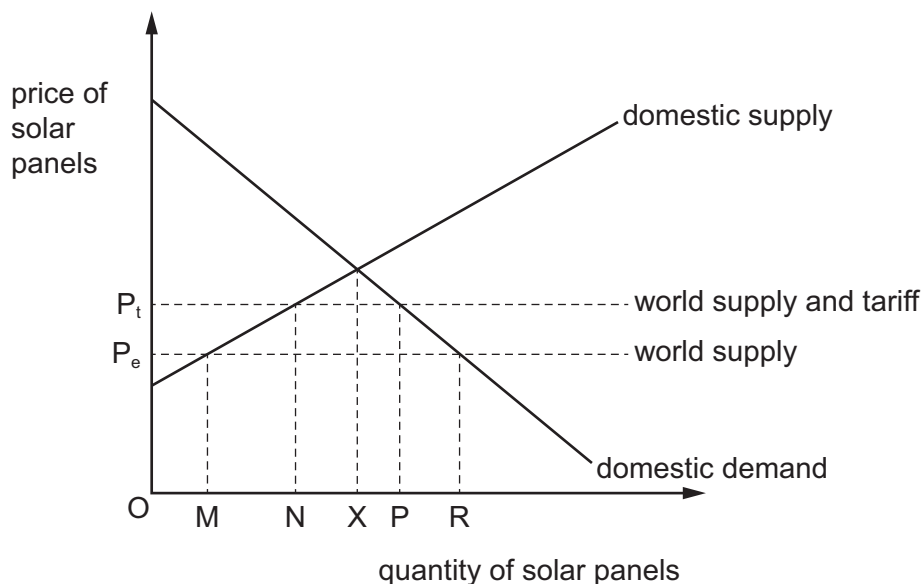
	effect on demand-pull inflation	effect on cost-push inflation
A	increase	increase
B	increase	reduce
C	reduce	increase
D	reduce	reduce

- 20 Assume the Chinese monetary authorities are committed to maintaining the exchange rate of China's currency, the Yuan, against the US\$ between P_1 and P_2 on the diagram.



What might they do if supply changed from S_1 to S_2 ?

- A introduce controls on Chinese investment overseas
 - B lower interest rates
 - C remove tariffs on imports from USA
 - D sell Yuan on the foreign exchange markets
- 21 The diagram shows the demand and supply curves for solar panels in the US. In 2018, the US put a tariff on imported solar panels.

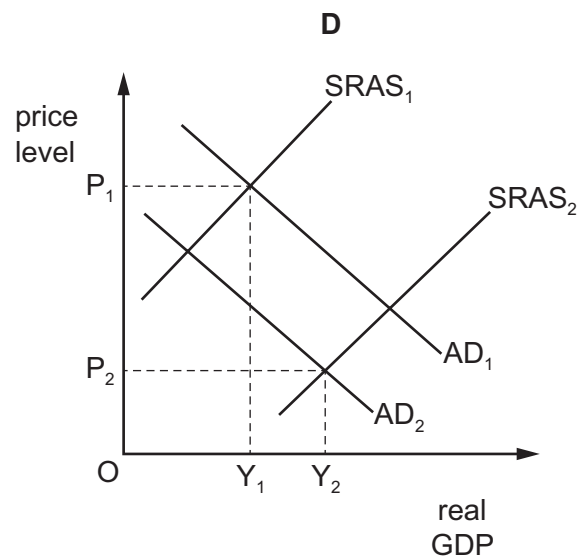
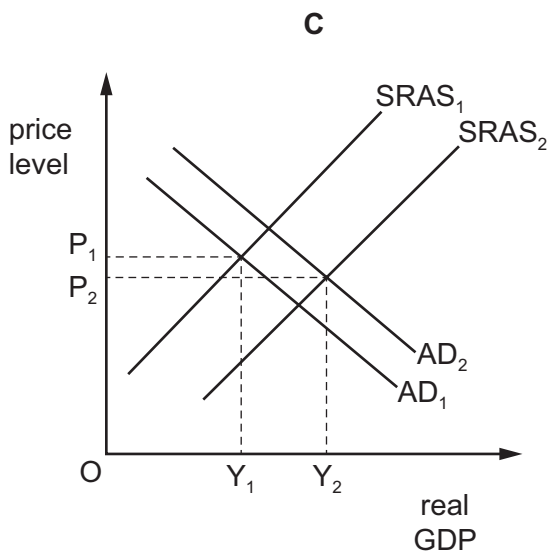
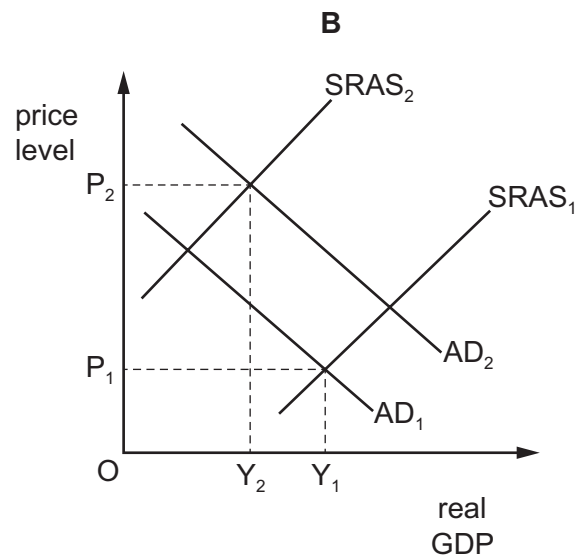
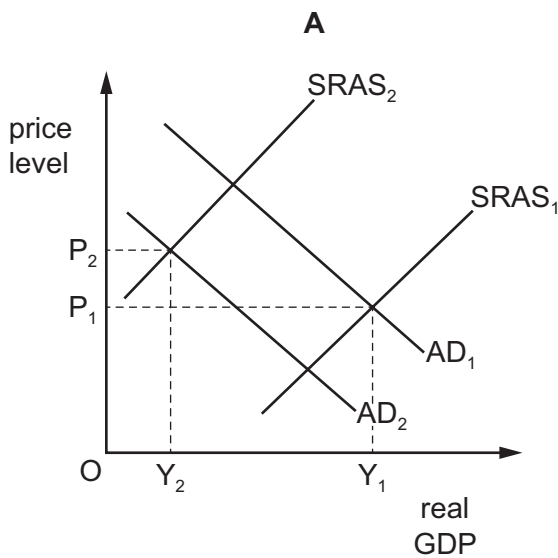


What is the quantity of imported solar panels after the imposition of the tariff?

- A MN
- B MX
- C NP
- D XP

22 The diagrams show initial equilibrium positions at Y_1P_1 .

Which diagram reflects the impact on an economy of higher unit wage costs and an improvement in the balance of trade?



- 23** The table shows information from the current account of the balance of payments for Canada and Singapore in 2019.

	Canada (US\$ million)	Singapore (US\$ million)
exports of goods	448 360	440 800
imports of goods	462 105	342 805
exports of services	100 350	204 810
imports of services	115 270	119 050
primary income balance	–3 475	–34 340
secondary income balance	–2 060	–6 280

What can be concluded from the table?

- A** Canada exported more goods than Singapore.
- B** Canada and Singapore had current account deficits.
- C** Singapore had a surplus on its trade in goods and services.
- D** Singapore imported cheaper goods than Canada.
- 24** What is a measure of a country's terms of trade index?
- A** $\frac{\text{price index of exports}}{\text{price index of imports}} \times 100$
- B** $\frac{\text{price index of imports}}{\text{price index of exports}} \times 100$
- C** $\frac{\text{total value of exports}}{\text{total value of imports}} \times 100$
- D** total value of exports – total value of imports
- 25** What is likely to cause an increase in the exchange rate of an economy?
- A** an increase in demand-pull inflation
- B** an increase in national income
- C** a decision of the central bank to raise money supply
- D** a discovery of a natural resource that replaces imports

- 26 What is likely to explain an increase in the deficit on a country's current account of the balance of payments?
- A an increase in government foreign aid to countries abroad
 - B an increase in government tax rates
 - C an increase in other countries' exchange rates
 - D an increase in the proportion of income saved by the country's residents
- 27 What does the Marshall–Lerner condition state must be present for a depreciation of a currency to cause an improvement in the current account balance?
- A The price elasticity of demand for exports and the price elasticity of demand for imports are both greater than one.
 - B The price elasticity of demand for exports and the price elasticity of demand for imports are both less than one.
 - C The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is greater than one.
 - D The sum of the price elasticity of demand for exports and the price elasticity of demand for imports is less than one.
- 28 To encourage people to work, a government increases the minimum income level at which people start to pay income tax.

Which types of macroeconomic policy are being followed?

	fiscal policy	monetary policy	supply side policy
A	✓	✗	✓
B	✗	✓	✓
C	✓	✓	✓
D	✓	✓	✗

- 29 Raising interest rates is proposed to reduce a balance of payments deficit.

Which justification for this action is **not** valid?

- A It will attract more foreign currency inflows.
- B It will encourage exporters to find new foreign markets.
- C It will lower the level of imported consumer goods.
- D It will put downward pressure on the exchange rate.

30 Which combination of changes is **most** likely to result in a fall in a country's inflation rate?

	exchange rate	interest rate	money supply
A	lower	higher	higher
B	higher	higher	lower
C	higher	lower	lower
D	lower	lower	higher

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Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2022

MARK SCHEME

Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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This document consists of **3** printed pages.

Question	Answer	Marks
1	C	1
2	B	1
3	A	1
4	C	1
5	A	1
6	C	1
7	B	1
8	B	1
9	B	1
10	C	1
11	D	1
12	B	1
13	C	1
14	A	1
15	C	1
16	B	1
17	D	1
18	A	1
19	C	1
20	A	1
21	C	1
22	B	1
23	C	1
24	A	1
25	D	1
26	A	1
27	C	1
28	A	1

Question	Answer	Marks
29	D	1
30	B	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

October/November 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

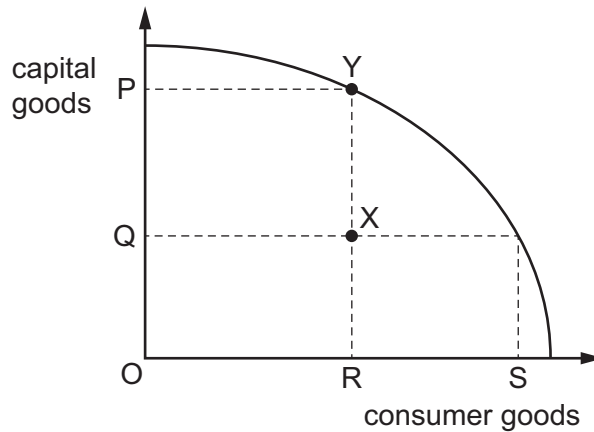
- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1** What is a function of money?
- A** to act as a medium of exchange
 - B** to be divisible into small units
 - C** to enable bartering to take place
 - D** to maintain its value when inflation is high
- 2** In a planned economy, what will determine the allocation of scarce resources?
- A** a mixture of private and central decision making
 - B** the decisions of central government
 - C** the forces of demand and supply
 - D** the revenue generated from direct and indirect taxes
- 3** A key concept in classifying goods is whether a good is rival or non-rival.
Which good is rival in consumption?
- A** an ice cream
 - B** street lighting
 - C** a radio broadcast
 - D** the internet
- 4** What is a normative statement?
- A** A firm receiving a government subsidy will increase the supply of a good.
 - B** Negative externalities are the most serious market failure.
 - C** A rise in incomes will lead to a rise in demand for normal goods.
 - D** A rise in the additional rate of income tax will decrease the incentive to work.

- 5 The diagram shows an economy's production possibility curve (PPC). The economy has moved from X to Y.



What can be deduced from the diagram?

- A** Current living standards have fallen.
B The economy has become more efficient.
C There has been a rise in unemployment.
D There has been an opportunity cost of OR consumer goods.
- 6 An indirect tax is imposed on a product, causing total expenditure by consumers to increase.

Which row identifies this situation?

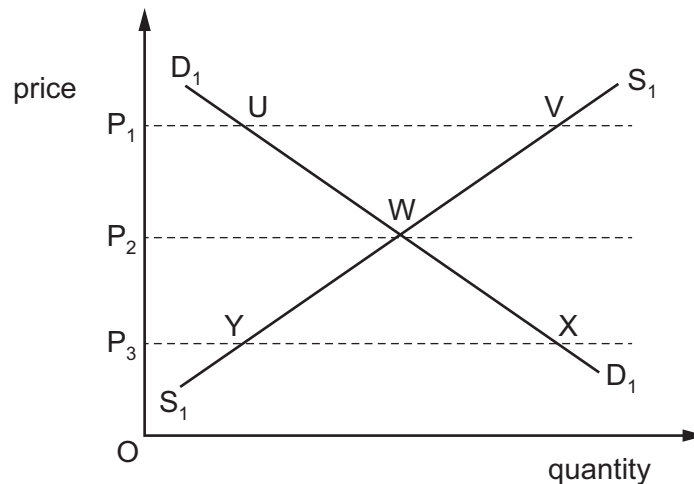
	price	price elasticity
A	decreases	elastic
B	decreases	inelastic
C	increases	elastic
D	increases	inelastic

- 7 The price elasticity of the supply of yoghurt is +1.5.

If the demand for yoghurt rises and price rises by 20%, how much more will be supplied to the market?

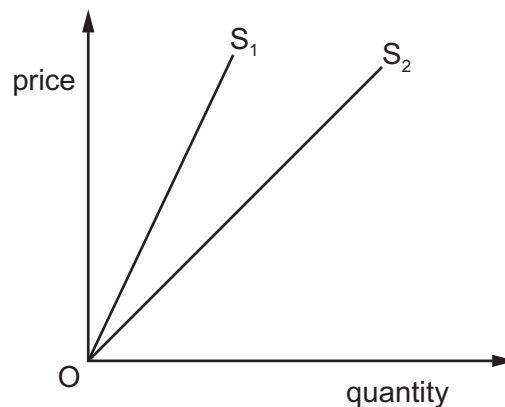
- A** 0.3% **B** 3.0% **C** 13.3% **D** 30%

- 8 The diagram shows the market demand for and supply of a good.



Which statement is **not** valid?

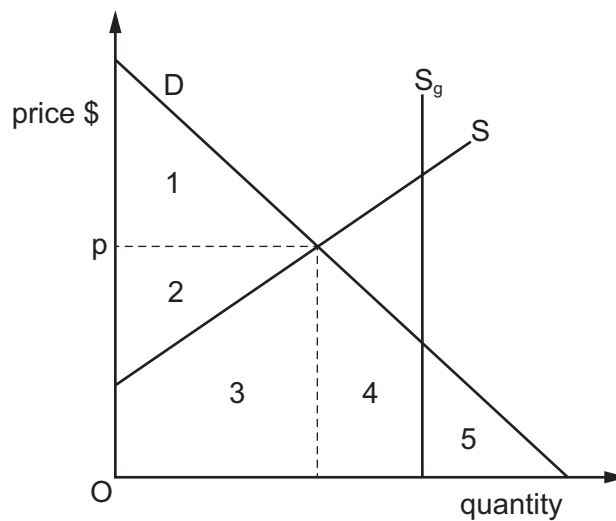
- A At price OP_1 , UV represents the market surplus.
 - B At price OP_3 , P_3X represents the quantity that consumers are able and willing to buy.
 - C If price were to fall from OP_1 to OP_3 , the extra quantity demanded would be equal to the extra quantity supplied.
 - D Price OP_2 is the market equilibrium price.
- 9 The diagram shows two linear supply curves labelled S_1 and S_2 , where S_2 is a 45° line.



Which statement about the price elasticity of supply is correct?

- A The price elasticity of supply is different at every point along both S_1 and S_2 .
- B The price elasticity of supply of S_1 is elastic and S_2 is unit elastic.
- C The price elasticity of supply of S_1 is inelastic and S_2 is unit elastic.
- D The price elasticity of supply is unit elastic at every point along both S_1 and S_2 .

- 10 A country has health care provided by the free market. This is replaced by the government provision of S_g free health care.



What is the change in consumer surplus?

- A from 1 to $(1 + 2)$
 - B from 1 to $(1 + 2 + 3 + 4)$
 - C from $(1 + 2)$ to $(1 + 2 + 3)$
 - D from $(1 + 2)$ to $(2 + 3 + 4 + 5)$
- 11 What is an example of a product in joint demand with a smartphone?
- A an alternative brand of smartphone
 - B a personal computer (PC)
 - C headphones that can be used with a smartphone
 - D the metals used in the manufacture of a smartphone
- 12 A product has a high price elasticity of supply.

What might explain this?

- A It has a high opportunity cost.
- B It has a non-perishable nature.
- C It is classed as an inferior good.
- D It is classed as a luxury good.

- 13** What is likely to affect the position of the demand curve for tickets to pop concerts but **not** the position of the supply curve?
- A** a change in incomes of potential customers
 - B** a change in price of tickets to the concerts
 - C** a change in rents charged by venue owners
 - D** a change in seating capacity of concert venues
- 14** The table shows Lee's and Yim's price elasticity of demand for restaurant meals and cinema tickets.

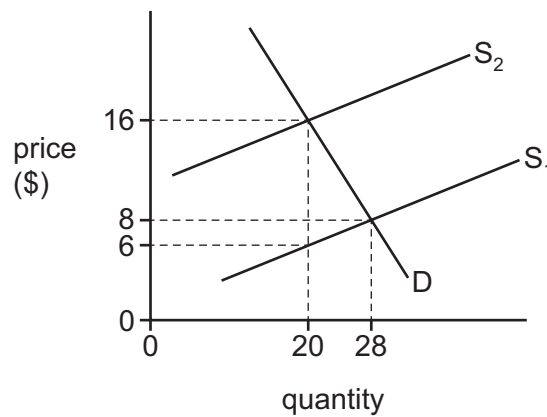
	Lee	Yim
restaurant meals	-1.2	-0.8
cinema tickets	-0.7	-0.3

There is a rise in the price of both products.

What can definitely be concluded after these price changes?

- A** Restaurant owners will receive more income.
 - B** Lee will spend more money on both products.
 - C** Yim will spend more money on both products.
 - D** Cinema owners will receive less income.
- 15** A government fixes a maximum price for a product in order to increase its consumption.
- What would be the likely outcome of such a policy?
- A** Consumption will fall if the maximum price is above the current equilibrium price.
 - B** Consumption will rise if the maximum price is below the current equilibrium price.
 - C** Production will fall if the maximum price is above the current equilibrium price.
 - D** Production will fall if the maximum price is below the current equilibrium price.

- 16 The diagram shows demand and supply curves for a good. S_1 is the original supply curve, S_2 is supply after a tax is added.



How much tax revenue is earned by the government?

- A** \$40 **B** \$160 **C** \$200 **D** \$320
- 17 What is a transfer payment?
- A** the advertising expenditure of a firm
 - B** the allowance given by a parent to their child while at school
 - C** the rent paid to a land owner by a tenant farmer
 - D** the wage paid to a worker in the government service
- 18 What best illustrates the process of privatisation?
- A** a single private shareholder acquires complete control of an organisation
 - B** the purchase of government bonds by private sector commercial organisations
 - C** the purchase of shares in a private company
 - D** the transfer of public sector assets to the private sector
- 19 What defines a progressive tax?
- A** Low-income earners pay the same proportion of income in taxes as high-income earners.
 - B** Low-income earners pay a lower proportion of income in taxes than high-income earners.
 - C** Low-income earners pay less in taxes than high-income earners.
 - D** Low-income earners pay more in taxes than high-income earners.

- 20** An increase in what will shift the aggregate demand curve in an economy to the right?
- A** budget deficit
 - B** consumer savings
 - C** general price level
 - D** interest rate
- 21** Which effect of inflation is described as redistributive?
- A** the improvement in the terms of trade
 - B** the deterioration in the balance of trade
 - C** the inconvenience of frequently changing prices
 - D** the loss of purchasing power for people on fixed incomes
- 22** In which situation will a country's terms of trade improve?
- A** Its total value of imports rises less than its total value of exports.
 - B** Its volume of imports rises less than its volume of exports.
 - C** The prices of its imports rise by less than the prices of its exports.
 - D** The value of its external payments rises by less than the value of its external receipts.
- 23** Country X joins a customs union with country Y and will remove the tariff on its imports of good M from country Y.

Under which conditions will trade creation in country X be the largest?

	existing size of country X's tariff on imports of good M	price elasticity of demand for good M in country X
A	large	-0.8
B	large	-1.4
C	small	-0.8
D	small	-1.4

- 24** What is likely to happen if there is a fall in the international value of a country's currency?
- A** a rise in the foreign currency price of its exports
 - B** a rise in the volume of its exports
 - C** a fall in the domestic currency price of its imports
 - D** a fall in the domestic price level

- 25** From the same quantity of factors of production, country X and country Y each produce the following units of output.

country	sugar	textiles
X	30	20
Y	40	10

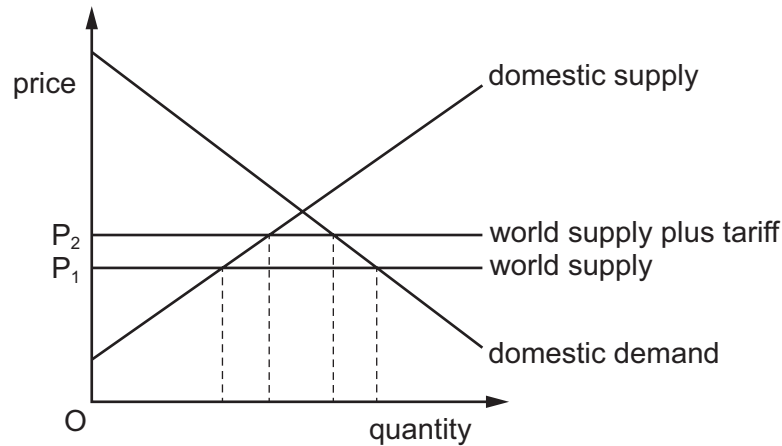
Which statement is correct?

- A** Country X has absolute advantage in the production of both goods.
 - B** Country X has comparative advantage in the production of sugar.
 - C** Country Y has absolute advantage in the production of textiles.
 - D** Country Y has comparative advantage in the production of sugar.
- 26** Following a 10% depreciation in the \$ value of the £ sterling, a UK exporter leaves the \$ price of the goods it sells in the US market unchanged.

Other things being equal, what will be the effect on the revenue measured in sterling obtained by the manufacturer from its sales in the US?

- A** It will increase.
- B** It will decrease.
- C** It will be unchanged.
- D** It will depend on the elasticity of demand for the manufacturer's good in the US.

27 The diagram shows the effect of introducing a tariff on a product.

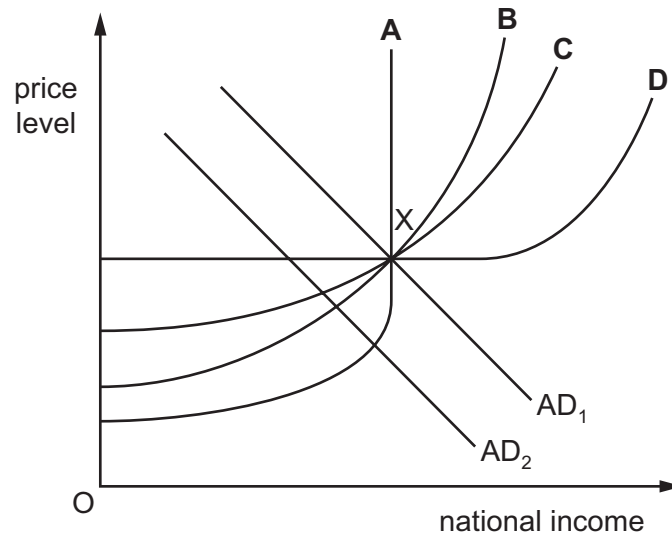


What determines the producer surplus that the tariff generates for domestic producers?

- A the price elasticities of domestic supply and demand
 - B the tariff rate and the price elasticities of both domestic demand and supply
 - C the tariff rate and the price elasticity of domestic demand
 - D the tariff rate and the price elasticity of domestic supply
- 28 Which government policy is most likely to cause expenditure switching that will benefit a country's current account?
- A increasing import quotas
 - B increasing income tax allowances
 - C increasing spending on unemployment benefits
 - D increasing subsidies to domestic firms
- 29 Which type of economic policy is likely to be considered the most effective by a government that has greater income equality as its primary aim?
- A fiscal policy
 - B international trade policy
 - C monetary policy
 - D supply side policy

- 30 The diagram shows four possible aggregate supply curves and an equilibrium point X. A government employs deflationary fiscal policy in order to reduce the rate of inflation in its economy. This shifts aggregate demand to AD_2 .

With which AS curve would this policy be most effective?



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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

October/November 2022

MARK SCHEME

Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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This document consists of **3** printed pages.

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3	A	1
4	B	1
5	B	1
6	D	1
7	D	1
8	C	1
9	D	1
10	B	1
11	C	1
12	B	1
13	A	1
14	C	1
15	D	1
16	C	1
17	B	1
18	D	1
19	B	1
20	A	1
21	D	1
22	C	1
23	B	1
24	B	1
25	D	1
26	A	1
27	D	1
28	D	1

Question	Answer	Marks
29	A	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

October/November 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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This document has **12** pages.



1 Which action would **not** raise the quality of the particular factor of production?

- A capital – operating a machine continuously at full capacity
- B enterprise – providing risk management advice
- C land – increasing the use of fertilisers
- D labour – making apprenticeships and training compulsory

2 During a period of deflation an economy's aggregate monetary demand falls.

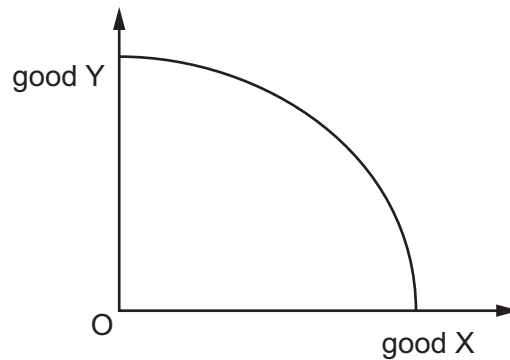
Which function of money explains this fall?

- A a measure of value
- B a medium of exchange
- C a standard for deferred payment
- D a store of value

3 What will usually result if production is divided into separate processes that are assigned to different people?

	lower output per worker	more repetitive tasks	lower costs
A	no	no	no
B	no	yes	yes
C	yes	no	no
D	yes	yes	yes

- 4 The diagram shows a production possibility curve.



Which combination is correct?

	opportunity cost of producing more of good Y	opportunity cost of producing more of good X
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

- 5 A government wishes to ensure adequate flood defences are provided in its coastal areas.

Which action is most likely to be undertaken **only** by the government?

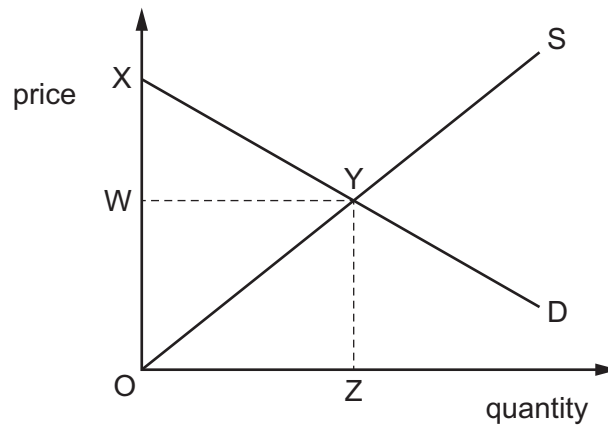
- A** building the defences
- B** designing the defences
- C** financing the defences
- D** maintaining the defences

- 6 Consumer surplus exists in the market for rice.

What does this mean?

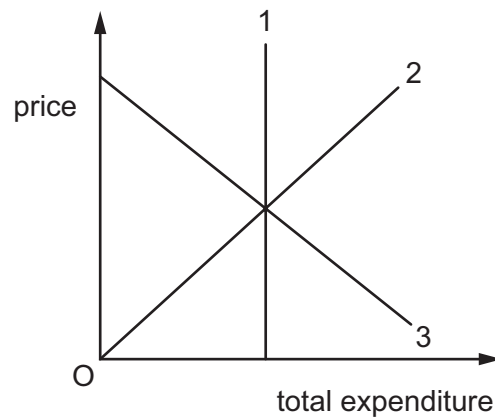
- A** Consumers benefit from rice production more than producers.
- B** Consumer demand for rice exceeds supply.
- C** Some consumers would be willing to pay more than the market price for rice.
- D** The production of rice exceeds the supply.

- 7 The diagram shows the demand curve and supply curve for a product.



Which area represents producer surplus?

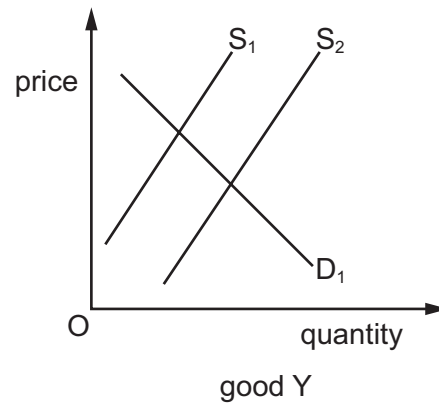
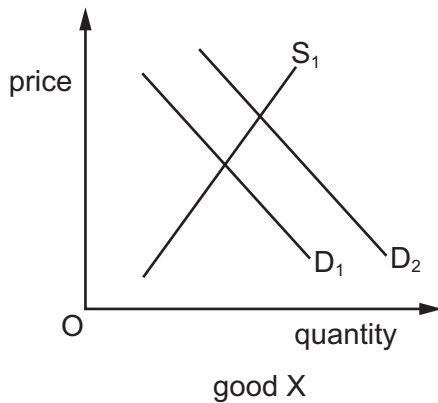
- A** OWYZ minus OWY
B OWYZ minus OYZ
C OXYZ minus OYZ
D OXYZ minus WXY
- 8 The diagram shows the relationship between total expenditure and price for three products, 1, 2 and 3.



Which curves represent the products with price-elastic and unitary price-elastic demand?

	elastic	unitary
A	1	2
B	2	3
C	3	1
D	3	2

- 9 What causes an inelastic market supply curve for an agricultural crop such as wheat?
- A a government decision to import crops at times of shortage
 - B an efficient use of fertilisers causing crop production to rise
 - C the storage of excess production for future sale
 - D the very long time required to produce additional output
- 10 The diagrams show the effect of a change in the market for good X on the market for good Y.

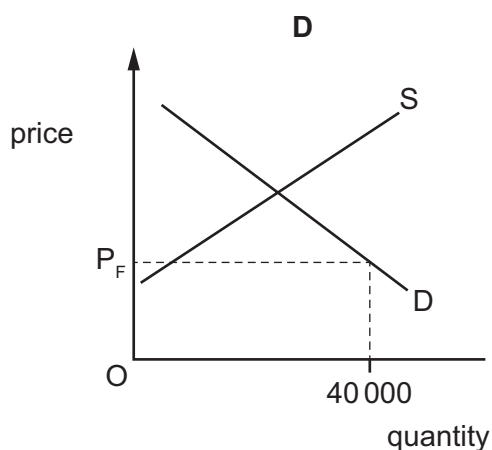
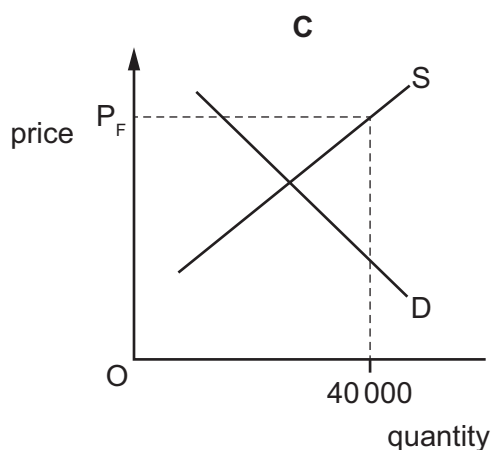
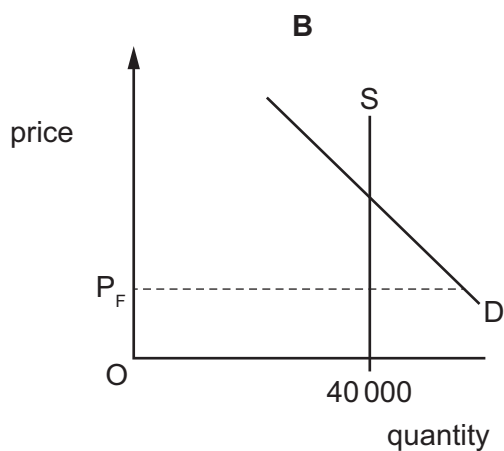
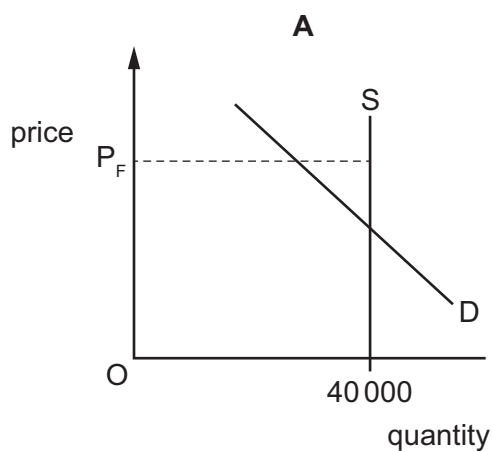


What can be concluded about the goods?

- A X and Y are complements.
- B X and Y are in joint supply.
- C X and Y are substitutes.
- D Y is a derived demand from X.

- 11 The final of a major sports event is held in a stadium which has a fixed capacity of 40 000 people. The price for a seat is set at P_F , but when the tickets go on sale all tickets are sold very quickly with many disappointed people unable to buy a ticket.

Which diagram best represents this?



- 12 Which product has the lowest price elasticity of demand?

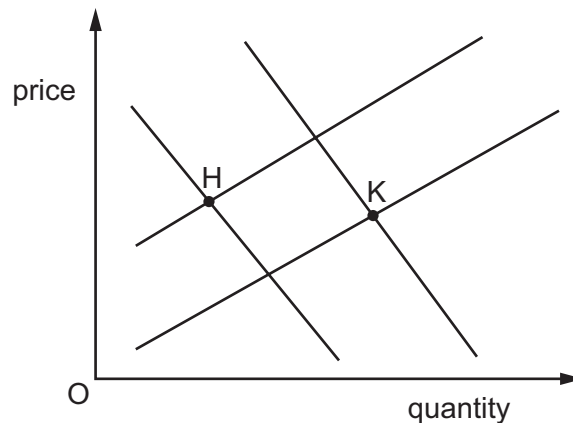
	price rises by (%)	quantity demanded falls by (%)
A	0	10
B	5	5
C	10	5
D	10	0

- 13** The market for a product is initially in equilibrium.

Which combination of changes will cause the price of the product to rise and the quantity sold to fall?

- A** a decrease in demand that is larger than a decrease in supply
- B** a decrease in demand that is smaller than a decrease in supply
- C** an increase in demand that is larger than an increase in supply
- D** an increase in demand that is smaller than an increase in supply

- 14** The diagram shows two demand curves and two supply curves. The initial equilibrium is at H.



Which combinations of shifts in the demand and supply curves would result in a change in the equilibrium position from H to K?

- A** an increase in demand and an increase in supply
 - B** an increase in demand and a decrease in supply
 - C** a decrease in demand and an increase in supply
 - D** a decrease in demand and a decrease in supply
- 15** In 2009, the Australian Government made a payment of \$900 to those who earned less than \$100 000 per year.

How would this payment best be described?

- A** neutral
- B** progressive
- C** proportional
- D** regressive

- 16 The market for good Z is in equilibrium with 1000 units sold at a price of \$10. The government pays a subsidy of \$2 per unit to producers of good Z.

Under which conditions will the total spending by the government on the subsidy be **smallest**?

	price elasticity of demand for good Z	price elasticity of supply for good Z
A	< 1	< 1
B	< 1	> 1
C	> 1	< 1
D	> 1	> 1

- 17 If an industry is currently state-owned and state-run, what does **not** represent a reason for it being privatised?

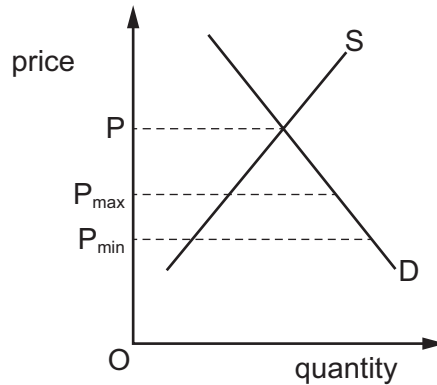
- A** Decisions will no longer be taken with political considerations in mind.
- B** The benefits of merit goods will be taken into account in decision-making.
- C** Its owners would have more incentive to make it operate profitably.
- D** There will be greater incentives for managers to introduce modern technology.

- 18 What does the incidence of an indirect tax on a product refer to?

- A** the proportion of the tax paid by the consumer relative to the producer
- B** the reduction in output as a result of the imposition of the tax
- C** the revenue the tax generates for the government
- D** the increase in the hidden economy as a result of tax evasion after the tax is imposed

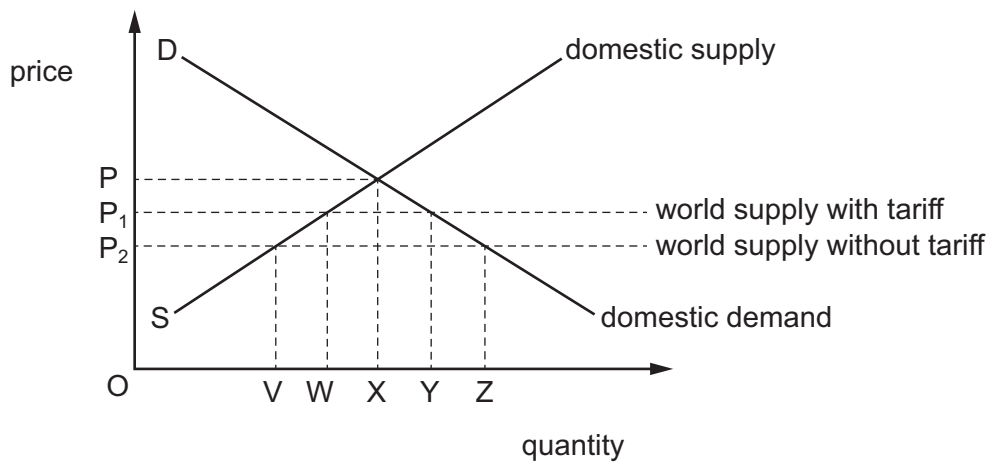
- 19 A government wishes to influence the price of a good. It introduces a maximum price, $P_{\max}$, and a minimum price, $P_{\min}$.

The diagram shows these prices relative to the current market price P .



What can be concluded from the diagram?

- A Both the maximum and the minimum price will be effective.
 - B Only the maximum price will be effective.
 - C Only the minimum price will be effective.
 - D The market price will continue to operate.
- 20 A government removes the tariff on a product, as shown.



What will be the change in domestic production?

- A a reduction of WV
- B a reduction of XV
- C a reduction of XW
- D a reduction of ZY

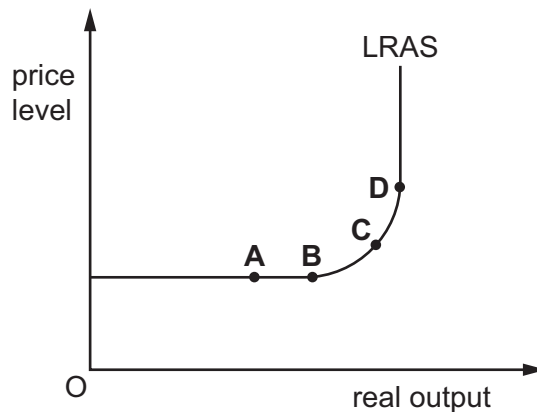
21 An economy is initially in equilibrium.

Which combination of events will **definitely** cause an increase in the general price level of the economy and a decrease in its real output?

	aggregate demand	short-run aggregate supply
A	decreases	decreases
B	decreases	unchanged
C	increases	decreases
D	unchanged	decreases

22 The government of a country changes from a balanced budget to a budget deficit.

From which point along the country's long-run aggregate supply curve (LRAS) will this change cause the largest increase in employment without creating inflationary pressure?



23 The price and volume indexes of a country's imports and exports are shown in the table, for year 2 [year 1 = 100].

year 2 price index		year 2 volume index	
imports	exports	imports	exports
110	121	90	80

What is the country's terms of trade index for year 2?

- A** 90.9 **B** 97.8 **C** 110.0 **D** 111.0

- 24 What is a certain outcome on an aggregate demand and aggregate supply diagram of an increase in factor productivity?
- A downward shift of the aggregate demand curve
 - B downward shift of the aggregate supply curve
 - C an upward shift of the aggregate demand curve
 - D an upward shift of the aggregate supply curve
- 25 Trade in services is a component of the current account of the balance of payments.
- What is an example of a trade in services?
- A development aid for foreign countries
 - B export revenue from primary commodities
 - C income from foreign tourists
 - D income from overseas investments
- 26 Which statement about changing price levels is correct?
- A Anyone on a fixed income has rising real income during deflation.
 - B Government revenue from indirect taxes falls during inflation.
 - C Producers prefer deflation to inflation.
 - D Savers prefer index-linked savings when there is deflation rather than inflation.
- 27 What would be likely to decrease inflation in an economy?
- A a decrease in consumer saving
 - B a decrease in unemployment
 - C an increase in labour productivity
 - D an increase in taxes on imports
- 28 Which change in economic circumstances is **most** likely to lead to a reduction in the rate of domestic inflation in an economy?
- A a depreciation in the currency
 - B a reduction in the productivity of labour
 - C a worldwide recession
 - D an increase in direct taxes to finance increased welfare payments

- 29** A country is currently experiencing deflation. It has a large national debt that is greater than its annual real income.

Which combination of policies is most likely to increase the general price level without adding to the national debt?

	fiscal policy	monetary policy
A	decrease the budget deficit	decrease the money supply
B	decrease the budget deficit	increase the money supply
C	increase the budget deficit	decrease the money supply
D	increase the budget deficit	increase the money supply

- 30** Which government action will conflict with the named economic target?

	target	action
A	lower price inflation	lower exchange rate
B	more consumer spending	lower interest rates
C	more equal incomes	lower indirect tax rate
D	reduced import levels	smaller trade quotas

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Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

October/November 2022

MARK SCHEME

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9	D	1
10	B	1
11	B	1
12	D	1
13	B	1
14	A	1
15	B	1
16	A	1
17	B	1
18	A	1
19	B	1
20	A	1
21	D	1
22	A	1
23	C	1
24	B	1
25	C	1
26	A	1
27	C	1
28	C	1

Question	Answer	Marks
29	B	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

February/March 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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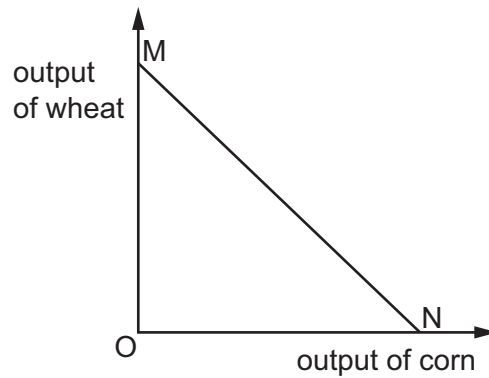


- 1 A good is most suitable to be provided by the market if it is
- A excludable and non-rival.
 - B excludable and rival.
 - C non-excludable and non-rival.
 - D non-excludable and rival.
- 2 What is the definition of *long run*?
- A the time period when all factors of production are specialised
 - B the time period when all factors of production are variable
 - C the time period when all key inputs into production are variable
 - D the time period when at least one factor of production is fixed
- 3 The table states the consequences of two macroeconomic policies.

What correctly identifies whether the statements are normative or positive?

	a depreciation of an exchange rate will cause the balance of payments to improve	a rise in the minimum wage rate will cause unemployment to rise
A	normative	normative
B	normative	positive
C	positive	normative
D	positive	positive

- 4 The diagram shows the production possibility curve for wheat and corn.



What can be deduced from the diagram?

- A** As the price of corn falls, more of it is demanded.
 - B** Resources used in producing corn are more efficient than in producing wheat.
 - C** The opportunity cost of producing corn falls when moving from M to N.
 - D** The opportunity cost of producing corn is constant when moving from M to N.
- 5 A supply curve is represented by the equation

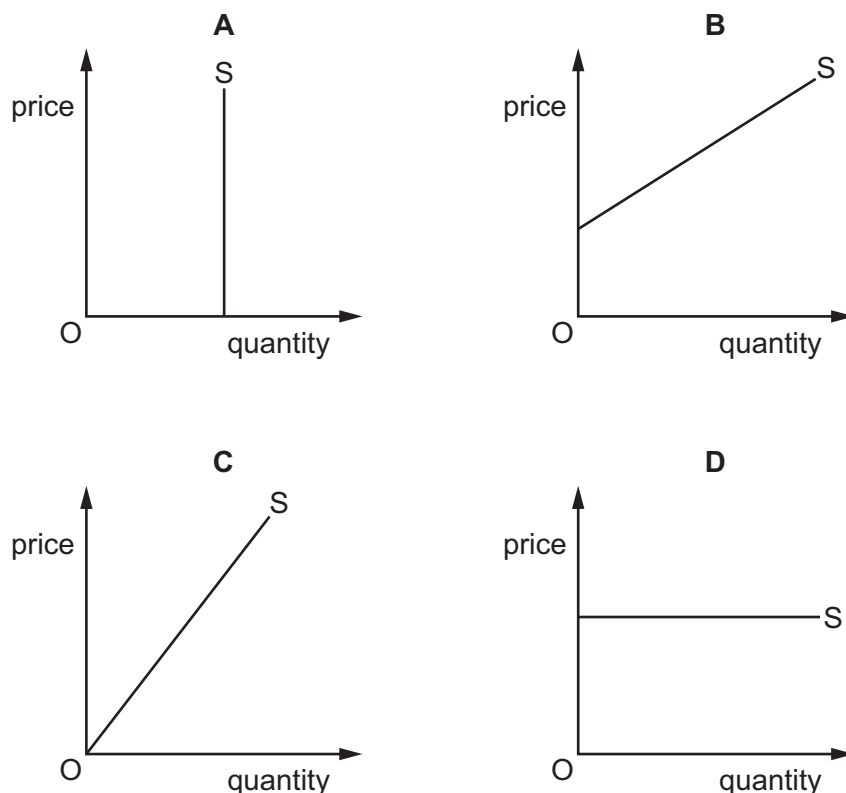
$$\text{quantity supplied} = 10 + 5P$$

where P = the price of the product.

Which price rise would cause the quantity supplied to double?

- A** \$1 to \$2
- B** \$1 to \$3
- C** \$1 to \$4
- D** \$1 to \$5

6 Which diagram illustrates unitary elasticity of supply?



7 In which case is the price system **not** a possible method of allocating resources?

- A in the distribution of foodstuff among the population
- B in the hiring of workers by employers
- C in the ownership of land for agricultural use
- D in the provision of public goods by the government

8 A sports stadium has two prices of seats. The cheaper seats are \$10 and the more expensive seats are \$20. When the prices of all seats are increased by 10%, the effects on demand are a fall of 5% for the cheaper seats and a fall of 12% for the more expensive seats.

What describes the responsiveness of demand to the change in price?

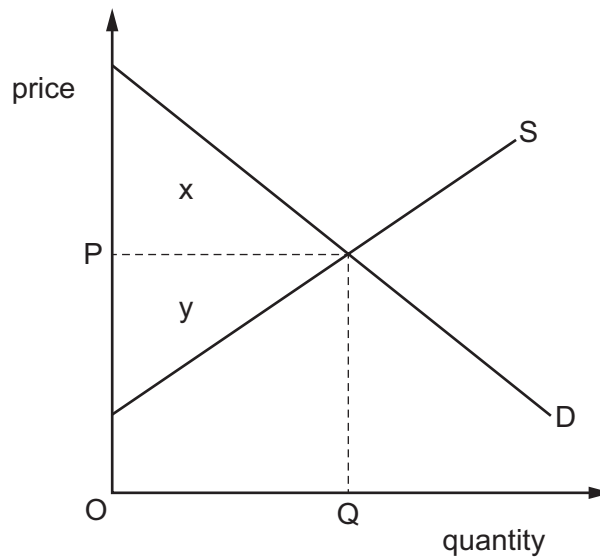
	cheaper seats	more expensive seats
A	elastic	elastic
B	elastic	inelastic
C	inelastic	elastic
D	inelastic	unitary elasticity

- 9 Which statement correctly describes the shape of the demand curve for a normal good?
- A It shows an inverse relationship between income and quantity demanded.
 - B It shows an inverse relationship between the price of the good and quantity demanded.
 - C It shows a positive relationship between the price of the good and quantity demanded.
 - D It shows a positive relationship between income and quantity demanded.
- 10 Why does the basic economic problem of scarcity apply to both the rich and the poor?
- A The choices people make are not dependent on income inequalities.
 - B Consumers pay the same prices for goods and services to satisfy their wants.
 - C Human wants exceed what can be produced from available resources.
 - D Natural resources are unevenly distributed amongst nations.
- 11 Butter and buttermilk are goods in joint supply. Supply curves in both markets slope upwards to the right. Health concerns cause people to reduce their consumption of butter.

What are the initial consequences of this for supply in the markets for butter and buttermilk?

	supply of butter	supply of buttermilk
A	move left along supply curve	move left along supply curve
B	move left along supply curve	shift left of the supply curve
C	shift left of the supply curve	move left along supply curve
D	shift left of the supply curve	shift left of the supply curve

12 The diagram shows the demand and supply of a good.



When the market is in equilibrium, which area measures the difference between what consumers are willing and able to pay and what producers receive at that output?

- A** x **B** y **C** $x + y$ **D** $x - y$

13 Why do some local governments subsidise the provision of bicycles to encourage their use?

- A** Consumers are afraid of having car accidents.
B Consumers are unable to afford bicycles.
C Consumers are not aware of the external benefits of using bicycles.
D Consumers ignore the external costs of using bicycles.

14 The table shows Gini coefficients for both income and wealth in two countries.

	country P	country Q
income	0.6	0.5
wealth	0.4	0.7

Which statement is correct?

- A** Gini coefficients are not comparable between income and wealth because one is a flow concept and the other is a stock concept.
B Income inequality is greater in country P than in country Q.
C Wealth inequality is greater in country P than in country Q.
D Wealth inequality is greater than income inequality in both countries.

- 15** A government is faced with rising inflation. It wishes to reduce inflationary pressure while avoiding a fall in output.

Which action is most likely to meet its needs?

- A** an increase in laws to promote competition
- B** an increase in taxation
- C** an increase in the budget surplus
- D** an increase in the exchange rate

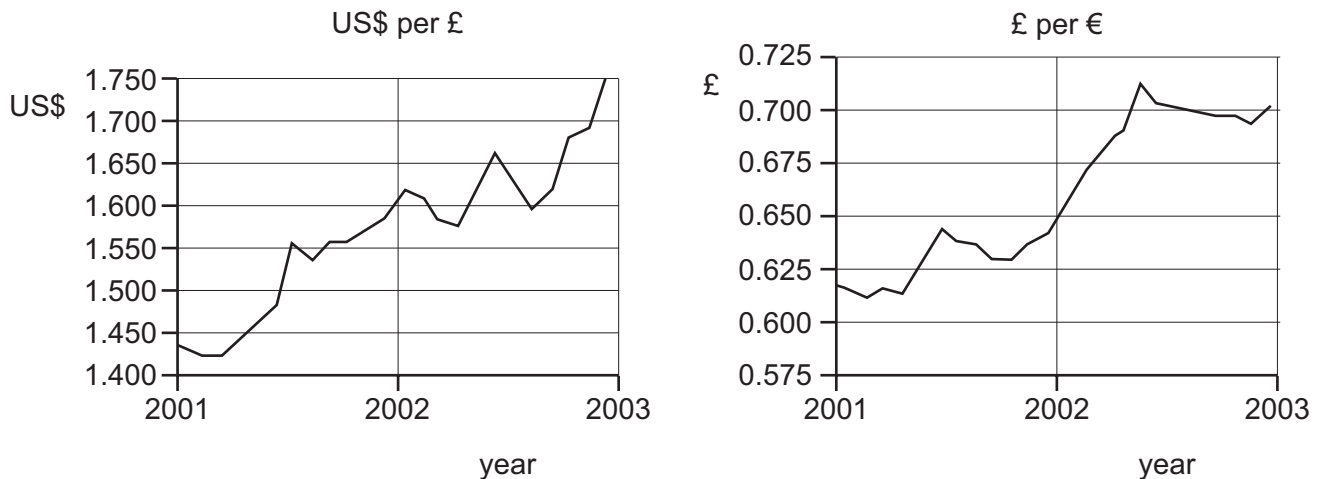
- 16** The table shows selected information from a country's national accounts.

	\$ billion
GDP	28
net property income from abroad	–3
capital consumption	6
national debt	2

What is the country's net national income?

- A** \$19 billion
- B** \$25 billion
- C** \$31 billion
- D** \$33 billion

- 17** The graphs show the changes in the exchange rates of the pound sterling (£) against the US dollar (US\$) and the euro (€) between the years 2001 and 2003.



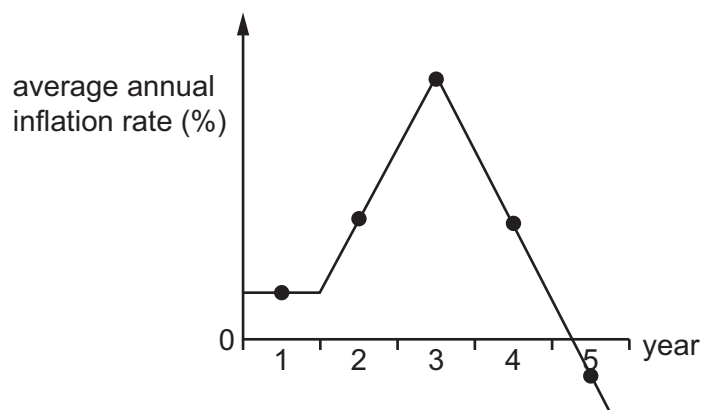
What happened to the value of the £ between the years 2001 and 2003?

- A** The £ appreciated against the US\$ and depreciated against the €.
- B** The £ appreciated against the US\$ and the €.
- C** The £ depreciated against the US\$ and appreciated against the €.
- D** The £ depreciated against the US\$ and the €.

18 Which statement about the circular flow of income is correct?

- A Exports and imports do not affect the equilibrium level of national income because they always cancel each other out.
- B The greater the level of saving, the greater the level of injections in the form of investment must be.
- C When consumers use past savings to increase their spending, there will be a rise in national income.
- D When a government increases withdrawals by increasing the rate of income tax, there must be an equivalent increase in injections to compensate.

19 The graph shows a country's average annual inflation rate over a five-year period.



What can be concluded about the general price level during the five years?

- A It fell in only one year.
- B It fell in only two years.
- C It rose in only two years.
- D It was constant in only one year.

20 In an economy, wages and prices are both rising but wages are rising faster.

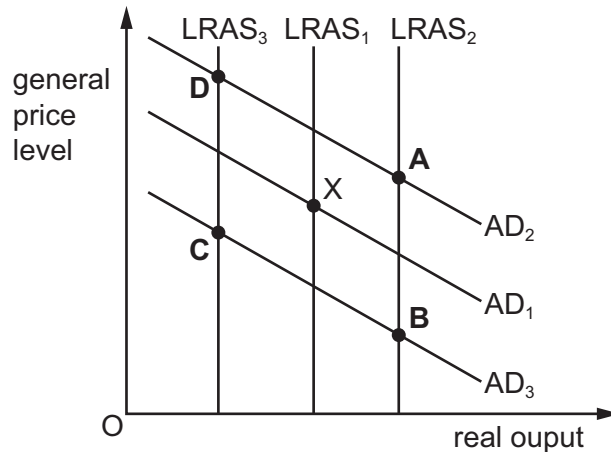
Which features are likely to exist in this economy?

	cost-push inflation	rise in real incomes
A	no	no
B	no	yes
C	yes	no
D	yes	yes

- 21** The diagram shows the aggregate demand (AD) and long-run aggregate supply (LRAS) curves for a country. X is the original equilibrium position.

In one year, over one million foreign workers left the country and at the same time the country's currency appreciated against the currencies of its major trading partners.

What will be the most likely new equilibrium position for this country?



- 22** What is most likely to cause a rise in a country's exchange rate?
- A** a fall in its direct taxes
 - B** a fall in its export orders
 - C** a rise in its interest rates
 - D** a rise in its imports
- 23** Which change affecting the foreign exchange market for the US\$ would be most likely to result in a shift to the right of the demand curve and a movement along the supply curve?
- A** The US government reduces subsidies on exports to the EU.
 - B** Foreign currency speculators in Switzerland believe that the US\$ is undervalued and act accordingly.
 - C** The US government intervenes in the foreign exchange market so as to bring about a drop in the value of the US\$.
 - D** US pharmaceutical companies experience a fall in demand for their products from the rest of the world.
- 24** What can be best understood from a knowledge of a country's terms of trade?
- A** its balance of payments performance
 - B** the purchasing power of its exports
 - C** the standard of living within the country
 - D** the value of its real exchange rate

25 A company produces goods for export only.

Which change could cause a rise in the price of its goods while the quantity sold is unchanged?

	domestic workers' wages	foreign consumers' wages
A	unchanged	fall
B	fall	unchanged
C	fall	fall
D	rise	rise

26 Under which current conditions will supply-side policy measures be most likely to achieve a country's key macroeconomic goals?

	unemployment level	price level
A	high	stable
B	high	rising
C	low	stable
D	low	rising

27 Why might a government prefer to use floating exchange rates?

- A** It allows the government more independence in policy making.
- B** It encourages the government to build up its foreign exchange reserves.
- C** It eliminates the instability of free markets.
- D** It gives firms more confidence in future costs and prices.

28 What is **least** likely to rise as a result of the use of expansionary fiscal policy?

- A** aggregate demand
- B** budget surplus
- C** nominal income
- D** inflation

29 The table shows GDP indices for a country over a three-year period.

	year 1	year 2	year 3
real GDP	100	105	106
money GDP	100	107	115

Inflation and economic growth are two macroeconomic policy objectives.

Which row gives a correct assessment of the country's achievement of these two objectives over the period?

	rate of inflation	rate of economic growth
A	cannot tell	positive
B	declining	cannot tell
C	positive	declining
D	rising	negative

30 A government raises interest rates to improve the current account of the balance of payments.

What might reduce the effectiveness of this policy?

- A** a fall in domestic growth
- B** consumer pessimism
- C** increased domestic saving
- D** price-elastic demand for exports

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

February/March 2023

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the February/March 2023 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	B	1
2	B	1
3	D	1
4	D	1
5	C	1
6	C	1
7	D	1
8	C	1
9	B	1
10	C	1
11	B	1
12	A	1
13	C	1
14	B	1
15	A	1
16	A	1
17	A	1
18	C	1
19	A	1
20	D	1
21	C	1
22	C	1
23	B	1
24	B	1
25	D	1
26	B	1
27	A	1
28	B	1

Question	Answer	Marks
29	C	1
30	D	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 AS Level Multiple Choice

May/June 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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- Do **not** use correction fluid.
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- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.



1 What is 'a produced means of further production'?

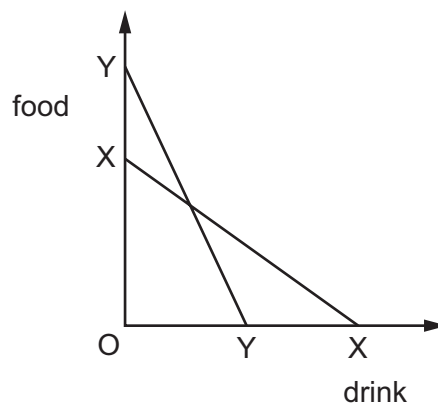
- A capital
- B enterprise
- C labour
- D land

2 A hospital management board decides to reallocate \$800 000 from its \$1.2m new buildings budget to spend on cancer care.

What is the opportunity cost of this decision?

- A a cost of \$400 000
- B a cost of \$800 000
- C the cost of healthcare for cancer patients
- D the loss of some new buildings

3 The diagram shows the change in a country's production possibility curve from XX to YY.



What would explain this change?

- A Consumers chose to consume more food and less drink.
- B Government taxed food production and subsidised drink production.
- C Productivity rose in food production and fell in drink production.
- D There were more imports of food and more exports of drink.

- 4 A factory manufactures chairs. The manufacturing process is divided into a number of tasks.

What is a likely **disadvantage** of this division of labour?

- A decrease in motivation
- B decrease in output
- C decrease in productivity
- D decrease in quality of the final product

- 5 Which row correctly describes the relationship between two goods implied by the value of the cross elasticity of demand?

	value of the cross elasticity of demand	description
A	−2.0	weak complements
B	−0.5	weak substitutes
C	+0.5	weak substitutes
D	+2.0	strong complements

- 6 What does consumer surplus measure?

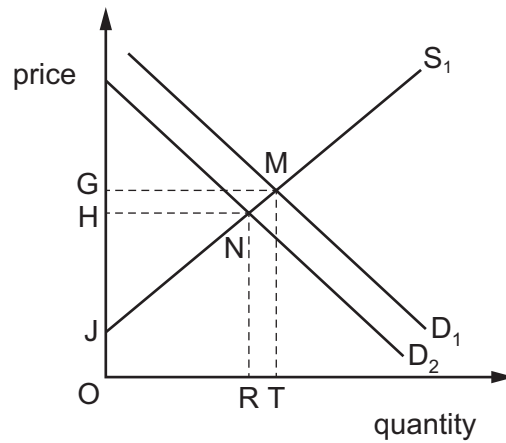
- A the excess profit earned by the producer of a good
- B the opportunity cost to the consumer of not buying a good
- C the price the marginal consumer is willing to pay for a good
- D the consumer's gain from purchasing a good at a price below what they are willing to pay

- 7 When the price of good X is \$2.00, the quantity supplied is 100 000. The price elasticity of supply of good X is 0.8 in the short run and 1.4 in the long run. The price of good X increases to \$2.20.

What is the increase in the quantity supplied of good X between the short run and the long run?

- A 6000
- B 60 000
- C 114 000
- D 140 000

- 8 The diagram shows the European market for diesel fuel and the original equilibrium is at M.



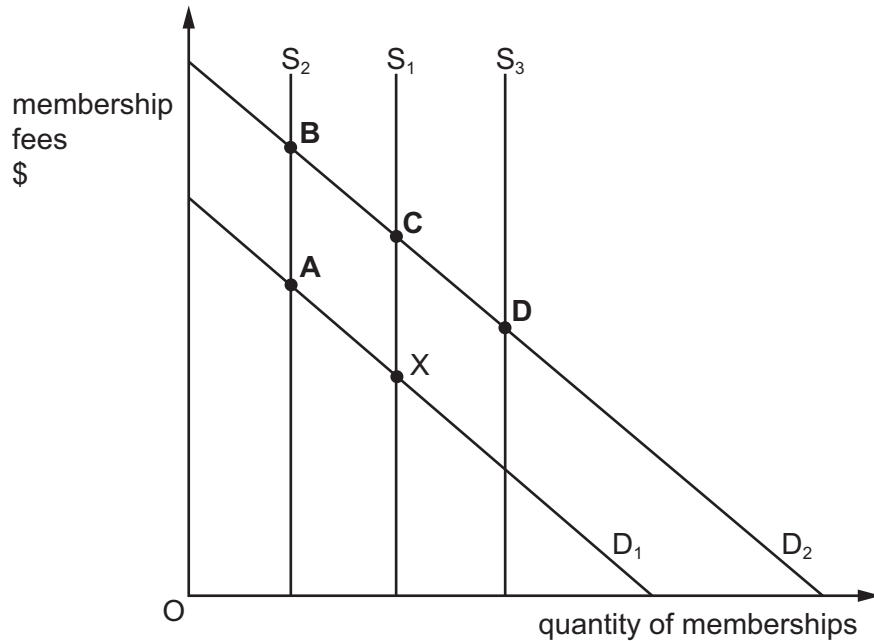
Europeans want low-emission cars and therefore the demand for diesel fuel has decreased from D_1 to D_2 .

Which area represents the new producer surplus for companies supplying diesel fuel?

- A** GMNH **B** JGM **C** JHN **D** JNR
- 9 In which situation is the demand for a product said to be price elastic?
- A** The quantity demanded responds to a change in price.
- B** An increase in price brings about a decrease in the quantity demanded.
- C** An increase in price induces consumers to spend more on the product.
- D** A decrease in price brings about an increase in revenue.

- 10** Golf club membership fees in Singapore have risen as a result of restrictions on travel to cheaper golf courses in neighbouring countries and the closure of some local courses. The supply of golf club memberships is determined by the current number of courses.

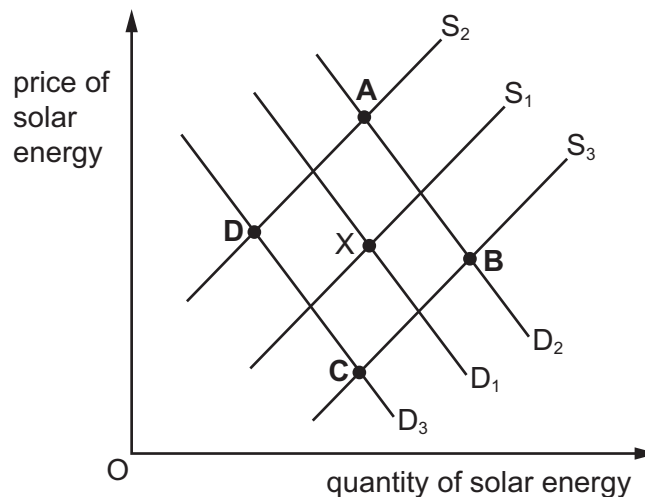
If the original equilibrium was at X, which point shows the result of these changes?



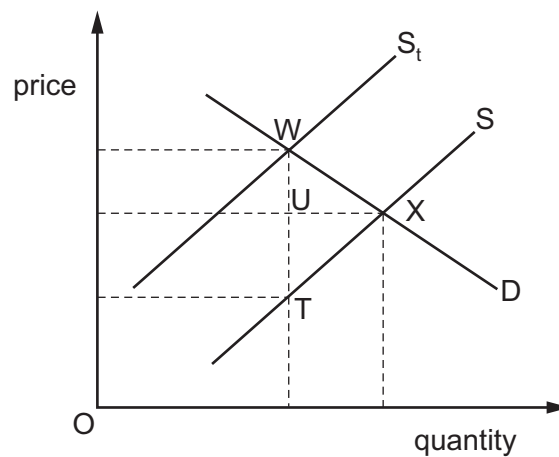
- 11** The diagram shows the demand and supply curves for solar energy in India. The initial equilibrium point is at X.

The Indian government increases the subsidy to solar energy producers. At the same time, there is a rise in the price of alternative sources of energy.

What is the new equilibrium position?



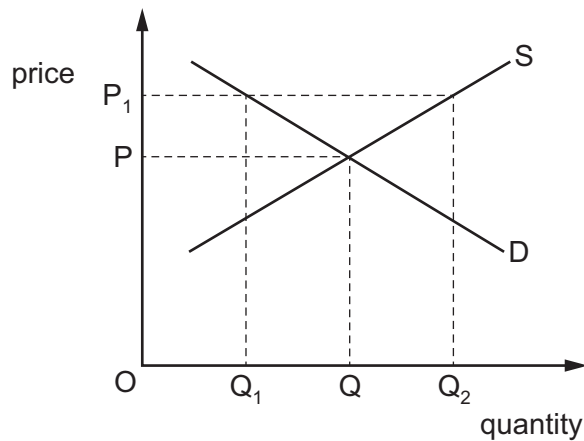
- 12 A specific tax is placed on the sale of bottles of lemonade. In the diagram, S is the supply curve before imposition of the tax and S_t is the supply curve after tax.



Which distance represents the specific tax on each bottle?

- A** UT **B** WT **C** WU **D** WX
- 13 Demand for medical face masks exceeds supply during a disease outbreak.
- What is the most likely cause of this excess demand?
- A** Some consumers do not have effective demand.
- B** The demand for medical face masks is price inelastic in the short run.
- C** The price of medical face masks is fixed below the equilibrium price.
- D** The supply of medical face masks is inelastic in the short run.

14 The diagram shows the demand and supply curves for a good.



The government fixes a maximum price of OP_1 .

What would happen?

- A** Consumers would have to be rationed to quantity OQ_1 .
 - B** The government would have to introduce a subsidy of PP_1 .
 - C** The market equilibrium quantity OQ would be demanded and supplied.
 - D** The supply of quantity OQ_2 would be guaranteed.
- 15 Which statement correctly describes absolute advantage?
- A** It is when a country has a higher opportunity cost in producing a good than another country.
 - B** It is when a country has a lower wage cost in producing a good than another country.
 - C** It is when the relative prices of exports of a country are greater than the relative prices of its imports.
 - D** It is when a country's output of a good is greater per unit of resource than another country.
- 16 The table shows the income and wealth of Yasmin.

items	\$
children's welfare benefits	1 000
dividends from shares	1 000
property owned	40 000
savings in bank	1 000
shares	2 000
wages	10 000

What is the value of Yasmin's wealth?

- A** \$41 000
- B** \$43 000
- C** \$44 000
- D** \$45 000

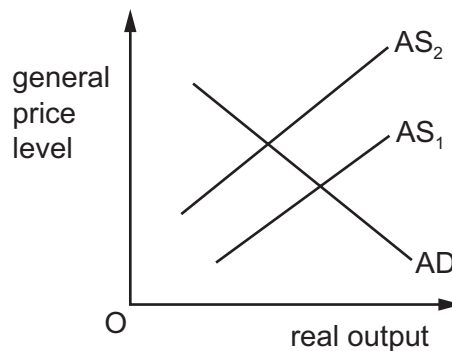
17 Which group is most likely to suffer during high inflation?

- A borrowers
- B importers
- C producers
- D fixed wage earners

18 Which statement explains why the aggregate demand curve is downward sloping?

- A As prices fall, the demand for exports becomes more elastic.
- B As prices fall, fewer goods are imported.
- C As prices fall, the rate of interest will rise.
- D As prices fall, real wealth rises and so spending increases.

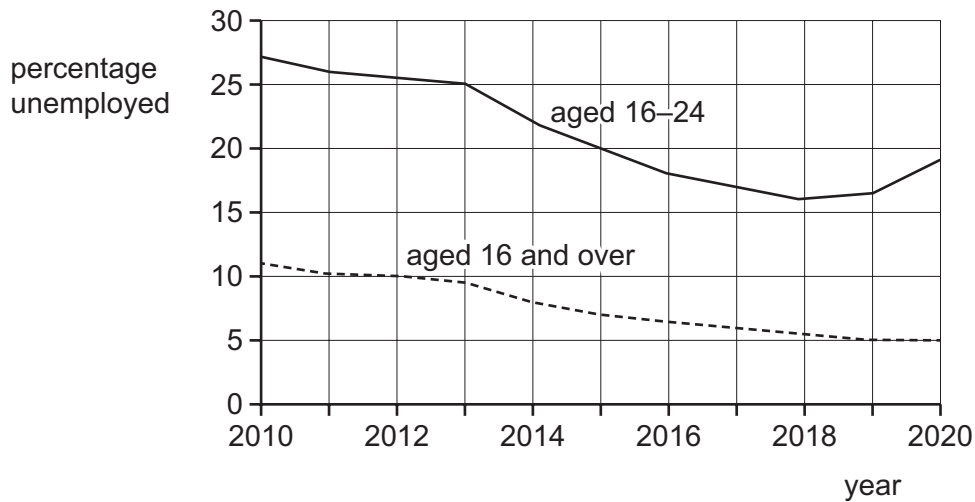
19 The diagram shows the aggregate demand (AD) and aggregate supply (AS) for an economy.



Which changes in subsidies and indirect taxes would have caused the change from AS₁ to AS₂?

- A higher subsidies and higher indirect taxes
- B higher subsidies and lower indirect taxes
- C lower subsidies and higher indirect taxes
- D lower subsidies and lower indirect taxes

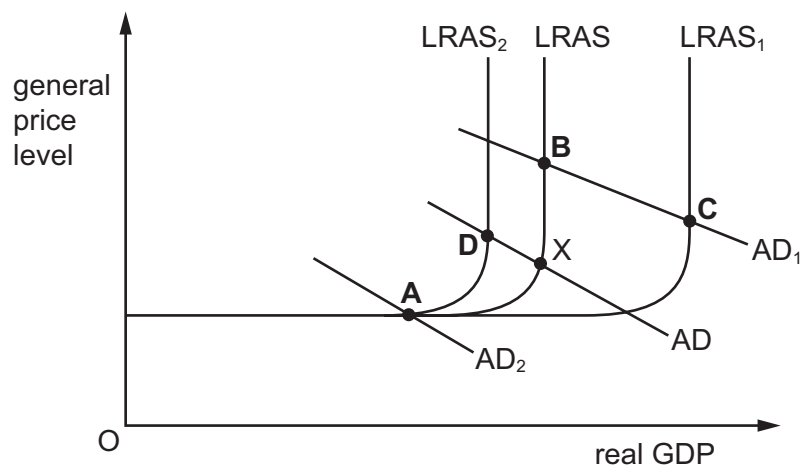
- 20 The graph gives the percentage unemployed for all people aged 16 and over, and for young people aged 16–24.



What is the consequence for consumer expenditure on products consumed by the 16–24 age group over the period 2010–2020?

- A a fall in consumer expenditure across the whole period
 - B an initial fall in consumer expenditure followed by a rise
 - C an initial rise in consumer expenditure followed by a fall
 - D a rise in consumer expenditure across the whole period
- 21 In the diagram, the intersection of AD and LRAS at point X represents the current macroeconomic equilibrium.

Which point could represent the new equilibrium after the introduction of an increase in the retirement age?



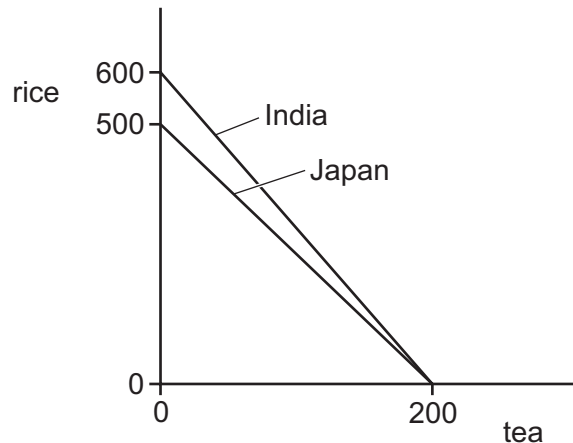
22 The table shows data on the Japanese balance of trade in goods.

year	exchange rate yen / dollar	exports \$bn	imports \$bn
2016	109	635	585
2017	111	689	645

What can be concluded from this data?

- A** The demand for Japanese exports was price inelastic.
- B** The Japanese current account was in surplus.
- C** The majority of Japanese imports were essential goods.
- D** The Marshall–Lerner condition for Japan is greater than 1.

23 The diagram shows production possibility curves for two countries, India and Japan.



Which combination of outputs would be achieved if each country specialised in the product in which it has a comparative advantage?

	rice	tea
A	600	200
B	600	500
C	1200	200
D	1200	1000

- 24** A country's currency has depreciated against all the currencies of its main trading partners.

How will the depreciation affect its terms of trade?

- A** The terms of trade will improve.
- B** The terms of trade will not change.
- C** The terms of trade will worsen.
- D** The terms of trade will worsen only if the depreciation causes inflation.

- 25** A country with a floating exchange rate experiences a large surplus on the current account of its balance of payments.

What is likely to decrease as a consequence?

- A** the exports of capital from the country
- B** the level of employment in the country
- C** the prices of imports into the country
- D** the value of the country's currency

- 26** Which measure is aimed directly at promoting international trade?

- A** decreasing existing quotas
- B** increasing interest rates
- C** subsidies paid to export industries
- D** wage subsidy schemes during recessions

- 27** What would be classified as a supply-side policy measure?

- A** a law to reduce the power of trade unions
- B** a reduction in the government's fiscal deficit
- C** an open market sale of securities
- D** the imposition of a tariff on imported goods

- 28** What is the equivalent of a country's national debt?

- A** the accumulated borrowing of the government
- B** the difference between government spending and taxation
- C** the interest paid by the government on all the money it owes
- D** the total money owed by all households in the country

- 29** A country experiences a fall in the value of exports and an increase in the value of imports of goods and services.

What are the effects of these changes?

	aggregate demand	balance of payments on goods and services
A	fall	improve
B	fall	worsen
C	rise	improve
D	rise	worsen

- 30** A government orders its central bank to buy its domestic currency on the foreign exchange markets in the belief that this will improve the balance of payments.

What does this suggest?

- A** Demand for the country's exports is price inelastic.
- B** The country's Marshall–Lerner condition is greater than 1.
- C** The government has a budget deficit.
- D** The overall balance of payments is in surplus.

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Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

May/June 2023

MARK SCHEME

Maximum Mark: 30

Published

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Question	Answer	Marks
1	A	1
2	D	1
3	C	1
4	A	1
5	C	1
6	D	1
7	A	1
8	C	1
9	D	1
10	B	1
11	B	1
12	B	1
13	C	1
14	C	1
15	D	1
16	B	1
17	D	1
18	D	1
19	C	1
20	C	1
21	C	1
22	<i>Due to an issue with question 22, the question has been removed from the question paper.</i>	
23	A	1
24	C	1
25	C	1
26	C	1
27	A	1

Question	Answer	Marks
28	A	1
29	B	1
30	<i>Due to an issue with question 30, the question has been removed from the question paper.</i>	



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

May/June 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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- You may use a calculator.

INFORMATION

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- Any rough working should be done on this question paper.

This document has **12** pages.



- 1 Which factor of production is needed first in order to set up a new business?
 - A capital
 - B enterprise
 - C labour
 - D land

- 2 Assuming nothing else changes, which change in an economy's labour market will cause the production possibility curve to shift to the left?
 - A an increase in worker immigration
 - B an increase in the retirement age
 - C an increase in labour productivity
 - D an increase in the school leaving age

- 3 What is **not** a characteristic of a mixed economy?
 - A The government has no role in setting prices.
 - B The government manages taxation rights.
 - C The government prevents firms from earning excessive profits.
 - D The government provides services not provided by the private sector.

- 4 What is **not** likely to result from the use of division of labour?
 - A a decrease in average costs
 - B an increase in motivation
 - C an increase in productivity
 - D an improvement in quality of the final product

- 5 Price plays a number of functions in the allocation of resources.

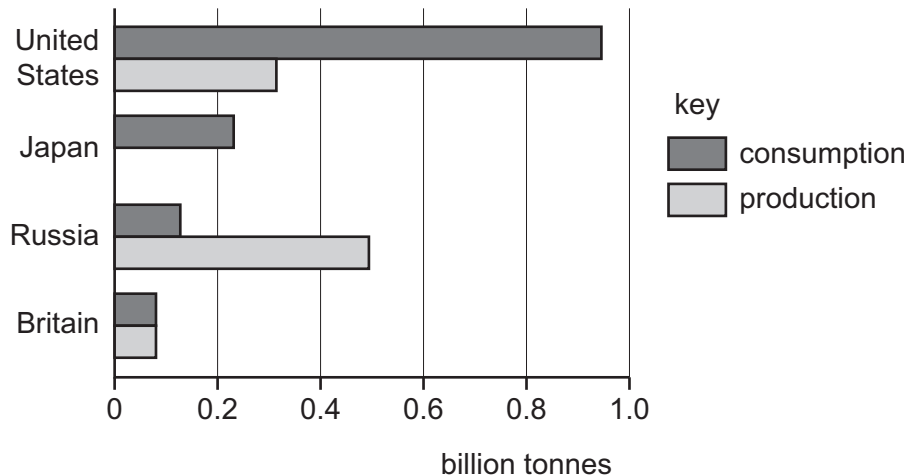
Which statement best illustrates the function that relies upon consumer choice (sometimes known as the incentivising function)?

 - A A price fall can show consumers that a good is becoming less popular.
 - B A price fall tends to persuade some producers not to stay in the market for the good.
 - C A price rise means consumers cannot afford to buy so much of a good.
 - D A price rise tends to reduce competitiveness in the market for a good.

6 Which pair of products are substitutes both in consumption and production?

- A barley and cotton
- B gold and silver
- C soap and toothpaste
- D spinach and cabbage

7 There is a worldwide shortage of oil. The diagram shows the consumption and production of oil (billion tonnes) for selected countries.



What can be concluded from the diagram?

- A In Britain, oil has zero opportunity cost.
- B In Japan, there is self-sufficiency in oil.
- C In Russia, there is no shortage of oil.
- D In the United States, rationing is the only solution to oil shortage.

8 The cross elasticity of demand between bus travel and rail travel is +2. A rise in the price of bus fares caused the demand for rail travel to rise by 10%.

Which change in bus fares would have caused this?

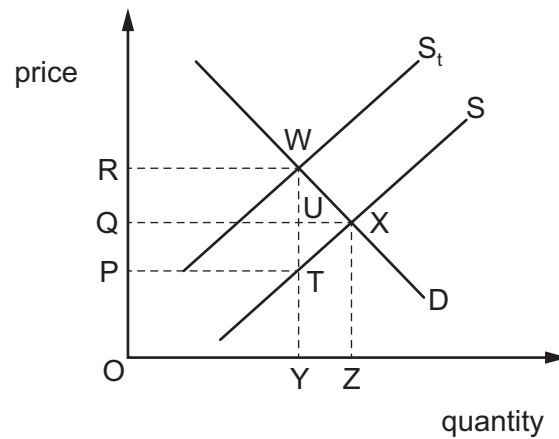
	from (cents)	to (cents)
A	20	21
B	30	33
C	40	45
D	50	60

- 9 A change in the price of a good causes an increase in the quantity of the good demanded.

What would be the nature of the good and the direction of price change for this to be certain to happen?

	nature of good	price change
A	inferior	fall
B	inferior	rise
C	normal	fall
D	normal	rise

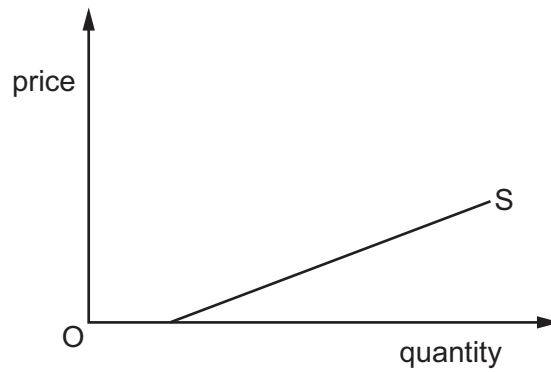
- 10 A specific tax is placed upon each bottle of perfume sold. In the diagram, S is the supply curve before tax, S_t is the supply curve after tax.



Which area represents that part of the tax revenue paid by producers?

- A** ORWY **B** PQUT **C** PRWT **D** QRWU

11 The diagram shows the supply curve of a firm.

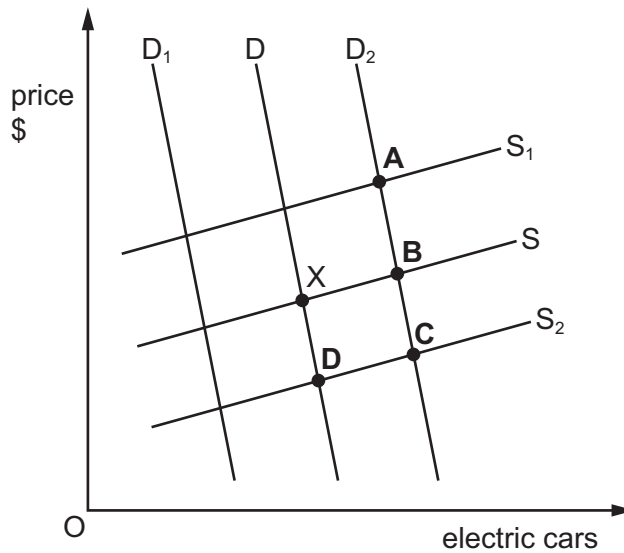


Which statement about the price elasticity of supply (PES) along this curve is correct?

- A PES is greater than unity at all points along the supply curve.
- B PES is the same at all points along the supply curve.
- C PES is elastic when the price is low and becomes more inelastic when the price rises.
- D PES rises when the supply rises.

12 The diagram shows the market for electric cars with X as the initial equilibrium.

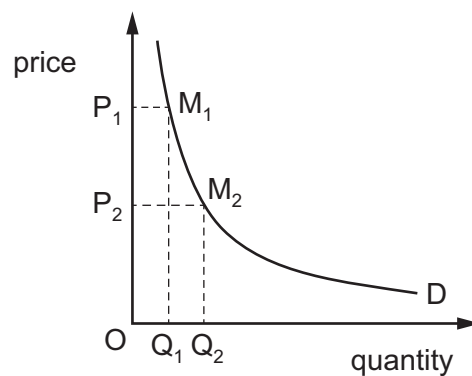
What will be the new equilibrium when the price of electric car batteries falls and consumers become more environmentally aware?



13 What would cause a market disequilibrium?

- A when a decrease in the demand for a product leads to a price fall that results in some producers leaving the market
- B when a decrease in the demand for a product leads to some producers being unable to sell products at the current price
- C when a decrease in the supply of a product leads to a price rise that results in the market for the product clearing
- D when a decrease in the supply of a product leads to a price rise that makes it too expensive for some poorer households

14 In the diagram, area $OP_1M_1Q_1$ is equal to area $OP_2M_2Q_2$.



What is the value of the price elasticity of demand if the price is halved from P_1 to P_2 ?

- A -1
- B -0.5
- C zero
- D infinity

- 15 The table shows changes in a consumer's expenditure on various goods when her income increases from \$20 000 to \$24 000.

good	income \$20 000: amount spent on good (\$)	income \$24 000: amount spent on good (\$)
W	100	96
X	100	100
Y	200	224
Z	200	248

Assuming all else remains unchanged, for which goods is the consumer's income elasticity of demand greater than 1.0?

- A** W, Y and Z
- B** W and Z only
- C** W only
- D** Z only
- 16 Which combination of government measures is most likely to increase the consumption of a merit good?
- A** setting an effective maximum price on the product and paying producers a subsidy
- B** setting an effective maximum price on the product and imposing an indirect tax on producers
- C** setting an effective minimum price on the product and paying producers a subsidy
- D** setting an effective minimum price on the product and imposing an indirect tax on producers

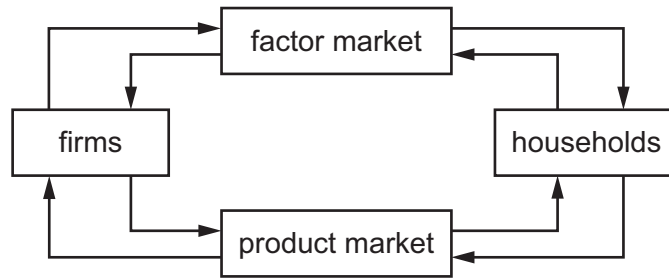
- 17 The table contains some figures from the balance of payments account of the United States (US) for a given year.

	US\$ million
exports of goods	1 632 639
balance of trade in goods	–741 462
imports of services	477 428
balance of trade in services	233 138

What **cannot** be concluded about US trade from the table?

- A Exported services were valued at over US\$477 428.
 - B Imported goods were valued at over US\$1 632 639.
 - C The value of exported services was less than the value of exported goods.
 - D There was an overall current account deficit.
- 18 Which change is shown directly by the use of aggregate demand and aggregate supply analysis?
- A the nominal income level
 - B the price level
 - C the unemployment level
 - D the wage level
- 19 Why might aggregate demand increase when a country's price level falls?
- A Domestic interest rates will tend to fall.
 - B Imports become more price competitive.
 - C Real incomes fall.
 - D The purchasing power of savings falls.
- 20 What is used to convert nominal GDP to real GDP?
- A exchange rates
 - B changes in the price level
 - C interest rates
 - D taxation

21 The diagram shows a basic two-sector circular flow of income.



What can be concluded about the direction of flows?

- A Consumer expenditure flows anticlockwise.
- B Goods and services flow clockwise.
- C Incomes flow anticlockwise.
- D Resources flow anticlockwise.

22 The table shows the types of unemployment and their possible solutions.

Which combination is **not** correct?

	type of unemployment	possible solution
A	technological	introduce minimum wage legislation
B	cyclical	raise government spending
C	frictional	increase advertising of job vacancies
D	structural	retrain workers

23 Which combination of policies would be most effective in reducing a balance of payments current account surplus?

	a decrease in tariffs on imports	a devaluation of the exchange rate	an expansionary monetary policy
A	no	yes	no
B	no	no	yes
C	yes	no	yes
D	yes	yes	no

24 If a country is experiencing a period of high inflation, which groups will benefit the most from this?

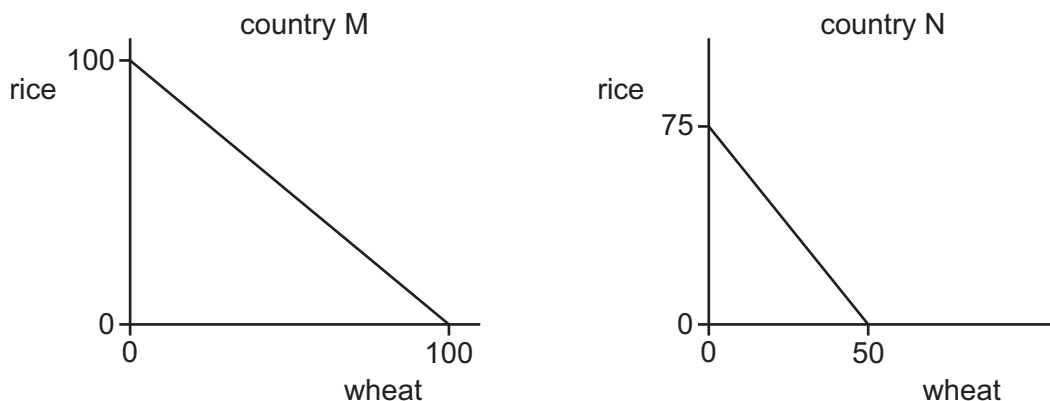
	companies that export the majority of their output	fixed income earners	those with high debts
A	yes	yes	no
B	no	yes	yes
C	yes	no	no
D	no	no	yes

25 What will definitely change a country's terms of trade?

- 1 when the price of imported raw materials increases
- 2 a change in inflation rates
- 3 an appreciation of the exchange rate

A 1, 2 and 3 **B** 1 and 2 only **C** 1 and 3 only **D** 2 and 3 only

26 The world consists of two countries, M and N. The graphs show their production possibilities for wheat and rice.



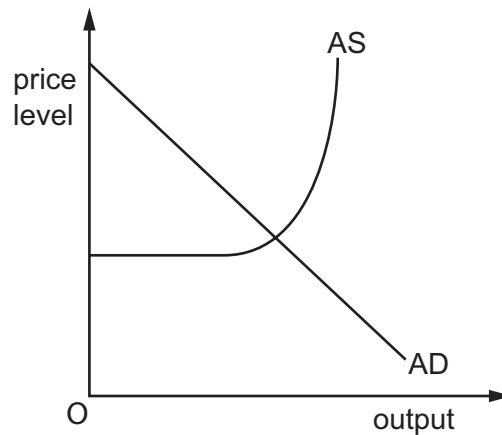
Countries M and N operate on their production possibility curves and, before specialisation, country M produces 60 units of wheat and country N produces 30 units of wheat.

What will be the change in the world output of **rice** if both countries decide to specialise according to comparative advantage?

- A** It will fall by 5 units.
- B** It will fall by 30 units.
- C** It will rise by 5 units.
- D** It will rise by 30 units.

27 The diagram shows the current equilibrium of an economy.

The government introduces a contractionary monetary policy.



What is the most likely outcome?

- A a fall in investment and a fall in inflation
- B a fall in investment and a rise in inflation
- C a rise in investment and a fall in inflation
- D a rise in investment and a rise in inflation

28 A government wishes to reduce the deficit on the secondary income section of its current account.

Which policy would be most effective?

- A an increase in subsidies to exporters
- B an increase in the tariffs on imports
- C a reduction in the number of migrant workers allowed into the country
- D a reduction in overseas aid donations

29 Supply-side policies can be used to correct cost-push inflation.

Which policy would best achieve this aim in the long run?

- A allowing trade unions to maintain work practices irrespective of productivity
- B encouraging workers to work extra hours for extra pay
- C increasing total labour supply by employing more unskilled workers
- D supporting the replacement of labour-manned machines by the use of robots

- 30** Economic growth leads to increased levels of income and consumption per capita for the adult population.

Which circumstances are needed for this to happen in an economy?

- A** a change in technology that maintains the same level of output
- B** an increase in economic efficiency through higher productivity of factor inputs
- C** a policy of progressive taxation to reduce inequalities
- D** a rise in the size of the working population due to immigration

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2023

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2023 series for most Cambridge IGCSE, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

Question	Answer	Marks
1	B	1
2	D	1
3	A	1
4	B	1
5	B	1
6	D	1
7	C	1
8	A	1
9	C	1
10	B	1
11	D	1
12	C	1
13	B	1
14	A	1
15	D	1
16	A	1
17	D	1
18	B	1
19	A	1
20	B	1
21	D	1
22	A	1
23	C	1
24	D	1
25	C	1
26	C	1
27	A	1
28	D	1

Question	Answer	Marks
29	D	1
30	B	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 AS Level Multiple Choice

May/June 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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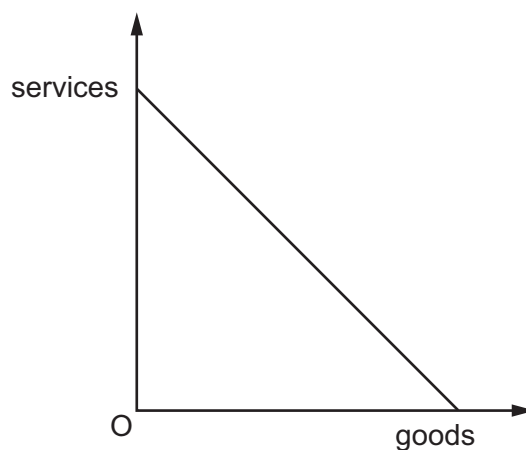
- 1 People plant flowers in a local park.

Which statement is correct?

- A Flowers in parks are a public good because people can enjoy them at no charge.
 - B Flowers in parks are a public good because they are owned by local people and are not for profit.
 - C Flowers in parks are not a public good if local people can limit the number of visitors to the parks.
 - D Flowers in parks are not a public good if they are individual, not identical, in nature.
- 2 A government decides that all non-essential businesses must close for three months due to a disease pandemic.

What is an opportunity cost of this policy?

- A increased leisure time for employees
 - B lives that are saved due to reduced disease levels
 - C the production of goods by essential businesses
 - D the loss of goods from the closed businesses
- 3 The diagram shows an economy's production possibility curve. The economy produces combinations of goods and services using all available resources.



What does the production possibility curve indicate for goods and services?

- A constant returns to scale in the production of both goods and services
- B diminishing returns to scale in the production of both goods and services
- C increasing returns to scale in the production of both goods and services
- D infinite returns to scale in the production of both goods and services

4 Which economic conditions are likely to encourage an increase in enterprise?

	interest rates	profit tax	consumer confidence	unemployment
A	high	high	high	high
B	high	low	low	high
C	low	low	high	low
D	low	low	low	low

5 When is the price elasticity of demand for a product most likely to be price elastic?

- A** A large percentage of income is spent on the product.
- B** It is measured in the short run.
- C** It is a necessity product.
- D** There are few substitutes available.

6 What is most likely to cause a shift in the supply curve for rice?

- A** a change in the price of the rice
- B** a change in the price of meat
- C** a change in the size of the rice industry
- D** a change in tastes and preferences for rice

7 A free market is in disequilibrium with a shortage of a product.

As the market moves towards equilibrium, what will happen to the price, the quantity demanded and the quantity supplied?

	price	quantity demanded	quantity supplied
A	decrease	decrease	increase
B	decrease	increase	decrease
C	increase	decrease	increase
D	increase	increase	decrease

8 What would **not** cause a shift in the demand curve for a good?

- A a change in the price of a complement
- B a change in the price of a substitute
- C a change in the price of the good itself
- D a change in consumers' incomes

9 What does joint supply mean?

- A A firm can choose between producing a range of different goods.
- B A good has multiple uses.
- C A good is a by-product of the production process of another good.
- D Consumers consider two goods as complements.

10 When the price of a firm's product falls by 5%, its total revenue also falls by 5%.

What describes the product's price elasticity of demand?

- A elastic
- B infinite
- C unitary
- D zero

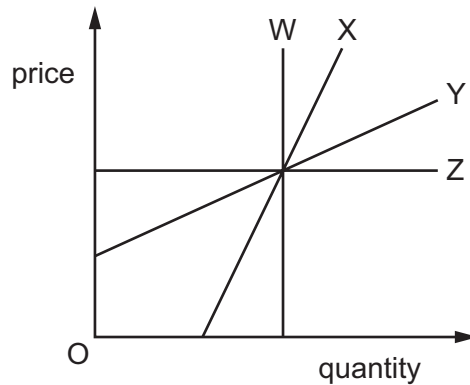
11 The table shows how an individual's weekly consumption of biscuits and coffee varies with income.

income (\$)	biscuits (packs)	coffee (cups)
100	0	5
150	5	10

Which statement about the income elasticity of demand over the range of income shown is correct?

- A For biscuits it is greater than 1.
- B For biscuits it is zero.
- C For coffee it is less than 1.
- D For coffee it is unitary.

12 The diagram shows four supply curves.



Which statement about the price elasticity of these supply curves is correct?

- A W has elasticity of 0 that will rise as price rises.
- B X has elasticity greater than 1 that will be constant as price rises.
- C Y has elasticity greater than 1 that will fall as price rises.
- D Z has elasticity of 0 that is constant as quantity rises.

13 Product X has a price elasticity of supply (PES) of +2, whilst product Y has a PES of +0.2.

Which statement about products X and Y is correct?

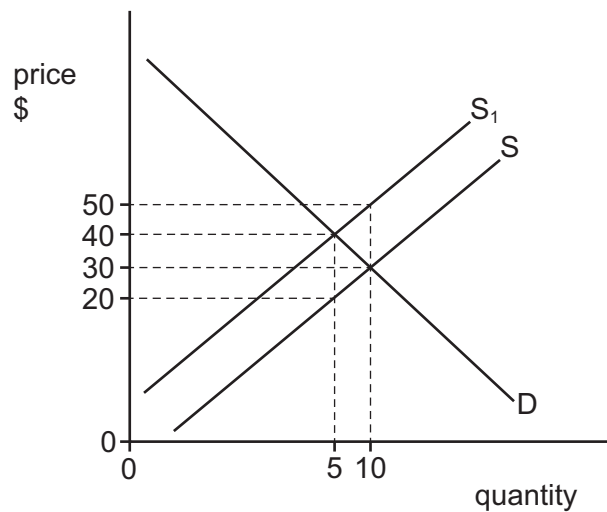
- A X has more substitutes than Y.
- B A 20% price fall would lead to a greater decrease in production of Y than of X.
- C After a price rise, it is more difficult to increase Y's output than X's.
- D After a price fall of 10%, more people would buy X than would buy Y.

14 There are 10 000 tickets available to watch a sports final at a national stadium. The initial market equilibrium ticket price is \$20. The government decides to fix an effective minimum price for the tickets.

Under which conditions will the consumer surplus for the tickets decrease the most as a result of the minimum price?

	minimum price level \$	price elasticity of demand for tickets
A	18	-0.5
B	18	-1.5
C	22	-0.5
D	22	-1.5

- 15 The diagram shows the impact of a government imposing a unit tax on a demerit good. S is the supply curve before the tax and S_1 is the supply curve after the tax.



What is the after-tax revenue of the firm producing the demerit good?

- A** \$100 **B** \$200 **C** \$300 **D** \$500

- 16 A government has a policy aim of reducing income inequality. It considers three policies.

Which combination of policies would be most effective?

	an increase in the marginal rate of tax from 40% to 50%	an increase in the minimum wage	a subsidy on battery-powered cars which cost over \$40 000
A	yes	no	no
B	yes	yes	no
C	yes	no	yes
D	no	yes	no

- 17 A Bangladeshi citizen is employed as a construction worker in Qatar. He sends some of his wages to his family in Bangladesh.

How will this be recorded on Qatar's balance of payments?

- A** as part of the balance of trade in services
B as part of net primary income
C as part of net secondary income
D as part of the financial account

18 The table gives data for an economy.

	2010	2011	2012	2013	2014
Gross Domestic Product (GDP) at current prices (\$ billion)	200	220	240	300	320
GDP deflator (price index)	100	109	125	149	154

In which year did real GDP decline compared with the previous year?

- A** 2011 **B** 2012 **C** 2013 **D** 2014

19 Which policy is most likely to help to correct an adverse balance on the current account of the balance of payments?

- A** abolishing tariffs
B depreciating the currency
C reducing direct taxes
D reducing indirect taxes

20 In year 1, a country's real GDP was \$500 billion. In year 2, nominal GDP rose to \$577.5 billion and the prices increased by 5%.

What is the real GDP in year 2?

- A** \$4.76 billion **B** \$5 billion **C** \$476 billion **D** \$550 billion

21 The table gives details of national income statistics for an economy.

	US\$bn
consumption	2000
investment	500
government expenditure	600
net exports	−100
net foreign factor income	−200
depreciation	100

What is the net national income for this economy?

- A** US\$2700bn **B** US\$2800bn **C** US\$2900bn **D** US\$3000bn

- 22 The table shows the relative price of exports compared with imports expressed as an index number for an economy (2013 = 100).

date	index
2013	100
2014	97
2015	95

Which statement about the period 2013–2015 is correct?

- A Export prices have increased each year.
 - B The general level of prices has fallen.
 - C The terms of trade have deteriorated.
 - D The volume of imports increasingly exceeds the volume of exports.
- 23 Country X and country Y each allocate half of their resources towards the manufacturing of shoes, and the other half towards the manufacturing of t-shirts. Resources can be used equally effectively in the production of both products in both countries.

The table shows the output of shoes and t-shirts produced by both countries using half their resources in each case, before specialisation.

country	shoes	t-shirts
X	4 000	12 000
Y	2 000	8 000
total	6 000	20 000

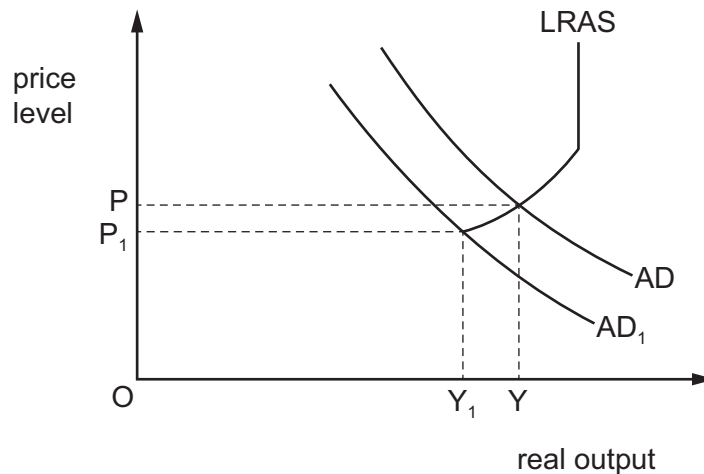
What can be concluded from the data?

- A The opportunity cost of country Y producing two shoes is four t-shirts.
 - B The opportunity cost of country X producing one t-shirt is four shoes.
 - C The total output of shoes and t-shirts after specialisation would be 24 000.
 - D The total output of shoes and t-shirts after specialisation would be 28 000.
- 24 Which government action is **least** likely to prevent a fall in economic growth?
- A additional controls on commercial banks' lending
 - B relaxation of rules for immigration of adult population
 - C removal of trade barriers on import of raw materials
 - D training and education of workforce

25 What is the most likely cause of an outward shift of a country's aggregate demand curve?

- A** a decrease in the competitiveness of domestically produced products
- B** a decrease in the general price level
- C** a decrease in the money supply
- D** a depreciation of the country's exchange rate

26 The diagram shows the macroeconomic equilibrium output and price level changing from Y and P to Y_1 and P_1 .



What could have caused this change?

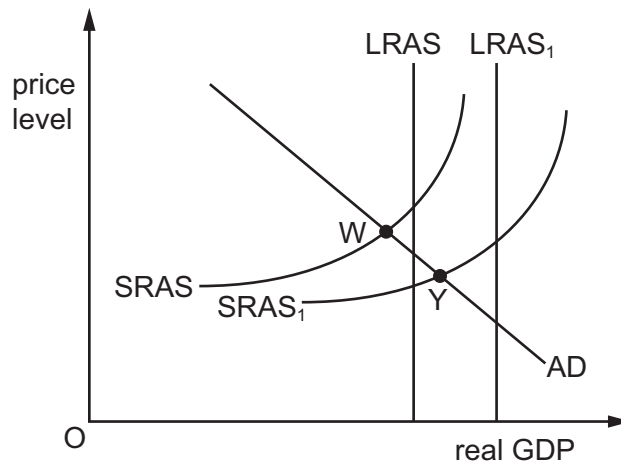
- A** a decrease in exports
- B** a decrease in labour productivity
- C** an increase in the government's spending
- D** an increase in the money supply

27 A country had a current account surplus of \$141bn.

Which policy may its government implement to reduce this surplus in the short run?

- A** a decrease in direct taxes
- B** a decrease in regulations to encourage more foreign firms to locate in this country
- C** an increase of import duties
- D** an increase in interest rates

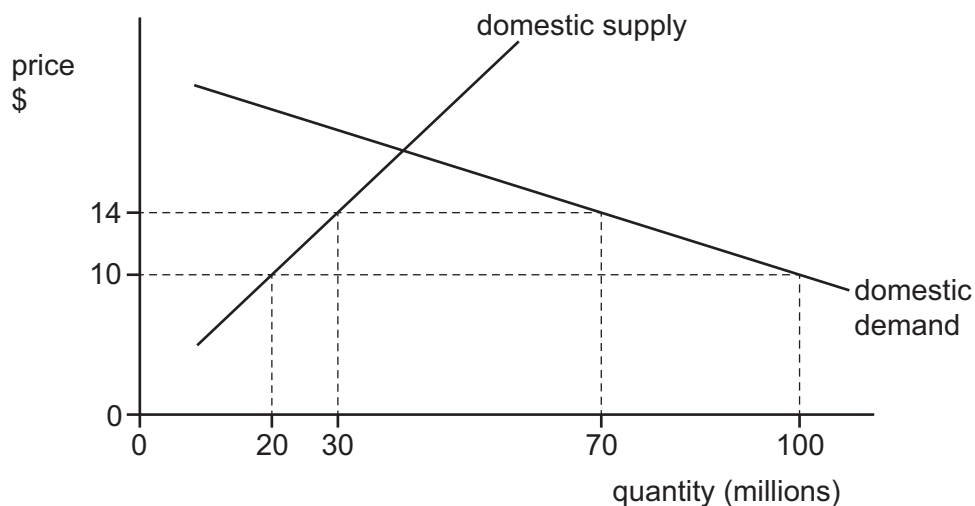
- 28 The diagram shows aggregate demand (AD) and aggregate supply in the short run (SRAS) and the long run (LRAS) and the long run (LRAS).



Which row is correct in causing a shift in the short run aggregate supply from SRAS to SRAS₁ and the long run aggregate supply from LRAS to LRAS₁?

	shift from SRAS to SRAS ₁	shift from LRAS to LRAS ₁
A	change in AD from W to Y	increase in population
B	decrease in raw material costs	improvements in the education of workers
C	decrease in wage rates	decrease in immigration
D	increase in availability of labour	increase in labour productivity

- 29 The diagram shows that the imposition of a tariff raises a product's world price from \$10 to \$14.



By how much did domestic producers' income increase as a result of the tariff?

- A** \$120 million **B** \$160 million **C** \$220 million **D** \$280 million

- 30** Which approach would a government be most likely to use to eliminate deflation?
- A** an increase in direct taxes
 - B** an increase in interest rates
 - C** a reduction in indirect taxes
 - D** a reduction in its budget surplus

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Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

May/June 2023

MARK SCHEME

Maximum Mark: 30

Published

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Question	Answer	Marks
1	C	1
2	D	1
3	A	1
4	C	1
5	A	1
6	C	1
7	C	1
8	C	1
9	C	1
10	D	1
11	A	1
12	C	1
13	C	1
14	C	1
15	A	1
16	B	1
17	B	1
18	B	1
19	B	1
20	D	1
21	A	1
22	C	1
23	C	1
24	A	1
25	D	1
26	A	1
27	A	1
28	B	1

Question	Answer	Marks
29	C	1
30	D	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 AS Level Multiple Choice

October/November 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
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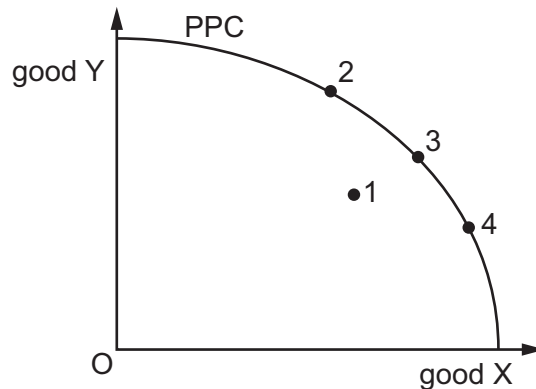
This document has **12** pages.



1 What will help solve the basic economic problem?

- A the control of the market system
- B the efficient allocation of scarce resources
- C the preservation of a healthy environment
- D the elimination of hunger

2 Country Z operates with a production possibility curve (PPC). Currently, output is at combination 1.



Which movement has zero opportunity cost in terms of the goods produced?

- A 1 to 2
- B 1 to 3
- C 2 to 3
- D 3 to 4

3 A country's health care is funded by taxation but can be used free of charge by patients.

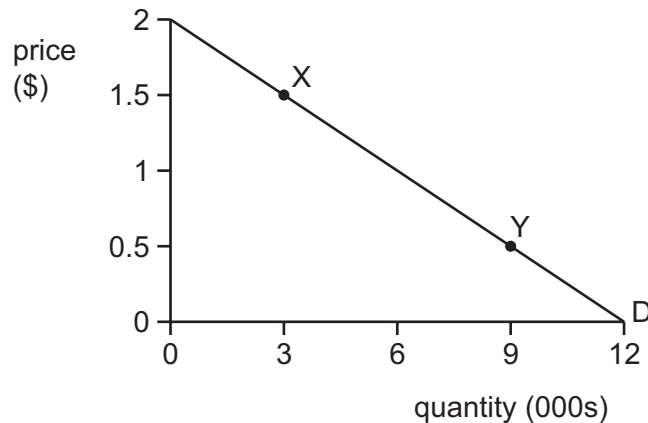
Which type of good is health care in this country?

- A demerit good
- B free good
- C private good
- D public good

4 What is **least** likely to increase as a result of a transition from a planned economy to a free market economy?

- A prices of goods and services
- B privately owned resources
- C provision of merit goods
- D structural unemployment

- 5 Which statement correctly describes the area of producer surplus on a demand and supply diagram?
- A It is above the supply curve and below the equilibrium price line.
 - B It is above the supply curve and below the demand curve.
 - C It is below the demand curve and above the equilibrium price line.
 - D It is below the supply curve and above the horizontal axis.
- 6 The diagram shows a demand curve for pineapples.



What happens to the value of price elasticity of demand (PED) when there is a movement from point X to point Y and what describes the value of PED at point Y?

	effect on value of PED	value of PED at Y
A	fall	elastic
B	fall	inelastic
C	rise	elastic
D	unchanged	unitary

- 7 In a free market, there is a surplus of a good.

Which change would cause the market to come to an equilibrium?

- A a decrease in demand
- B a fall in price
- C a government minimum price
- D an increase in supply

- 8 The cross-elasticity of demand between good P and good Q is -0.4 .

The cross-elasticity of demand between good P and good R is $+0.6$.

Which combination of goods is most likely to be represented by this information?

	good P	good Q	good R
A	cream	yoghurt	raspberry
B	yoghurt	strawberry	raspberry
C	strawberry	cream	raspberry
D	strawberry	raspberry	cream

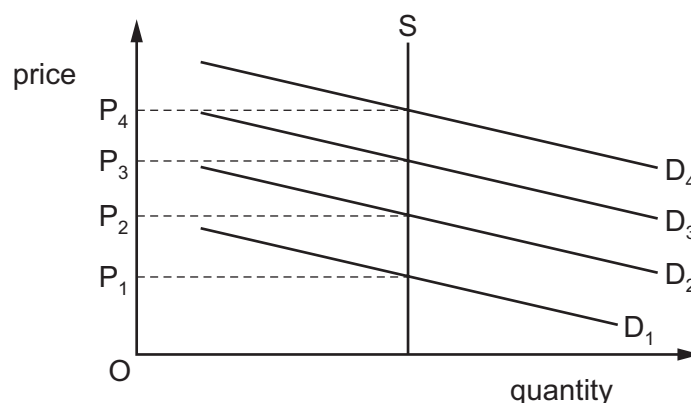
- 9 The supply, S , of a product is determined by the equation

$$S = 10 + 10P$$

where P is the price of the product in \$.

What is the product's price elasticity of supply when its price rises from \$1 to \$2?

- A** 0.5 **B** 1.0 **C** 2.0 **D** 5.0
- 10 In the diagram, the supply curve shows the number of spaces in a car park and the demand curves show the demand for spaces on four different days, D_1 , D_2 , D_3 and D_4 .



The owner wishes to charge a parking fee on each of these days to allocate the spaces according to the market mechanism.

Which pricing policy should the owner use?

- A** set a fixed price at P_1
B set a fixed price at P_4
C vary prices between P_2 and P_3
D vary prices between P_1 and P_4

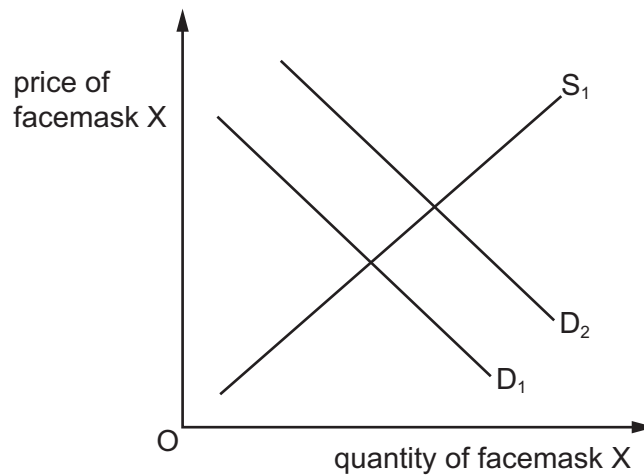
- 11 The table shows the demand schedule for textbooks.

price \$	quantity demanded
50	0
40	100
30	200
20	300
10	400
0	500

What can be concluded from this information?

- A** Profit would be maximised at a price of \$30.
- B** Profit would not change if the price rose from \$20 to \$30.
- C** Revenue would increase if the price was decreased from \$40 to \$30.
- D** Revenue would be maximised at a price of \$40.
- 12 Which event is most likely to enable firms to respond to an increase in demand by increasing supply rather than by raising price?
- A** Firms reduce their expenditure on the training of workers.
- B** Import duties are increased on machines that increase the speed of production.
- C** The government introduces buffer stock schemes for the goods produced by the firm.
- D** Trade unions become strong, leading to poor labour productivity.

- 13 In the diagram, S_1 is the supply curve and D_1 is the initial demand for facemask X. A rival firm produces facemask Y, which is a close substitute.



What would cause the demand curve to shift to D_2 ?

- A a decrease in the costs of the materials to make facemask X
 - B a decrease in the costs of the materials to make facemask Y
 - C an increase in the price of facemask X
 - D an increase in the price of facemask Y
- 14 A government introduces charges for vehicles using the roads in its capital city.
- Which characteristic must the roads have for this to be successful in reducing congestion?
- A The roads must be excludable.
 - B The roads must be merit goods.
 - C The roads must be non-rivalrous.
 - D The roads must be public goods.

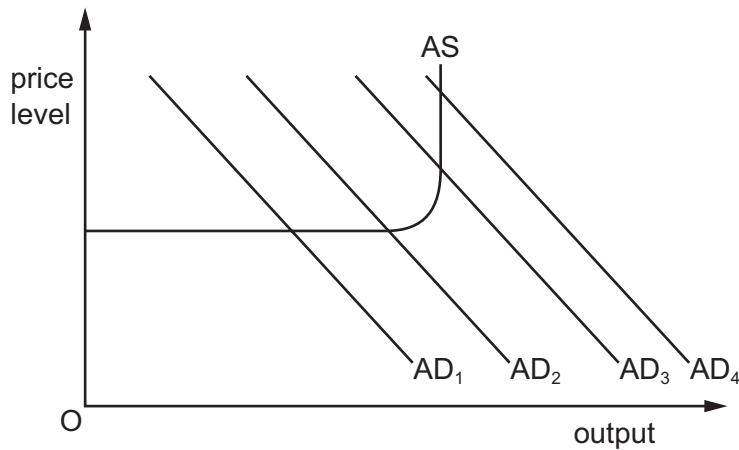
- 15** The table shows the tax an individual would pay at different levels of income.

annual income (\$)	tax paid (\$)
20 000	1 000
30 000	3 000
40 000	6 000
50 000	8 000
60 000	12 000

What is the average rate of taxation and the marginal rate of taxation for an individual with an annual income of \$50 000?

	average rate of taxation %	marginal rate of taxation %
A	15	16
B	16	20
C	16	28
D	20	20

- 16** A government has increased output with no effect on the price level.



What must have been the initial level of aggregate demand (AD)?

- A** AD₁ **B** AD₂ **C** AD₃ **D** AD₄

17 What is **not** included in the measurement of national income?

- A** benefits paid to the unemployed
- B** dividends paid to shareholders
- C** profits retained by companies
- D** rent paid to landlords

18 Four students have to fill in the gaps in the sentence shown.

'A person is defined as unemployed if they are1..... to work at2..... wage rate, but cannot find a job despite an active search for work.'

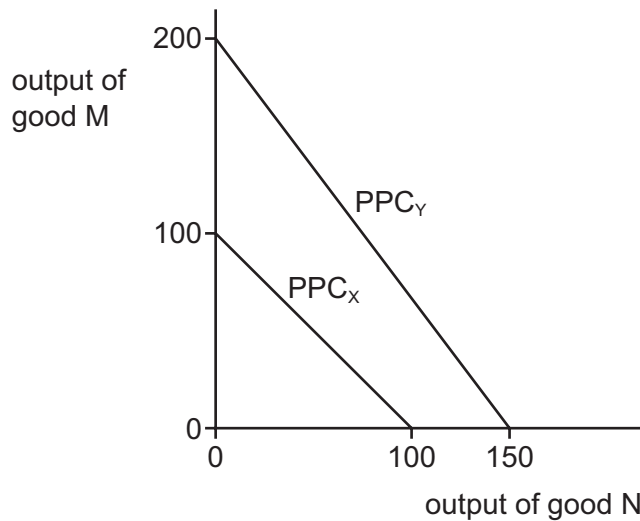
Which student fills gaps 1 and 2 correctly?

	1	2
A	able	below the current
B	able	the current
C	able, available and willing	above the current
D	able, available and willing	the current

19 Which statement best describes the consumer prices index (CPI)?

- A** It is a measure of changes in the spending patterns of the average household.
- B** It is a measure of changes in the standard of living of the average household.
- C** It is a measure of the average change in prices of a basket of goods and services over time.
- D** It is a measure of the level of prices of all goods and services.

- 20 The diagram shows the production possibility curves (PPCs) for country X and country Y, the only two countries in the world. Both countries produce just two goods, M and N.



Under which terms of trade will **both** country X and country Y benefit from trading with each other?

- A 1M for 0.75N
 - B 1M for 0.8N
 - C 1M for 1N
 - D 1M for 2N
- 21 Why is increased government provision of education most likely to shift the aggregate demand curve to the right?
- A It will increase aggregate supply.
 - B More schools will be built.
 - C The government will have to raise taxes.
 - D Workers will be more highly skilled.
- 22 Which item is **not** included in the current account of a country's balance of payments?
- A exports of services
 - B interest on foreign loans
 - C profits from foreign investments
 - D the purchase of foreign assets

- 23** Under which conditions will nominal GDP and real GDP increase at the same rate in an economy?

	rate of change of national output (% per annum)	rate of change of general price level (% per annum)
A	0	-2
B	0	+2
C	+2	0
D	+2	+2

- 24** General equilibrium in the macroeconomy is achieved when total injections are equal to total leakages.

What is most likely to cause disequilibrium in the macroeconomy in the short run?

- A** an increase in government spending of \$10bn and a decrease in exports of \$10bn
 - B** an increase in investment of \$30bn and a decrease in household savings of \$30bn
 - C** an increase in spending on imports of \$40bn and an increase in government spending of \$40bn
 - D** an increase in taxation of \$40bn and a decrease in spending on imports of \$40bn
- 25** What would be the most likely reason for a decrease in frictional unemployment?
- A** more capital-intensive manufacturing
 - B** more demand for public sector workers
 - C** more government spending on education
 - D** more information on labour market vacancies

- 26** A Kenyan banker who lives and works in India sends 15% of their wage back to Kenya every month.

What would be the change in the current account components for either country?

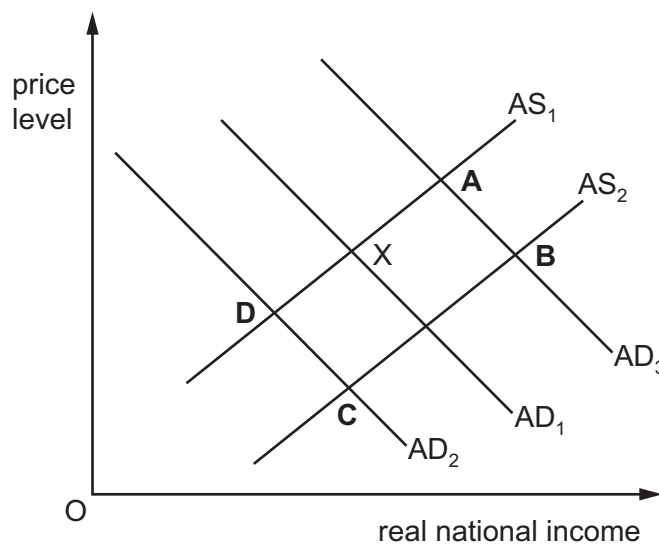
- A** a fall in secondary income for India
- B** an increase in the balance of trade in services for Kenya
- C** an increase in the current account surplus for India
- D** an increase in primary income for Kenya

- 27 Over a period of a year, the annual rate of inflation becomes negative.

Which statement must be correct?

- A The cost of living has fallen.
 - B The purchasing power of money has fallen.
 - C The standard of living has increased.
 - D There has been an increase in the Consumer Price Index.
- 28 The government of a country plans to raise income tax rates. The initial equilibrium for the country is represented by point X on the diagram.

Which new equilibrium point would an economist predict as the result?



- 29 Which combination would represent the most expansionary set of monetary policies?

	credit availability	interest rates	money supply
A	increased	up	reduced
B	increased	down	increased
C	reduced	up	increased
D	reduced	down	reduced

30 An economy is experiencing accelerating cost-push inflation.

Which group is likely to be **least** concerned by this?

- A borrowers
- B consumers
- C creditors
- D exporters

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Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2023

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2023 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

Question	Answer	Marks
1	B	1
2	B	1
3	C	1
4	C	1
5	A	1
6	B	1
7	B	1
8	C	1
9	A	1
10	D	1
11	C	1
12	C	1
13	D	1
14	A	1
15	B	1
16	A	1
17	A	1
18	D	1
19	C	1
20	B	1
21	B	1
22	D	1
23	C	1
24	B	1
25	D	1
26	A	1
27	A	1
28	D	1

Question	Answer	Marks
29	B	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

October/November 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

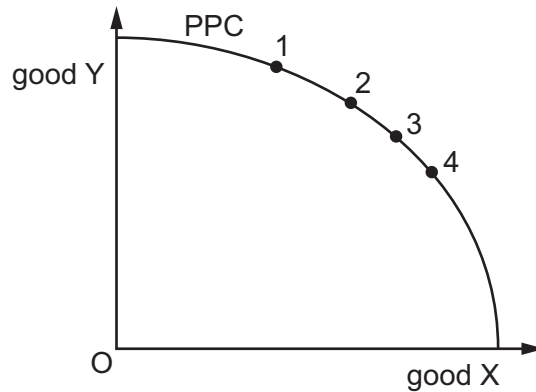
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 PPC is the production possibility curve in country T.



Which changes take place in country T's opportunity costs of producing X as it increases production of X?

- A Opportunity costs are constant between points 1 and 2, and between points 3 and 4.
 - B Opportunity costs decrease between points 1 and 2, and increase between points 3 and 4.
 - C Opportunity costs decrease between points 1 and 2, and between points 3 and 4.
 - D Opportunity costs increase between points 1 and 2, and between points 3 and 4.
- 2 What is considered the essential requirement for all entrepreneurs?
- A attracting customers
 - B buying stock
 - C managing staff
 - D taking risks
- 3 A new section of a road is provided toll-free by the government.

What best describes this good?

- A a demerit good
- B a free good
- C a private good
- D a public good

- 4 Eastern European nations have changed from planned to market economies.

Which policy was **least** likely to have been adopted?

- A allowing prices to fluctuate
- B keeping established economic organisations
- C privatising essential industries
- D permitting changes in the money supply

- 5 Rice and pasta are both basic foods in a country.

How would a health scare concerning rice affect the market for pasta?

- A There will be a shift of demand and a contraction of supply.
- B There will be a shift of demand and an extension of supply.
- C There will be a shift of supply and a contraction of demand.
- D There will be a shift of supply and an extension of demand.

- 6 Some goods are over-consumed in a market economy.

What is likely to be the cause of this?

- A Consumer surplus exceeds producer surplus.
- B Consumers undervalue the benefits of consuming the goods.
- C There is excess supply in the market for the goods.
- D There is imperfect information in the market.

- 7 A family is willing to pay a maximum of \$600, \$500 and \$400 for air tickets for the mother, father and daughter to attend a wedding in another city. The airline announces a promotional air fare of \$450 per ticket, provided at least three tickets are purchased.

What will be the consumer surplus gained by the family if they use the promotional offer?

- A \$100 B \$150 C \$200 D \$250

- 8 After a 10% decrease in a consumer's income, the consumer's demand for a good rises from 100 to 105.

What is the value of the consumer's income elasticity of demand for this good?

- A -2.0 B -0.5 C +0.5 D +2.0

- 9 In 2010, poor harvests reduced fruit crops and furniture producers gave big discounts on furniture products.

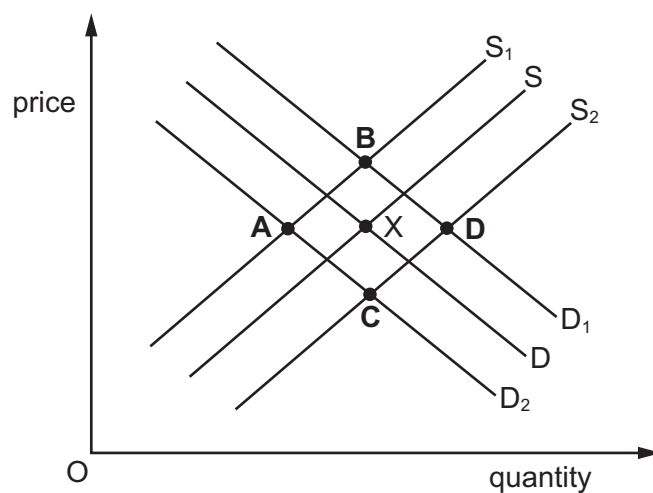
How might these changes have affected the position of the supply curve for the products?

	fruit	furniture producers
A	no change	shift to the left
B	shift to the left	no change
C	shift to the left	shift to the left
D	shift to the right	no change

- 10 In the diagram, D and S represent the demand for and supply of smartphones. Many components used in the production of smartphones are imported. The initial equilibrium is at point X.

The exchange rate has depreciated at the same time as the price of a complementary good decreased.

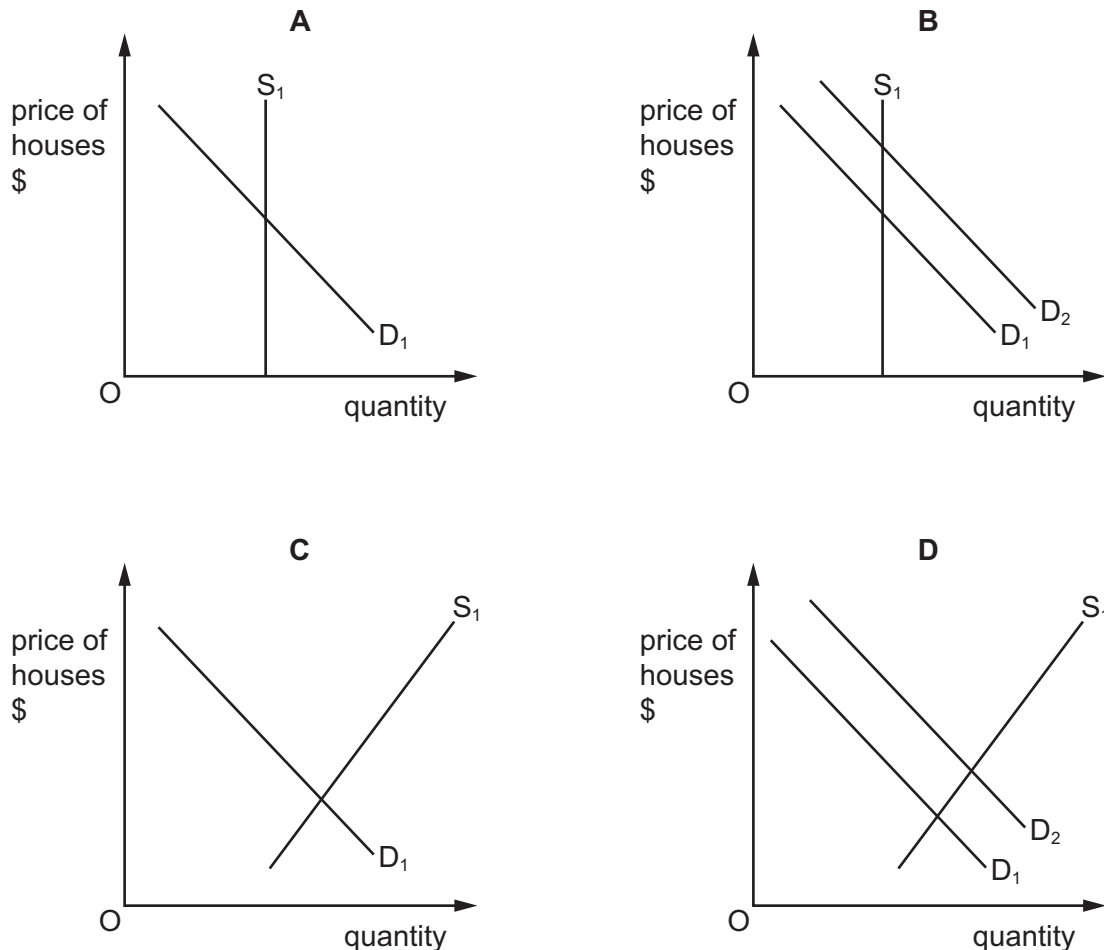
Which point in the diagram could represent the new equilibrium?



11 The diagrams show the demand for and the supply of houses.

In the short run, the stock of houses for sale, S_1 , is fixed. A government decides to allow some agricultural land to be used for building houses and subsidises lower-income buyers of the new houses.

Which diagram shows the long-run situation?



12 The equation for the quantity demanded, Q_D , for a product is

$$Q_D = 400 - 20P$$

where P = price in \$. The quantity supplied, Q_S , is given by $Q_S = 100 + 40P$.

Which change will occur if the price rises from \$5 to \$6?

- A** The market will move from equilibrium to shortage.
- B** The market will move from equilibrium to surplus.
- C** The market will move from shortage to surplus.
- D** The market will move from surplus to shortage.

- 13** What is the most likely cause of the continuous increase in prices of famous paintings by now dead artists?
- A** the increasing technological ability to copy famous paintings perfectly
 - B** the popular view that famous paintings are an appreciating asset
 - C** the totally inelastic supply of famous paintings by dead artists
 - D** the wish of governments to treat art galleries as merit goods
- 14** What is most likely to be regressive?
- A** corporate profit taxes
 - B** state pension benefits
 - C** specific tax on cigarettes
 - D** unemployment benefits
- 15** What is necessary for an action to be classed as a transfer payment?
- A** It must include a cash payment.
 - B** It must involve a banking transaction.
 - C** It must originate from government activity.
 - D** It must relate to a non-productive activity.
- 16** The government imposes a specific indirect tax of \$1 on each unit of a good sold.
- How does the imposition of the tax shift the demand or supply curve of the good?
- A** The demand curve of the good will shift vertically downwards by \$1.
 - B** The demand curve of the good will shift vertically upwards by \$1.
 - C** The supply curve of the good will shift vertically downwards by \$1.
 - D** The supply curve of the good will shift vertically upwards by \$1.
- 17** Which term relates to a fall in the domestic real value of a currency?
- A** deflation
 - B** depreciation
 - C** appreciation
 - D** inflation

18 What must be the result for a country of a rise in its export prices relative to its import prices?

- A** a deficit in its trade in goods
- B** an improvement in its terms of trade
- C** an increase in its inflation rate
- D** a rise in its exchange rate

19 Country X can produce a product at a lower opportunity cost than country Y.

Which term best describes this statement?

- A** absolute advantage
- B** comparative advantage
- C** specialisation
- D** terms of trade

20 For a given year, economy X publishes the following.

	\$bn
Gross Domestic Product (GDP)	100
factor income earned by residents of economy X working in foreign countries	10
factor income earned in economy X by non-residents	25

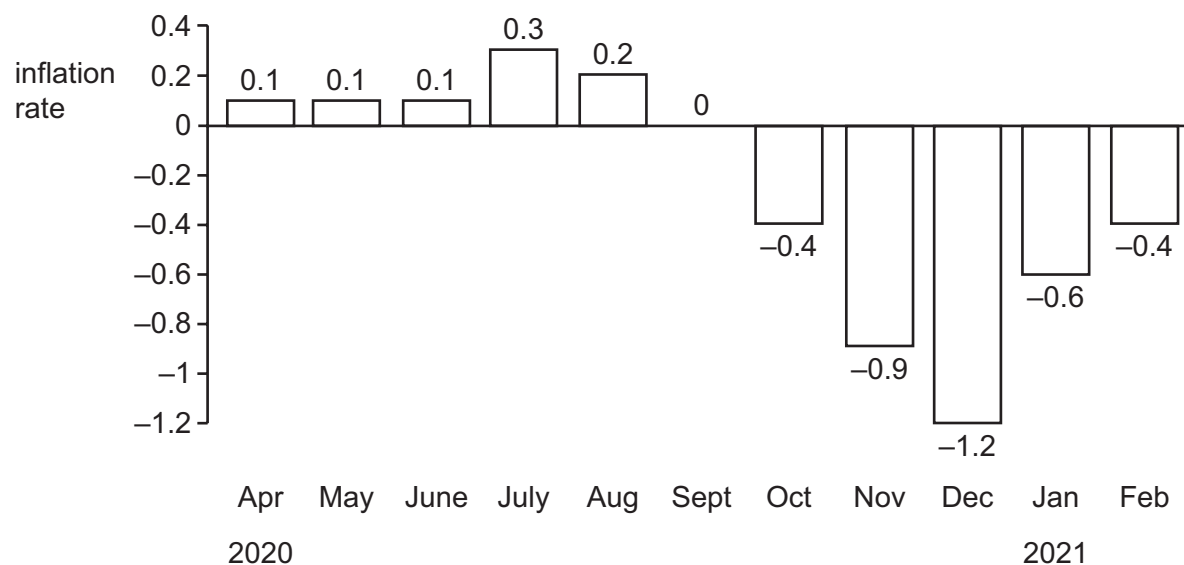
What is the size of the Gross National Income (GNI) for country X?

- A** \$75bn
- B** \$85bn
- C** \$110bn
- D** \$115bn

21 Which combination is possible for an economy experiencing zero inflation?

	average nominal wages	average real wages
A	falling	falling
B	falling	rising
C	rising	falling
D	unchanging	rising

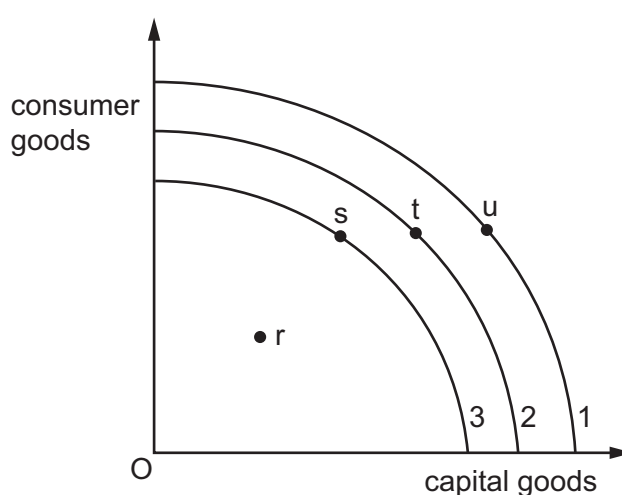
22 The graph shows the rate of inflation in Japan from April 2020 to February 2021.



Over which period did disinflation occur in Japan?

- A** July 2020 to February 2021
 - B** July 2020 to September 2020
 - C** October 2020 to December 2020
 - D** October 2020 to February 2021
- 23** The diagram shows three production possibility curves (PPC) for a country, labelled 3, 2 and 1. The original PPC for the country is 2.

This country experiences a fall in its working population and then this is followed by a long period of recession.



If an increase in GDP then takes place, what is the increase in production?

- A** r to s
- B** r to u
- C** s to t
- D** t to u

24 A government increases the rate of income tax.

What is the effect, in the short run, on the aggregate demand curve or the aggregate supply curve?

- A** The aggregate demand curve shifts left.
- B** The aggregate demand curve shifts right.
- C** The aggregate supply curve shifts left.
- D** The aggregate supply curve shifts right.

25 A country's current account deficit is larger this year than last.

What is the most likely reason for this increase?

- A** Demand for domestically produced goods has risen.
- B** Domestic inflation has risen faster than the inflation of its major trading partners.
- C** Domestic unemployment has risen.
- D** The exchange rate has depreciated.

26 Which supply-side measure is most likely to produce short-run growth in a country's aggregate supply?

- A** easing of controls on immigration of workers
- B** expenditure on primary education
- C** expenditure on research and development
- D** privatisation of public utilities

27 Which tax may a government use to reduce inequality?

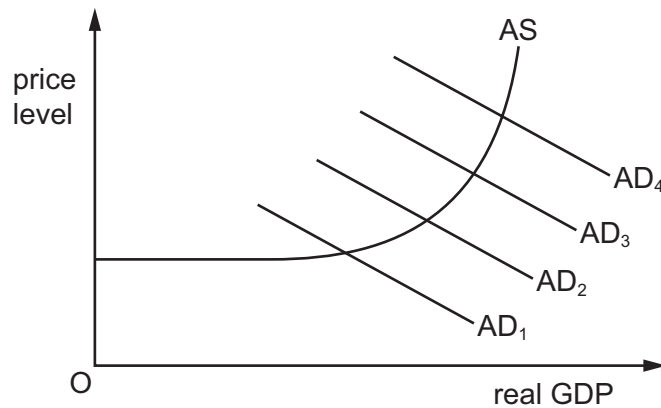
- A** progressive income tax
- B** proportionate income tax
- C** proportionate indirect tax
- D** specific indirect tax

- 28 A foreign government pays a UK university to educate its students.

How would this be recorded on the balance of payments current account of the UK?

	current account component	money flows
A	secondary income	inflow
B	secondary income	outflow
C	trade in services	inflow
D	trade in services	outflow

- 29 A government wants to reduce inflation. It has decided to cut government spending by \$1bn. The diagram shows different starting positions for the country's aggregate demand (AD) curve.



Which starting position for the aggregate demand curve would make this policy **least** effective?

- A** AD₁ **B** AD₂ **C** AD₃ **D** AD₄
- 30 A government reduces the rate of tax firms are charged on their land and buildings.

How is this likely to affect the economy's price level and real output?

	price level	real output
A	fall	fall
B	fall	rise
C	rise	fall
D	rise	rise

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Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

October/November 2023

MARK SCHEME

Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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Question	Answer	Marks
1	D	1
2	D	1
3	C	1
4	B	1
5	B	1
6	D	1
7	B	1
8	B	1
9	B	1
10	B	1
11	D	1
12	B	1
13	B	1
14	C	1
15	D	1
16	D	1
17	D	1
18	B	1
19	B	1
20	B	1
21	A	1
22	B	1
23	A	1
24	A	1
25	B	1
26	A	1
27	A	1
28	C	1

Question	Answer	Marks
29	A	1
30	B	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 AS Level Multiple Choice

October/November 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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INFORMATION

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- 1 A factory introduces an automated production line to take advantage of division of labour.

What is most likely to increase?

- A average cost of production
 - B job satisfaction of workers
 - C range of skills of each worker
 - D worker productivity
- 2 Consumers do not use enough of a product to maximise their private benefit because they have imperfect information about the product.

How would an economist classify this product?

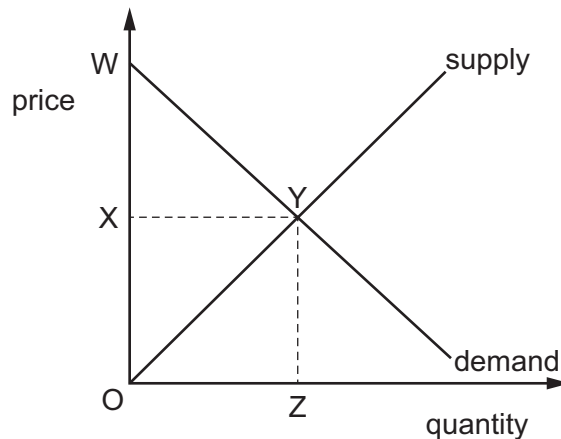
- A demerit good
 - B free good
 - C merit good
 - D public good
- 3 The table shows different combinations of rings and bracelets that can be produced by Luke and Zoe in the same time period.

Luke		Zoe	
rings	bracelets	rings	bracelets
18	0	20	0
12	6	16	8
6	12	12	16
0	18	8	24

Which statement is **not** correct?

- A Luke has a larger opportunity cost than Zoe for making bracelets.
- B The opportunity cost of producing rings is constant for both Luke and Zoe.
- C Zoe should specialise in making rings.
- D Zoe's opportunity cost for each bracelet is 2 rings.

- 4 What is an example of a free good?
- A** a government sponsoring a free vaccination programme for its citizens
- B** a hospital providing free treatment to the poor
- C** a school providing free education to outstanding students
- D** anything that provides free utility but is not scarce
- 5 The diagram shows the market for computers in Pakistan.



Which areas represent consumer surplus and consumer expenditure?

	consumer surplus	consumer expenditure
A	WXY	OXY
B	WXY	OXYZ
C	WYO	OXYZ
D	WYO	OYZ

- 6 The supply curve for a firm is a horizontal straight line.

What can be concluded from this statement?

- A** Quantity supplied is infinite at the given price.
- B** Quantity supplied is infinite below the given price.
- C** Quantity supplied remains constant at all prices.
- D** Quantity supplied is perfectly inelastic.

- 7 When the incomes of consumers of good X fall by 5%, under which conditions will the demand curve shift furthest to the right?

	nature of good X	income elasticity of demand for good X
A	inferior good	-0.8
B	inferior good	-1.2
C	normal good	+0.9
D	normal good	+1.5

- 8 Good P and good Q are substitutes. There is a decrease in supply of good P because of a shortage of materials.

Which row describes what will happen to demand?

	good P	good Q
A	contraction	extension
B	contraction	shift to right
C	shift to left	shift to left
D	shift to left	shift to right

- 9 The pressure to reduce the use of fossil fuels has led to oil companies reducing the level of investment in the exploration of new reserves.

What will be the long-run effect of such a policy on the market for oil?

	market change	price change
A	upward movement along the demand curve	price decreases
B	downward movement along the demand curve	price increases
C	supply shifts to the left	price increases
D	supply shifts to the left	price decreases

- 10 The price elasticity of demand for a product is -0.6 .

The supplier wants to clear all surplus stock of a product and reduces the price of a good by 50%.

What is the effect of this price change on the quantity purchased and the expenditure on the good?

	quantity demanded	expenditure
A	rises by 30%	falls
B	rises by 30%	rises
C	rises by 60%	falls
D	rises by 60%	rises

- 11 A firm is producing 100 units at a price of \$10. The price elasticity of supply is 0.5 and the price is raised to \$12.

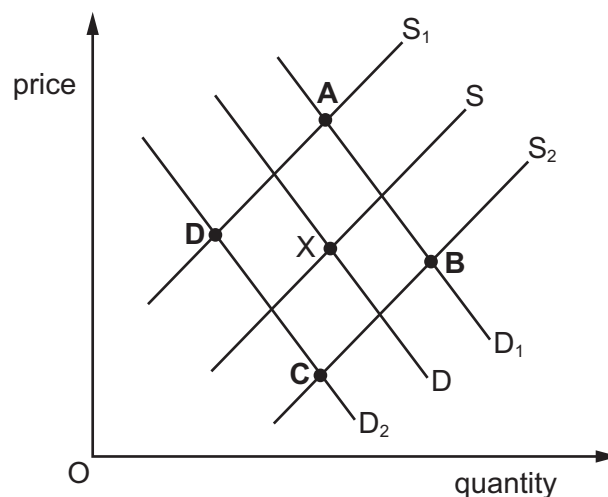
What is the new level of output?

- A** 75 **B** 110 **C** 125 **D** 150
- 12 In a town, bus fares fall by 50% and this leads to an increase in bus use by 30%. The effect on car use is very low with only a 1% reduction.

What is the value of the cross-elasticity of demand between car travel and bus travel?

- A** -0.60 **B** -0.02 **C** $+0.02$ **D** $+0.60$
- 13 In the diagram, the demand and supply curves for wheat in Australia are shown. Initial equilibrium is at X. The government imposes a sales tax on wheat at the same time as increasing the rate of income tax.

Which point could represent the new equilibrium?



- 14 A free market is currently experiencing excess supply at a price of P_1 .

What will be the effect on the current market situation if a maximum price is set above P_1 ?

- A The excess supply will increase.
 - B The market will move into an equilibrium position.
 - C There will be no effect.
 - D There will be excess demand.
- 15 What is a likely **disadvantage** of a government's provision of transfer payments to the unemployed?
- A decrease in the standard of living
 - B disincentive to accept paid work
 - C increase in inequality
 - D increase in poverty
- 16 Which combination of policies would increase the inequality of the distribution of income and wealth?

	progressive taxes	minimum wage	transfer payments
A	decrease	increase	reduce
B	decrease	reduce	reduce
C	increase	increase	increase
D	increase	reduce	increase

- 17 Which changes will increase the circular flow of income?

	higher imports	higher investment	higher taxation
A	yes	no	no
B	yes	yes	no
C	no	yes	yes
D	no	yes	no

- 18** An economy in equilibrium has a trade deficit of \$20bn and a budget surplus of \$20bn. Investment spending is \$50bn.

What is the total saving?

- A** \$5bn **B** \$10bn **C** \$15bn **D** \$20bn

- 19** A finance company incurs heavy losses and makes an accountant redundant.

The accountant seeks a new job through an employment agency which specialises in jobs in accounting.

What describes the type of unemployment of the accountant who is seeking a new job?

- A** frictional
B seasonal
C structural
D technological

- 20** An aggregate demand curve slopes downwards from left to right.

One reason for this is that a reduction in the average price level will lead to

- A** a decline in the country's international competitiveness.
B an increase in interest rates.
C an increase in the real value of money balances.
D the expectation of further price falls.

- 21** Which components are included as primary income in the current account of the balance of payments?

	trade in goods	current transfers	employment income from abroad
A	✓	✓	✓
B	✓	x	x
C	x	✓	x
D	x	x	✓

key

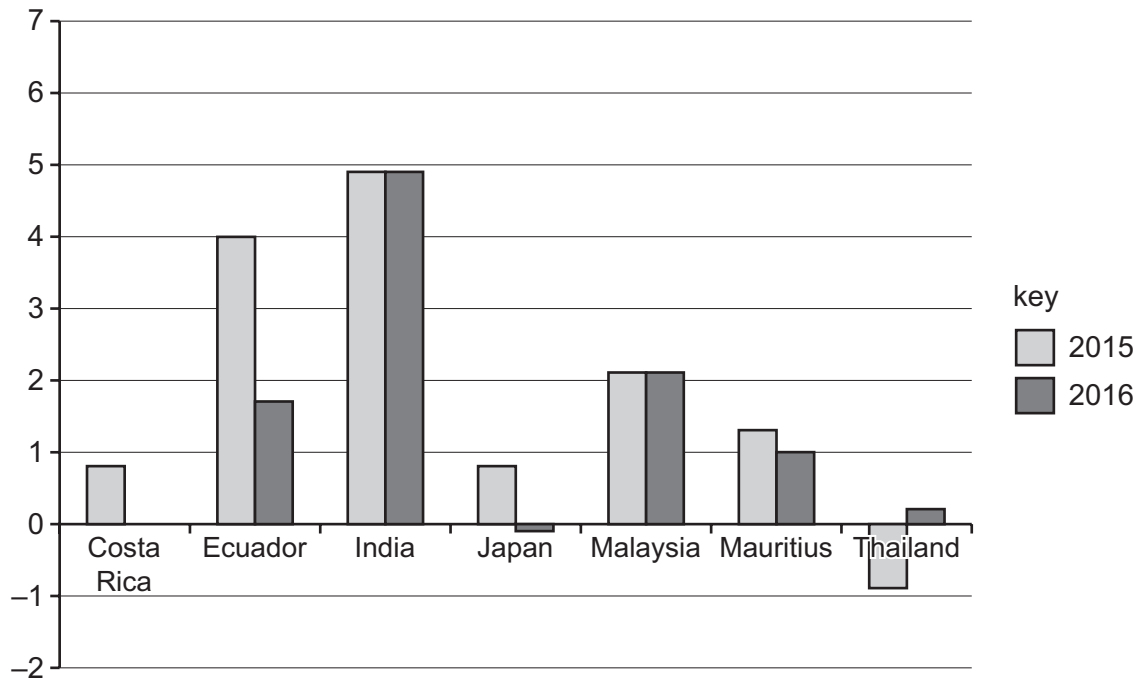
✓ = included

x = not included

22 What is **not** included in the measurement of national income?

- A dividends paid to shareholders
- B overtime payments
- C rents from government-owned houses
- D welfare benefit payments

23 The graph shows the rate of inflation for seven countries for 2015 and 2016.



What can be concluded from this graph?

- A Prices in Costa Rica rose in 2015 but remained constant in 2016.
- B Prices in Ecuador and Mauritius were lower in 2016 than in 2015.
- C Prices in India and Malaysia remained constant in 2016 and 2015.
- D Prices in Thailand and Japan were lower in 2016 than in 2015.

- 24** Country R and country S are going to trade 1 unit of product X for $\frac{1}{2}$ unit of product Y.

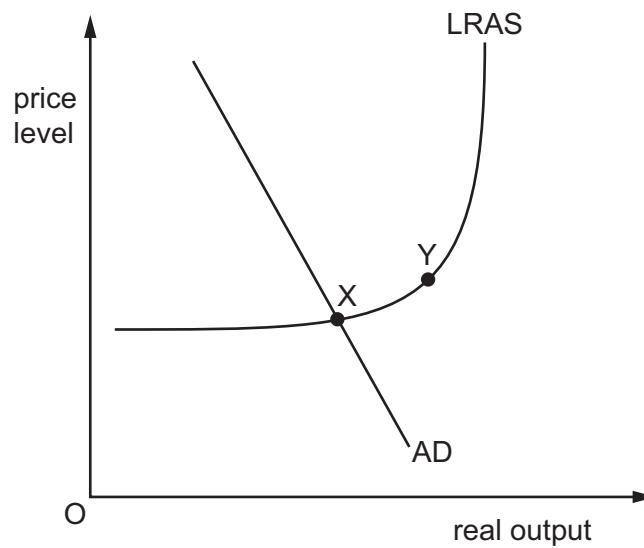
With a given amount of resources:

- country R can produce either 30 units of product X or 50 units of product Y
- country S can produce either 20 units of product X or 25 units of product Y.

Which statement is correct, according to the theory of comparative advantage?

- A** Free trade will benefit both R and S.
 - B** Free trade will benefit neither R nor S.
 - C** Free trade will benefit R but not S.
 - D** Free trade will benefit S but not R.
- 25** What is the most likely cause of a current account deficit on the balance of payments?
- A** an undervalued exchange rate
 - B** a relatively low rate of inflation
 - C** a shrinking domestic economy
 - D** a general fall in national productivity

- 26** The diagram shows the long-run aggregate supply (LRAS) and aggregate demand (AD) curves for an economy.



The initial equilibrium is at point X.

Which combination of monetary policies will shift the equilibrium position to point Y?

	money supply	rate of interest
A	increase	increase
B	decrease	increase
C	increase	decrease
D	decrease	decrease

- 27** The government undertakes a policy of financing training and retraining for unemployed workers.

Which terms are most likely be used to classify this policy?

	demand-side	supply-side	fiscal	monetary
A	yes	no	yes	no
B	yes	no	no	yes
C	no	yes	no	yes
D	no	yes	yes	no

- 28 Which combination of initial equilibrium and supply-side policy is likely to be **least** effective when attempting to increase the real output of an economy?

	initial equilibrium real output	supply-side policy measure
A	below full employment	abolition of national minimum wage
B	below full employment	extra spending on training
C	full employment	extra investment in infrastructure
D	full employment	reduction in the rate of income tax

- 29 A government aims to reduce unemployment through expansionary fiscal policy and borrows more from the commercial banks, increasing its borrowing requirement.

What will be the result?

- A** a decrease in the budget deficit
- B** a decrease in the national debt
- C** an increase in the balance of payments deficit on the current account
- D** an increase in the interest rates

- 30 A government wants to use an expansionary monetary policy.

What should the government increase?

- A** credit regulations
- B** the exchange rate
- C** the interest rate
- D** the money supply

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Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 Multiple Choice

October/November 2023

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2023 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

Question	Answer	Marks
1	D	1
2	C	1
3	D	1
4	D	1
5	B	1
6	A	1
7	B	1
8	B	1
9	C	1
10	A	1
11	B	1
12	C	1
13	D	1
14	C	1
15	B	1
16	B	1
17	D	1
18	B	1
19	A	1
20	C	1
21	D	1
22	D	1
23	A	1
24	A	1
25	D	1
26	C	1
27	D	1
28	A	1

Question	Answer	Marks
29	D	1
30	D	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

February/March 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 Why does a production possibility curve exist for every economy?

- A Resources are unlimited.
- B Resources have alternative uses.
- C Some resources can be imported.
- D Some resources may be unemployed.

2 Which statement is a normative statement?

- A Aggregate demand will increase following a decrease in interest rates.
- B A rise in unemployment will decrease inflationary pressures.
- C The incentive to work will rise if benefit payments are reduced.
- D Unsustainable economic growth is more harmful to the economy than hyperinflation.

3 Which combination best describes the basic economic problem?

	resources	wants
A	limited	limited
B	limited	unlimited
C	unlimited	limited
D	unlimited	unlimited

4 What is the **main** reason an economy is unlikely to rely completely on market forces to allocate resources?

- A Demerit goods will be over supplied.
- B Merit goods will be under supplied.
- C Private goods will not be supplied.
- D Public goods will not be supplied.

5 What is the opportunity cost to a person of spending \$20 on a new pair of sports shoes?

- A all the other things the person could have bought
- B the cost of getting to the sports shop
- C the current value of the person's old pair of shoes
- D the next best thing that could have been bought with the \$20

6 What is the definition of effective demand?

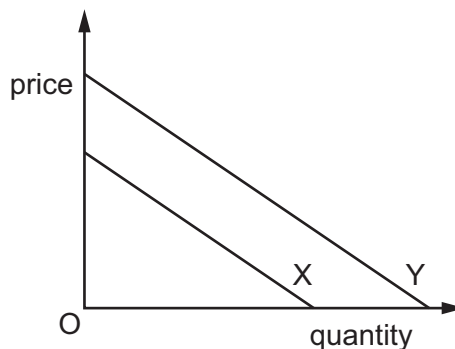
- A demand that is speculative
- B demand that is supported by the ability to pay
- C the relationship between price and quantity demanded
- D the total amount demanded by consumers

7 The price elasticity of demand for good X is -2.4 , its income elasticity of demand is -0.4 and the cross elasticity of demand for good X with respect to good Y is $+0.8$.

What is the correct description of good X?

- A inferior good, price-elastic demand and substitute for good Y
- B inferior good, price-inelastic demand and complement to good Y
- C normal good, price-elastic demand and complement to good Y
- D normal good, price-inelastic demand and substitute for good Y

8 The diagram shows two straight line demand curves, X and Y.



What is correct about curves X and Y?

- A Both X and Y are unit price elastic over their whole length.
- B Both X and Y have the same elasticity at every price.
- C X has a higher price elasticity than Y at every price.
- D Y is more likely to have substitutes than X.

9 The price elasticity of the supply of yoghurt is estimated to be $+1.5$.

If the demand for yoghurt rises and price rises by 20%, how much more will be supplied to the market?

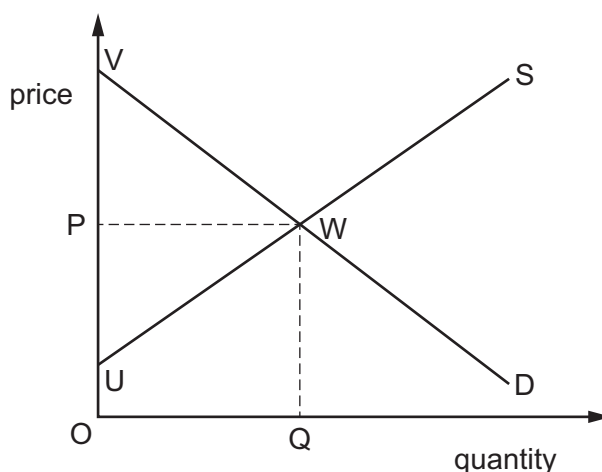
- A 0.3%
- B 3.0%
- C 13.3%
- D 30%

- 10 Butter is a normal good. It is in joint demand with bread and in joint supply with buttermilk. The demand for butter increases because of a rise in consumer incomes.

What are the effects of this increase on the prices of bread and buttermilk?

	price of bread	price of buttermilk
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

- 11 The diagram shows a competitive market in equilibrium with price P and quantity Q sold.



Which area represents the producer surplus?

- A** PWU **B** PVW **C** OUWQ **D** OPWQ
- 12 A policy that aims to reduce the degree of inequality of income will also reduce the level of employment in a country.

What is most likely to be such a policy?

- A** The effective minimum wage is increased by 25%.
- B** The rate of income tax paid by the lowest band of earners is reduced.
- C** The government increases the level of subsidies given to producers of some merit goods.
- D** The government provides more goods that are regarded as essential.

13 What explains the underconsumption of merit goods?

- A** Their value is not fully understood by consumers.
- B** They are unproductive goods and services.
- C** They can only be provided by the government.
- D** They are only provided by private sector businesses.

14 A country uses an income tax under which the first \$10 000 of income is tax-free, the next \$20 000 is taxed at 20% and any income over \$30 000 is taxed at a top rate of 40%. It also levies a sales tax of 10% on most products.

Which combination of tax changes is most likely to create a more equal distribution of income in the country?

	income tax	sales tax
A	a higher tax-free allowance	a higher rate of tax
B	a higher top rate of tax	a lower rate of tax
C	a lower tax-free allowance	a higher number of exempt goods
D	a lower top rate of tax	a lower number of exempt goods

15 The table shows real GDP expressed as an index number in each quarter of 2021.

2021	index of GDP in real terms (2020 = 100)
Q1	99.4
Q2	99.3
Q3	100.1
Q4	100.4

What can be concluded from the table?

- A** Inflation reduced the real value of GDP in the first six months of 2021.
- B** Real GDP was lower at the end of 2021 than 2020.
- C** The economy was in recession at the end of the first six months of 2021.
- D** The standard of living was higher at the end of 2021 than in 2020.

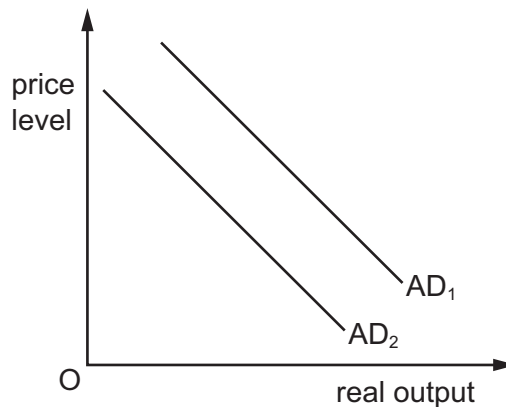
- 16** What is **least** likely to cause a simultaneous increase in demand-pull and cost-push inflation?
- A** depreciation of currency
 - B** increased import tariffs
 - C** decreased spending on infrastructure
 - D** increased wages
- 17** According to the circular flow of income, what would be the immediate result of an increase in the value of a country's exports?
- A** imports would increase
 - B** national income would increase
 - C** savings would increase
 - D** taxes would increase
- 18** To calculate the unemployment rate, the number unemployed is related to
- A** the total adult population aged 18–65.
 - B** the number of unemployed who are seeking work.
 - C** the total number in full-time employment.
 - D** the total population in the labour force.
- 19** Aggregate demand in an economy may decrease as a result of an increase in
- A** consumption expenditure.
 - B** government expenditure.
 - C** import expenditure.
 - D** investment expenditure.
- 20** A government has a balanced budget. It decides to increase its spending by 10%.
- Which increase in government revenue would produce a budget surplus?
- A** –10%
 - B** 0%
 - C** +10%
 - D** +20%

- 21** An economy has an unemployment rate of 8%, an increase of 2% from the previous year. At the same time, the current account deficit rose from 3% of GDP to 4% of GDP.

What would be most likely to reduce both unemployment and the current account deficit?

- A** decrease government spending
- B** depreciation of the currency
- C** increase indirect taxation
- D** increase interest rates

- 22** The diagram shows aggregate demand (AD) curves for an economy.



Which combination is most likely to have caused the shift from AD_1 to AD_2 ?

	income tax	sales tax
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 23** What can be considered an expansionary supply-side policy?

- A** an increase in government expenditure on training
- B** an increase in sales tax
- C** an increase in the rate of interest
- D** an increase of the exchange rate

- 24 The table indicates the factor inputs required to produce wheat and cars in countries X and Y.

	units of factor inputs to produce one tonne of wheat	units of factor inputs to produce one car
country X	4	2
country Y	8	6

What makes it possible for both countries to benefit from trade?

- A Country X has an absolute advantage in wheat and car production.
 - B Country Y has an absolute advantage in wheat and car production.
 - C Country Y has a comparative advantage in wheat production.
 - D Opportunity cost of wheat and car production is the same between countries.
- 25 A government decides to allow the country's currency to depreciate to remove the deficit on its current account of the balance of payments.

What is the most likely reason why this would **not** work?

- A The country gains a competitive advantage from the depreciation.
 - B The country has a surplus on its capital and financial accounts.
 - C The price elasticities of demand for the country's exports and imports are greater than one.
 - D There are high trade barriers with the country's main trading partners.
- 26 When must the terms of trade of a country change?
- A when the volume of exports falls and the volume of imports rises
 - B when the total value of exports falls and the total value of imports rises
 - C when the balance of trade in goods moves from deficit to surplus
 - D when the average price of exports rises and the average price of imports falls

27 The table shows an extract from a country's balance of payments.

	exports \$ billion	imports \$ billion
trade in goods	150	200
trade in services	70	50
primary (investment) income	120	100
secondary (transfer) income	15	20

What is the current account balance?

- A** −\$10bn **B** −\$15bn **C** −\$30bn **D** −\$50bn

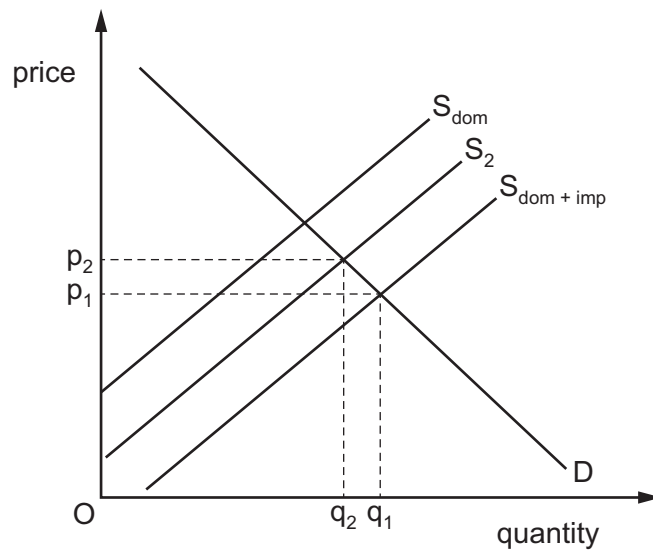
28 The table shows the goods balance and services balance for a country in selected years.

year	goods balance \$ billion	services balance \$ billion
2015	+120	−30
2016	+110	−30
2017	+50	−10
2018	+130	−60
2019	+140	−50

Between which years did the overall goods and services balance change the most?

- A** 2015–2016 **B** 2016–2017 **C** 2017–2018 **D** 2018–2019

- 29 The diagram shows the market for both domestic and imported computers for an economy. The world price is p_1 .



Which government policy would lead to a price of p_2 ?

- A an embargo on imports
 - B an exchange rate appreciation
 - C a subsidy to domestic producers
 - D a tariff on imports
- 30 What is **not** a likely cause of a deficit in the current account of the balance of payments?
- A Consumer spending is low.
 - B Primary incomes in the form of investment income are low.
 - C The rate of exchange is high.
 - D Wage costs of production are high.

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Cambridge International AS & A Level

ECONOMICS**9708/12**

Paper 1 AS Level Multiple Choice

February/March 2024**MARK SCHEME**Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the February/March 2024 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	B	1
2	D	1
3	B	1
4	D	1
5	D	1
6	B	1
7	A	1
8	C	1
9	D	1
10	C	1
11	A	1
12	A	1
13	A	1
14	B	1
15	C	1
16	C	1
17	B	1
18	D	1
19	C	1
20	D	1
21	B	1
22	D	1
23	A	1
24	C	1
25	D	1
26	D	1
27	B	1
28	B	1

Question	Answer	Marks
29	D	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 AS Level Multiple Choice

May/June 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 A worker earns \$40 per hour. Rather than work, she decides to visit a museum for three hours. The visit costs a total of \$40.

What is the opportunity cost of visiting the museum?

- A \$40 B \$80 C \$120 D \$160

- 2 The nature of a typical car assembly plant has changed. The industry has fewer firms, operates on larger sites and has more automated machinery.

How is this change most likely to have affected the relative use of factors of production in the industry?

	increased relative use	decreased relative use
A	capital and enterprise	labour and land
B	enterprise and labour	land and capital
C	labour and land	capital and enterprise
D	land and capital	enterprise and labour

- 3 Which item would be **least** likely to be classed as land?

- A fertilisers
B fisheries
C forests
D coal

- 4 Why does the concept of scarcity apply to the use of fossil fuels?

- A Demand fluctuates according to price changes.
B Supply is insufficient to meet demand.
C Their use is restricted because of harmful pollution.
D They are being replaced by renewable energy sources.

- 5 An economist knows the current point at which an economy operates within its production possibility curve.

What can the economist conclude about this economy?

- A its degree of self-sufficiency
B its international competitiveness
C its level of output of two goods
D its rate of economic growth

- 6 An increase in which factor is likely to cause a shift to the left of the demand curve for cinema movies?
- A expenses for the heating system in the cinema
 - B payments charged by movie scriptwriters
 - C the cost of transport to the cinema
 - D taxes on the incomes of cinema operators
- 7 Four firms supply the market. The market supply is 50 units at \$20 and 100 units at \$40. The table shows the market share of each firm at the two prices.

Which firm does **not** have a normal upward-sloping supply curve?

	% market share at \$20	% market share at \$40
A	10	10
B	20	50
C	30	20
D	40	20

- 8 Which statement is correct?
- A Demand for an inferior good has a positive relationship to income and a negative relationship to price.
 - B Demand for an inferior good has a negative relationship to income and a negative relationship to price.
 - C Demand for a normal good has a positive relationship to income and a positive relationship to price.
 - D Demand for a normal good has a negative relationship to income and a positive relationship to price.

9 In which row are both statements correct?

	consumer surplus	producer surplus
A	the value that consumers gain from consuming a good over and above the value that would have been gained from consuming the next best alternative	the difference between the actual revenue received by firms for a good and the profit maximising revenue
B	the value that consumers gain from consuming a good over and above the price paid	the difference between the price received by firms for a good or service and the price at which they would have been prepared to supply that good
C	the value that consumers gain from consuming a good over and above the price paid	the difference between the actual revenue received by firms for a good and the profit maximising revenue
D	the value that consumers gain from consuming a good over and above the value that would have been gained from consuming the next best alternative	the difference between the price received by firms for a good and the price at which they would have been prepared to supply that good

10 A firm calculates that the income elasticity of demand for its product is -3.0 .

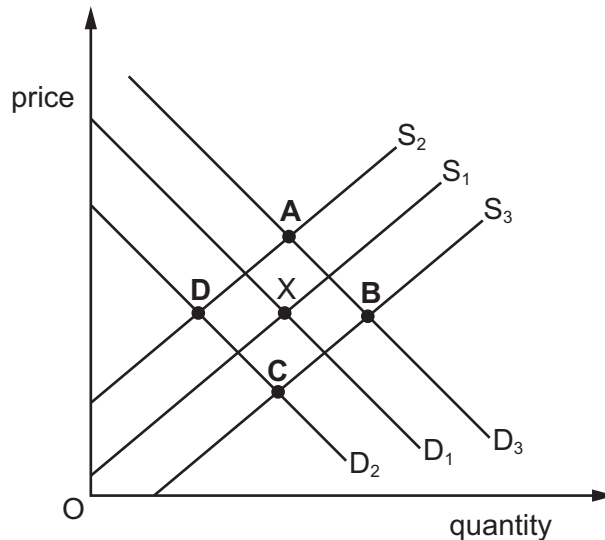
What can be deduced from this information?

- A** In a period of economic growth, its total revenue should increase.
- B** In a period of economic recession, its total revenue should increase.
- C** It has few substitutes so it should increase its price to increase total revenue.
- D** It has many substitutes so it should decrease price to increase total revenue.

- 11 The diagram shows the demand and supply curves for the global air cargo market.

The initial equilibrium is at point X.

What would the new equilibrium be if there is a global recession and an increase in fuel costs?



- 12 A government gives free food to poor households in a community.

What is this food an example of?

- A a free good
 - B a public good
 - C a demerit good
 - D a normal good
- 13 A government wishes to raise the incomes of farmers without raising the price of food to consumers.
- Which policy should it use?
- A a maximum price below the market price for food
 - B a minimum price below the market price for food
 - C a payment of a subsidy to farmers to produce food
 - D a release of government food stocks onto the market

- 14** Governments in market economies give different reasons for intervening in the operation of an economy.

Which reason given is a normative statement?

- A** Average incomes have failed to keep pace with price rises during the past year.
- B** Energy prices have increased by more than 50% during the past year.
- C** The distribution of incomes has become more unfair during the past year.
- D** The poorest 10% of households have suffered the greatest fall in average real income during the past year.

- 15** The table illustrates macroeconomic data for an economy. All figures are in \$ billions.

What is the equilibrium real output?

	consumption expenditure	investment	government expenditure	exports	imports	real output
A	110	100	50	10	20	100
B	120	100	60	20	30	200
C	140	100	70	30	40	300
D	160	100	80	40	50	430

- 16** A country's net national income (NNI) is less than its gross national income (GNI).

What does this mean?

- A** incomes earned overseas were less than incomes sent overseas
- B** inflation has been accounted for in NNI but not in GNI
- C** the country's exports decreased
- D** there has been a net depreciation in the value of the country's fixed capital assets

- 17** Asha is currently unemployed. She has been offered a job but has decided to decline the offer and search for a better paid job.

Which type of unemployment is this?

- A** cyclical
- B** frictional
- C** seasonal
- D** structural

- 18** A major trading nation, country X, is in equilibrium at the full employment level of real output. There is then a recession in its main international markets.

What are the most likely consequences of this change for country X?

	rate of inflation	unemployment
A	decrease	decrease
B	decrease	increase
C	unchanged	decrease
D	unchanged	increase

- 19** Why would a fall in a country's average price level cause its aggregate demand curve to slope downwards?

- A** It leads to an increase in interest rates.
- B** It reduces the real value of money balances.
- C** It makes the country's goods cheaper relative to foreign goods.
- D** It leads to the expectation of further price falls.

- 20** To counter deflation a central bank uses expansionary monetary policy.

What is likely to result?

- A** a higher cost of borrowing
- B** an increase in aggregate demand
- C** an appreciation of the exchange rate
- D** an increase in government debt

- 21** Which statement about government budget surpluses and deficits is the most accurate?

- A** A surplus implies that the balance of payments is in surplus.
- B** A surplus implies that the government is spending too much money.
- C** A deficit implies that the economy is in decline.
- D** A deficit implies that the national debt is increasing.

- 22** What is most likely to decrease if a government uses expansionary fiscal policy?

- A** a balance of payments deficit
- B** cyclical unemployment
- C** the level of wages
- D** the rate of inflation

- 23** Sweden had a change in its Consumer Prices Index (CPI) of -0.6% .

Which combination of policies might its government use to restore price stability?

- A** increase interest rates and increase indirect taxes
 - B** increase interest rates and reduce government spending
 - C** reduce government spending and increase income tax
 - D** reduce interest rates and increase government spending
- 24** What is a disadvantage of operating a floating exchange rate system?
- A** It makes it difficult to prioritise domestic economic policy aims.
 - B** It makes the prices of internationally traded goods less predictable.
 - C** It means that the government must keep significant foreign currency reserves.
 - D** It requires continuous government intervention in currency markets.
- 25** What is **not** an example of protectionism?
- A** export subsidies
 - B** import subsidies
 - C** quotas
 - D** tariffs
- 26** Countries X and Y both produce goods M and N. They decide to specialise and trade freely in the goods.

Under which conditions are the gains from specialisation and free trade likely to be **smallest**?

	mobility of factors of production between goods M and N	mobility of factors of production between countries X and Y
A	high	high
B	high	low
C	low	high
D	low	low

27 The terms of trade for a country increased from 100 to 120.

Which statements are correct?

- 1 The terms of trade have deteriorated.
- 2 Fewer exports are needed to buy the same quantity of imports.
- 3 The balance of payments must improve.

A 1 and 2 **B** 1 only **C** 2 and 3 **D** 2 only

28 The table shows the number of Turkish lira (TRY) which can be exchanged for one US dollar (USD) in 2016 and 2021.

date	exchange rate
July 2016	1 USD = 2.83 TRY
July 2021	1 USD = 8.15 TRY

What is the most likely cause of the change in the price of Turkish lira between 2016 and 2021?

- A** a sustained fall in the demand for Turkish imports
- B** a sustained fall in Turkish government debt as a percentage of GDP
- C** a sustained rise in Turkish interest rates
- D** a sustained rise in Turkish inflation

29 The table shows the current account of a balance of payments for January 2021.

	\$m
exports of goods	15 000
imports of goods	17 000
services	
credit	2 500
debit	2 000
primary income	
credit	100
debit	1 000
secondary income balance	60

What is the current account balance?

- A** a deficit of \$2340m
- B** a deficit of \$2000m
- C** a surplus of \$2340m
- D** a surplus of \$2000m

30 Which policy would **not** be an argument for the use of import tariffs?

- A** They are an effective way of raising revenue.
- B** They improve the balance of payments on a current account.
- C** They improve a nation's terms of trade in a bilateral agreement.
- D** They may lead to retaliation by trading partners.

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Cambridge International AS & A Level

ECONOMICS**9708/11**

Paper 1 Multiple Choice

May/June 2024**MARK SCHEME**Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2024 series for most Cambridge IGCSE, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	C	1
2	D	1
3	A	1
4	B	1
5	C	1
6	C	1
7	D	1
8	B	1
9	B	1
10	B	1
11	D	1
12	D	1
13	C	1
14	C	1
15	C	1
16	D	1
17	B	1
18	B	1
19	C	1
20	B	1
21	D	1
22	B	1
23	D	1
24	B	1
25	B	1
26	C	1
27	D	1
28	D	1

Question	Answer	Marks
29	A	1
30	D	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

May/June 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

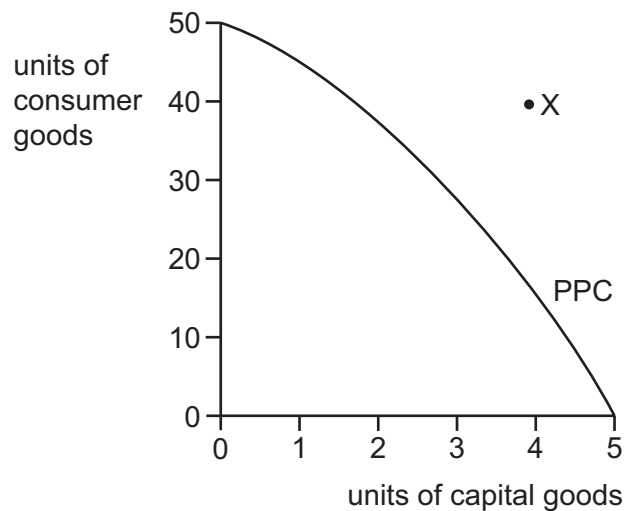
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 The diagram shows a production possibility curve (PPC). It indicates the combinations of consumer goods and capital goods produced by an economy using all its available resources.



What does position X indicate?

- A a lower ratio of capital to consumer goods is necessary to achieve economic growth
 - B increasing levels of unemployment
 - C insufficient factors of production are available
 - D too many consumer goods are causing a fall in economic growth
- 2 What is produced in a mixed economy but **not** in a free market economy?
- A demerit goods
 - B free goods
 - C private goods
 - D public goods
- 3 Earth observation satellites designed to acquire information are close to the theoretical case of a public good. In 2011, the World Meteorological Organisation estimated that improving satellite observations would cost an extra \$1 billion a year.

What is a normative statement about Earth observation satellites?

- A The estimated cost of improving satellite observations is \$1 billion a year.
- B The information received from the satellites is non-rival.
- C The satellites are designed to acquire the best possible information on climate change.
- D The responsibility for the cost of Earth observation satellites should be shared by all governments.

- 4 What is the opportunity cost of a virus to the healthcare service in a country?
- A increased number of hospital patients
 - B increased use of personal protective equipment
 - C increased stress for staff working in hospitals
 - D increased waiting times to treat non-virus patients
- 5 The share of total incomes from profit in a country shows more variation over time than incomes from interest, rent and wages.

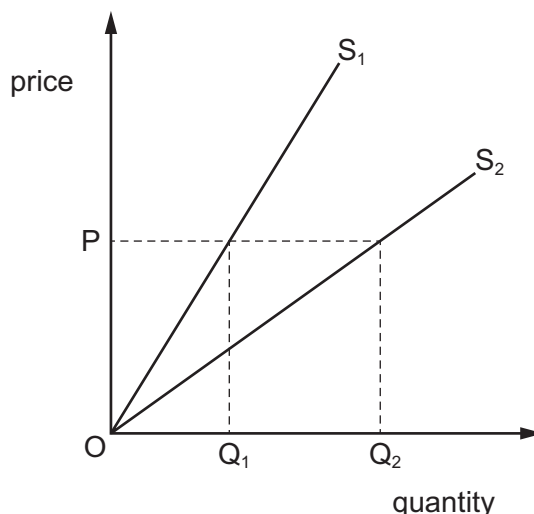
What is the most likely reason for this?

- A Interest rates are set by government.
 - B Profit is what is left after interest, rent and wages are subtracted from total income.
 - C Rent is only the return to the factor and so is always the smallest.
 - D Wages only change annually.
- 6 Changes in the market for gasoline (petrol) in Zimbabwe resulted in fuel shortages and long queues.

Which combination of changes would have been certain to cause this situation?

	demand for gasoline	supply of gasoline
A	decreased	decreased
B	decreased	increased
C	increased	decreased
D	increased	increased

- 7 The diagram shows the movement of the supply curve for a product from S_1 to S_2 .



At price P , what happens to the price elasticity of supply for the product and the producer surplus when the supply curve moves?

	price elasticity of supply	producer surplus
A	more elastic	decreases
B	more elastic	increases
C	unchanged	decreases
D	unchanged	increases

- 8 The tables show the different quantities of a good demanded at different prices and levels of income.

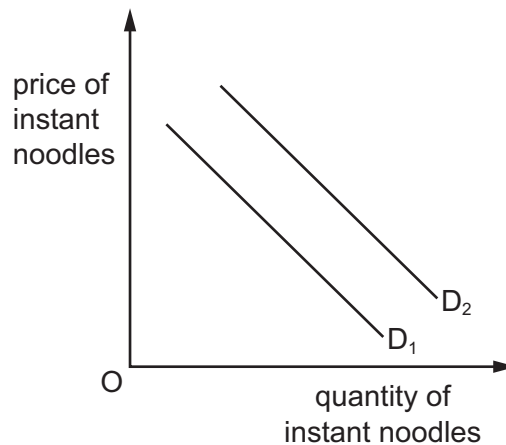
price \$	quantity demanded
5	9
4	10
3	20
2	40
1	120

income \$	quantity demanded
48	120
24	40
16	20
10	10
8	9

Within the range of these figures, when are both price elasticity of demand and income elasticity of demand for this good inelastic?

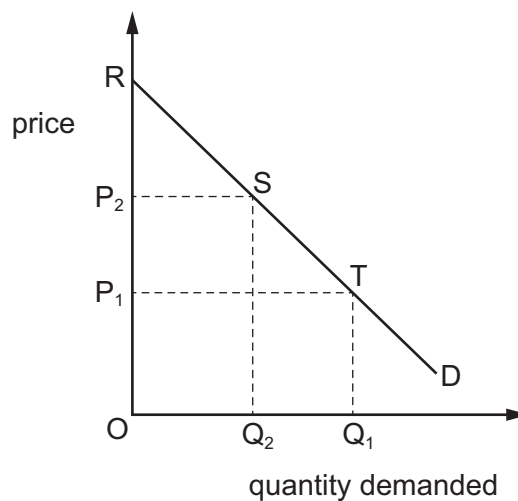
- A** when price is low and income is high
- B** when price is high and income is low
- C** when price and income are both high
- D** when price and income are both low

- 9 In Asia, instant noodles is an inferior good because dried fruit is a better quality substitute. The diagram shows the demand for instant noodles.



What could have caused the shift in the demand curve for instant noodles from D_1 to D_2 ?

- A a fall in the price of dried fruit
 - B a rise in real income
 - C a rise in unemployment
 - D a successful advertising campaign by dried fruit producers
- 10 The diagram shows the impact of an increase in the price of a product from P_1 to P_2 .



Which area represents the consumer surplus after the price change?

- A P_1P_2ST
- B P_2RS
- C $ORSQ_2$
- D OP_2SQ_2

- 11 Which reason for the increase in demand for a smartphone is an example of joint demand?
- A a fall in its price
 - B a fall in the price of connecting to a network
 - C a fall in the price of parts used to make smartphones
 - D a rise in the price of a substitute
- 12 A market is in equilibrium. The government intervenes by creating a price floor below which the market price cannot fall.

Which term describes this form of government intervention?

- A maximum price
 - B minimum price
 - C subsidy
 - D unit tax
- 13 What is an example of a public good?
- A a new road linking a major city with a port
 - B free lunches provided to students at a school
 - C Wi-Fi (internet access) provided for all the citizens of a town
 - D state provision of a national defence system

- 14 The diagram shows an initial market equilibrium for an agricultural product of \$6 and 800 units.



How much will the government have to spend to increase the market price to \$10?

- A \$1600
- B \$2400
- C \$3200
- D \$4000

15 Which government policy will increase aggregate demand?

- A** raising indirect taxation
- B** reducing the budget surplus
- C** removing domestic subsidies
- D** removing import quotas

16 The table gives the value of the price index of an economy in two years.

year	price index
1	60
2	120

What can be concluded about the period?

- A** Nominal income doubled.
- B** Real income doubled.
- C** The cost of living doubled.
- D** The standard of living doubled.

17 What causes a rise in cost-push inflation?

- A** a fall in the rate of income tax
- B** a rise in the rate of income tax
- C** a depreciation of the exchange rate
- D** an appreciation of the exchange rate

18 Which change affecting an economy's labour force will cause an increase in economic growth in the short run?

- A** an increase in students entering university
- B** an increase in the birth rate
- C** an increase in the immigration of skilled labour
- D** an increase in the school leaving age

19 Which factor explains the difference between GDP and GNI?

- A foreign investment in the domestic automobile industry
- B revenues received from exporting capital goods
- C revenues received from exporting consumer goods
- D salaries remitted by those working abroad to their home accounts

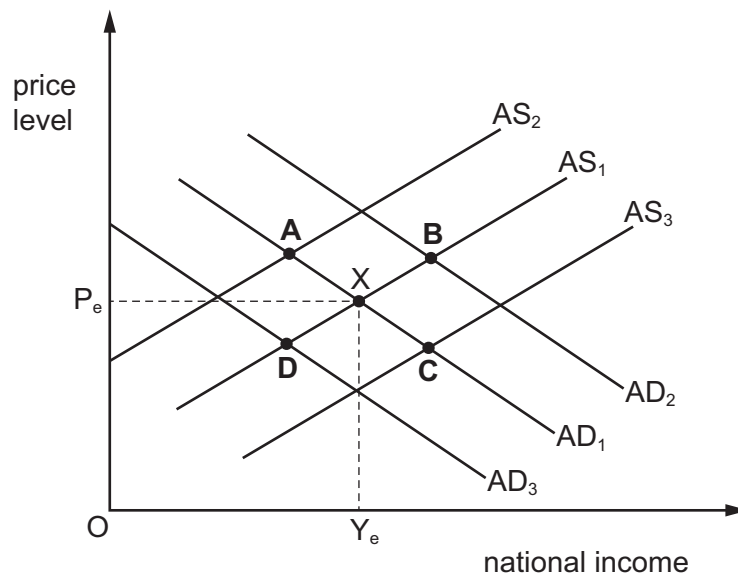
20 What is true about a government's macroeconomic objectives?

- A Economic growth ensures a more even distribution of income.
- B Increasing output ensures that more workers are employed.
- C Choosing between macroeconomic objectives requires a normative decision.
- D A stable rate of inflation means zero inflation is required.

21 The original equilibrium in the economy is represented by point X, the intersection of AD_1 and AS_1 , on the AD/AS diagram shown.

The government decreases the money supply.

What is the new equilibrium point?

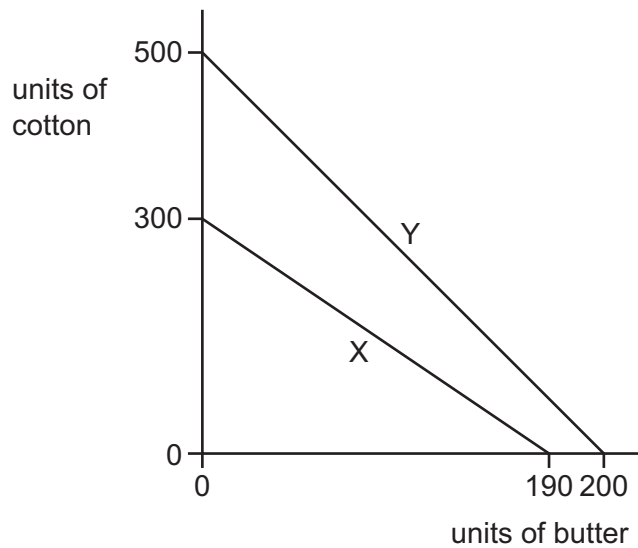


22 How does a government use its central bank to promote an expansionary monetary policy?

- A increasing interest rates for commercial banks
- B increasing the interest rate on the national debt
- C restricting bank credit for consumer durables
- D increasing the issue of notes and coins in circulation

- 23 Which combination of problems would be most likely to cause a country's government to reduce taxation and lower interest rates?
- A demand-pull inflation and a balance of payments current account deficit
 - B demand-pull inflation and a low level of investment
 - C high unemployment and a balance of payments current account deficit
 - D high unemployment and a low level of investment
- 24 What would be the best policy for a country to reduce a balance of payments deficit?
- A an increase in interest rates
 - B an increase in the exchange rate
 - C a reduction in direct taxes
 - D a reduction in subsidies to domestic industry
- 25 A government wants to protect its textile industry from imports.
Which policy is likely to have the **least** impact on the import of textiles?
- A a ban on the import of textiles
 - B a sales tax on all textiles sold in the country
 - C a tariff on the import of textiles
 - D all textiles sold in the country are required to meet minimum quality standards
- 26 A major European economy announced that the primary income account deficit of its balance of payments changed from \$20 billion to \$50 billion.
What would have contributed to this change?
- A an increase in the value of imported medical supplies
 - B an increase in investment dividends paid to foreigners
 - C a reduction in the value of exported manufactured goods
 - D a reduction in the expenditure by visiting tourists

- 27 The diagram shows the amounts of cotton and butter that can be produced in countries X and Y with a given quantity of resources.



What can be concluded from the diagram?

- A Country X has an absolute advantage in the production of cotton.
 - B Country X has a comparative advantage in the production of butter.
 - C Country Y has a comparative advantage in the production of both goods.
 - D There are no gains from trade between these two countries.
- 28 What is indicated by an economy's terms of trade?
- A the degree of its dependence on imports
 - B the international competitiveness of its exports
 - C the purchasing power of its exports relative to its imports
 - D the relative strength of its currency in the foreign exchange market
- 29 What will cause an increase in the demand for the US dollar(\$)?
- A dividends paid from US firms to foreign shareholders
 - B foreign firms buying US firms
 - C foreigners who live in the US sending money home to their relatives
 - D the US government wanting to hold reserves of foreign currency

30 What is **not** included in the current account of the balance of payments?

- A** international aid
- B** trade in goods
- C** trade in services
- D** foreign direct investment

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Cambridge International AS & A Level

ECONOMICS**9708/12**

Paper 1 Multiple Choice

May/June 2024**MARK SCHEME**Maximum Mark: 30

Published

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This document consists of **3** printed pages.

Question	Answer	Marks
1	C	1
2	D	1
3	D	1
4	Question Discounted	1
5	B	1
6	Question Discounted	1
7	D	1
8	Question Discounted	1
9	C	1
10	B	1
11	B	1
12	B	1
13	D	1
14	D	1
15	B	1
16	C	1
17	C	1
18	C	1
19	D	1
20	C	1
21	D	1
22	D	1
23	D	1
24	A	1
25	B	1
26	B	1
27	B	1
28	C	1

Question	Answer	Marks
29	B	1
30	D	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 AS Level Multiple Choice

May/June 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
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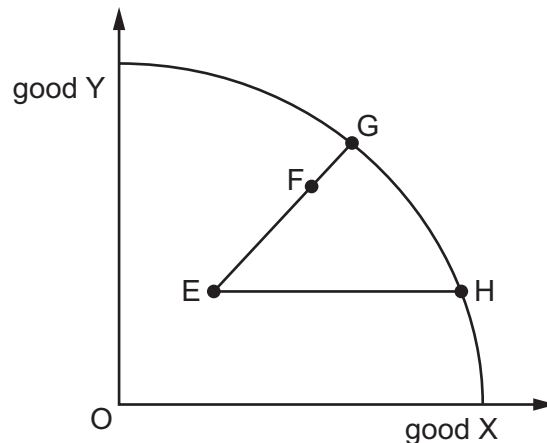
This document has **12** pages. Any blank pages are indicated.



1 What is **not** an example of a public good?

- A education
- B flood control systems
- C national defence
- D street lighting

2 The diagram shows a production possibility curve for an economy that produces two goods, X and Y.



When will the opportunity cost of producing more of good X be the largest?

- A moving from point E to point F
- B moving from point E to point G
- C moving from point E to point H
- D moving from point G to point H

3 Which activity illustrates the consumption of a 'free' good?

- A a farmer using water taken from a river
- B a patient visiting a medical facility provided by a charity
- C a person breathing air in the countryside
- D a person eating their birthday cake given as a gift by a friend

4 What is essential to eliminate scarcity?

- A the existence of sufficient resources to meet all needs and wants
- B producers consistently produce in excess of demand
- C the government has a surplus budget
- D there is equilibrium in all markets

- 5 What will encourage a higher degree of division of labour?
- A firms wishing for a greater level of self-sufficiency
 - B firms wishing to increase their flexibility in production
 - C firms wishing to raise their level of productivity
 - D firms wishing to reduce their level of risk
- 6 Which business is likely to be the slowest to alter its output in response to a sustained increase in demand for its product?
- A a fast-food restaurant
 - B a household cleaning service
 - C a newspaper printer
 - D an oil exploration company
- 7 A company uses large amounts of gas to produce steel. Supplies of gas are reduced at the same time as the market for steel is hit by a recession.

What can be said about the likely changes in the market for steel?

	equilibrium price	equilibrium quantity
A	falls	uncertain
B	rises	uncertain
C	uncertain	falls
D	uncertain	rises

- 8 A firm is charging a price of \$12 for its product and using 80% of its production capacity of 10 000 units per month.

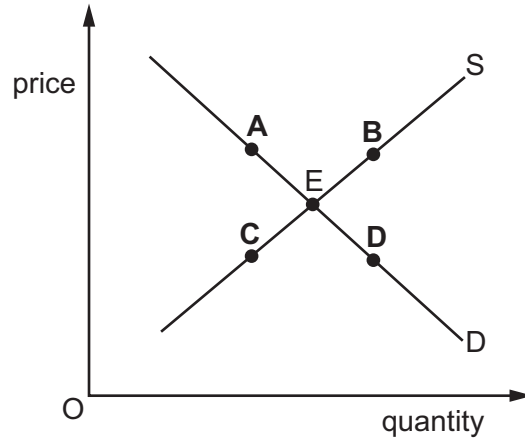
Assuming the product has unitary price elastic demand, which price should the firm charge to utilise its full capacity?

- A \$9.00 B \$9.60 C \$10.00 D \$10.60

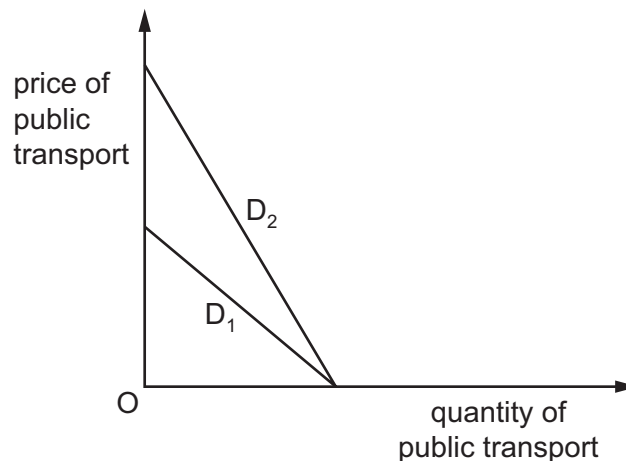
- 9 The diagram shows the demand for and supply of hotel accommodation. The market equilibrium is at point E.

The hotel receives a very large number of bad reviews about the quality of its accommodation.

Which point on the diagram would show the new market equilibrium?



- 10 What most accurately describes a market supply curve?
- A supply at different income levels, assuming product prices remain unchanged
 - B supply at different levels of factor prices, assuming product prices remain unchanged
 - C supply at different prices, assuming no changes in technology
 - D supply at different time periods, assuming no changes in technology
- 11 In the diagram, D_1 shows an individual's initial demand curve for public transport.



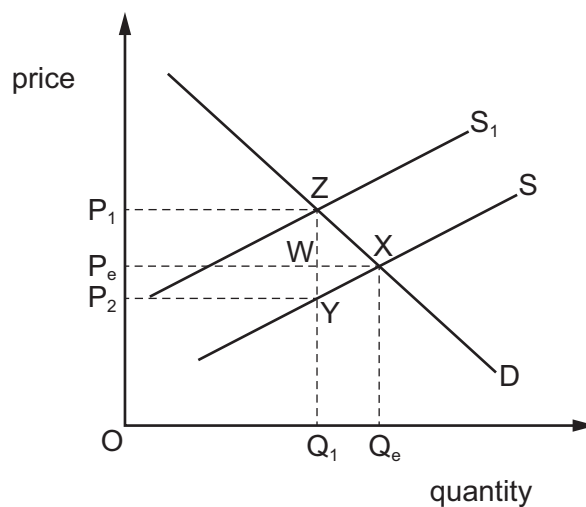
What could cause the demand curve to shift to D_2 ?

- A The costs of running the individual's car fall.
- B The individual is no longer able to drive.
- C The price of public transport falls.
- D The public transport services are reduced.

- 12 A government introduces an effective minimum price for a product but makes no other intervention in the market.

This policy suggests that the government's objective is

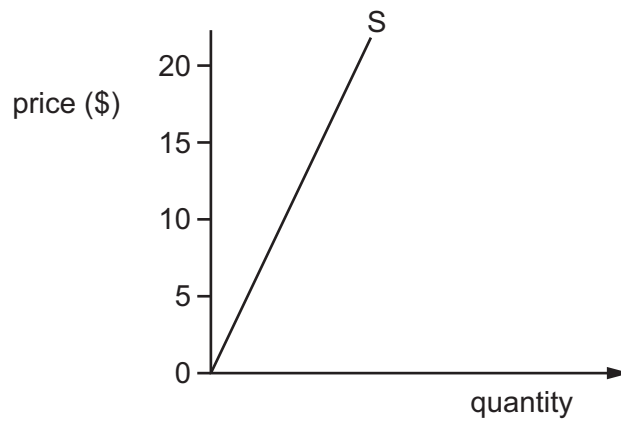
- A to discourage consumption of a demerit good.
 - B to increase the consumption of a merit good.
 - C to reduce the price of a private good.
 - D to support the incomes of producers.
- 13 The diagram shows the effect of an indirect tax imposed on cigarettes. The market is initially in equilibrium at point X.



Which area represents the incidence of the tax on consumers?

- A P_1ZYP_2
- B P_1ZWP_e
- C P_eWYP_2
- D P_eXZP_1

14 The diagram shows the supply curve of a product.



The government imposes a specific indirect tax of \$5 on the product.

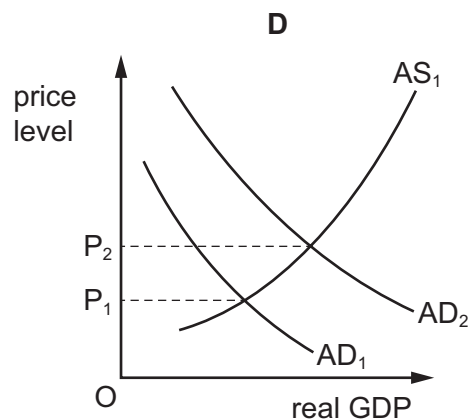
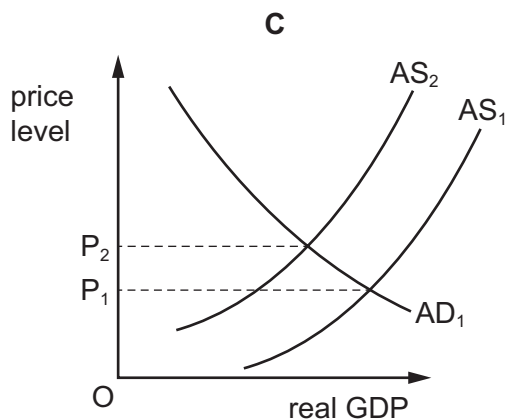
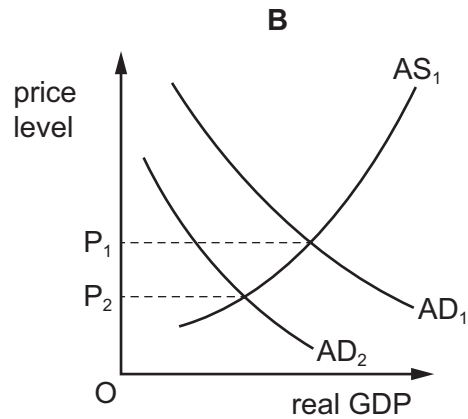
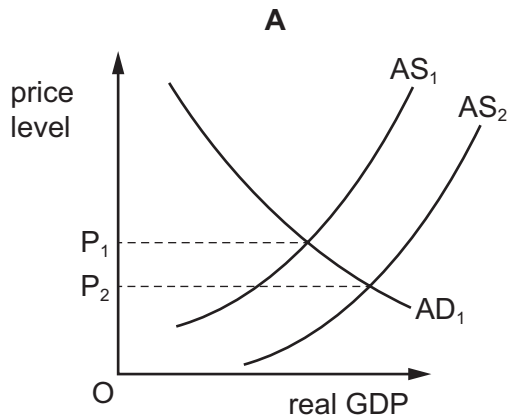
How will the price elasticity of supply of the product change?

- A** from elastic (>1) to inelastic (<1)
- B** from inelastic (<1) to elastic (>1)
- C** from inelastic (<1) to unitary ($=1$)
- D** from unitary ($=1$) to elastic (>1)

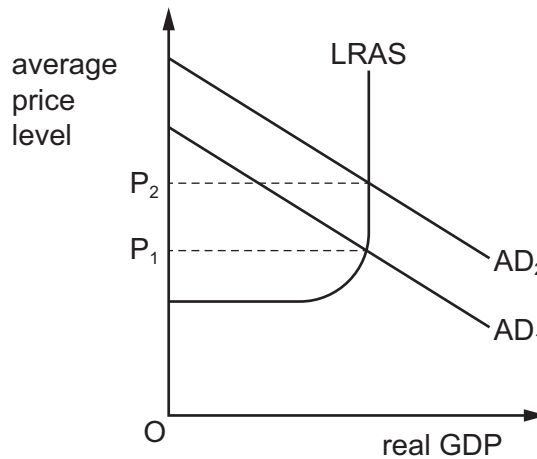
- 15 The diagrams show a country's aggregate demand (AD_1) and aggregate supply (AS_1) curves.

Since the world economic downturn (2007–2008), some governments have reduced labour costs and ensured interest rates remained unchanged.

How would this most likely be shown on a diagram?



- 16 The diagram shows the effect on the average price level when aggregate demand (AD) increases from AD_1 to AD_2 .



Which statement relating to this change in aggregate demand is correct?

- A Nominal GDP has increased.
 - B Nominal GDP is unchanged.
 - C Real GDP has increased.
 - D Real GDP has fallen.
- 17 The table lists the values of the components of an economy's circular flow of income.

component	value \$m
government spending	6
exports	8
investment	9
imports	7
saving	10
tax	5

What can be concluded about the economy from the information shown?

- A It has a budget surplus.
- B It has a trade deficit.
- C It is a mixed, open economy.
- D Its circular flow is in equilibrium.

18 What is a cost of negative economic growth?

- A deteriorating balance of payments
- B higher inflation
- C higher unemployment
- D increased pollution

19 A government statistical office measured changes in income from employment, pensions and benefits, then subtracted income tax and welfare contributions and adjusted for inflation.

What did the final figure represent?

- A changes in nominal income
- B changes in nominal net earnings
- C changes in real disposable income
- D changes in real gross earnings

20 Which combination of fiscal and monetary policies is most likely to be effective in the short run to prevent deflation in a closed economy?

	fiscal policy	monetary policy
A	decreasing the budget deficit	decreasing the interest rate
B	decreasing the budget deficit	decreasing the money supply
C	increasing the budget deficit	decreasing the interest rate
D	increasing the budget deficit	decreasing the money supply

21 Which macroeconomic objective is most likely to be achieved by increasing income tax?

- A depreciation of the exchange rate
- B economic growth
- C low unemployment
- D price stability

22 What is **not** a supply-side policy?

- A increasing government expenditure on infrastructure
- B increasing research and development expenditure
- C increasing subsidies for education and training
- D increasing the supply of money

23 When can a policy be classified as macroeconomic?

- A** when it focuses on the level of individual welfare
- B** when it involves economy-wide institutions and behaviour
- C** when it is based on the control of monopoly markets
- D** when it relies on the use of buffer stock schemes

24 The demand for a country's exports is price elastic.

If it is experiencing a deficit on the current account of its balance of payments, which combination of policies is most likely to correct the deficit?

	rate of interest	exchange rate	standard rate of income tax
A	decrease	appreciate	keep unchanged
B	decrease	depreciate	decrease
C	increase	keep unchanged	decrease
D	keep unchanged	depreciate	increase

25 What is an unintended consequence of the US government restricting imports of cheap Chinese steel?

- A** US importers of steel pay lower prices for steel.
- B** US manufacturers become less competitive.
- C** US steel makers increase steel production.
- D** US steel workers receive higher incomes.

26 What is an export of services in Jamaica's current account?

- A** an inflow of funds to Jamaica to buy shares
- B** earnings from US tourists visiting Jamaica
- C** earnings of Haitian workers in Jamaica sent to Haiti
- D** the export of Jamaican coffee

- 27** A country imports natural gas for which it has price-inelastic demand.

What is the effect if that country imposes an import duty on the gas?

- A** Consumers in the importing country will suffer a loss of consumer surplus.
- B** The exporting country will gain export revenue.
- C** The importing country's primary income will increase.
- D** The price of natural gas will rise in other importing countries.

- 28** The table shows the output of goods X and Y in China and the United States (US) before specialisation.

	good X	good Y
China	20 000	70 000
US	20 000	50 000
total	40 000	120 000

Assuming both China and the US use 50% of their resources to produce each product, what will the combined total output be after specialisation has occurred?

- A** 120 000 **B** 140 000 **C** 160 000 **D** 180 000

- 29** Economists suggest that multilateral trade between many countries is preferable to bilateral trade between two countries.

Why is this?

- A** Bilateral trade means that trade diversion is always greater than trade creation.
- B** Bilateral trade misses the benefit of trade with third countries.
- C** Gains from bilateral trade are less than the harm done to third countries.
- D** Gains from comparative advantage cannot apply in the case of bilateral trade.

- 30** A country experiences an improvement in its terms of trade.

What is the most likely cause?

- A** a decrease in its budget deficit
- B** a relatively low rate of domestic inflation
- C** a rise in its exchange rate
- D** a surplus on its primary income account

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Cambridge International AS & A Level

ECONOMICS**9708/13**

Paper 1 Multiple Choice

May/June 2024**MARK SCHEME**Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2024 series for most Cambridge IGCSE, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	D	1
3	C	1
4	A	1
5	C	1
6	D	1
7	C	1
8	A	1
9	C	1
10	C	1
11	B	1
12	A	1
13	B	1
14	D	1
15	A	1
16	A	1
17	C	1
18	C	1
19	C	1
20	C	1
21	D	1
22	D	1
23	B	1
24	D	1
25	B	1
26	B	1
27	A	1
28	D	1

Question	Answer	Marks
29	B	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 AS Level Multiple Choice

October/November 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 Which statement is a normative statement?

- A The annual rate of inflation in Malaysia increased from 2.8% in May 2022 to 3.4%.
- B The annual rate of inflation was 3.4% in Malaysia, lower than the 7.7% annual rate of inflation for Thailand.
- C The Malaysian Central Bank raised interest rates from 2.0% to 2.25% on 6 July 2022.
- D The rise in interest rates in Malaysia in July 2022 is expected to only have a small impact on the rate of inflation.

2 A firm operating in country S moved its existing capital equipment to a larger factory in country T. It also installed more of the same equipment and increased the size of its workforce.

From the evidence provided, what must be true?

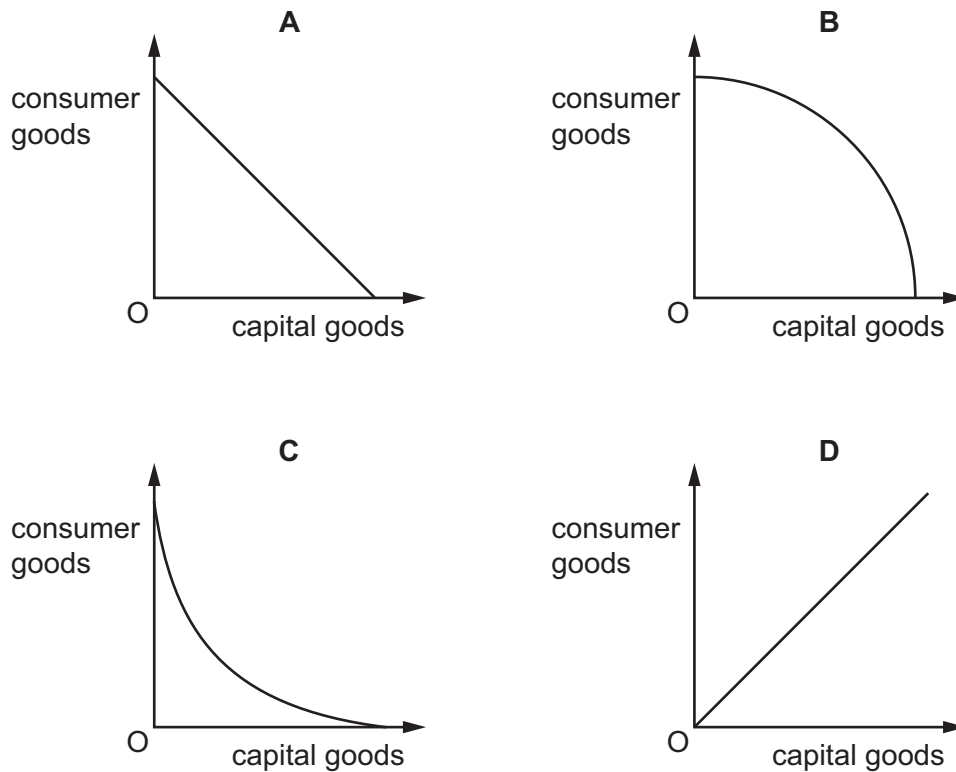
- A The firm is operating in the long run.
- B The firm is operating in the very long run.
- C The firm's division of labour has increased.
- D The firm's supply curve has shifted to the left.

3 Which statement is **not** correct?

- A Addictive drugs are regarded as demerit goods because users are unaware of the full damage they do.
- B Air is regarded as a free good because its use has no opportunity cost.
- C National defence is regarded as a public good because one citizen 'consuming' it reduces the amount of it available to others.
- D Visits to a doctor are regarded as private goods partly because they are rival.

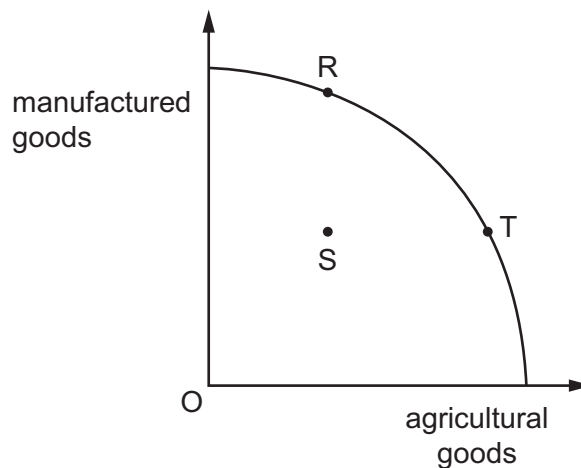
- 4 The diagrams show production possibility curves.

Which diagram shows constant opportunity costs?



- 5 Farmers using traditional methods lack access to finance and often employ family members on a part-time basis.

If working practices in agriculture could be improved, how would this be likely to be shown on the production possibility curve?



- A by a movement from R to T
- B by a movement from S to R
- C by a movement from S to T
- D by a movement from T to R

- 6 In a particular year, 12 000 units of a good are sold at \$1 per unit. In a later year, 14 000 units are sold at \$1.20 per unit.

If consumer tastes have remained constant, what could account for the change between the two years?

- A a decrease in the price of raw materials used by producers
 - B an increase in the price of a substitute good
 - C an increase in the rate of tax imposed on producers
 - D the formation of a monopoly in the production of the good
- 7 What is most likely to cause an increase in the consumer surplus in the market for a normal good?
- A an increase in consumer incomes
 - B an increase in the number of substitute goods
 - C an increase in the price of a complementary good
 - D an increase in the price of the good
- 8 The table shows Lee's and Yim's price elasticity of demand for restaurant meals and cinema tickets.

	Lee	Yim
restaurant meals	-1.2	-0.8
cinema tickets	-0.7	-1.3

There is a rise in the price of restaurant meals and a fall in the price of cinema tickets.

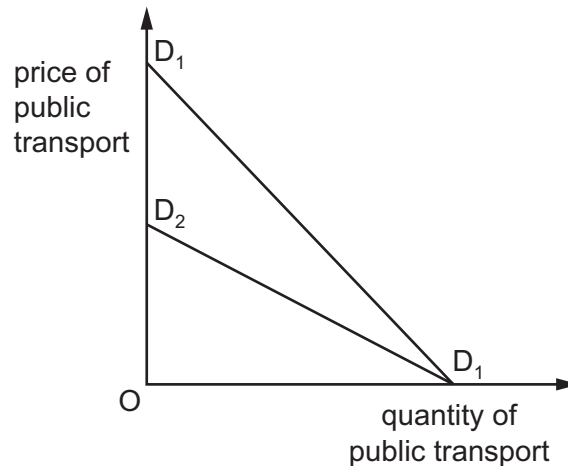
What can be concluded after these price changes?

- A Restaurant owners will receive more income.
 - B Lee will spend more money on both cinema tickets and restaurant meals.
 - C Yim will spend more money on both cinema tickets and restaurant meals.
 - D Cinema owners will receive less income.
- 9 What is **not** held constant when aggregating individual firms' supply curves to give the short-run market supply curve?
- A the number of firms in the industry
 - B the price of the product
 - C the prices of factors of production
 - D the state of technology

10 Which elasticity would a shortage of skilled workers affect?

- A cross elasticity of demand
- B income elasticity of demand
- C price elasticity of demand
- D price elasticity of supply

11 D_1D_1 shows an individual's initial demand curve for public transport.



What would cause the demand curve to shift to D_2D_1 ?

- A The cost of running the individual's car rises.
- B The individual is banned from driving.
- C The price of public transport rises.
- D The quality of public transport declines.

12 Which government action would be identified as the direct provision of goods and services?

- A increasing road maintenance because of poor weather conditions
- B making payments to low-income families with elderly dependents
- C subsidising firms in order to encourage them to increase their output
- D taxing firms because they have been emitting damaging fumes

- 13** A specific tax is imposed on a product for which the elasticity of supply is zero.

Which statement is correct?

- A** The burden of this tax will fall entirely on consumers.
 - B** The burden of this tax will fall entirely on suppliers.
 - C** The burden of this tax will fall mainly on consumers.
 - D** The burden of this tax will fall mainly on suppliers.
- 14** A government wishes to intervene in a free market to allocate healthcare at the socially optimal level.

Which combination correctly identifies the reason for government intervention in the healthcare market?

	healthcare consumption in a free market	healthcare production in a free market	provision of information in a free market
A	overconsumption	overproduction	too little
B	overconsumption	underproduction	too much
C	underconsumption	underproduction	too little
D	underconsumption	overproduction	too much

- 15** The table shows the Consumer Prices Index (CPI) for a country.

year	CPI
2008	100
2009	104
2010	102
2011	105
2012	108
2013	111

Which statement about the period 2008 to 2013 is correct?

- A** Prices increased each year.
- B** Prices increased fastest in 2011.
- C** The rate of inflation was 2% in 2010.
- D** The smallest rise in prices was in 2013.

16 What is most likely to cause the price level to rise?

An increase in

- A** productivity of labour.
- B** raw material prices.
- C** income taxes.
- D** subsidies paid to producers.

17 What is most likely to increase a country's circular flow of income?

- A** Its budget deficit increases.
- B** Its imports increase.
- C** Its interest rates increase.
- D** Its exchange rate increases.

18 A country with a constant population experiences a 5% increase in its nominal GDP during a year.

In which situation will average living standards be most likely to have increased during the year?

- A** if government takes action to ensure there is no increase in unemployment
- B** if inflation during the year is 3%
- C** if there is no increase in real national income
- D** if there is no redistribution of income

19 Which combination correctly identifies the necessary information to construct an accurately labelled graph of a normal short-run aggregate supply curve (SRAS)?

	gradient of the SRAS curve	horizontal x-axis	vertical y-axis
A	negative	quantity	price level
B	positive	real output	price level
C	positive	real output	price
D	positive	price level	real output

20 A government makes two changes to income tax.

- 1 The individual tax-free income allowance is increased.
- 2 The marginal rate of income tax is decreased.

How will these changes affect aggregate demand and aggregate supply in the economy?

	aggregate demand	aggregate supply
A	decrease	increase
B	decrease	unchanged
C	increase	increase
D	increase	unchanged

21 Which supply-side policy is most likely to decrease a government's budget deficit?

- A** cutting tax rates on company profits
- B** cutting unemployment benefits
- C** raising spending on education and training
- D** raising tax-free income tax allowances

22 Which combination of fiscal and monetary policies would certainly be expansionary?

	government spending	taxes	money supply
A	decrease	decrease	decrease
B	decrease	increase	decrease
C	increase	decrease	increase
D	increase	increase	increase

- 23** The central bank of a country raises interest rates to reduce the general price level.

When is this policy likely to have the biggest impact?

	position of the economy on its production possibility curve (PPC) diagram	responsiveness of aggregate demand to interest rate changes
A	below the PPC	high
B	below the PPC	low
C	on the PPC	high
D	on the PPC	low

- 24** The table shows the trade in goods and services for an economy between 2019 and 2021.

year	trade in goods and services (\$ millions)
2019	–1000
2020	–3000
2021	–4000

What would have most likely caused the change from 2019 to 2021?

- A** increasing domestic unemployment
 - B** increasing domestic rate of income tax
 - C** increasing domestic inflation
 - D** increasing import tariffs
- 25** A government subsidises training to improve the skills of workers in the industrial sector of an economy.

What is the most likely effect on the current account of the balance of payments?

- A** exports fall
- B** exports rise
- C** imports fall
- D** imports rise

- 26 Using all their resources efficiently, country X can produce 6 million tonnes of wheat or 2 million tonnes of steel whilst country Y can produce 4 million tonnes of wheat or 1 million tonnes of steel.

Based on this information, what does the theory of comparative advantage suggest?

- A Country X should produce only steel.
- B Country X will not gain from international trade.
- C Country Y has no comparative advantage.
- D Country Y will not gain from international trade.

- 27 Countries X and Y are trade partners.

An increase in which economic indicator in country Y is most likely to cause a fall in the exchange rate of country X?

- A economic growth
- B inflation rate
- C money supply
- D trade barriers

- 28 Which transaction is **not** recorded in the current account?

- A aid received from the government of another country
- B exports of raw materials
- C investments by a foreign company
- D payments of dividends to an overseas investor

- 29 A government decides to place a tariff on imports of raw materials.

Which statement about the impact of the tariff is correct?

- A It will increase costs of production for domestic firms.
- B It will increase consumer surplus for domestic consumers.
- C It will reduce government revenue.
- D There will be a fall in the price of imports and a rise in the demand.

- 30 In which situation will a country's terms of trade improve?

- A Its imports rise in value less than its exports.
- B Its imports rise in volume less than its exports.
- C The price of its imports rises by less than the prices of its exports.
- D The value of its external payments rises by less than the value of its external receipts.

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Cambridge International AS & A Level

ECONOMICS**9708/11**

Paper 1 Multiple Choice

October/November 2024**MARK SCHEME**Maximum Mark: 30

Published

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10	D	1
11	D	1
12	A	1
13	B	1
14	C	1
15	D	1
16	B	1
17	A	1
18	B	1
19	B	1
20	C	1
21	B	1
22	C	1
23	C	1
24	C	1
25	B	1
26	A	1
27	D	1
28	C	1

Question	Answer	Marks
29	A	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

October/November 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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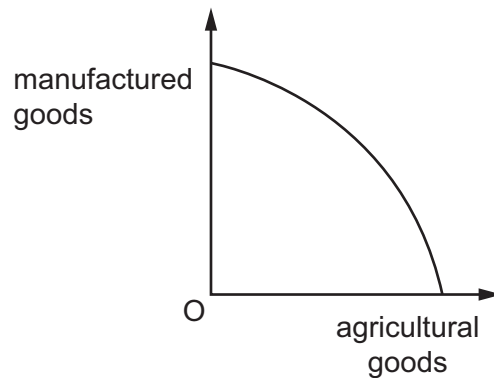
INFORMATION

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- 1 The production possibility curve for a country is shown.



What can be determined from the diagram?

- A the consumers' preferred combination of output
 - B the level of economic growth
 - C the opportunity cost of manufactured goods in terms of agricultural products
 - D the preference for present consumption rather than future consumption
- 2 In a clothing business, after specialisation, real output per worker increased in the first six months but then output per worker began to fall.

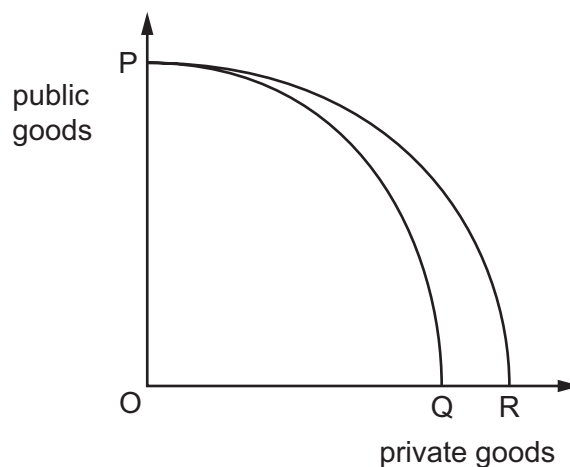
What might be the most likely reason for the reduction in productivity?

- A An increase in output per worker in the long run depends on an increase in pay.
 - B An increase in output per worker requires more capital.
 - C Specialisation means workers lose skills.
 - D Workers get bored if they are repeating the same work.
- 3 A wine producer and bottler wanted to expand its production significantly. To finance the expansion it offered investors discounts on restaurant meals if they bought 2000 shares in the company.

Which factors of production are most likely to be involved in this expansion?

- A labour, land, capital and enterprise
- B labour, land and capital only
- C enterprise and land only
- D enterprise only

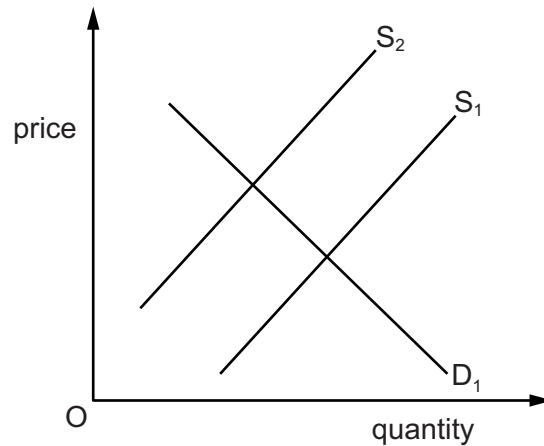
- 4 Which statement is positive?
- A All taxes should be proportional to income.
 - B A progressive tax is a fair tax.
 - C Greater equality of income is desirable.
 - D Income inequality is decreasing.
- 5 The diagram shows the change in a country's production possibility curve from PQ to PR.



What increases as a result of the change from PQ to PR?

- A the price of private goods
- B the price of public goods
- C the opportunity cost of private goods
- D the opportunity cost of public goods

- 6 The graph shows the demand and supply curves for an industry.



What would cause a shift in the supply curve from S_1 to S_2 ?

- A** an increase in the number of firms in the industry
 - B** an increase in the number of workers employed
 - C** an increase in the productivity of the workforce
 - D** an increase in the wage rates paid to workers
- 7 A firm produces a good using a very labour-intensive process. There is an increase in the price of the good.

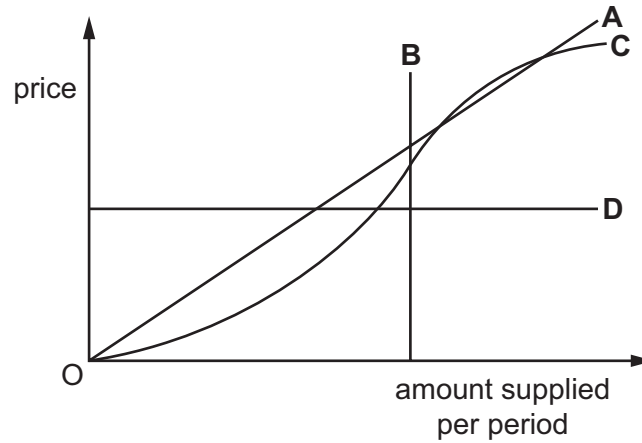
Under which conditions will the supply of the firm's good be most price elastic?

	nature of the labour employed by the firm	level of unemployment in the economy
A	skilled	high
B	skilled	low
C	unskilled	high
D	unskilled	low

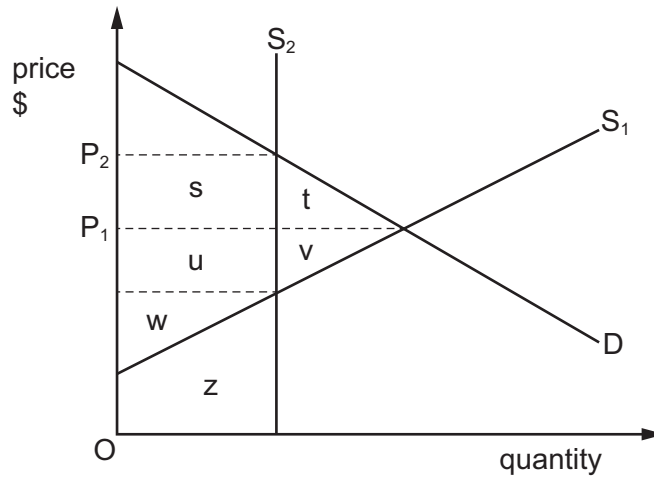
- 8 What is most likely to cause the demand curve of an inferior good to shift to the right?
- A** a rise in consumers' incomes
 - B** a rise in income tax
 - C** a rise in sales tax
 - D** a rise in the price of a complement

- 9 The diagram shows four supply curves.

Which curve has a price elasticity of supply of 1 for all levels of quantity supplied?



- 10 The diagram shows a shift of the supply curve in a market from S_1 to S_2 .



How will the consumer surplus and producer surplus change?

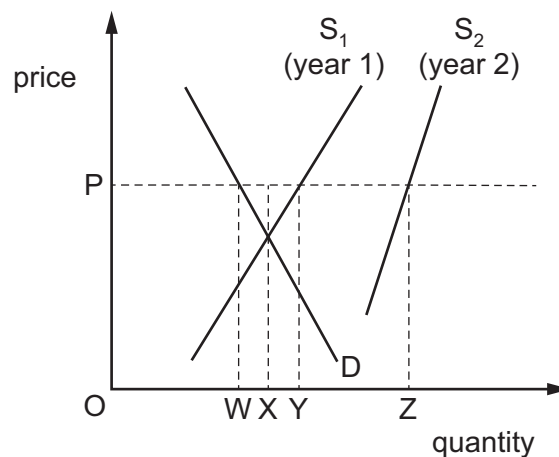
	consumer surplus	producer surplus
A	decreases by s	increases by $s + u - t$
B	decreases by s	increases by $u + v - w$
C	decreases by $s + t$	increases by $s + t - v$
D	decreases by $s + t$	increases by $s + z - v$

- 11 Good X has a substitute, good Y, and a complement, good Z. The price of good Y decreases and the price of good Z increases.

Why might the equilibrium price of good X remain unchanged?

- A Producers of good X adopt new technology.
 - B Producers of good X receive a subsidy.
 - C Some firms stop production of good X.
 - D The tax on the production of good X is cut.
- 12 In the diagram, S_1 and S_2 are the supply curves for an agricultural product in years 1 and 2 respectively. D is the demand curve in years 1 and 2.

In year 1, the government purchased an amount necessary to ensure that the price was OP.



The price is held at OP in year 2.

How much more must the government buy in year 2 than it bought in year 1?

- A WZ
 - B XY
 - C XZ
 - D YZ
- 13 Inequality in an economy can be categorised as either income inequality or wealth inequality.

What is most likely to cause greater wealth inequality than income inequality?

- A an increase in indirect taxation
- B an increase in the value of property
- C a reduction in the minimum wage
- D a reduction in the rate of interest paid on savings

- 14** A product with infinite elasticity of supply has sales of 1000 units a week at a price of \$1 per unit. Price elasticity of demand is 1.5 over the relevant range.

The government imposes a tax of 10%.

What will be the government's weekly tax revenue from this product?

- A** \$15 **B** \$85 **C** \$100 **D** \$150

- 15** The table shows the values of Consumer Prices Index (CPI) and a worker's salary in 2022 and 2023.

CPI 2022	100
CPI 2023	110
worker's salary 2022	\$20 000
worker's salary 2023	\$25 000

What is the real value of the worker's salary in 2023 compared with 2022?

- A** \$18 182 **B** \$22 727 **C** \$25 000 **D** \$27 500

- 16** An economy experiences rising unemployment due to incomes falling as a result of a virus pandemic.

How would this unemployment be classified?

- A** cyclical
B frictional
C seasonal
D structural

- 17** What is likely to move an economy's aggregate demand curve to the right?

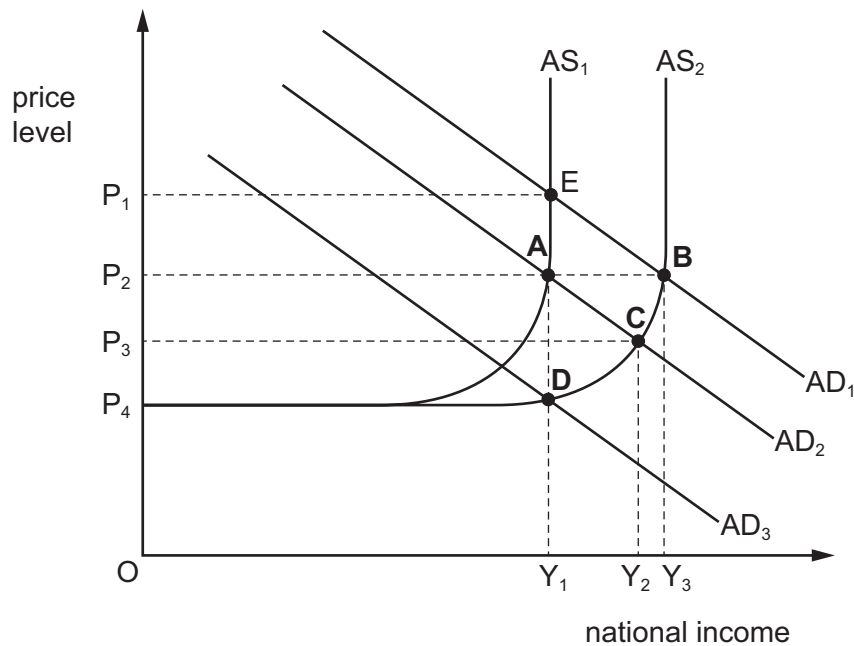
- A** a fall in income equality
B a fall in incomes abroad
C a fall in the exchange rate
D a fall in the government budget deficit

- 18** Which items have to be added to and subtracted from Gross Domestic Product at market prices to calculate the value of Gross Domestic Product at basic prices?
- A** capital consumption and net property income from abroad
 - B** expenditure taxes and capital consumption
 - C** net property income from abroad and subsidies
 - D** subsidies and expenditure taxes
- 19** In an economy with an interest rate of 4% per annum, the rate of inflation falls from 5% to 3% per annum.
- What will be a benefit of this fall?
- A** Menu costs will fall to zero.
 - B** People on fixed incomes will be better off in real terms.
 - C** Savers will gain in real terms.
 - D** The purchasing power of the currency will rise.
- 20** What is an example of a macroeconomic policy?
- A** encourage the consumption of merit goods
 - B** reduce pollution in the steel industry
 - C** maintain general price stability
 - D** reduce unemployment in the service sector
- 21** Which supply-side policy is likely to lower real output before raising it?
- A** increased spending on early years education
 - B** increased spending on infrastructure
 - C** reduced import barriers
 - D** subsidies to exporters

- 22** An economy is in equilibrium at point E on the diagram.

The government reduces its expenditure on defence.

Which point on the diagram shows the new equilibrium?



- 23** The number of people employed in a country and the level of unemployment both decrease.

What could explain this?

- A** net inward immigration
 - B** an increase in the level of unemployment benefits
 - C** an increase in the age at which state pensions are payable
 - D** an increase in the number of university students
- 24** Which circumstances would most help a firm to gain from a depreciation of the exchange rate?
- A** It sells mainly abroad and relies on domestic suppliers for inputs.
 - B** It sells mainly abroad and relies on foreign suppliers for inputs.
 - C** It sells mainly in its home market and relies on domestic suppliers for inputs.
 - D** It sells mainly in its home market and relies on foreign suppliers for inputs.

- 25** A country has a floating exchange rate. Its current account on the balance of payments moves from a surplus to a deficit.

Which rate is likely to increase in the short run as a consequence of this worsening of its current account?

- A** economic growth rate
- B** exchange rate
- C** interest rate
- D** unemployment rate

- 26** Which policy is most likely to reduce a balance of payments deficit without causing inflation?

- A** decreased import quotas
- B** depreciation of currency
- C** higher interest rates
- D** decreased import tariffs

- 27** The table shows the average price of exports and imports.

Which combination of changes in export prices and import prices could result in a country's terms of trade increasing from 100 to 110?

	the average price of exports	the average price of imports
A	falls by 5%	rises by 5%
B	remains unchanged	rises by 10%
C	rises by 5%	falls by 5%
D	rises by 10%	remains unchanged

- 28** What is **not** an example of protectionism?

- A** the European Union (EU) requiring goods imported into member states to meet safety standards
- B** the Pakistan government increasing the rate of goods and services tax (GST) on some exported goods from 2% to 5%
- C** the Nigeria government banning the import of packaged sugar
- D** the US imposing a 35% tariff on tyres imported from China

- 29** Turkey imported \$220 million worth of goods and services. Turkey exported \$12 million worth of goods and services during the same period. Its net income was –\$15 million.

What is Turkey's current account balance?

- A** –\$223 million
- B** –\$217 million
- C** +\$208 million
- D** +\$247 million

- 30** The table shows the exchange rate for national currencies per US dollar.

Which currency has the smallest percentage appreciation against the US dollar between 2019 and 2020?

	2019	2020
A	6.91	6.90
B	70.4	74.1
C	14.4	16.5
D	0.99	0.94

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Cambridge International AS & A Level

ECONOMICS**9708/12**

Paper 1 Multiple Choice

October/November 2024**MARK SCHEME**Maximum Mark: 30

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11	C	1
12	D	1
13	B	1
14	B	1
15	B	1
16	A	1
17	C	1
18	D	1
19	C	1
20	C	1
21	C	1
22	A	1
23	D	1
24	A	1
25	D	1
26	C	1
27	D	1
28	B	1

Question	Answer	Marks
29	A	1
30	A	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 AS Level Multiple Choice

October/November 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

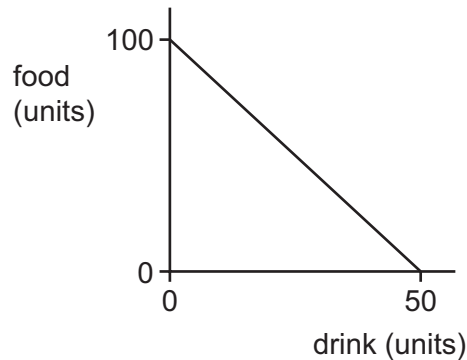
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 The diagram shows a country's production possibility curve.



What can be concluded from the diagram?

- A Food and drink are normal goods.
 - B The country is self-sufficient in the production of food and drink.
 - C The opportunity cost of food falls as more drink is produced.
 - D There is a constant opportunity cost between food and drink.
- 2 Which type of good does **not** consume scarce resources?
- A economic good
 - B free good
 - C merit good
 - D public good
- 3 The factors of production earn different rewards.
- What identifies the correct economic term for these rewards?
- A capital – surpluses
 - B enterprise – dividends
 - C labour – interest
 - D land – rents
- 4 What is most likely to be an advantage of the division of labour?
- A an increase in labour force creativity
 - B an increase in labour productivity
 - C an increase in workforce flexibility
 - D an increase in worker satisfaction

- 5 A government wishes to encourage the consumption of a merit good and reduce the consumption of a demerit good.

Which policy should it adopt towards each good?

	merit good	demerit good
A	impose a minimum price	produce only in the public sector
B	increase advertising on the benefits of the good	put legal controls on output
C	confine access to certain age groups	tax output
D	subsidise the good	set a minimum level of output

- 6 Shoe manufacturers often use leather to make their most expensive shoes. Due to a world shortage of leather, the price of leather has risen.

What will be the effect of this price change?

- A** The demand curve for leather shoes will shift to the left.
- B** The demand curve for a substitute for leather shoes will shift to the right.
- C** The supply curve for leather shoes will shift to the right.
- D** The supply curve for a substitute for leather to make expensive shoes will shift to the right.
- 7 The Chinese government relaxed controls on private house ownership. Private house ownership rose sharply, replacing demand for apartments rented from the state.

What would have been most likely to happen to private house prices and the rents of apartments?

	private house prices	apartment rents
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 8 The supply, S , of a product is determined by the equation $S = 10 + 10P$, when P is the price of the product.

What is the price elasticity of supply when the price changes from \$1 to \$2?

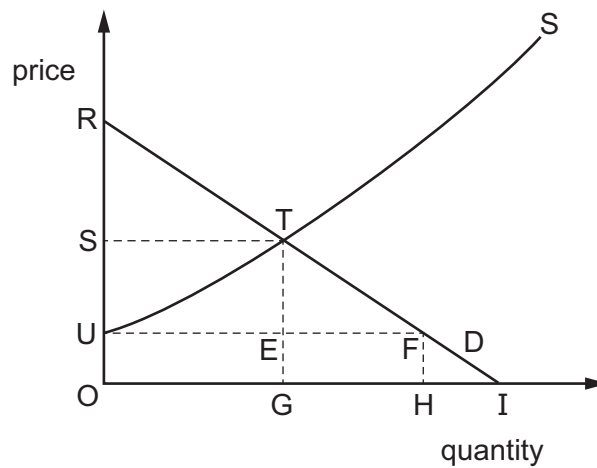
- A** 0 **B** 0.5 **C** 1.0 **D** 2.0

- 9 A good has the following elasticity values.

cross elasticity of demand	+1.4
income elasticity of demand	−0.8

Which statement is correct?

- A** The good is a complement and inferior.
B The good is a complement and normal.
C The good is a substitute and inferior.
D The good is a substitute and normal.
- 10 Different areas on the diagram represent different aspects of a market.



Which row correctly identifies the three variables shown?

	consumer surplus	producer surplus	total consumer expenditure
A	RST	TUOG	STEU
B	RST	UST	STGO
C	RTU	UTE	STGO
D	RTEU	TEF	RFU

- 11 Which combination of the classification of a good and market change will cause the demand curve for the good to shift to the right?

	classification of good	market change
A	inferior good	income decrease
B	inferior good	price decrease
C	normal good	income decrease
D	normal good	price decrease

- 12 Which policy is most likely to solve the free rider problem caused by public goods?

- A** an advertising campaign
- B** a direct provision by the government
- C** a minimum price
- D** a tax on a substitute good

- 13 Very low interest rates in an economy encourage economic growth and cause a large increase in house prices.

Which group of people is most likely to experience a fall in income and an increase in wealth as a result of these changes?

- A** retired people living in rented houses
- B** retired people who own their houses
- C** young people buying their own houses
- D** young people living with their parents

- 14 A large-scale farming enterprise uses inputs of labour and capital equipment that are substitutes.

If the government introduces a policy to subsidise capital equipment, how would this affect the factor inputs?

	quantity of labour	quantity of capital equipment
A	decreases	increases
B	decreases	decreases
C	increases	decreases
D	increases	increases

- 15** A country experienced an annual deflation rate of 2% for four successive years.

Which statement is correct for the four-year period?

- A** The price level fell by 8%.
- B** The price level fell by less than 8%.
- C** The real value of money fell by 8%.
- D** The real value of money fell by less than 8%.

- 16** In the circular flow of income model of an economy, Y, C, I, G, X, S, T and M represent total income, consumption, investment, government expenditure, exports, saving, taxation and imports respectively.

Which statement is correct?

- A** At equilibrium, the levels of Y and C are always the same.
- B** Governments always adjust G so that the economy is in equilibrium.
- C** If I is not equal to S, it is still possible for the national income to be in equilibrium.
- D** If the national income is in equilibrium, X must be equal to M.

- 17** What leads to a rise in frictional unemployment?

- A** an economy moving into a period of recession
- B** replacement of workers with computers in the service sector
- C** a change from an agriculturally based economy to an industrial economy
- D** a rise in the number of workers leaving one job to look for another job

- 18 The information shows data from a country's national income accounts.

	\$ million
gross domestic product at market prices	200 000
gross value added at basic prices	180 000
subsidies	5 000
capital consumption	30 000

What can be concluded from the income accounts?

	net domestic product at market prices \$ million	indirect tax revenue \$ million
A	170 000	15 000
B	170 000	25 000
C	150 000	15 000
D	150 000	25 000

- 19 A government is considering building a large hospital. The impact on the country's price level will depend partly on the amount of expensive raw materials the country imports for the hospital and the level of unemployment in the country.

Which combination of imports of materials for the hospital and the level of unemployment is most likely to lead to the largest rise in the price level?

	imports of materials	unemployment
A	high	high
B	high	low
C	low	high
D	low	low

- 20 If interest rates are reduced, what is most likely to decrease?

- A** borrowing by firms
- B** consumer spending
- C** import prices
- D** export prices

21 Supply-side policy often has fiscal consequences.

Which statement is **not** correct?

- A** Increased government spending supporting technical progress has beneficial long-term supply-side effects but may have short-term inflationary consequences.
- B** Increased government expenditure on training increases a country's long-run aggregate supply (LRAS) and also has an expansionary effect on aggregate demand (AD).
- C** Reduced government infrastructure spending reduces an economy's LRAS and has a short-term expansionary effect on AD.
- D** Reduced rates of tax on higher incomes increases an economy's LRAS and has an expansionary effect on AD.

22 Changes in fiscal policy can affect the distribution of income and wealth.

Which combination of fiscal policy would most likely be regressive?

- A** a fall in the lowest level of income when income tax has to be paid and a fall in the rate of inheritance tax
- B** a fall in the charge made for visits to a doctor and a rise in the level of unemployment benefit
- C** a rise in the rate of income tax charged at higher levels of income and a rise in the standard rate of corporation tax
- D** a rise in the standard rate of income tax and a fall in the standard rate of goods and services tax

23 What does it mean when a government has a budget surplus?

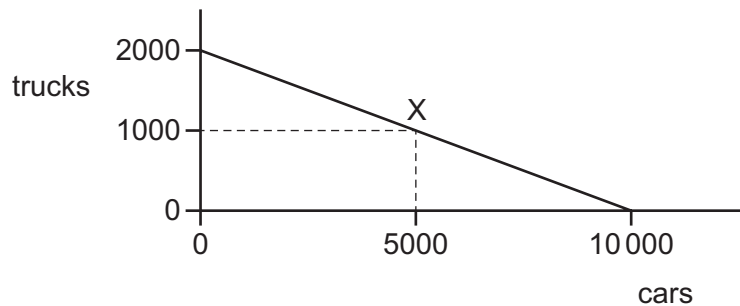
- A** Government revenue exceeds expenditure.
- B** Imports exceed exports.
- C** The government has an expansionary fiscal policy.
- D** The national debt is increasing.

24 A country subsidises domestic production of manufactured goods.

What is the most likely outcome?

- A** a rise in economic growth
- B** a rise in imports of manufactured goods
- C** a rise in the rate of inflation
- D** a rise in unemployment

- 25** What is **not** a valid explanation of why a government might allow a deficit on the balance of payments current account to continue?
- A** The balance of payments account must always balance.
 - B** Foreign direct investment might help to finance the deficit.
 - C** The country may have a larger surplus on the other parts of its balance of payments account.
 - D** The standard of living is increased if the level of cheap food imports is significant.
- 26** A country currently producing at point X on its production possibility curve decides to specialise in the manufacture of cars and import trucks. It finds it can import one truck in exchange for four cars.



What is the result in the domestic market if it exports all the extra cars?

- A** 250 extra trucks
 - B** 1000 extra trucks
 - C** 1250 extra trucks
 - D** 2000 extra trucks
- 27** What is most likely to cause a current account deficit?
- A** a recession in the domestic economy
 - B** a relatively high rate of inflation
 - C** an undervalued exchange rate
 - D** high labour productivity

28 Two statements describing forms of protectionism a government can use are listed.

- 1 There is a total ban on imports.
- 2 All imported goods have to be of a specified standard.

Which combination correctly describes these two statements?

	statement 1	statement 2
A	administrative barrier	import quota
B	administrative barrier	embargo
C	embargo	administrative barrier
D	embargo	import quota

29 When is there an improvement in a country's terms of trade?

- A** when the price of exports falls more than the price of imports
- B** when there is no change in the price of exports but a fall in the price of imports
- C** when the value of exports increases relative to the total value of imports
- D** when the volume of exports increases relative to the total volume of imports

30 What is likely to happen if there is a rise in the international value of a country's currency?

- A** a fall in the foreign currency price of its exports
- B** a fall in the volume of its exports
- C** a rise in the domestic currency price of its imports
- D** a rise in the domestic price level

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ECONOMICS**9708/13**

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October/November 2024**MARK SCHEME**Maximum Mark: 30

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6	B	1
7	C	1
8	B	1
9	C	1
10	B	1
11	A	1
12	B	1
13	B	1
14	A	1
15	B	1
16	C	1
17	D	1
18	B	1
19	B	1
20	D	1
21	C	1
22	A	1
23	A	1
24	A	1
25	A	1
26	A	1
27	B	1
28	C	1

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Cambridge International AS & A Level

ECONOMICS

9708/12

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February/March 2025

1 hour

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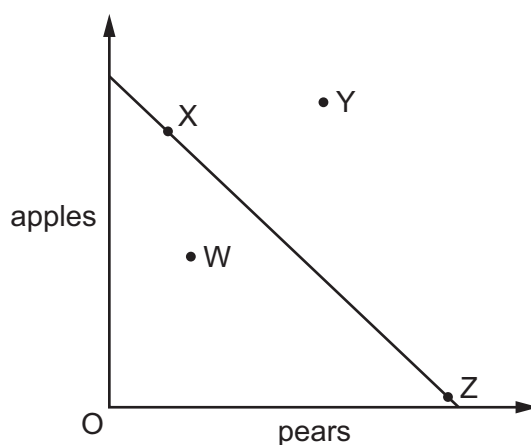


- 1 Which statement about a market economy is **not** correct?
- A Competition is promoted among firms which can increase productive efficiency.
 - B Immobility of the factors of production can lead to allocative inefficiency.
 - C Price always reflects all the costs and all the benefits associated with production.
 - D The entrepreneur is encouraged to innovate and take risks, motivated by profit.
- 2 To increase production, a firm in industry X needs to install capital equipment, while a firm in industry Y needs to research and introduce a new technology.

What time periods are illustrated by these cases?

	industry X	industry Y
A	short run	long run
B	long run	long run
C	long run	very long run
D	very long run	very long run

- 3 The production possibility curve shows the maximum potential output of apples and pears for an economy using current resources.



Which pair of positions identifies an efficient and an inefficient outcome?

- A W and Y
- B W and X
- C X and Z
- D Y and Z

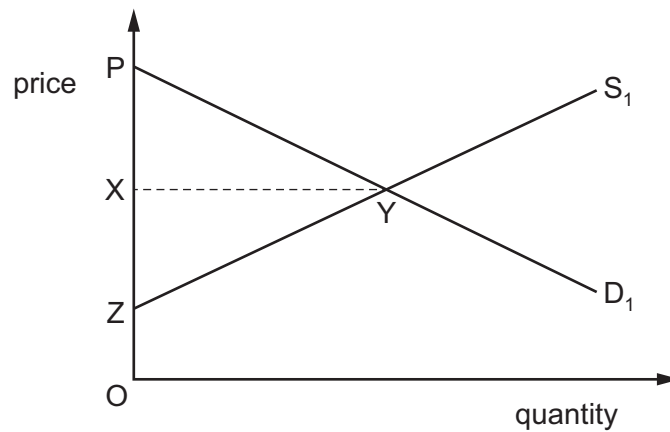
- 4 The price of a good rises by 5% and the quantity of it demanded rises by 3%. At the same time, the incomes of consumers of the good rise by 4%.

The law of demand appears not to be working in this case.

What is the most likely explanation?

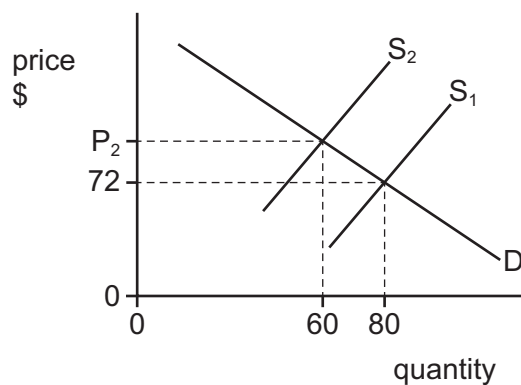
- A Other things did not remain equal.
 - B The demand for the good was price inelastic.
 - C The real price of the good fell.
 - D The time period was the very short run.
- 5 When is division of labour likely to be most effective?
- A in a large market with stable demand
 - B in a market where consumers prefer a handmade product over a product made using machines
 - C in a market where consumers require a variety of goods
 - D in a small market where consumers require a custom-made product
- 6 What will influence the value of the price elasticity of supply of a good?
- A the level of producer surplus
 - B the time period under consideration
 - C the total income spent on the good
 - D whether the good is a necessity

- 7 The diagram represents the market for a good.



Which statement is correct?

- A OX represents the price above which no producer wishes to stay in the market.
 - B OZ represents the minimum price consumers are prepared to pay.
 - C PYZ represents the total consumer surplus.
 - D XYZ represents the total producer surplus.
- 8 The diagram shows the impact on equilibrium due to an increase in the costs of production. The original price is \$72. The price elasticity of demand is -2.0 .



What is the new equilibrium price, P_2 ?

- A \$81.00
- B \$84.00
- C \$92.00
- D \$108.00

- 9 What is likely to have a greater effect on an individual demand curve than on a market demand curve?
- A changing weather patterns
 - B government policy to promote consumption
 - C growth in population
 - D more expensive substitutes

- 10 The quantity demanded of a product is given by $Q_D = 400 - 10P$, when P is the price in dollars. Supply of the product is fixed at 100 units.

If the price is \$20, what will be the position in the market?

- A It will be in disequilibrium with excess demand of 100 units.
 - B It will be in disequilibrium with excess supply of 100 units.
 - C It will be in equilibrium with 100 units traded.
 - D It will be in equilibrium with 200 units traded.
- 11 A decrease in the quantity demanded of a product results in a proportionate decrease in sales revenues.

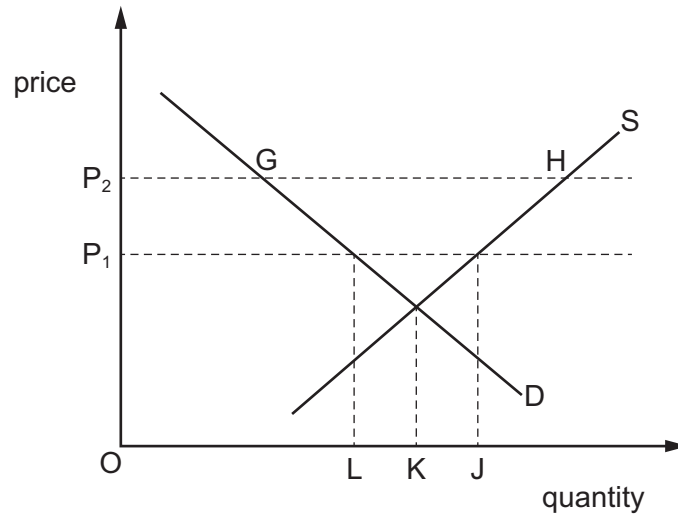
What is true about its price elasticity of demand?

- A It is between zero and one.
 - B It is infinite.
 - C It is unitary.
 - D It is zero.
- 12 A government may use a range of methods to intervene in a market to affect both demand and supply.

What is a method which will shift the demand curve for a good?

- A an indirect tax
- B a subsidy
- C direct provision
- D provision of information

- 13** To help achieve price stability, the government in country F operates a buffer stock scheme, with a minimum price of P_1 and a maximum price of P_2 . The current demand and supply in the market is shown.



What should the government do to ensure the scheme is effective?

- A** buy an amount equal to GH
 - B** buy an amount equal to KJ
 - C** buy an amount equal to LJ
 - D** do nothing as the equilibrium price is below P_1
- 14** Why is it more difficult to quantify the wealth of an individual rather than their income?
- A** A skilled artist may keep a painting in stock whose value increases after their death.
 - B** Individuals can choose to spend all available income, leaving wealth unchanged.
 - C** Not every form of individual wealth can be traded for money in a market.
 - D** Wealth is a stock which cannot be broken down into an individual's different assets.

- 15** The table shows the Gini coefficient for income in three countries.

	2018	2019	2020
Costa Rica	0.479	0.478	0.497
New Zealand	0.330	0.326	0.320
Sweden	0.275	0.280	0.278

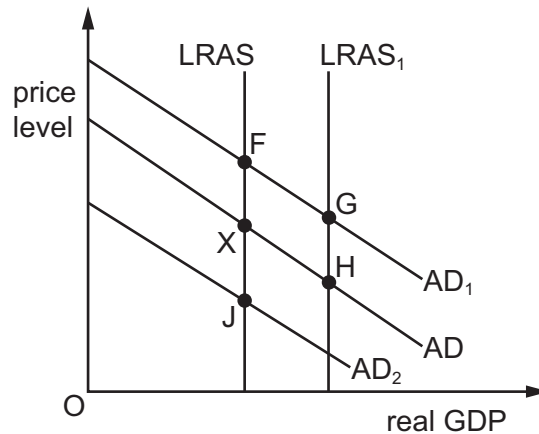
What can be concluded from this data?

- A** All three countries have seen an overall improvement in income equality.
- B** Costa Rica has the highest level of consumer income of all three countries.
- C** New Zealand's income inequality worsened between 2018 and 2020.
- D** Sweden's economy has the highest income equality of all three countries.
- 16** Governments may have price stability as a macroeconomic objective.
- What is meant by price stability?
- A** All equilibrium prices are maintained in the long run.
- B** Demand-pull inflation cancels out any cost-push inflation.
- C** Only disinflation is present in the economy in the long run.
- D** Prolonged periods of inflation and deflation are avoided.
- 17** In country S, frictional unemployment has decreased, but in country T, structural unemployment has increased.

What would be possible explanations for these changes?

	country S	country T
A	a reduction in job search times	real wage rates are flexible
B	more job vacancy websites	the closure of several large mining firms
C	unemployment benefits have decreased	a fall in economic growth
D	unemployment benefits have increased	workers' skills do not match available jobs

- 18 The diagram shows aggregate demand (AD) and long-run aggregate supply (LRAS) with X as the initial equilibrium.



Which combination of policy and new final equilibrium point is correct?

	policy	new final equilibrium point
A	increased direct taxation	F
B	increased government spending on infrastructure	G
C	appreciation of the exchange rates	H
D	decreased interest rates	J

- 19 The money income of a country rises by 10% whereas its population falls by 10% during a year.

What is likely to happen to the national income per head?

- A** It will remain unchanged.
- B** It will rise by exactly 20%.
- C** It will rise by less than 20%.
- D** It will rise by more than 20%.

- 20** High economic growth is often accompanied by a worsening of the current account of the balance of payments.

Which reason for this trend is **not** valid?

- A** Economic growth raises domestic consumption, leaving very little to sell to overseas consumers.
- B** Economic growth raises domestic output, leading to lower prices and more price-competitive goods both at home and abroad.
- C** Economic growth raises incomes and leads to rising demand for foreign goods.
- D** Economic growth results in rising requirements of inputs from other countries.

- 21** A government cuts income tax.

Why might this be seen as an example of a supply-side policy?

- A** Real incomes are increased.
- B** The costs of businesses are reduced.
- C** The opportunity cost of unemployment has increased.
- D** The standard of living has improved.

- 22** Which combination of fiscal policy measures will reduce both the inflation rate and income inequality?

	direct taxes	indirect taxes	subsidies on food and public transport
A	decrease	decrease	increase
B	decrease	increase	increase
C	increase	decrease	increase
D	increase	increase	decrease

- 23** A country's central bank decides to reduce the level of credit regulation.

What is this an example of?

- A** contractionary fiscal policy
- B** contractionary monetary policy
- C** expansionary fiscal policy
- D** expansionary monetary policy

- 24 A government decides to use supply-side policy to increase long-run aggregate supply (LRAS).

What is the most likely reason why this policy tool will **not** lead to a fall in the price level?

- A Aggregate demand will also increase.
- B Labour productivity levels will increase.
- C Workers will save any extra wages they earn.
- D Workers will spend any extra wages on imports.

- 25 What defines a progressive tax?

- A All taxpayers pay the same proportion of income in taxes.
- B Low-income earners pay a lower proportion of income in taxes than high-income earners.
- C Low-income earners pay less in taxes than high-income earners.
- D Low-income earners pay more in taxes than high-income earners.

- 26 Country X trades with country Y.

What are the terms of trade for country X?

- A average price of country X's exports divided by the average price of country Y's exports
- B the ratio of an index of country X's export prices to an index of its import prices
- C value of country X's exports divided by the value of country Y's exports
- D value of country X's imports divided by the value of country Y's imports

- 27 When is a country's exchange rate most likely to fall?

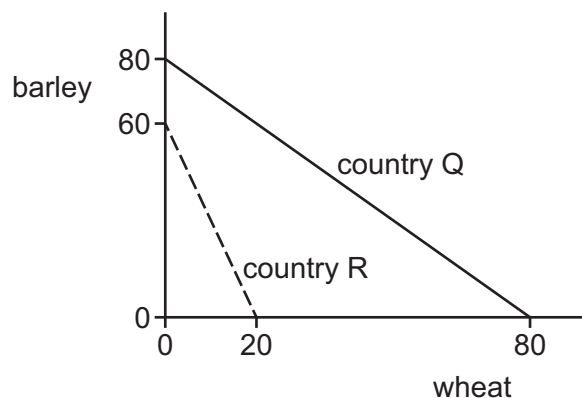
- A When its current account surplus exceeds that of its trading partners.
- B When its inflation rate exceeds that of its trading partners.
- C When its interest rate exceeds that of its trading partners.
- D When its unemployment rate exceeds that of its trading partners.

28 A country experiences a rising trade deficit and a current account surplus at the same time.

Which combination of events might explain this?

	Event 1	Event 2
A	a global recession resulting in decreased prices of commodities	Gross National Income (GNI) rises faster than Gross Domestic Product (GDP)
B	increased subsidies for exporters	increased donations received from abroad to combat a humanitarian crisis
C	removal of restrictions on imports	removal of restrictions on the remittance of profits of foreign-owned producers
D	rising imports of machinery to help raise exports in the future	increased secondary income from workers' remittances from abroad

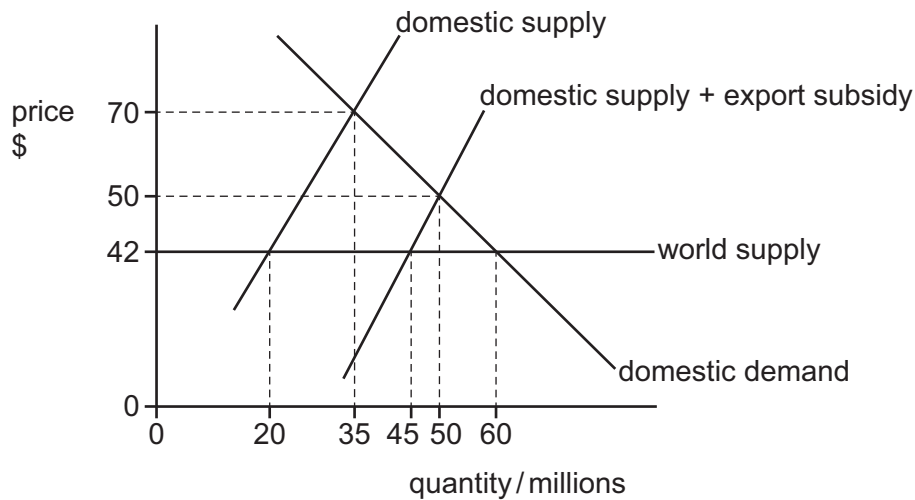
29 The diagram shows the production possibilities for barley and wheat in countries Q and R.



What can be concluded?

- A** Country Q has a comparative advantage in the production of barley.
- B** Country Q has an absolute advantage in producing both goods.
- C** Country R has an absolute advantage in the production of barley.
- D** There is no comparative advantage.

- 30 The diagram shows the impact of a government introducing an export subsidy for its domestic producers of oil.



What will be the effect of this export subsidy on the operation of the domestic market?

- A domestic output of oil will increase by 15 million units
- B imports of oil will decrease by 25 million units
- C the domestic price of oil will decrease by \$28
- D the domestic price of oil will increase by \$8

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7	D	1
8	A	1
9	D	1
10	A	1
11	B	1
12	D	1
13	C	1
14	C	1
15	D	1
16	D	1
17	B	1
18	B	1
19	D	1
20	B	1
21	C	1
22	C	1
23	D	1
24	A	1
25	B	1
26	B	1
27	B	1
28	D	1

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30	B	1



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May/June 2025

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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
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INFORMATION

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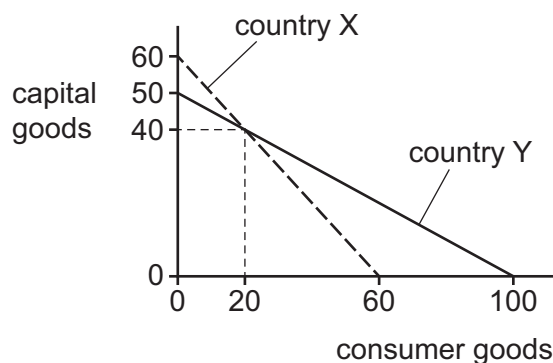
This document has **12** pages. Any blank pages are indicated.



1 Which statement about a free vaccination programme is normative?

- A It will help raise life expectancy.
- B It is likely to improve the welfare of society.
- C It will result in lower spending on other medical services.
- D Tax revenues generated through improved economic activity will exceed the spending on vaccination.

2 The diagram shows the production possibility curves of two countries, X and Y.



What can be concluded from the diagram?

- A Both countries have decreasing opportunity cost in the production of consumer goods.
- B Both countries should produce 40 units of capital goods and 20 units of consumer goods.
- C Country Y has constant opportunity cost in the production of consumer goods.
- D Country Y is producing more consumer goods than country X.

3 Which goods are **least** likely to be allocated by market forces in a mixed economy?

- A hospitals
- B railways
- C street lighting
- D television programmes

- 4 In 2020, there was a worldwide pandemic. High-income countries quickly developed a vaccine. Low-income countries built high-tech factories to manufacture large quantities of the vaccine for export.

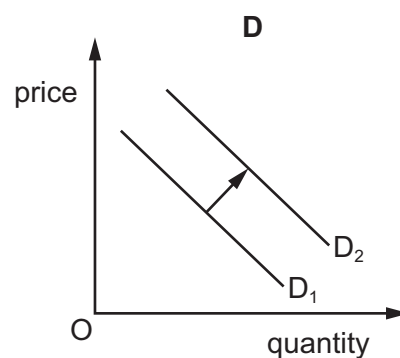
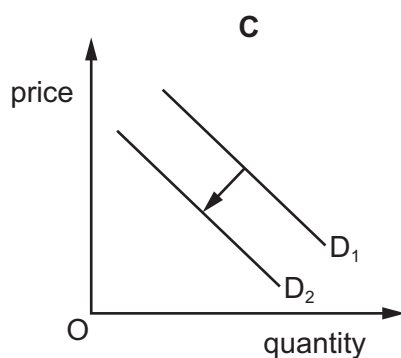
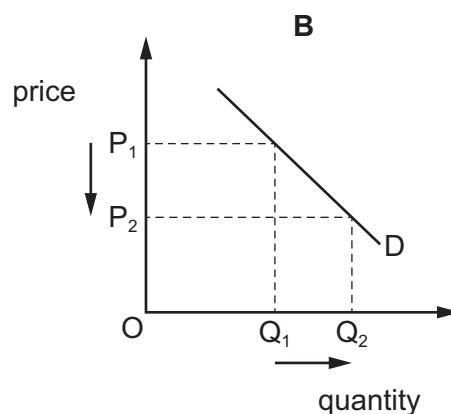
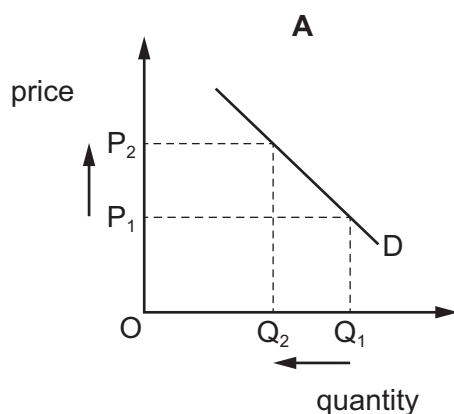
What explains this international division of labour?

	high-income countries	low-income countries
A	availability of specialists in research and development	lower costs of production
B	scarce human resources	over-supply of unskilled labour
C	many people tended to avoid the disease	many people tended to catch the disease
D	no government control over resource allocation	strict government control over resource allocation

- 5 How can a public good become a private good?
- A** Consumers are dissatisfied with the performance of state-run services.
 - B** New technological developments make the good excludable.
 - C** The government privatises the industry producing the good.
 - D** The price of the good increases so it becomes more profitable.
- 6 What is **not** a function of the price mechanism?
- A** to act as a signal to firms when allocating resources
 - B** to maximise consumer surplus
 - C** to provide an incentive to firms to produce goods
 - D** to ration scarce resources

7 Cars and petrol (gasoline) are in joint demand.

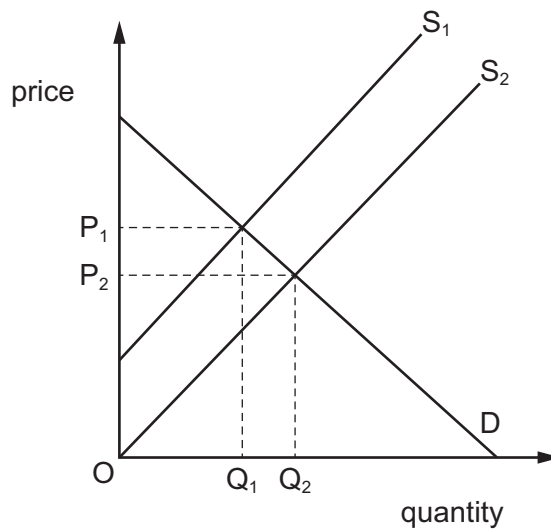
What is the effect of an increase in the price of cars on the demand for petrol?



8 What would best explain why the price elasticity of supply (PES) is likely to be lower for fresh vegetables grown within a country compared to the PES of goods manufactured in that country?

- A** Alternative supplies can be flown in from foreign producers.
- B** A positive price change encourages a positive output change along the supply curve.
- C** Fresh vegetables has a horizontal supply curve.
- D** There is a seasonal time lag involved in planting and harvesting more fresh vegetables.

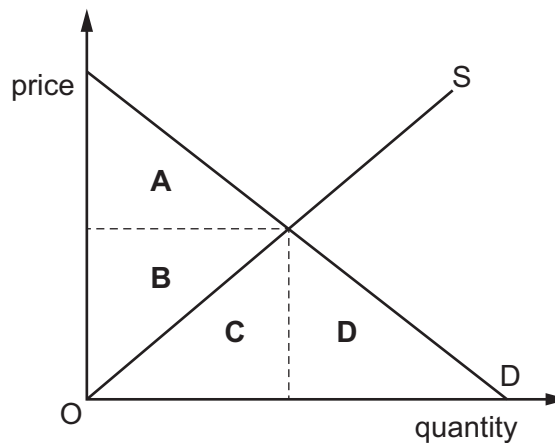
- 9 The diagram shows the demand for and supply of a product.



What could cause supply to shift from S_1 to S_2 ?

- A a fall in the price of the product
 - B a fall in labour costs
 - C a rise in the price of the product
 - D a rise in labour costs
- 10 The diagram shows the demand for and supply of a product.

Which area shows producer surplus?



11 What is an example of wealth?

- A** interest received
- B** profits
- C** property
- D** incomes

12 Too much sugar causes an increase in a consumer's weight. A government has introduced a 'sugar tax' on the consumption of soft drinks that have a high sugar content.

How might this policy help to reduce the number of overweight people?

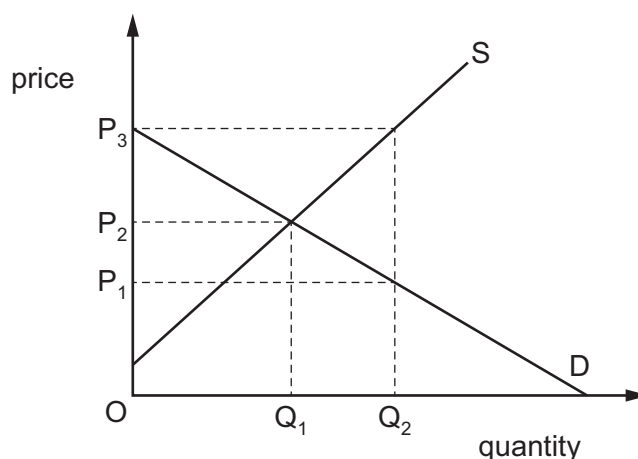
- A** Consumers switch to cheaper brands of soft drink with a high sugar content.
- B** Consumers switch to other high-sugar substitute goods, such as alcohol or sweets.
- C** The price elasticity of demand for soft drinks is inelastic.
- D** The tax revenue is spent on education about the dangers of soft drink consumption.

13 A1..... price set below the market equilibrium will cause a2..... of the product, and a3..... price set above the market equilibrium will cause a4..... of the product.

Which words complete gaps 1, 2, 3 and 4?

	1	2	3	4
A	maximum	shortage	minimum	surplus
B	maximum	surplus	minimum	shortage
C	minimum	shortage	maximum	surplus
D	minimum	surplus	maximum	shortage

- 14 The diagram shows the demand for and supply of eye tests provided by opticians.



Which policy would enable the government to increase the number of eye tests from OQ_1 to OQ_2 ?

- A a maximum price of OP_3 per test
 - B a minimum price of OP_2 per test
 - C a subsidy paid to opticians of $P_3 - P_2$ per test
 - D a subsidy paid to opticians of $P_3 - P_1$ per test
- 15 What is an example of a transfer payment?
- A a household moving savings from one bank account to another
 - B a monthly repayment on a loan used to buy a new cooker
 - C the amount paid to transport goods from one city to another
 - D grants paid to students by the government
- 16 Which statement correctly describes an increase in real GDP?
- A Nominal GDP rising faster than nominal income.
 - B Nominal GDP rising faster than the rate of inflation.
 - C The rate of inflation rising faster than aggregate demand.
 - D The rate of inflation rising faster than nominal income.

- 17 An open economy with a government sector is in equilibrium. Households in this economy save \$100 million and firms spend \$150 million on investment.

Which combination of the budget balance and the current account balance would lead to an equilibrium position on the circular flow of income?

	budget balance	current account balance
A	\$100m deficit	\$50m deficit
B	\$100m deficit	\$50m surplus
C	\$100m surplus	\$50m deficit
D	\$100m surplus	\$50m surplus

- 18 An economy's manufacturing share of real GDP fell from 30% in 1990 to 12% in 2023.

Which type of unemployment would have resulted from this?

- A** cyclical
 - B** frictional
 - C** structural
 - D** voluntary
- 19 Which statement is **not** correct?
- A** The long-run aggregate supply curve can be downward sloping.
 - B** The long-run aggregate supply curve can be horizontal.
 - C** The long-run aggregate supply curve can be upward sloping.
 - D** The long-run aggregate supply curve can be vertical.
- 20 The price of a pack of six eggs rises from \$1.00 to \$1.32 over a year. Consumer prices, as measured by the consumer price index, rise by 10% over the same period.

What is the real price of a pack of six eggs at the end of the year?

- A** \$1.00 **B** \$1.10 **C** \$1.20 **D** \$1.32

21 What is **not** an example of monetary policy?

- A** a rise in import tariffs on manufactured goods
- B** a rise in interest rates by the central bank
- C** a rise in credit regulations
- D** a rise in the money supply

22 A government decides to raise most of its revenues from indirect taxes.

What would increase the effectiveness of this policy?

- A** an increasing trend towards bartering of goods
- B** increasing interest rates on household savings
- C** increasing occurrence of informal markets in the economy
- D** placing taxes on goods and services which have a price-inelastic demand

23 A government uses expansionary monetary policy over a three-year period.

Which combination identifies the likely impact of such a policy?

	real GDP	price level	unemployment
A	falling	rising	falling
B	rising	rising	rising
C	rising	rising	falling
D	rising	falling	rising

24 What is **not** an example of an expansionary supply-side policy?

- A** a reduction in government spending on training
- B** an increase in support for technological improvement
- C** a reduction in payments to the unemployed
- D** an increase in privatisation of industry

25 The table shows the amount of tax paid on three different levels of income.

Which combination shows a proportional income tax system?

	tax paid on annual income of \$10 000	tax paid on annual income of \$20 000	tax paid on annual income of \$40 000
A	1000	1000	1000
B	1000	1500	2000
C	1000	2000	4000
D	1000	2500	8000

26 Why does the value of a country's terms of trade have no monetary units?

- A** It cannot be calculated accurately enough.
- B** It includes more than one currency.
- C** It is a ratio of two index numbers.
- D** It measures change over time.

27 Which statement correctly describes a tariff?

- A** It is a complete ban on imports.
- B** It is a minimum price for domestic producers.
- C** It is a payment to exporters.
- D** It is a tax imposed on imports.

28 A country has a persistent deficit on the current account of its balance of payments.

What is most likely to improve the situation in the long run?

- A** a lowering of the level of import duties
- B** a reduction in the level of income tax
- C** the introduction of expansionary monetary policy
- D** the use of grants to encourage new investment by firms

- 29** Primary income and secondary income are components of the current account of the balance of payments.

Which option correctly identifies an example of primary income and secondary income?

	primary income	secondary income
A	government transfers	income from profits earned abroad
B	income from profits earned abroad	dividends earned on foreign shares
C	income from profits earned abroad	government transfers
D	workers' remittances	income from profits earned abroad

- 30** The table shows the change in the value of UK sterling over a three-month period.

June	Sept
£1 = \$1.38	£1 = \$1.32

What is likely to be the short-term impact of the change in the value of UK sterling on the UK economy?

- A** increased disinflation
- B** increase in cost-push inflation
- C** more purchasing power of money
- D** reduced demand-pull inflation

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Cambridge International AS & A Level

ECONOMICS**9708/11**

Paper 1 AS Level Multiple Choice

May/June 2025**MARK SCHEME**Maximum Mark: 30

Published

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This document consists of **3** printed pages.

Question	Answer	Marks
1	B	1
2	C	1
3	C	1
4	A	1
5	B	1
6	B	1
7	C	1
8	D	1
9	B	1
10	B	1
11	C	1
12	D	1
13	A	1
14	D	1
15	D	1
16	B	1
17	D	1
18	C	1
19	A	1
20	C	1
21	A	1
22	D	1
23	C	1
24	A	1
25	C	1
26	C	1
27	D	1
28	D	1

Question	Answer	Marks
29	C	1
30	B	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

May/June 2025

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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- 1 What is the best definition of a positive economic statement?
- A A statement that is based on fact and can be tested.
 - B A statement that attempts to influence economic decisions.
 - C A statement that is subjective and cannot be confirmed.
 - D An encouraging economic update in the opinion of the central bank.
- 2 The diagram is from a chapter on 'The Fundamental Economic Problem' in an Economics textbook. It should contain the terms *opportunity cost*, *scarcity* and *choice* in the order that identifies the fundamental economic problem.



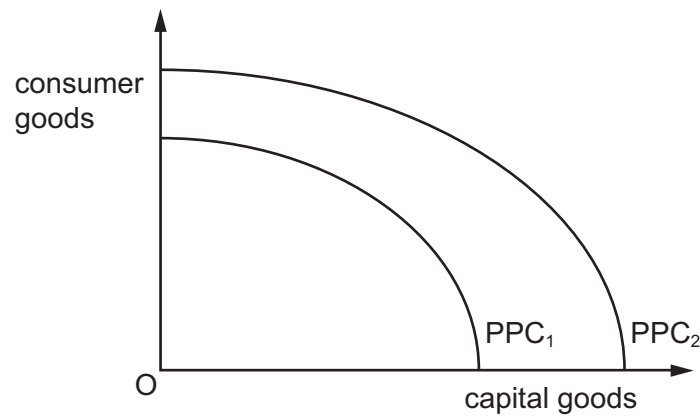
What is the correct order for the terms to appear in the diagram?

- A choice → opportunity cost → scarcity
 - B choice → scarcity → opportunity cost
 - C scarcity → choice → opportunity cost
 - D scarcity → opportunity cost → choice
- 3 What is a statement of the non-rivalrous nature of public goods?
- A It is not possible to stop a non-payer from using the product.
 - B One person consuming the product does not reduce the amount of it available to others.
 - C People consume too little of the product because they are unaware of its true benefits.
 - D There is an unlimited supply of the product.
- 4 A country increases its spending on education and training. It pays for this by reducing unemployment benefit payments and increasing taxes on imports of machinery.

What is the likely effect of these changes?

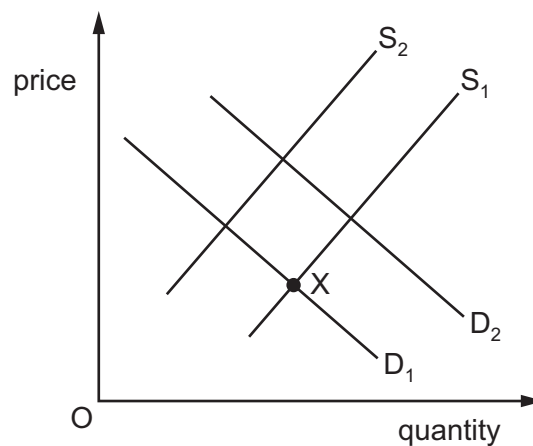
	human capital	physical capital
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

- 5 The diagram shows an outward shift of the production possibility curve from PPC_1 to PPC_2 .



What could have caused this shift?

- A a decrease in mineral resources
 - B a decrease in prices of consumer goods
 - C an increase in employment
 - D an increase in technology
- 6 D_1 and S_1 are the initial demand and supply curves in the market for new cars with an equilibrium at X.



What will cause the demand curve to shift to D_2 and the supply curve to shift to S_2 ?

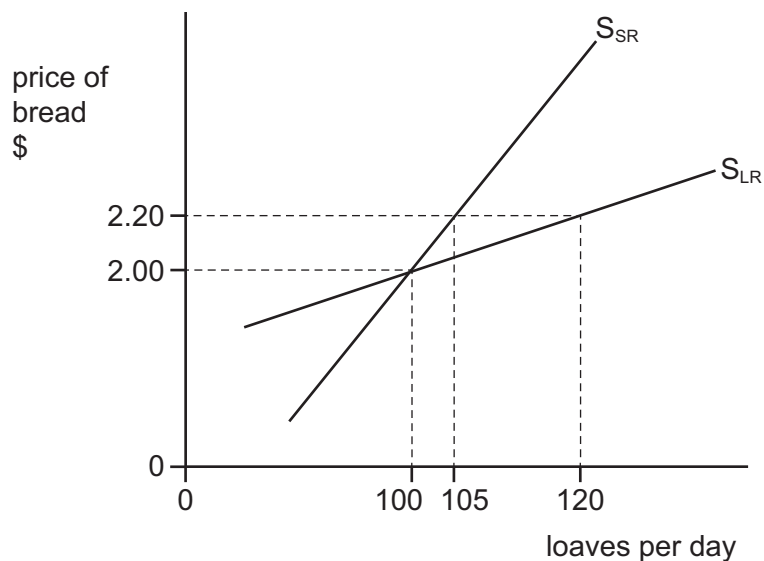
- A a decrease in real incomes and a rise in the costs of new car production
- B a decrease in the price of petrol and a subsidy on new car production
- C an increase in the availability of loans for new car purchases and a specific tax on new cars
- D an increase in the price of train travel and an increase in the number of car producers

7 When can a product be said to have a negative income elasticity of demand?

- A When it is a luxury good.
- B When it is a necessity good.
- C When it is a normal good.
- D When it is an inferior good.

8 The diagram shows the short-run supply curve (S_{SR}) and long-run supply curve (S_{LR}) for a bakery.

The price of a loaf of bread increases from \$2.00 to \$2.20.



What is the bakery's price elasticity of supply (PES) in the short run and in the long run when the price of a loaf of bread increases?

	short run	long run
A	0.5	2.0
B	0.5	1.4
C	2.0	0.7
D	2.0	0.5

9 An increase in which variable will **always** lead to an increase in the consumer surplus?

- A cost of production
- B maximum price
- C minimum price
- D subsidy

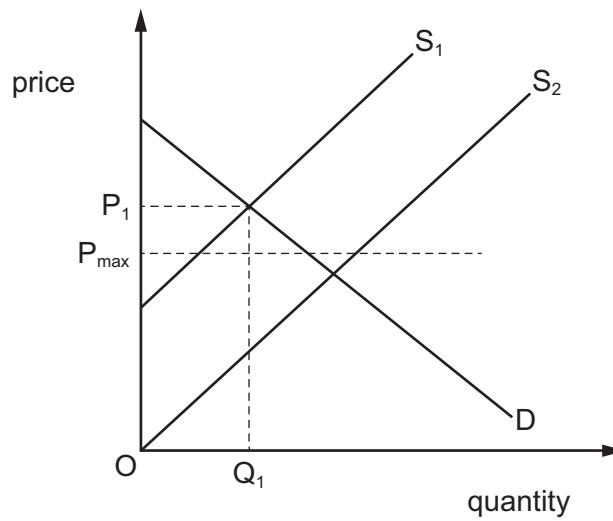
- 10 Farmers want to extract wild honey from beehives. They find the beehives by following birds known as honeyguide birds who want the beeswax that is also found in the beehives.

What does this suggest?

- A Farmers and honeyguide birds are rival consumers.
 - B Wild honey and beeswax are free goods.
 - C Wild honey and beeswax are in joint supply.
 - D Wild honey is the opportunity cost of beeswax.
- 11 An indirect tax is imposed on good X.
- Which situation is most likely to result in producers bearing a higher burden of the tax?
- A price elasticity of demand is elastic
 - B price elasticity of demand is inelastic
 - C price elasticity of supply is elastic
 - D price elasticity of supply is inelastic
- 12 What would **not** be included in the calculation of an individual's wealth?
- A the house owned by the individual
 - B the savings in the individual's bank account
 - C the stocks and shares owned by the individual
 - D the wages earned by the individual
- 13 Why might governments provide free education for children aged 4 to 16 years old?
- A Consumers are not fully aware of the benefits of education.
 - B Education in a free market system would be over consumed.
 - C Education is a public good and there would be many free riders.
 - D The private costs of education exceed the private benefits in a free market.

14 The diagram shows the demand and supply for rice.

The market for rice is initially in equilibrium at a price of P_1 . The government introduces a maximum price of $P_{\max}$. At the same time the supply of rice increases.

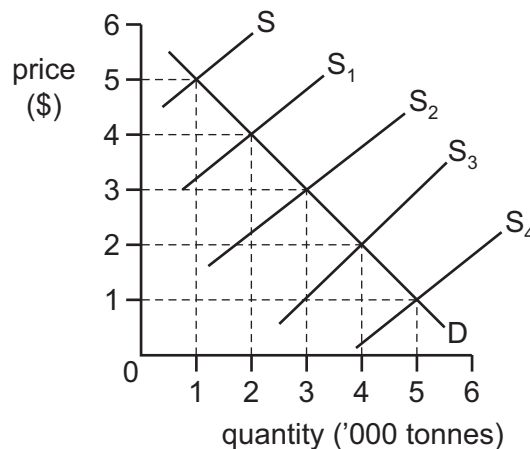


What is the impact of these changes on the market for rice?

- A** A new market equilibrium will be established.
- B** An illegal market for rice will develop.
- C** There will be a shortage of rice.
- D** There will be a surplus of rice.

- 15** In the diagram, D is the demand curve of an agricultural commodity and S is the initial supply curve.

The government promises to maintain farmers' incomes at least at this initial level. The harvests in four subsequent years are shown by supply curves S_1 – S_4 .



How much in total will the government need to pay to support farmers over the four subsequent years?

- A** \$0 **B** \$3000 **C** \$6000 **D** \$10 000

- 16** Price stability can be said to occur if the measured value of the consumer prices index (CPI) is unchanged during the year.

Which statement is correct?

- A** For price stability to occur, there must be no changes in prices of any products.
B For price stability to occur, the number of products whose prices rise must exactly match the number whose prices fall.
C If some prices rise and others fall, there cannot be price stability.
D Different weightings of items used in the calculation of CPI mean that price stability can occur in many ways.

- 17** Based on the circular flow of income, which condition is necessary for an open economy to be in equilibrium?

- A** Government investment is equal to private investment.
B Planned injections are equal to planned withdrawals.
C Spending by households is equal to taxes collected by government.
D Value of export earnings is equal to expenditure on imports.

18 The aggregate demand curve is typically downward sloping.

What is one possible explanation for this?

- A** A fall in the price level will lead to a rise in demand for imports.
- B** As the price level falls, improved productivity will reduce unit costs.
- C** If the price level is high, any interest rate changes will encourage consumption.
- D** The real value of assets increases as the price level falls.

19 What is most likely to cause an unemployed worker to be classified as frictionally unemployed?

- A** lack of relevant skills for vacant jobs
- B** lack of up-to-date job vacancy information
- C** greater use of technology in the production process
- D** an increase in regional pay inequality

20 The table shows figures estimated at the end of a train drivers' strike.

	\$ (000s)
loss of ticket revenue for train companies	600
value placed on extra leisure time by strikers	20
loss of government tax revenue	40
overtime payments to police	30

What was the reduction in the recorded level of national income resulting from the strike?

- A** \$570 000 **B** \$610 000 **C** \$640 000 **D** \$690 000

21 What is likely to be an expansionary monetary policy?

- A** a decrease in the availability of credit
- B** a decrease in the exchange rate
- C** an increase in government spending
- D** an increase in subsidies for training

- 22** A government increases direct taxation to reduce its budget deficit.

How is this likely to affect the government's ability to achieve its macroeconomic objectives?

	economic growth	low inflation	low unemployment
A	less likely	less likely	less likely
B	more likely	less likely	more likely
C	less likely	more likely	less likely
D	more likely	more likely	less likely

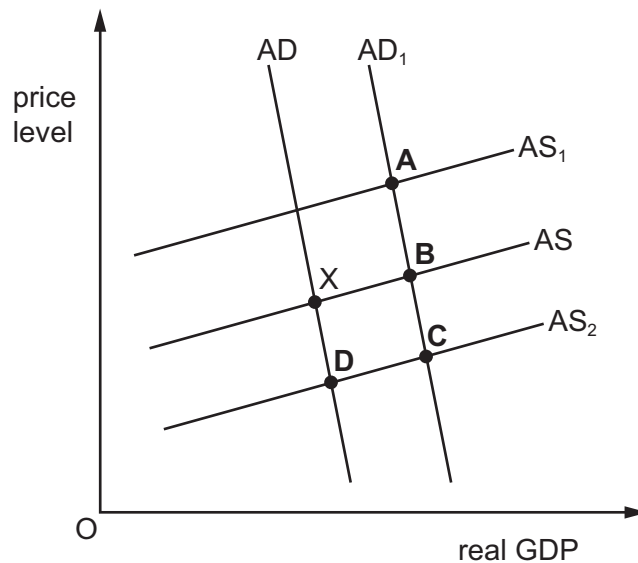
- 23** An income tax has a tax-free allowance of \$10 000 and a single rate of 25%.

What type of tax is this?

- A** indirect
 - B** progressive
 - C** proportional
 - D** regressive
- 24** Which supply-side policy will encourage new entrepreneurs?
- A** an increase in government subsidy to small firms
 - B** an increase in the national minimum wage
 - C** an increase in the power of trade unions
 - D** an increase in the tax on business profits

- 25 The diagram shows aggregate demand (AD) and aggregate supply (AS) curves. The initial equilibrium is at X. A government decides to invest in an increase in infrastructure.

What will be the short-term effect of this policy on the equilibrium?

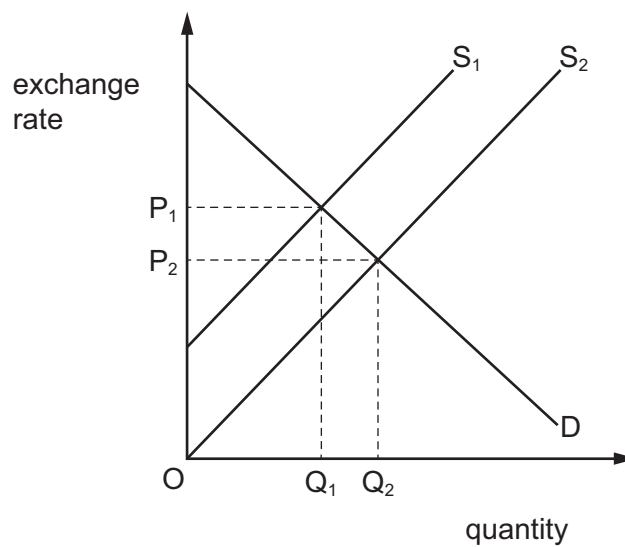


- 26 Which statement is **not** a valid reason why a country may impose protectionist measures?
- A to allow a newly developed domestic industry to grow to a viable size
 - B to enable a country to retain control of an industry it regards as being of strategic importance
 - C to give consumers a wider choice of goods and services
 - D to give time for workers in a declining domestic industry to find alternative employment
- 27 What is most likely to lead to a persistent surplus in a country's current account of its balance of payments?
- A a low domestic savings rate
 - B an undervalued exchange rate
 - C highly protectionist policies by other countries
 - D low investment income from abroad
- 28 Which formula is used to calculate the terms of trade?
- A the average price of exports divided by the average price of imports
 - B the average price of imports divided by the average price of exports
 - C the value of exports divided by the value of imports
 - D the value of imports divided by the value of exports

- 29 A country is experiencing a deficit on the current account of its balance of payments.

Which policy decision could reduce the deficit?

- A decrease in income tax rates
 - B increase in exchange rates
 - C increase in government spending
 - D increase in import tariffs
- 30 The Euro (€) is the main currency of the European Union. The diagram shows the exchange rate between the Euro and the US dollar.



What is likely to have caused this change in the value of the Euro?

- A a decrease in European Union inflation
- B a decrease in US interest rates
- C an increase in European Union imports
- D an increase in European Union unemployment

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Cambridge International AS & A Level

ECONOMICS**9708/12**

Paper 1 AS Level Multiple Choice

May/June 2025**MARK SCHEME**Maximum Mark: 30

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3	B	1
4	C	1
5	D	1
6	C	1
7	D	1
8	A	1
9	D	1
10	C	1
11	A	1
12	D	1
13	A	1
14	A	1
15	A	1
16	D	1
17	B	1
18	D	1
19	B	1
20	A	1
21	B	1
22	C	1
23	B	1
24	A	1
25	B	1
26	C	1
27	B	1
28	A	1

Question	Answer	Marks
29	D	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 AS Level Multiple Choice

May/June 2025

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
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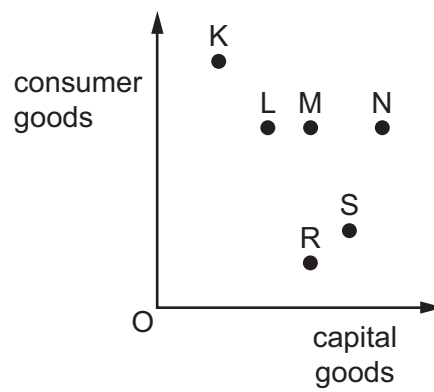
This document has **12** pages.



- 1 A tourist visits a government-owned tropical beach. She pays \$10 to enter but finds it overcrowded.

Which type of good is the beach?

- A a free good
 - B an inferior good
 - C a public good
 - D a private good
- 2 The diagram shows a country's production possibilities. Points K, L, M, N, R and S represent different combinations of capital goods and consumer goods. Point K cannot be achieved unless there is economic growth. Point M lies on the country's production possibility curve.



Which two points **must** be on opposite sides of the country's production possibility curve?

- A K and N
 - B L and R
 - C N and R
 - D R and S
- 3 A firm produces 100 units of good Y and 200 units of good X with a fixed amount of resources. This firm wants to increase production of good Y to 120 units and as a result it can now only produce 170 units of good X.

What is the opportunity cost of producing the extra 20 units of good Y?

- A 20 units of good X
- B 30 units of good X
- C 120 units of good X
- D 170 units of good X

4 What is the most likely benefit of specialisation to a firm?

- A increase in motivation of employees
- B increase in imports from other countries
- C increase in the number of employees
- D increase in the level of output

5 Which row correctly identifies goods that would be expected to be produced in a mixed economy?

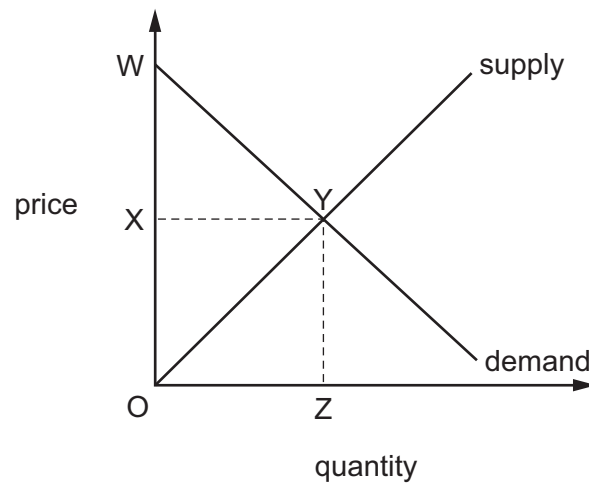
	goods that are excludable and rival in consumption	goods that are non-excludable and non-rival in consumption	goods that have private and external benefits
A	✓	✓	✓
B	✓	✓	✗
C	✓	✗	✓
D	✗	✗	✓

6 A theatre has a fixed number of tickets to sell for each performance.

What is the price elasticity of supply?

- A perfectly elastic
- B perfectly inelastic
- C unit elastic and negative
- D unit elastic and positive

- 7 The diagram shows the market for computers in a country.

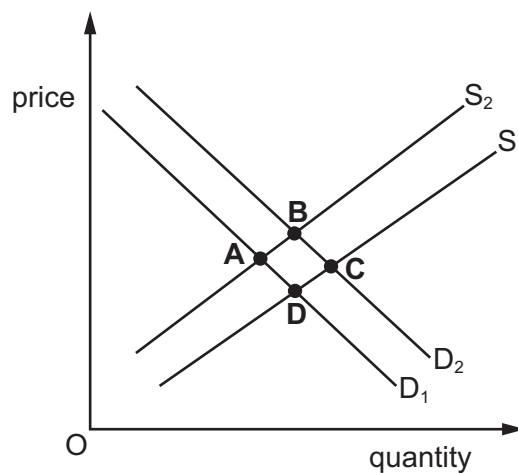


Which area represents consumer surplus?

- A** WYX **B** XYO **C** WYO **D** OYZ
- 8 The diagram shows the market demand for and supply of foodstuffs for an economy.

This economy has faced a decrease in the supply of foodstuffs and, at the same time, an increase in demand for foodstuffs by consumers.

Which point represents the market equilibrium following these changes?



9 What is true for income elasticity of demand but **not** for price elasticity of demand?

- A It helps firms differentiate between goods with elastic and inelastic demand.
- B It helps firms differentiate between normal and inferior goods.
- C It helps firms predict the changes in the quantity demanded.
- D It helps firms predict the changes in sales revenues.

10 The table shows the supply and demand for avocados in kilograms (kg).

price per kg (\$)	quantity demanded per day (kg)	quantity supplied per day (kg)
45	170	230
40	190	190
35	210	150
30	230	110

As a result of lower transport costs, supply rises by 60 kg at all prices.

What is the new equilibrium price?

- A \$45 B \$40 C \$35 D \$30

11 A construction firm estimates that the price elasticity of supply in building a nuclear power plant is +0.1.

What might explain this?

- A The firm can easily find new land as required.
- B The firm is competing with many other construction firms.
- C The firm needs time to hire the highly skilled labour required.
- D There is a lack of close substitutes for nuclear power.

12 Which statement about maximum and minimum prices is correct?

- A With an effective maximum price for a product, a shortage will develop.
- B With an effective maximum price for a product, the market price will rise.
- C With an effective minimum price for a product, rationing will be necessary.
- D With an effective minimum price for a product, the market price will fall.

- 13** A flood-control dam is an example of a good provided directly by a government.

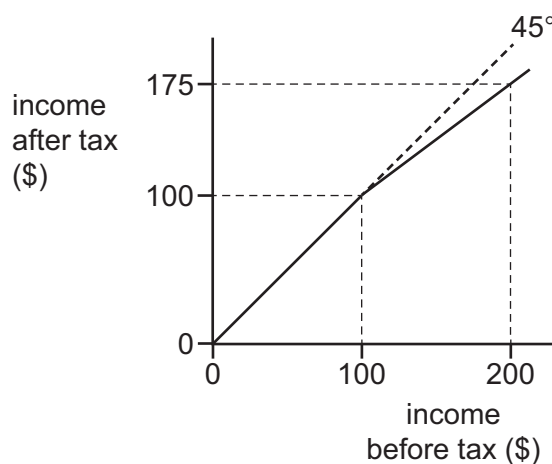
Which statement relating to the direct provision of a flood-control dam is **not** correct?

- A** It allows the government to tackle the failure to provide public goods.
 - B** It forces the government to incur an opportunity cost.
 - C** It involves the supply of a merit good.
 - D** It is an example of government allocation of resources.
- 14** A country depends heavily on the production of an agricultural product, good X. It decides to introduce a buffer stock scheme for good X. The government allocates a fixed amount of money for setting up and running the scheme.

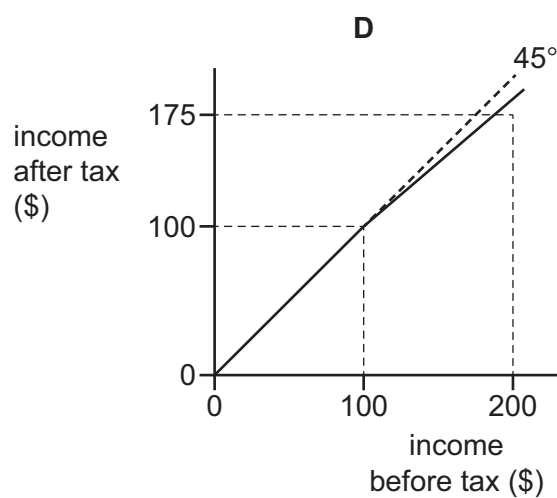
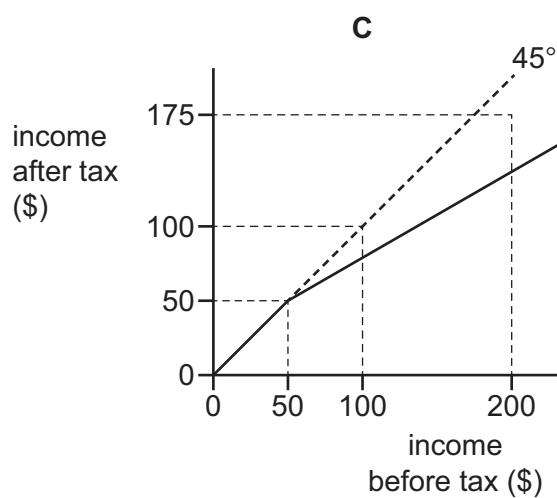
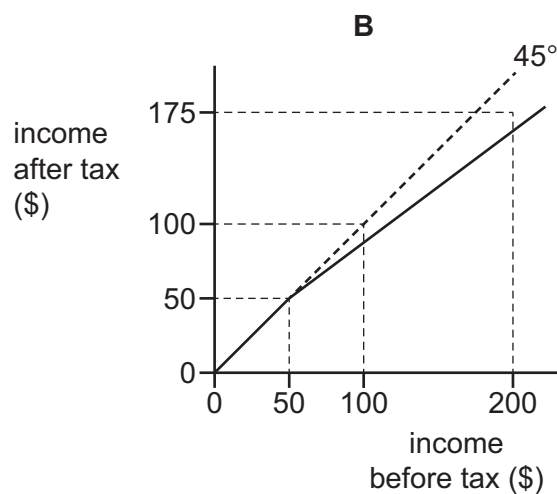
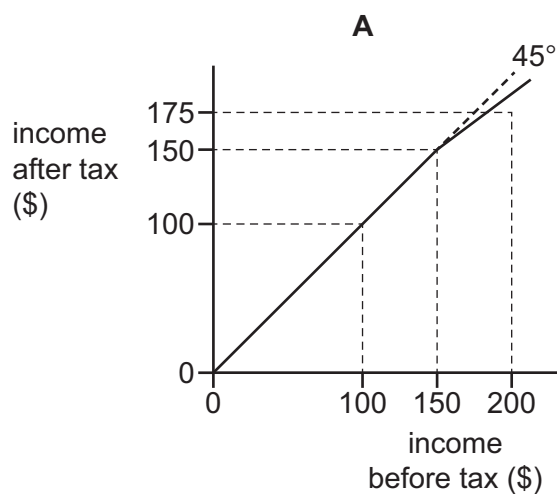
In which situation is the scheme **least** likely to run out of money?

	ability of new farmers to start growing good X	cost of storing good X	global demand for good X
A	easy	high	constant
B	easy	low	rising
C	difficult	high	constant
D	difficult	low	rising

- 15 The graph shows an individual's income before and after the deduction of income tax.



Which change to this income tax system is most progressive?



16 Which source of income is **not** included in measuring real GDP?

- A pension paid to retired people
- B profits made by firms
- C rent paid to landlords
- D wages paid to nurses

17 The table shows some labour market statistics.

	million
number of people of working age	45
number of people unemployed	2
number of people in the labour force	40
number of people in the population	80

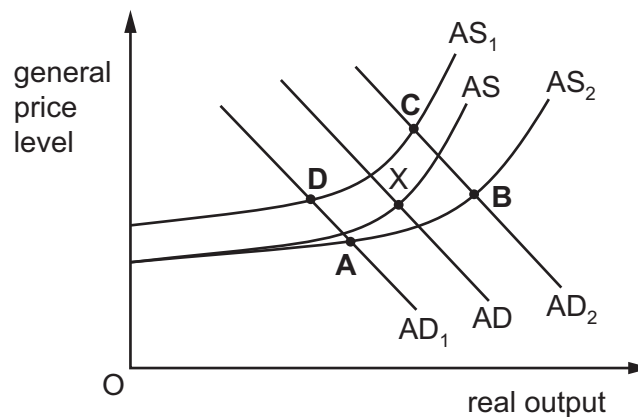
What is the unemployment rate?

- A 2.5%
- B 5%
- C 6.25%
- D 12.5%

18 The diagram shows aggregate demand (AD) and aggregate supply (AS) where the initial equilibrium is at point X.

The central bank forecasts a rise in raw material costs. The government plans to increase spending on health.

What would be the new equilibrium in the short run if the forecasts prove to be accurate and the government plans are implemented?



19 An economy is experiencing a period of deflation.

What must be happening?

- A** The average price level is falling.
- B** The output of the economy is falling.
- C** The rate of inflation is falling.
- D** The real value of money is falling.

20 What is the most likely consequence of economic growth?

- A** a fall in the price of raw materials
- B** a rise in youth unemployment
- C** a worsening current account balance
- D** reduced demand-pull inflationary pressures

21 A government wants to operate a tighter monetary policy.

What would it increase?

- A** budget surplus
- B** interest rate
- C** money supply
- D** rates of taxation

22 Which action is classified as a fiscal policy measure?

- A** fixing a currency to another country's currency
- B** tightening credit regulations on banks
- C** providing guidance to industry and the public
- D** managing changes in the level of government debt

23 The table shows government spending and revenue over a three-year period.

year	government spending (\$bn)	government revenue (\$bn)
1	90	100
2	110	110
3	130	115

What can be concluded from the data?

- A A budget surplus becomes a budget deficit in year 3.
 - B National debt is likely to be falling by the end of year 3.
 - C The current account balance is in equilibrium in year 2.
 - D The economy is at full employment equilibrium in year 2.
- 24 Which statement about supply-side policies is correct?
- A They solve the problem of demand deficient unemployment.
 - B They do not involve an opportunity cost.
 - C They reduce unemployment but do not affect the price level.
 - D They may reduce regional unemployment.
- 25 A government has a target to reduce the rate of inflation.
- Why might it **not** want to raise interest rates to achieve this target?
- A aggregate demand may fall
 - B aggregate supply may fall
 - C saving may fall
 - D the exchange rate may fall
- 26 Which argument in favour of protectionism is **not** generally regarded as economically valid?
- A Once the protected industry becomes established, it will produce efficiently.
 - B It prevents heavily subsidised imports from competing unfairly against domestic goods.
 - C It provides time for the protected industry's workers to be retrained for other work.
 - D It increases the standard of living of the population in general.

- 27** A country has a deficit on the current account of the balance of payments.

What would be expected to increase the deficit?

- A** an appreciation of the exchange rate
- B** an increase in domestic productivity
- C** an introduction of import quotas
- D** a rise in subsidies to domestic firms

- 28** A government increases the import quota of cars.

What is the likely effect of this?

- A** jobs will be created in the domestic car industry
- B** prices of cars will fall for domestic consumers
- C** specialisation is reduced
- D** trading partners will retaliate

- 29** The table gives the terms of trade index for a country over three years.

	year 1	year 2	year 3
terms of trade	100	105	112

What is the most likely impact of this change?

- A** there will be a decrease in cost-push inflation
- B** there will be a decrease in living standards
- C** there will be an increase in the budget surplus
- D** there will be an increase in the volume of exports

- 30** Country X and country Y use the same amount of resources to produce mobile phones and televisions. The table shows how much of each product can be produced if all resources are used to produce that product.

	mobile phones	televisions
country X	500	400
country Y	100	200

What can be deduced about absolute advantage and comparative advantage?

- A** Country X has an absolute advantage in producing mobile phones and a comparative advantage in producing televisions.
- B** Country X has an absolute advantage in producing televisions and a comparative advantage in producing mobile phones.
- C** Country Y has an absolute advantage in producing mobile phones and a comparative advantage in producing televisions.
- D** Country Y has an absolute advantage in producing televisions and a comparative advantage in producing mobile phones.

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Cambridge International AS & A Level

ECONOMICS**9708/13**

Paper 1 AS Level Multiple Choice

May/June 2025**MARK SCHEME**Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2025 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	C	1
3	B	1
4	D	1
5	A	1
6	B	1
7	A	1
8	B	1
9	B	1
10	C	1
11	C	1
12	A	1
13	C	1
14	D	1
15	C	1
16	A	1
17	B	1
18	C	1
19	A	1
20	C	1
21	B	1
22	D	1
23	A	1
24	D	1
25	B	1
26	D	1
27	A	1
28	B	1

Question	Answer	Marks
29	A	1
30	B	1



Cambridge International AS & A Level

ECONOMICS

9708/14

Paper 1 AS Level Multiple Choice

May/June 2025

1 hour



You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 What is a common criticism of economics?
- A It fails to establish theories of economic behaviour.
 - B It is unable to construct models of how an economy might work.
 - C It lacks the ability to use and apply mathematics.
 - D It is very difficult to undertake laboratory experiments in economics.
- 2 What is an essential requirement for a market economy to be able to allocate its resources?
- A freedom of entry and exit
 - B private ownership of property
 - C many buyers and sellers
 - D perfect product knowledge
- 3 Under which conditions are free market forces most likely to allocate resources efficiently in an economy?

	the number of certain types of good needed by consumers in the economy		
	demerit goods	merit goods	public goods
A	a few	a few	a few
B	many	many	a few
C	none	many	none
D	none	none	none

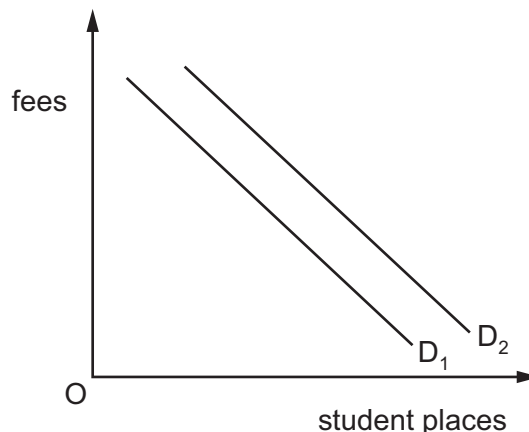
- 4 What does a production possibility curve show?
- A the actual demand in an economy given its existing resources
 - B the maximum output an economy can achieve using existing resources
 - C the maximum output an economy can ever achieve
 - D the minimum combinations of output an economy can achieve



- 5 A city built a new stadium to host the World Athletics championships. The city authorities also ensured clean air by closing factories and making their workers unemployed during the championships.

Which part of this is an example of non-rival consumption?

- A The improved air quality also benefited those who did not have to pay for it.
 - B The private costs and external costs were borne by the city authorities.
 - C The stadium could be used after the championships.
 - D The unemployed factory workers were entitled to free tickets to the stadium.
- 6 Along which axis can the market demand curve be aggregated from individual demand curves?
- A both the horizontal and the vertical axis
 - B the horizontal axis only
 - C the horizontal or the vertical axis but not both
 - D the vertical axis only
- 7 In the diagram, D_1 is the initial demand curve for student places at universities.



What could cause the demand curve to shift to D_2 ?

- A a decrease in student fees for universities
- B a decrease in the level of youth unemployment
- C an increase in graduate earnings compared with non-graduate earnings
- D higher A Level grades demanded for university entrance



- 8 A survey into the market for good X found that it is an inferior good and a close substitute for good Y.

Which values for the income elasticity of demand for good X and its cross elasticity of demand with respect to the price of good Y would support this?

	income elasticity of demand for good X	cross elasticity of demand for good X with respect to the price of good Y
A	−1.2	−0.9
B	−1.2	+0.9
C	+1.2	−0.9
D	+1.2	+0.9

- 9 What is the likely nature of the price elasticity of supply of a crop such as rice?
- A** highly elastic in both the short and the long run as rice is an essential product
- B** highly elastic in the short run and more inelastic in the long run as production methods improve
- C** highly inelastic in both the short and the long run as the land area of a country is fixed
- D** highly inelastic in the short run and more elastic in the long run as it takes time to plant rice
- 10 The price of laptop computers falls.
- The price of which product is likely to rise as a result?
- A** desktop computers
- B** carrying cases for laptop computers
- C** monitors for desktop computers
- D** workstation tables for desktop computers
- 11 Assuming normal demand and supply for a product, what will definitely increase consumer surplus?
- A** a shift in the demand curve to the left
- B** a shift in the demand curve to the right
- C** a shift in the supply curve to the left
- D** a shift in the supply curve to the right



- 12 A government in a market economy decides to subsidise the provision of the internet in remote parts of a country.

What is the most likely reason for doing this?

- A to decrease provision of a demerit good
 - B to increase provision of a merit good
 - C to provide a public good
 - D to reduce negative externalities
- 13 Who is intended to benefit from an agricultural buffer stock scheme during periods of plentiful harvests?
- A consumers of food
 - B growers of food
 - C processors of food
 - D taxpayers

- 14 A government decides to increase indirect taxes, abolish the agricultural subsidy and lower the income level at which tax becomes payable.

What would be the most likely consequence of these changes?

- A a decrease in cost-push inflation
 - B an increase in income inequality
 - C an increase in the balance of payments deficit
 - D an increase in the budget deficit
- 15 What can be calculated using the formula $\frac{\text{nominal GDP} \times \text{price index in base year}}{\text{price index in current year}}$?
- A gross national income
 - B real gross domestic product
 - C net domestic income
 - D net domestic product

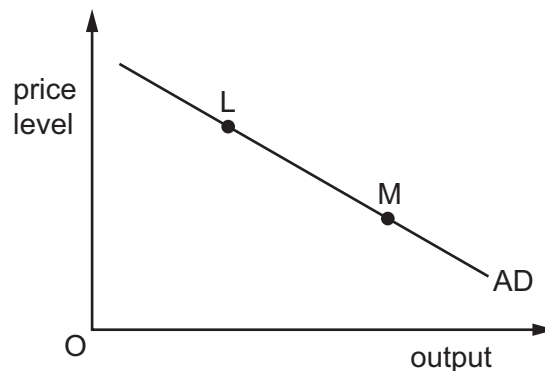


- 16 What is always regarded as a cause, rather than a consequence, of a change in the circular flow of income?
- A a decrease in government tax revenue
 B an increase in consumption spending
 C an increase in savings
 D an increase in the value of exports
- 17 The table shows some data for an economy.

investment (\$ million)	exports (\$ million)	government expenditure (\$ million)	savings (\$ million)	imports (\$ million)	taxation (\$ million)	national income (\$ million)
200	100	50	125	62.5	62.5	600
200	100	50	150	75	75	700
200	100	50	175	87.5	87.5	800
200	100	50	200	100	100	900

What is the equilibrium level of national income?

- A \$600 million B \$700 million C \$800 million D \$900 million
- 18 The diagram shows an economy's aggregate demand curve.



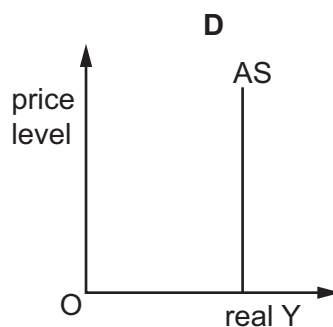
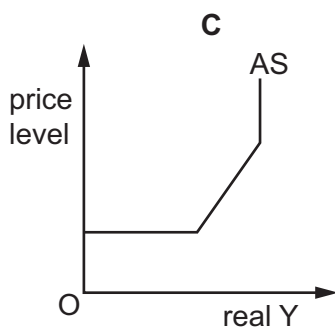
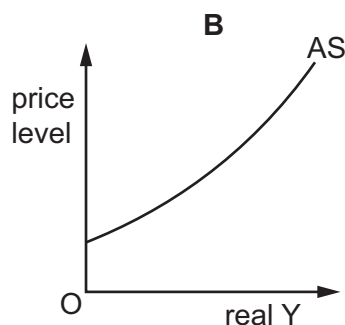
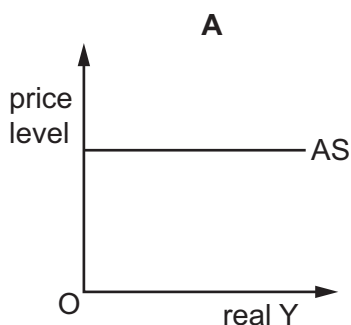
What explains the downward movement from L to M along the AD curve?

- A an increase in tariffs leading to decreased imports
 B a decrease in taxes on firms, causing an increase in short-run aggregate supply
 C an increase in consumer confidence, prompting higher spending on local goods as well as imports
 D a slow-down in economic activity, resulting in decreased investment spending



- 19 Long-run aggregate supply (AS) in an economy can be represented diagrammatically in different ways.

For which AS curve would a long-term fall in aggregate demand always be likely to result in the level of employment remaining unchanged?



- 20 If a country is suffering from deflation, what would be the best policy to reflate the economy?

- A** increase corporation tax
- B** increase income tax
- C** reduce interest rates
- D** reduce spending on education

- 21 What would be a positive effect on the growth of an economy in the short run, if the government reduced a direct tax on individual earnings?

- A** Food prices would increase because of shortages.
- B** Imports of luxury cars would increase to satisfy a change in demand.
- C** Savings would increase because of additional disposable income.
- D** The consumption of domestically produced goods would increase.





22 What is **not** a monetary policy measure?

- A credit regulations for banks
- B interest rate changes
- C increased government subsidies
- D money supply changes

23 The government has a macroeconomic objective of low unemployment. It has recently decreased interest rates.

What may limit the effectiveness of this tool in achieving the objective of low unemployment?

- A a lack of productive capacity
- B excess demand in the economy
- C increased government spending on infrastructure
- D low levels of welfare benefits

24 The table shows the ability of two countries, P and Q, to produce two goods, Y and Z.

	production of good Y per person	production of good Z per person
country P	1000	1600
country Q	1500	2000

Which statement is correct?

- A P has an absolute advantage in Z and Q has a comparative advantage in Y.
- B P has an absolute advantage in Z and Q has an absolute advantage in Y.
- C P has a comparative advantage in Y and Q has an absolute advantage in Z.
- D P has a comparative advantage in Z and Q has an absolute advantage in Y.

25 A trading country can produce two goods, X and Y. It specialises completely in the production of good Y.

What will be the opportunity cost to the country of consuming additional imports of good X?

- A the additional imports of good X
- B the increase in the resources required to produce good X
- C the reduction in the domestic consumption of good Y
- D the reduction in the resources available to produce good Y



26 What are the terms of trade?

- A the difference in value between a country's exports and imports
- B the rate at which one currency can be exchanged for another
- C the rate at which tariffs can legally be applied to exports and imports
- D the ratio of average export prices to average import prices

27 An Australian family purchases a holiday to New Zealand and an Australian mining company sells coal to China.

Four students, **A**, **B**, **C** and **D**, are asked where these transactions appear in the current account of Australia's balance of payments.

Which student is correct?

	holiday to New Zealand	coal to China
A	service export	good export
B	service export	good import
C	service import	good export
D	service import	good import

28 A government believes its current account deficit will be beneficial in the long run.

What is the most likely reason for this?

- A Immigration has increased.
- B It imports capital goods.
- C It exports raw materials.
- D It reduces unemployment.

29 A country has a freely floating exchange rate.

In which circumstance is it most likely to appreciate?

- A A competitor trading country experiences a fall in the value of its currency.
- B Increased administrative burdens are placed on companies within this country wishing to buy imports.
- C There is a fall in demand for its exports.
- D There is a fall in the level of its rate of interest.





30 A country has a current account deficit.

What would be classified as a protectionist measure to restore the current account to equilibrium?

- A allow the exchange rate to appreciate
- B increase income tax
- C increase import tariffs
- D increase the rate of interest







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Cambridge International AS & A Level

ECONOMICS**9708/14**

Paper 1 AS Level Multiple Choice

May/June 2025**MARK SCHEME**Maximum Mark: 30

Published

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This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	Question Discounted	0
3	D	1
4	B	1
5	A	1
6	B	1
7	C	1
8	B	1
9	D	1
10	B	1
11	D	1
12	B	1
13	B	1
14	B	1
15	B	1
16	D	1
17	C	1
18	B	1
19	D	1
20	C	1
21	D	1
22	C	1
23	A	1
24	D	1
25	C	1
26	D	1
27	C	1
28	B	1

Question	Answer	Marks
29	B	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 AS Level Multiple Choice

October/November 2025

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

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1 What is an example of a normative statement?

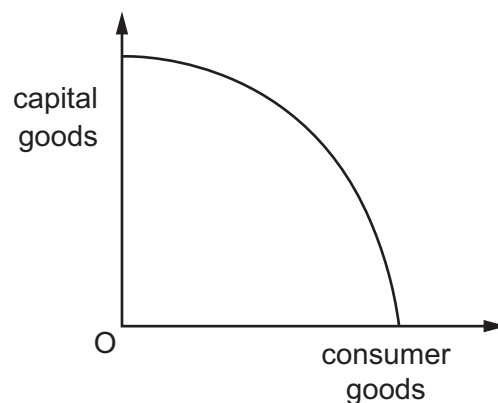
- A Indirect taxes are cheap to collect.
- B Indirect taxes are taxes on income.
- C Indirect taxes are unfair.
- D Indirect taxes increase inequality.

2 A country with a market economy changes to a mixed economy.

When is this change likely to achieve the largest improvement in resource allocation?

	number of demerit goods in the country	Gini coefficient value for the country
A	many	0.4
B	many	0.7
C	few	0.4
D	few	0.7

3 The diagram shows a production possibility curve for an economy that produces capital goods and consumer goods.



Why is the production possibility curve drawn concave to the origin?

- A Capital goods are a more labour-intensive output than consumer goods.
- B Consumers always seek to maximise their satisfaction from consumption.
- C Profit maximisation for firms always ensures efficiency in production.
- D Some resources are more efficient in production of some goods than others.

4 What is an example of a public good?

- A A ferry that takes members of the public across a river.
- B A fish farm that is owned by the government.
- C A fishing boat that is owned by all members of a village.
- D A lighthouse that warns boats of dangerous rocks.

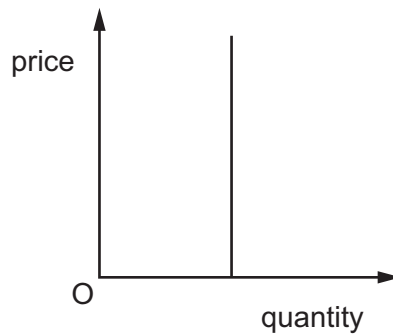
5 Which merit good is likely to be under-consumed the most?

	level of imperfect information among consumers	subsidy received by producers
A	high	yes
B	high	no
C	low	yes
D	low	no

6 Which statement defines market equilibrium?

- A when *ceteris paribus* no longer applies
- B when quantity demanded equals quantity supplied
- C when quantity demanded is equal to price
- D when supply can no longer expand

- 7 The curve in the diagram shows a relationship between the price and the quantity of a product. It has not been given a label.



What is an accurate description of the curve?

- A a perfectly elastic demand curve
 - B a perfectly inelastic supply curve
 - C a relatively elastic supply curve
 - D a unitary elastic demand curve
- 8 Which statement is true if the income elasticity of demand for a good has a value of -0.2 ?
- A When income rises less of the good is bought.
 - B When income rises more of the good is bought.
 - C When price falls more of the good is bought.
 - D When price rises less of the good is bought.

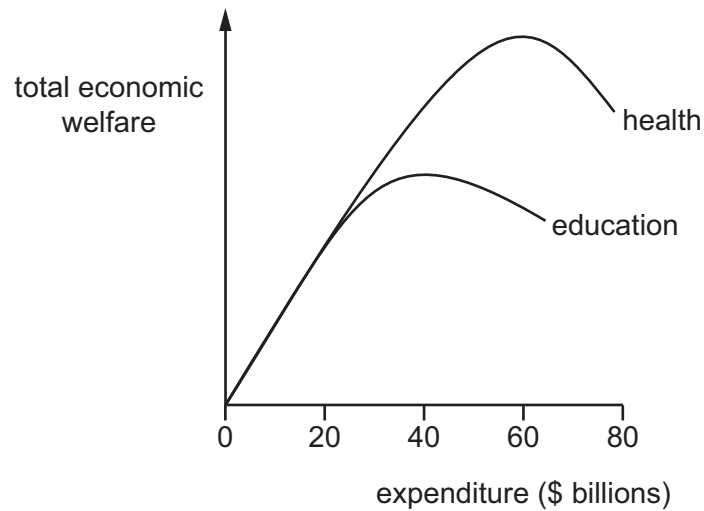
- 9 The table shows the price of a good and total expenditure on the good during specific periods when the market is in equilibrium.

period	price (\$)	total expenditure (\$)
1	12	96 000
2	5	40 000
3	8	64 000
4	10	80 000
5	4	32 000

What can be deduced from this data?

- A The good has constant opportunity cost.
 - B The good is an inferior good.
 - C The price elasticity of demand is equal to one.
 - D The price elasticity of supply is equal to zero.
- 10 What is an example of direct provision by a government?
- A The government introduces a subsidy on renewable fuels to help the environment.
 - B The government introduces a unit tax on cigarettes to discourage consumption.
 - C The government sets a maximum rent on housing to protect tenants.
 - D The government takes over a private library to improve local services.

- 11 The graph shows the total economic welfare derived by citizens from a government's expenditure on health and education services.



If the government has \$60 billion of its budget to allocate between health and education services, which allocation will give its citizens the highest level of welfare?

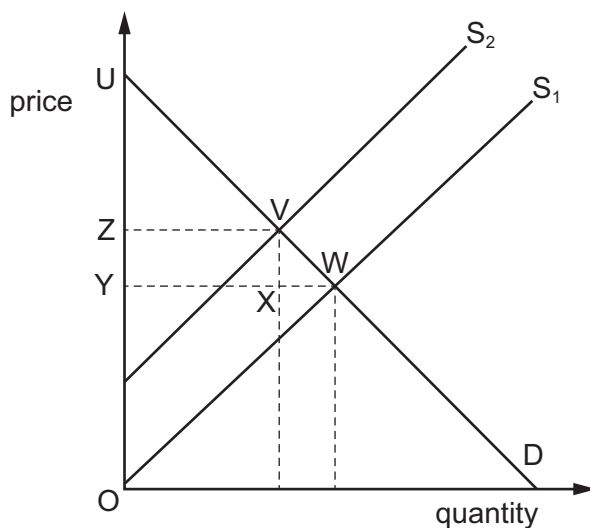
	health spending (\$ billions)	education spending (\$ billions)
A	0	60
B	20	40
C	40	20
D	60	0

- 12 A government gives a subsidy to a producer of a product.

What will be the likely effect of this?

- A** a shift to the left in the demand curve and a rise in equilibrium quantity
- B** a shift to the left in the supply curve and a rise in equilibrium quantity
- C** a shift to the right in the demand curve and a fall in equilibrium price
- D** a shift to the right in the supply curve and a fall in equilibrium price

- 13** What would be included in a measure of wealth?
- A** annual income
 - B** benefits and pensions
 - C** interest earned on savings
 - D** savings held in bank accounts
- 14** Why might a government introduce a minimum price for a product?
- A** to benefit poorer consumers
 - B** to encourage consumption of a merit good
 - C** to encourage production of a public good
 - D** to support the incomes of producers
- 15** An indirect tax is imposed on a product.



What is the change in consumer surplus?

- A** UWY **B** UVZ **C** ZVWY **D** ZVXY

16 The table shows selected statistics for a country.

	\$bn
gross domestic product at market prices	600
indirect taxes	100
subsidies	50

What is the value of gross domestic product at basic prices?

- A** \$500bn **B** \$550bn **C** \$650bn **D** \$700bn

17 GDP of a country measured at current market prices was \$1000bn in year 1. This had risen to \$1100bn in year 2.

Over the same period the general price level had risen by 5%.

What has happened to real GDP?

- A** Real GDP fell by approximately 5%.
B Real GDP fell by approximately 10%.
C Real GDP rose by approximately 5%.
D Real GDP rose by approximately 10%.

18 A government spends money to provide an education for students.

Which type of spending is capital expenditure?

- A** computers for classrooms
B grants for university students
C rent for school buildings
D wages for teachers

19 What is an example of fiscal policy aimed at increasing aggregate demand in an economy?

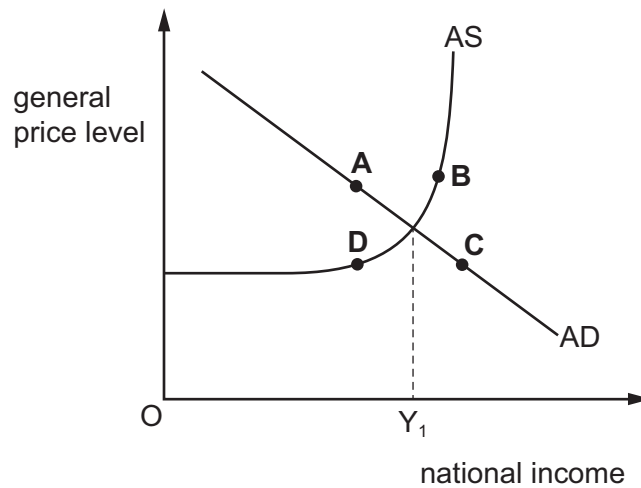
- A** increasing expenditure by firms on skills training programmes for unskilled workers
B increasing the commercial banks' lending ability
C reducing the rate of income tax for all income earners
D reducing the rate of interest on loans to manufacturing companies

- 20 The aggregate demand (AD) curve in an economy shifts to the left.

What is most likely to cause this shift?

- A a decrease in the exchange rate
 - B a decrease in the interest rate
 - C an increase in the budget deficit
 - D an increase in the current account deficit
- 21 The diagram shows the AD and AS curves for a low income country. Oil and gas make up 90% of its exports. The initial equilibrium level of national income is Y_1 .

What is the most likely new equilibrium point if the worldwide prices of oil and gas rise dramatically?



- 22 What is **not** a government macroeconomic policy objective?

- A economic growth
- B income equality
- C low unemployment
- D price stability

- 23** A central bank increases interest rates to reduce inflation.

When will this policy be most likely to succeed?

- A** When household spending is inelastic in response to interest rate changes.
- B** When the country has a floating exchange rate that appreciates.
- C** When the government has an increasing budget deficit.
- D** When trade unions demand higher wages to protect the living standards of their members.

- 24** A government reduces its expenditure on workplace training, increases the level of indirect taxes and reduces the rate of interest it pays on government debt.

How would these government macroeconomic policies be categorised?

	supply-side	fiscal	monetary	
A	con	con	exp	key
B	exp	con	con	con = contractionary
C	con	exp	exp	exp = expansionary
D	exp	exp	con	

- 25** The government of a country reduces its budget deficit by cutting government spending. At the same time, the central bank raises the interest rates.

When might this combination of policies be used?

	inflation rate	unemployment rate
A	high	high
B	high	low
C	low	high
D	low	low

- 26** A country's currency depreciates in terms of other currencies.

What would be a consequence of this depreciation?

- A** There would be a decrease in structural unemployment.
- B** There would be a decrease in the volume of exports.
- C** There would be an increase in cost-push inflationary pressure.
- D** There would be an increase in the budget deficit.

- 27 The terms of trade of a developing country fell from 90 in 2010 to 80 in 2015.

Assuming the index of its import prices remained constant at 110 between these two years, what happened to its index of export prices?

- A fell by 10
- B fell by 11
- C increased by 10
- D increased by 30

- 28 What is **not** a limitation of the theory of comparative advantage?

- A the movement of factors of production between countries
- B governments' imposition of trade restrictions
- C one country being more efficient in the production of all goods
- D transport costs outweighing any comparative advantage

- 29 What would **not** be included in the current account of the balance of payments?

- A income earned outside the country that is transferred into the country
- B value of food and raw materials produced and consumed within the country
- C value of food and raw materials that are exported
- D value of telecommunications services that are imported

- 30 A country has a current account deficit on its balance of payments. The government also has a budget deficit.

Which measure to reduce the current account deficit will increase the budget deficit?

- A depreciating the exchange rate
- B introducing quotas on imports
- C raising tariffs on imports
- D subsidising exports

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Cambridge International AS & A Level

ECONOMICS**9708/11**

Paper 1 Multiple Choice

October/November 2025**MARK SCHEME**Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2025 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	C	1
2	B	1
3	D	1
4	D	1
5	B	1
6	B	1
7	B	1
8	A	1
9	D	1
10	D	1
11	C	1
12	D	1
13	D	1
14	D	1
15	C	1
16	B	1
17	C	1
18	A	1
19	C	1
20	D	1
21	B	1
22	B	1
23	B	1
24	A	1
25	B	1
26	C	1
27	B	1
28	C	1

Question	Answer	Marks
29	B	1
30	D	1



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

October/November 2025

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.



1 What is an example of a normative statement?

- A Government expenditure is an injection into the circular flow of income.
- B Government expenditure in India in 2022 was 29% of gross domestic product.
- C The best policy measure to reduce inflation is a reduction in government expenditure.
- D The United States of America is the country with the highest military expenditure.

2 A public good must both be non-rivalrous in consumption and have the characteristic of non-excludability.

Which situation meets both of these conditions?

- A a former nationalised rail network which has been privatised
- B a good that has an opportunity cost
- C the building of a new toll road which charges all users the same toll
- D the provision of street lighting which improves a locality

3 What is **not** a characteristic of a planned economy?

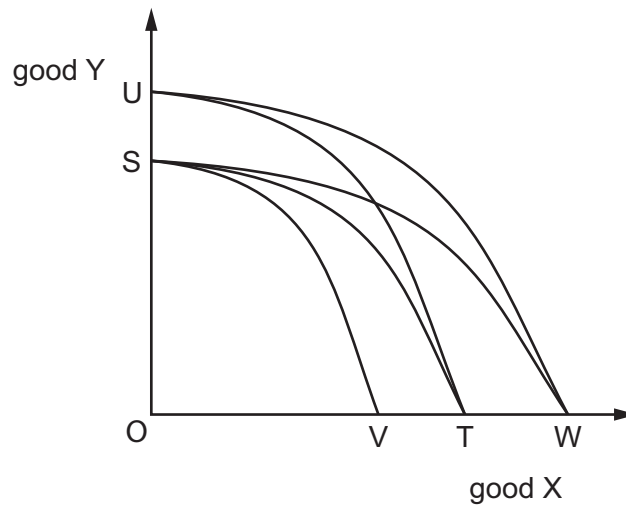
- A Consumers have limited influence on what is produced.
- B Profit is the motive for increasing output.
- C Resources are owned by the government.
- D There is limited competition in the market.

4 A student chooses to study for a degree in engineering at university rather than take a job working as an apprentice engineer. The apprenticeship lasts five years and involves training while working.

What will decrease the opportunity cost of this choice?

- A a decrease in the wages paid to apprentice engineers
- B a decrease in the number of students studying engineering degrees
- C a decrease in the number of top grade engineering degrees awarded
- D a decrease in the length of an engineering apprenticeship to four years

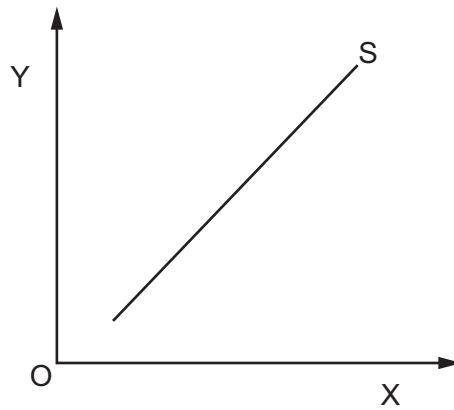
- 5 The diagram shows a production possibility curve (PPC) for a country that produces two goods, X and Y. The initial PPC is given by ST.



What is the effect on the PPC when the productivity of workers producing good X increases?

- A The PPC shifts from ST to SV.
 - B The PPC shifts from ST to SW.
 - C The PPC shifts from ST to UT.
 - D The PPC shifts from ST to UW.
- 6 What is consumer surplus?
- A the amount of a consumer's income less the amount paid in income tax
 - B the amount of a consumer's income less the amount paid for goods and services
 - C the amount of a consumer's income received in bonuses and overtime pay
 - D the amount a consumer is willing to pay for a product less the amount actually paid

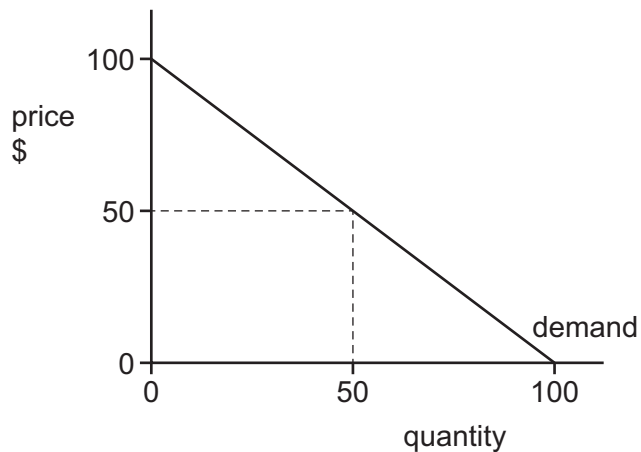
- 7 The diagram shows a market supply curve (S).



What is measured on the X-axis and the Y-axis?

	X-axis	Y-axis
A	quantity	income
B	quantity	price
C	price	income
D	income	quantity

- 8 The diagram shows the demand curve for a product.



What is the price at which the price elasticity of demand is unit elastic?

- A** \$0
- B** \$50
- C** \$100
- D** every price along the demand curve

- 9 Public transport in an economy has an income elasticity of demand of -0.36 .

What does this mean about public transport?

- A It is an inferior good.
- B It is a necessity.
- C It is a normal good.
- D It has close substitutes.

- 10 Which type of good is most suitable for a successful buffer stock scheme?

	easy to produce	cheap to store	perishable
A	yes	yes	yes
B	yes	no	no
C	no	yes	no
D	no	no	yes

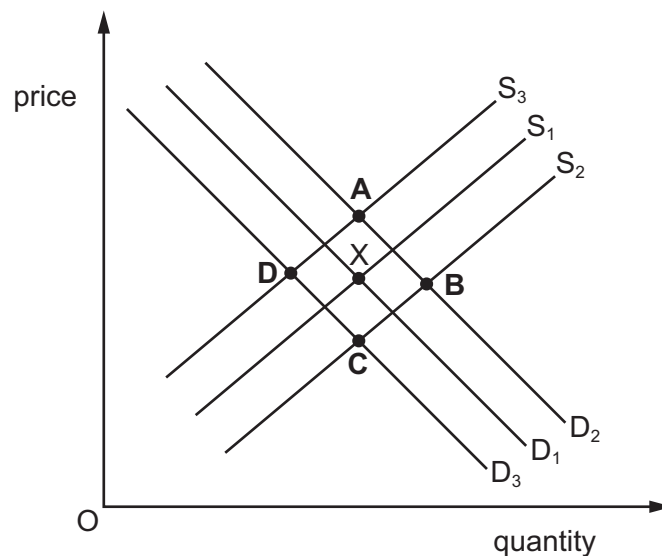
- 11 The demand for electric vehicle batteries is derived from the demand for electric vehicles. To tackle climate change, a government subsidises producers of electric vehicles.

What are the likely effects of this subsidy on the price and sales of electric vehicle batteries?

	price	sales
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 12** The diagram shows the market for a demerit good. The initial equilibrium is at point X.

What will be the new equilibrium if the government imposes a unit tax on this demerit good and successfully informs consumers of its harmful effects?



- 13** To improve the health of people, a government puts a tax on the sale of drinks that contain sugar.

What are the likely effects of this tax on **both** the prices of the drinks that contain sugar and the price of sugar?

	prices of drinks	price of sugar
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 14** The income Gini coefficient of a country changes from 0.29 to 0.33 over time.

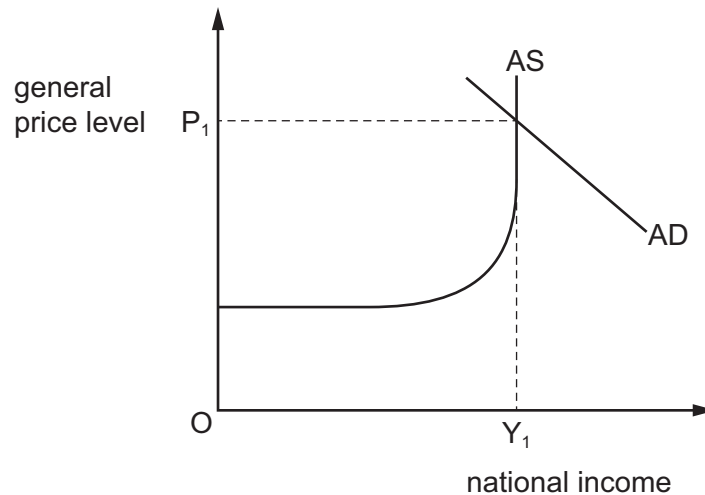
What might explain this change?

- A** an increase in food and energy subsidies
- B** an increase in structural unemployment
- C** an increase in the national minimum wage
- D** an increase in the top rate of income tax

15 What is an example of an injection into the circular flow of income in an open economy?

- A** consumer spending on goods
- B** expenditure on a government construction project
- C** spending by households on holidays abroad
- D** repayment of loans to commercial banks

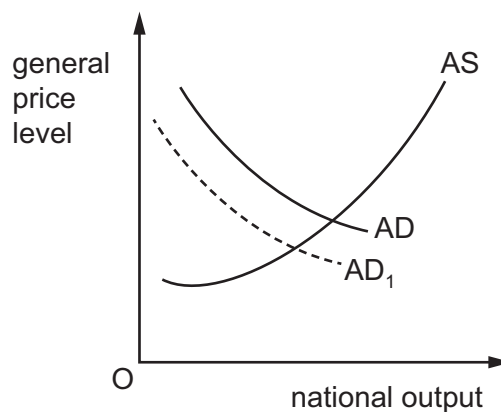
16 The diagram shows the AD and AS curves for a country. The equilibrium level of national income is Y_1 and the general price level is P_1 .



What is the most likely effect on employment and the general price level of a small decrease in government expenditure?

	employment	general price level
A	falls	falls
B	falls	unchanged
C	unchanged	falls
D	unchanged	unchanged

- 17 The diagram shows aggregate demand and aggregate supply curves for an economy.



What would cause a change in the aggregate demand from AD to AD₁?

- A government campaigns to encourage household savings
 - B consumption of domestic instead of foreign goods
 - C a decrease in the budget surplus
 - D investment in knowledge-based enterprises
- 18 A government reduces the benefits that it pays to unemployed workers to increase the incentive to work.

Which types of macroeconomic policies are being used?

	fiscal policy	monetary policy	supply-side policy
A	✓	x	x
B	✓	✓	x
C	✓	x	✓
D	x	x	✓

- 19 A central bank is asked by the government to help achieve price stability.

If inflation rises steeply, which policy will **not** be directly within the control of the central bank?

- A increasing the rate of interest to reduce consumer spending
- B managing a reduction of the money supply
- C using credit restrictions to regulate lending by commercial banks to households
- D restricting wage increases in the private and public sectors

20 What is **not** a likely reason for a government having the objective of economic growth?

- A** to improve living standards
- B** to improve business confidence
- C** to increase inflationary pressures
- D** to increase consumer choice

21 What is an example of expansionary monetary policy?

- A** the central bank increasing the money supply
- B** the central bank causing an appreciation of the country's foreign exchange rate
- C** the central bank increasing controls on credit lending
- D** the central bank increasing the minimum lending rate of interest

22 What is the effect of an increase in the money supply on the interest rate and the aggregate demand (AD) curve?

	interest rate	AD curve
A	falls	shifts left
B	rises	shifts left
C	falls	shifts right
D	rises	shifts right

23 A country has a target rate of inflation of 2.5% and has recently experienced the actual rate rising to 6%, with unemployment falling to very low levels.

Which policy option is most likely to be implemented?

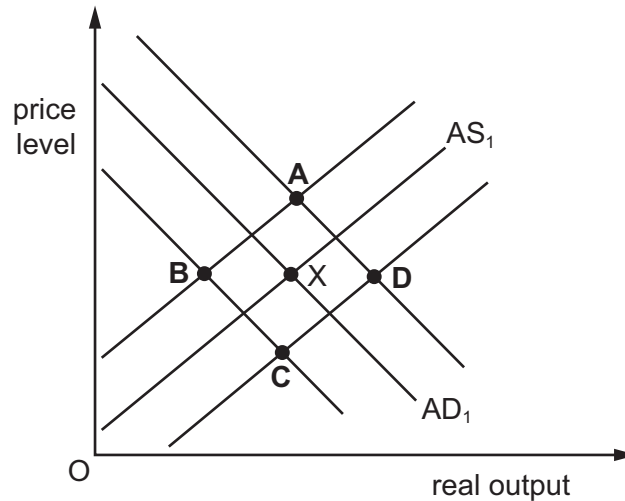
- A** an increase in government expenditure on training
- B** an increase in indirect taxes on demerit goods
- C** an increase in import tariffs
- D** an increase in interest rates

- 24** What is the most likely reason for a government to introduce a progressive tax?
- A** to discourage the consumption of a particular good
 - B** to distribute disposable income more evenly
 - C** to increase the disposable income of households
 - D** to reduce demand for healthcare services
- 25** What is the **least** likely consequence of rapid economic growth?
- A** high levels of pollution
 - B** large deficit on the current account of the balance of payments
 - C** large deficit in the government's budget balance
 - D** more congestion on the roads
- 26** A country with a floating exchange rate has a large deficit on the current account of the balance of payments.
- What is most likely to decrease as a consequence of this deficit?
- A** competitiveness of the country's products
 - B** level of employment in the country
 - C** prices of exports from the country
 - D** rate of inflation in the country
- 27** What will definitely lead to an improvement in the terms of trade?
- A** Export prices fall whilst import prices rise.
 - B** Export prices rise by the same amount as import prices.
 - C** Export prices rise slower than import prices.
 - D** Export prices rise whilst import prices stay the same.

- 28** Between June and the end of July 2016, the UK pound sterling depreciated by 11% against a basket of currencies of the UK's major trading partners.

The diagram shows the original aggregate demand curve AD_1 and the original aggregate supply curve AS_1 for the UK economy before June 2016. The equilibrium is at X.

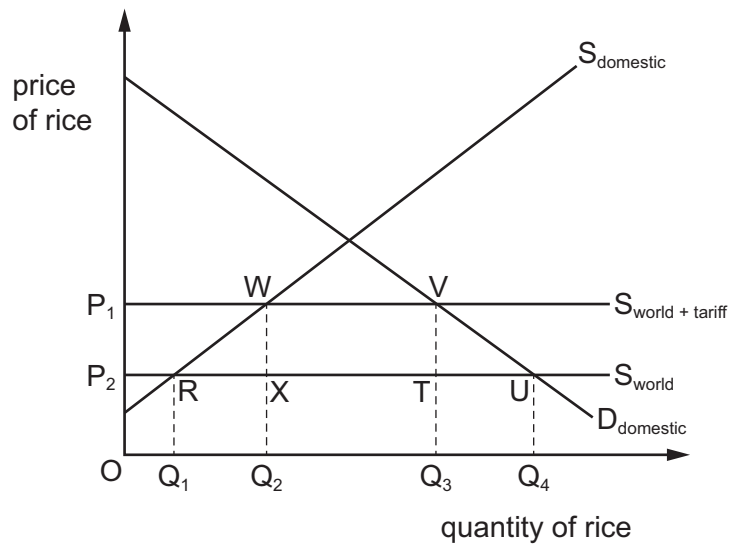
What would have been the new equilibrium for the UK economy as a result of the depreciation of the pound sterling?



- 29** What is the effect of a cut in a country's income tax rates on its exports and imports?

	exports	imports
A	fall	fall
B	fall	unchanged
C	unchanged	fall
D	unchanged	rise

30 The diagram shows the effect of a government removing the tariff on imports of rice into its country.



How would the removal of this tariff affect the consumer surplus and the government's revenue?

	consumer surplus	government revenue
A	increases by VUT	decreases by WVTX
B	increases by VUT	decreases by WVQ ₃ Q ₂
C	increases by P ₁ VUP ₂	decreases by WVTX
D	increases by P ₁ VUP ₂	decreases by WVQ ₃ Q ₂

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Cambridge International AS & A Level

ECONOMICS**9708/12**

Paper 1 Multiple Choice

October/November 2025**MARK SCHEME**Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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This document consists of **3** printed pages.

Question	Answer	Marks
1	C	1
2	D	1
3	B	1
4	A	1
5	B	1
6	D	1
7	B	1
8	B	1
9	A	1
10	C	1
11	D	1
12	D	1
13	C	1
14	B	1
15	B	1
16	C	1
17	A	1
18	C	1
19	D	1
20	C	1
21	A	1
22	C	1
23	D	1
24	B	1
25	C	1
26	C	1
27	D	1
28	A	1

Question	Answer	Marks
29	D	1
30	C	1



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 AS Level Multiple Choice

October/November 2025

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 The following appeared in a newspaper article.

‘The economies of the poorest nations have large international debts; the richest nations should cancel the debts of these nations and reduce poverty.’

What is the nature of each statement?

	poorest nations have large international debts	richest nations should cancel these debts to reduce poverty
A	normative	normative
B	normative	positive
C	positive	positive
D	positive	normative

- 2 What is meant by the division of labour?

- A** A process is split into a series of individual tasks.
- B** Some workers work part-time and others work full-time.
- C** The same amount of output per hour is produced by each worker.
- D** Wages are divided equally between workers.

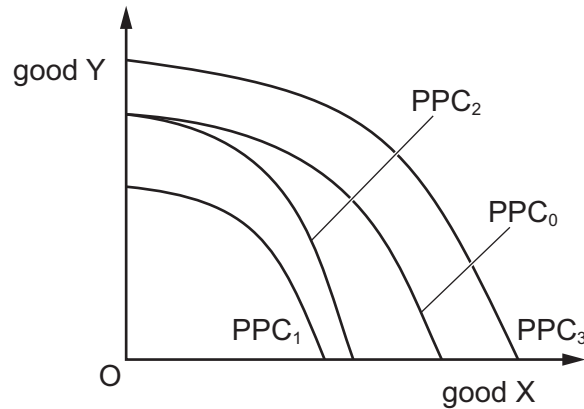
- 3 What would be an opportunity cost of growth in an economy?

- A** the faster growth of services than of manufacturing
- B** the need for an increased level of imported raw materials
- C** the need for greater government intervention
- D** the reduction of consumption if growth requires investment

- 4 Which change in the way resources are allocated in an economy is consistent with moving from a planned economy to a market economy?

- A** A minimum price guarantee for apple producers is removed.
- B** A new government authority is established to monitor inefficiencies in apple production.
- C** The production of apples is subsidised to increase output.
- D** The sale of apples has a maximum price imposed.

- 5 The diagram shows a production possibility curve (PPC) for an economy that produces two goods, X and Y. Both goods require labour to produce. The initial position of the PPC is at PPC_0 .



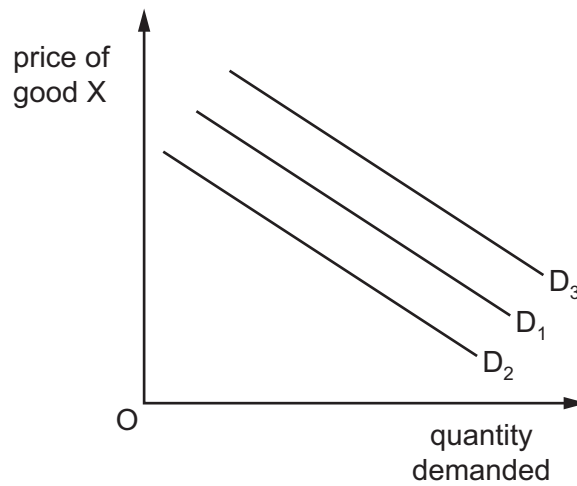
What is the effect on the PPC following the emigration of a large number of workers?

- A the PPC remains at PPC_0
 - B the PPC shifts from PPC_0 to PPC_1
 - C the PPC shifts from PPC_0 to PPC_2
 - D the PPC shifts from PPC_0 to PPC_3
- 6 A good is provided by the government. Consumption by one person does not affect the amount of the good available for others.

Which type of good must this be?

- A complementary good
- B merit good
- C private good
- D public good

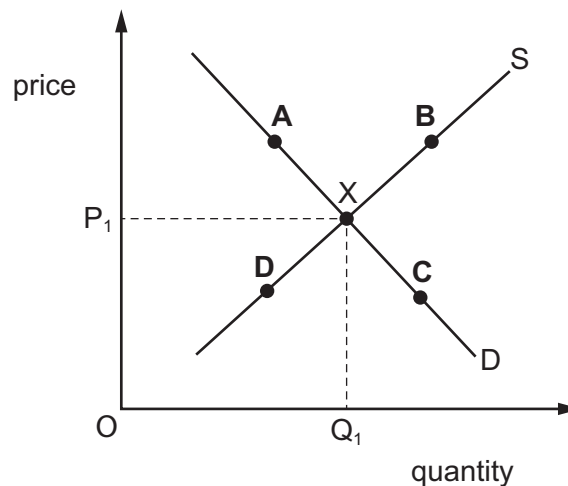
- 7 Market demand curves normally slope downwards. They may also shift from D_1 to either D_2 or D_3 .



What would cause a movement along D_1 for good X and **not** a shift to either D_2 or D_3 ?

- A advertising of good X increases sales
 - B consumer incomes rise
 - C the price of good X falls
 - D the prices of other goods fall
- 8 The diagram shows the demand curve and supply curve for broken rice that is considered to be an inferior good. The market is in equilibrium at point X with a price of P_1 and quantity of Q_1 .

Which point is the new equilibrium if household incomes rise?



- 9 Good X has an income elasticity of demand (YED) value of -0.8 . Its cross elasticity of demand (XED) with respect to good Y is also -0.8 .

What are the characteristics of good X?

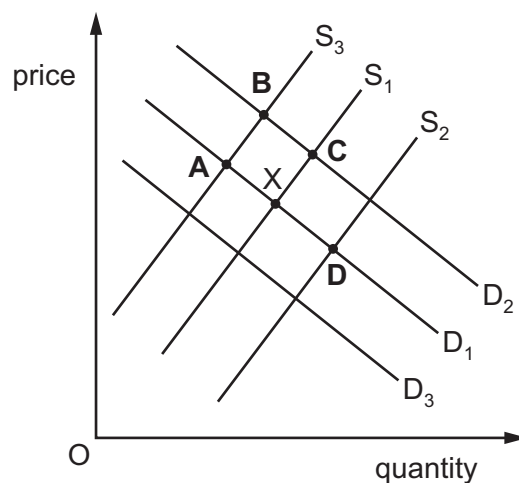
- A a normal good that is a complement to good Y
 - B a normal good that is a substitute for good Y
 - C an inferior good that is a complement to good Y
 - D an inferior good that is a substitute for good Y
- 10 Four firms produce furniture. The table shows the price elasticity of supply (PES) for each firm.

If the price of furniture rises by 5% which firm would experience an increase in quantity supplied of 2.5%?

firm	PES for furniture
A	2.5
B	2.0
C	0.6
D	0.5

- 11 The diagram shows supply and demand for a good. The original equilibrium is X.

What will be the new equilibrium if subsidies are given to firms for new machinery?



- 12** The market for good X is in equilibrium when its price is \$10. The government decides to set a maximum price for good X.

Which maximum price will cause the largest change in consumer surplus?

	maximum price for good X (\$)
A	9
B	10
C	11
D	12

- 13** Assuming demand is price elastic, what will rise the most if an indirect tax is removed?

- A** consumer expenditures
- B** price of the product
- C** producers' revenues
- D** tax receipts

- 14** Which area of government spending is a transfer payment?

- A** spending on new road building
- B** spending on pensions to the elderly
- C** spending on buying new police cars
- D** spending on wages of teachers

- 15** A government provides a subsidy for a product with a perfectly price inelastic demand.

What prevents producers from benefiting from this subsidy?

- A** The subsidy causes a large reduction in the price of the product, as its price elasticity of demand is infinite.
- B** The subsidy causes a large reduction in the price of the product, as its price elasticity of demand is zero.
- C** The subsidy causes a small reduction in the price of the product, as its price elasticity of demand is relatively elastic.
- D** The subsidy causes a small reduction in the price of the product, as its price elasticity of demand is relatively inelastic.

- 16** A government intervenes in the market for good X. It fixes a minimum price above the market equilibrium.

Which situation explains why the government would do this?

	good X	reason for intervention
A	demerit good	to decrease consumption
B	demerit good	to increase consumption
C	merit good	to decrease consumption
D	merit good	to increase consumption

- 17** The table below shows some national income statistics.

	\$ billion
GDP at basic prices	300
Indirect taxes	20
Subsidies	4

What is GDP at market prices?

- A** \$276bn **B** \$284bn **C** \$316bn **D** \$324bn

- 18** Under which conditions will real Gross Domestic Product (GDP) grow the fastest?

	rate of change in nominal GDP (% per year)	rate of change in general price level (% per year)
A	0	–2
B	0	+2
C	+2	–2
D	+2	+2

- 19** A government is planning to increase its expenditure on defence. Half of this expenditure will be on equipment such as planes and weapons which it will have to import as it does not produce this equipment domestically.

What is the initial impact on injections and leakages from the circular flow of income?

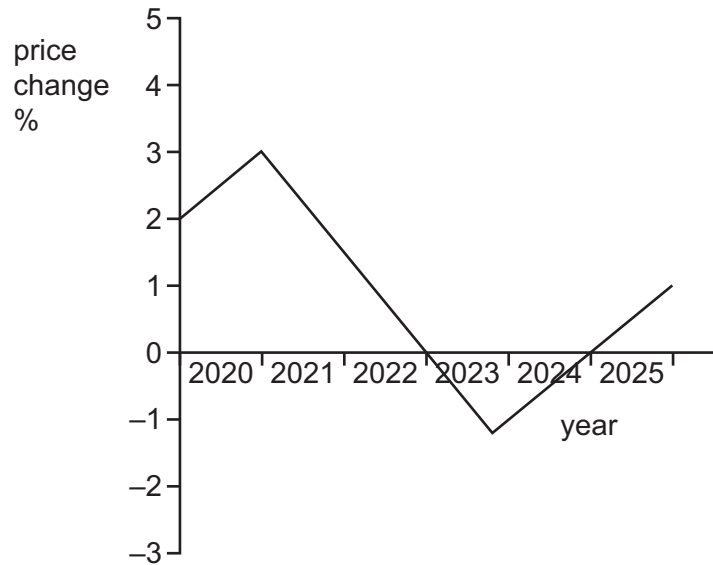
- A** The initial rise in injections is greater than the initial rise in leakages.
 - B** The initial rise in injections is greater than the initial fall in leakages.
 - C** The initial rise in injections is smaller than the initial rise in leakages.
 - D** The initial rise in injections is smaller than the initial fall in leakages.
- 20** What might be a consequence of a fall in the domestic price level?
- A** imports become more competitive
 - B** interest rates increase
 - C** the purchasing power of savings falls
 - D** the real value of incomes increases
- 21** A steel producer changes to electrically powered furnaces to reduce emissions of greenhouse gases. This results in a loss of jobs.

Which type of unemployment is caused?

- A** cyclical
- B** frictional
- C** seasonal
- D** technological

22 The diagram shows changes in a country's price level over a number of years.

During which period of time did **only** disinflation occur?



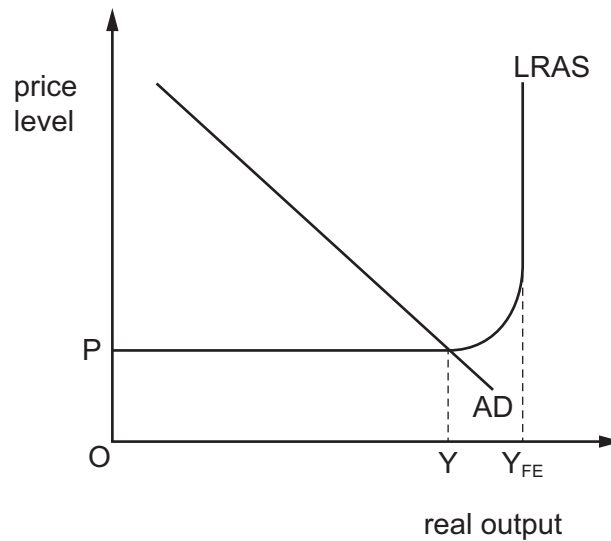
- A from the start of 2020 to the end of 2025
- B from the start of 2021 to the end of 2022
- C from the start of 2021 to the end of 2023
- D from the start of 2023 to the end of 2024

23 A government increases the basic rate of income tax to finance additional spending on apprenticeships and training.

Which types of macroeconomic policy are being used?

	fiscal policy	monetary policy	supply side policy	
A	✓	✓	✓	key
B	✓	✓	✗	✓ = used
C	✓	✗	✓	✗ = not used
D	✗	✓	✓	

- 24** The diagram shows an economy in equilibrium with a real output of Y and a price level of P . The government aims to raise real output from Y to full employment (Y_{FE}) without increasing the price level in the long run.



Which fiscal policy change is most likely to achieve this aim?

- A** decreasing the rate of income tax
 - B** decreasing spending on education
 - C** increasing the level of sales tax
 - D** increasing welfare benefit payments
- 25** A government reduced the tax on company profits from 28% to 20%.
- Which statement best describes this policy?
- A** It is both a contractionary fiscal policy and a supply-side policy.
 - B** It is both an expansionary fiscal policy and a supply-side policy.
 - C** It is both an expansionary fiscal policy and an expansionary monetary policy.
 - D** It is both an expansionary monetary policy and a supply-side policy.
- 26** Which policy is most likely to have a contractionary effect on national income?
- A** a reduction in income tax rates
 - B** a reduction in interest rates
 - C** an appreciation in the exchange rate
 - D** an increase in government spending on transport infrastructure

- 27** What is an example of primary income in the current account of the balance of payments of Pakistan?
- A** dividends received by a Pakistani resident from shares in a domestic firm
 - B** profits of Pakistani businesses exporting goods
 - C** rent received by a Pakistani resident from a property in another country
 - D** salary received by a Pakistani engineer from a foreign-owned producer operating in Pakistan

- 28** What is meant by comparative advantage?

- A** One country can produce a product at a lower opportunity cost than another country.
- B** One country can produce more of a product than another country, using a given level of resources.
- C** One country has lower barriers to trade than another country.
- D** One country is making more efficient use of factors of production than another country.

- 29** An economy specialises in the production of one product. It exports this product to obtain another product.

Which type of diagram can show the combinations of these products?

- A** the production possibility curve
- B** the aggregate demand curve
- C** the principle of absolute advantage
- D** the trading possibility curve

- 30** The main export of country X is oil. The world demand for oil is price inelastic. The world supply of oil is reduced by the major oil producing countries, including country X. Imports into country X are unchanged.

What are the effects of this action by the major oil producing countries on the terms of trade and the current account of the balance of payments in country X?

	terms of trade	current account
A	increases	increases
B	increases	decreases
C	decreases	increases
D	decreases	decreases

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6	D	1
7	C	1
8	D	1
9	C	1
10	D	1
11	D	1
12	A	1
13	C	1
14	B	1
15	B	1
16	A	1
17	B	1
18	C	1
19	A	1
20	D	1
21	D	1
22	B	1
23	C	1
24	A	1
25	B	1
26	C	1
27	C	1
28	A	1

Question	Answer	Marks
29	D	1
30	A	1

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14	C	1
15	B	1
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18	C	1
19	C	1
20	D	1
21	C	1
22	B	1
23	D	1
24	B	1
25	B	1
26	C	1
27	B	1
28	D	1

Question	Answer	Marks
29	C	1
30	A	1